**Before the Public Service Commission**

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY AND KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**

**Rebuttal Testimony**

**of the**

**Future of Heat Panel**

**Case 19-G-0309**
**Case 19-G-0310**

**September 18, 2019**

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## I. Introduction

**Q. Please introduce the members of the Future of Heat Panel.**

A. The Future of Heat Panel ("Panel") consists of Donald Chahbazpour, Lisa M. Tallet, Arthur W. Hamlin, and Owen S. Brady.

**Q. Is this the same Panel that submitted direct and corrections and updates testimony previously in this proceeding?**

A. Yes. The terms defined in the Panel's direct and corrections and updates testimony have the same definitions here.

## II. Purpose of Testimony

**Q. What is the purpose of the Panel's rebuttal testimony?**

A. The purpose of the Panel's rebuttal testimony is to respond to certain recommendations presented in the testimonies of the following Department of Public Service Staff ("Staff") witness panel: Staff Policy Panel, Staff Efficiency and Sustainability Panel, Staff Consumer Services Panel, and Staff Earnings Adjustment Mechanism Panel. The Panel also addresses certain recommendations presented in the testimonies of the following intervenor parties: The City of New York, Environmental Defense Fund, Utility Intervention Unit, William D. Yates, CPA for

Public Utility Law Project of New York, Inc. Estates NY Real Estate Services LLC, and Robert Mark Wyman.

**Q. Does the Panel sponsor any exhibits as part of its rebuttal testimony?**

A. Yes. The Panel sponsors the following exhibits that were prepared and compiled under our direction and supervision:

(i) Exhibit ___ (FOH-1R), Companies' Response to Information Request ("IR") DPS-268;

(ii) Exhibit ___ (FOH-2R), Geothermal Gas REV Demonstration Project – Q3 2018 Report;

(iii) Exhibit ___ (FOH-3R), American Gas Association Presentation — Developments in Renewable Natural Gas; and

(iv) Exhibit ___ (FOH-4R), Staff's Response to IR NG-13.

**Q. Have there been any legislative or administrative changes since the filing of the direct testimony that impact the Panel's proposals?**

A. Yes. There are two significant changes that impact the Panel's proposals. First, as mentioned in the Companies' Supplemental Testimony filed on June 11, 2019, the New York State Department of Environmental Conservation ("DEC") and the New Jersey Department of Environmental Protection denied without prejudice Transco's

applications for the necessary permits to construct the Northeast Supply Enhancement ("NESE") project, rendering the Companies' unable to fulfill applications for new firm service connections or requests for additional firm load from existing customers until the current natural gas supply constraints are addressed. Second, New York adopted the Climate Leadership and Community Protection Act of 2019 ("CLCPA"), codifying greenhouse gas ("GHG") emission reduction and renewable power generation requirements, while also creating a Climate Action Council to drive policy goals for achieving the clean energy requirements. The CLCPA takes effect January 1, 2020.

**Q. How do the legislative and administrative actions impact the Panel's proposals?**

A. The prospects of continued gas supply constraints due to the potential unavailability of NESE and the passage of the CLCPA underscore the importance of innovative proposals like those set forth in the Panel's direct testimony to meeting customers' heating needs. Projects such as the Newtown Creek renewable gas project with New York City, the Companies' power-to-gas ("P2G") demonstration project to develop new renewable energy storage opportunities, and the proposed expanded geothermal and demand response demonstrations, all are designed to

promote the transition to a decarbonized energy future and develop the solutions necessary to respond to the directives of the CLCPA.

## III. Response to Staff's Recommendations

### A. Reducing Methane Emissions

**Q. Please address Staff's recommendations regarding the Companies' proposed methane reduction initiatives.**

A. The Staff Pipeline Safety Panel opposes several of the Companies' initiatives aimed at reducing methane emissions from the gas distribution system, including eliminating the current leak prone pipe ("LPP") removal incentive, as well as the current incentive for repairing high-emitting Type 3 leaks. Removing LPP and repairing high emitting leaks are particularly effective means of reducing methane emissions from the gas system. Given the safety, reliability, and environmental benefits associated with eliminating system leaks, the Companies should be incented to drive continued improvements in this area through challenging but fair incentives that align with the Companies' ambitious target to reduce methane emissions from the gas distribution system 60 percent (from 1990 levels) by 2035. Staff's opposition to these incentives is counter to the Commission's stated policies for eliminating

LPP and lowering emissions. The Companies' Gas Safety Panel further addresses these incentive mechanisms.

### B. Customer Empowerment and Enablement

#### 1. Energy Efficiency

**Q. Please address Staff's recommendation regarding the level of ETIP budget and the allocation of ETIP cost recovery.**

A. The Staff Efficiency and Sustainability Panel ("SESP") recommends (pp. 20-22) using the Companies' proposed energy efficiency budgets as placeholders until the Commission sets budgets in the on-going statewide proceeding in Case 18-M-0084; and if Commission does not act in Case 18-M-0084 before rates are set for KEDNY and KEDLI in this case, the SESP proposes a deferral mechanism to reconcile the difference between amounts determined here and amounts set in the other case.

The Companies disagree with the SESP's recommendation. Establishing the budgets in this case will provide the Companies with the certainty needed to develop and implement their energy efficiency programs over the next several years. Therefore, the SESP's recommendation should be rejected.

**Q. What is the position of the Companies on Staff's recommendation that the evaluation, measurement, and verification ("EM&V") costs remain combined in the energy efficiency budget and not moved to base rates as the Companies had proposed?**

A. The Companies oppose Staff's recommendation (SESP, pp. 25-26) that EM&V costs remain within the ETIP budget and not be moved into base rates. The scope of EM&V activities is expanding to integrate initiatives beyond just energy efficiency and therefore should be separated from the energy efficiency portfolio budget.

The Companies would use the incremental budget amounts freed up by moving the EM&V funds out of the energy efficiency portfolio to evaluate and develop new customer offerings. Funding is needed to promote product development in line with new technologies, learnings, and public policy priorities. Moving EM&V costs into base rates also would align with how those costs are treated for Niagara Mohawk.

**Q. Please address Staff's recommendation for a downward-only reconciliation for energy efficiency spend at year end.**

A. The Companies disagree with Staff's recommendation for a downward-only reconciliation of energy efficiency spend in the Rate Year. The

proposed funding in this case is meant to help the Companies achieve statewide energy efficiency targets through the year 2025. The Companies believe that the funding should be retained for application towards these energy efficiency initiatives through 2025, regardless of the length of the rate period approved in this case.

**Q. Please address Staff's recommendation (SESP pp. 26-30) that unspent energy efficiency funds, including the associated carrying charges, as well as carrying charges on NYSERDA Clean Energy Fund collections, be amortized over five years to offset energy efficiency collections.**

A. The Companies oppose Staff's recommendation. In principle, the Companies are not against using a portion of the unspent/uncommitted energy efficiency funds, including associated carrying charges, to offset energy efficiency program costs. The Companies are concerned, however, that use of funds as the Staff proposes could negatively impact the Companies' cash flows and affect credit metrics.

Energy efficiency budgets are increasing significantly in the coming years and the current unspent/uncommitted energy efficiency funds will be needed to mitigate customers' costs associated with expanding energy

efficiency programs. The Companies believe the appropriate balance between the level of unspent/uncommitted energy efficiency funds, including associated carrying charges, to use now and the level to use in the future to offset the need to collect these costs in rates is that set forth in the Companies' response to DPS-268 and Attachment 5 to that response, a copy of which is included as Exhibit __ (FOH-1R). Specifically, the unspent/uncommitted EEPS funds should be used to fund the incremental budget and targets for 2019 and 2020, which would offset the need to collect these costs in rates for those years.

### C. New Products and Services

#### 1. Green Gas Tariff Offering

**Q. Please address the Staff's position on the Companies' proposed Green Gas Tariff ("GGT").**

A. The Staff Gas Supply Panel supports the proposed GGT, but would reduce the number of full time equivalent ("FTE") positions needed to implement the program from two to one. The Staff Gas Supply Panel also recommends that the Companies revise the proposed reconciliation mechanism such that GGT costs would be reconciled as part of the existing Gas Adjustment Clause.

**Q. Do the Companies agree with Staff's recommendations?**

A. In part. The Companies agree that GGT costs and revenues should be reconciled as part of the existing Gas Adjustment Clause. The Companies disagree, however, with the proposal to reduce the number of FTEs supporting the program. The two additional FTEs are needed to administer the GGT program. Their work will include contracting with RNG suppliers, monthly tracking of green gas purchases and sales quantities, balancing between purchases and sales, tracking costs and revenues, making all associated transaction system entries and complying with reporting requirements. Adequate resources are needed to successfully implement and maintain the GGT. The Companies' Energy Procurement team will be responsible for administering the program, and the required work is incremental to the current responsibilities of that team.

### 2. Utility Energy Services Contracts ("UESC") Program

**Q. What is the Companies' position regarding Staff's recommendation on the UESC contracts program?**

A. The SESP (pp. 36-38) proposed two modifications to the Companies' proposal: (i) reducing the Companies' share of net revenues generated from UESC program from 33.3 to 20 percent; and (ii) eliminating the two

incremental FTEs supported in the Companies' case. As described later in our testimony in the section on platform service revenues, the Companies disagree with Staff's proposal to reduce the Companies' share of platform service revenues. Likewise, the Companies do not accept Staff's proposal to eliminate the two FTE positions. The Commission has directed utilities in the state to identify opportunities to generate platform service revenues through the provision of value-added services to customers and stakeholders. The UESC program presents an opportunity for the Companies to implement this Commission directive. To have a reasonable chance to succeed, however, the program requires a dedicated set of resources. Requiring that the Companies redeploy resources from their energy efficiency programs—which are also charged with significantly increasing the penetration of those programs—would result in inadequate resources dedicated to both of these important areas. Accordingly, the Companies do not agree with Staff's recommendation to eliminate the two incremental FTEs to support the UESC program.

**Q. Please address the Staff's proposal that the Companies should be required to develop specific energy efficiency targets and budgets for UESC program and incorporate the UESC program into their overall**

**energy efficiency portfolios, to be funded from authorized energy efficiency budgets.**

A. The Companies do not agree that the UESC program should be incorporated into the energy efficiency portfolios and likewise do not agree that specific budgets and targets should be established. The UESC program is designed as an energy services contracting program rather than as a direct customer incentive program. Energy savings delivered through UESC programs are tracked and measured through the existing utility energy efficiency programs as customers participating in the UESC program have eligible measures installed. Therefore, any energy savings targets established for UESC would be duplicative of targets already established under the existing commercial and industrial energy efficiency programs.

Further, the scope of the feasibility studies conducted under the UESC program is not limited to gas savings, but also includes electric energy savings as well as water savings, operations and maintenance cost savings, and support integration of other distributed energy resources. Accordingly, the Companies do not support incorporating the UESC program into the existing gas-only energy efficiency portfolios. Rather, this program supports broader energy opportunities in line with expanded

customer tools and resources and therefore requires its own set of resources and should not be rolled into the Companies' overall energy efficiency portfolios.

### 3. Fuel-Switching Calculator

**Q. Please address Staff's recommendations regarding the Companies' proposed fuel switching calculator.**

A. The Companies' do not agree with the SESP's recommendation (pp. 38-40) that approval of the Fuel-Switching Calculator be subject to the costs being allocated at the outset to other National Grid companies, or that such allocation be based on National Grid's general allocator (8.29 percent KEDLI; 13.31 percent KEDNY).

First, the purpose of the calculator would be to enable customers to make informed energy choices by using location-specific assumptions – *e.g.*, incentives available and rates specific to KEDNY and KEDLI – to compare the cost and emissions estimates for different energy alternatives. Initially, the fuel-switching calculator would be used solely by KEDNY and KEDLI for their customers. Expanding the calculator for use by other National Grid companies will add to the costs of the fuel switching calculator (a fact Staff does not reflect in its proposed adjustment). To the extent the calculator is modified for use by other National Grid companies

in the future, the costs of those modifications will be reflected, and the cost allocations would be revised in accordance with National Grid's established allocation process for National Grid Service Company costs. Accordingly, the Companies do not agree with the recommendation that approval of the calculator be conditioned on the initial costs being initially charged to other National Grid companies.

In addition, when other National Grid companies begin using the calculator, National Grid Service Company will apply the appropriate allocator based on the benefitting companies at that time. The general allocator proposed by Staff, which allocates costs among all National Grid companies (including electric-only companies and National Grid Service Company), would not be the appropriate allocator for the costs of the fuel-switching calculator.

### D. Demand Response

**Q. Please address Staff's recommendations regarding the Companies' demand response programs.**

A. The SESP recommends approval of the Companies' demand response program; however, the SESP recommends changes in the proposed rate treatment of non-labor O&M costs. The SESP also opposes recovery of the incremental FTE costs for this program.

**Q. Do the Companies agree with Staff's proposal (SESP pp. 48-49) that non-labor O&M costs for the demand response program be recovered via a delivery surcharge line item, rather than in base rates?**

A. No. The Companies have forecast the non-labor O&M costs associated with the proposed demand response demonstration ("DRD") project and reflected those costs in rates for current recovery. Moving those costs to a surcharge that would be recovered with a time lag that may be significant would adversely impact the Companies' cash flows. If the SESP is proposing the Companies recover the forecast non-labor O&M costs through the Delivery Rate Adjustment, however, the Companies would have no objection, as discussed in the rebuttal testimony of the Rate Design Panel.

**Q. Do the Companies agree with the Panel's recommendation that no additional FTEs be approved for the DRD project?**

A. No. As is described on pages 44 and 45 of the Panel's direct testimony, the Companies propose to scale the existing demonstration project , which will require additional support. The FTE referenced in the SESP testimony was included in the Joint Proposal approved by the Commission in Cases 16-G-0058 and 16-G-0059 and is assigned to

support the Companies' entire portfolio of Gas REV projects. The Companies' Gas REV portfolio includes the DRD project, MicroCHP Demonstration, Flood Zone Packages, and Geothermal Demonstration. The Companies believe that dedicated FTEs will be required to scale the program from providing 241 dth/hr of demand reduction to the proposed program target of 1,400 dth/hr as described in the Panel's direct testimony. The recommended FTEs will responsible for growing and managing the program. Their responsibilities would include enrolling customers and aggregators, evaluating program data, coordinating with the Companies' Gas Operations group, and complying with reporting requirements.

## E. Sustainable Heat Initiative

### 1. Expanded Geothermal Demonstration Project

**Q. Please address Staff's recommendation (SESP pp. 50-52) that the Companies' proposal to expand the Geothermal Demonstration Project be rejected because the existing Geothermal Demonstration Project has not yet proven to be cost-effective and the Companies have not demonstrated that utility ownership of geothermal systems would not adversely affect third-party market participants.**

A. The Companies strongly disagree with the SESP's recommendation that the Commission reject the proposed expansion of the Geothermal Demonstration Project. The 2016 Gas REV Demonstration Project ("Riverhead Demonstration"), which ends December 2019, has allowed KEDLI to provide non-traditional heating and cooling services to participating customers since November 2017. Since then, the Riverhead Demonstration has shown this technology works and customers can achieve savings. As stated in the Panel's direct testimony (p. 35), it is estimated each geothermal customer could realize annual energy savings between $1,000 and $1,500. The expanded geothermal demonstration program proposes to develop and test a geothermal product that will be a cost-effective alternative to a customer's existing heating solution. The Riverhead Demonstration also confirmed the underground portion is a significant market barrier towards wider adoption of geothermal. Exhibit __ (FOH-2R) is a copy of KEDLI's Q3 2018 demonstration project status report, wherein it shows actual energy savings of 31 percent to 58 percent, which is $229.10 to $684.95 in per-customer savings from just January 2018 to May 2018 (much of the 2018 Heating Season).

The proposed expanded Geothermal Demonstration Proposal is designed to test that the business model of utility ownership of underground loops,

the most expensive part of the system, can accelerate greater market adoption. The proposal is for an expanded demonstration project, not a full ownership program, to determine if eliminating the high-cost barrier to entry for all customers but especially for low-to-moderate income, commercial, and industrial customers, can help the market grow to advance the state's energy and carbon goals.

**Q. Are there any gas constraints that could be alleviated by a non-pipe alternative ("NPA") such as the proposed expanded geothermal demonstration program?**

A. Yes. As a result of the denial of the NESE project, the Companies are not fulfilling applications for new firm service connections or requests for additional firm load from existing customers because of the existing gas supply constraints that the NESE project was to address. If these supply constraints are not addressed, ground-source heat pumps ("GSHPs") are a vital NPA that can be deployed by the Companies to serve new customers seeking to convert from other fossil fuels.

**Q. Are there other customer benefits that can be provided by an expanded geothermal demonstration program?**

A. Yes. An expanded program that increases the number of GSHP installations will provide customer benefits by reducing peak demand, energy intensity, and carbon emissions and increasing energy efficiency and distributed energy penetration.

**Q. Do the Companies agree with Staff's position that utility ownership of geothermal systems could adversely affect third-party market participants that may be able to provide additional affordable alternatives?**

A. No. As set forth above, the expanded demonstration project is not proposing full ownership of the entire heating system. The expanded demonstration program seeks to test whether the Companies' supportive role of funding and owning the geothermal ground loop can help the market grow and advance the state's energy and carbon goals by providing more choices in the market for New York residents in support of the clean energy transition. An increase in customers will support further growth in the third-party sector by providing more volume and predictability in GSHP installations.

It is critical for the GSHP market to grow significantly to meet New York's goals of a 40 percent reduction of GHG emissions by 2030 and an

80 percent reduction by 2050. The Commission's "Order Adopting Accelerated Energy Efficiency Targets" in Case 18-M-0084 (issued December 13, 2018) found that 83,000 total heat pumps must be installed by 2025 to meet the established five TBTU target. Gas utilities can play a positive role in meeting these targets because of the relationship they currently have with natural gas customers. Utility participation and ownership of geothermal loops has the potential to increase the numbers of geothermal installations, reducing costs and producing economies of scale that will benefit customers and third-party market participants.

**Q. Do third-party market participants support testing the concept of utility ownership of geothermal loops?**

A. Yes. The New York Geothermal Energy Organization ("NY-GEO"), a non-profit trade association representing geothermal heat pump installers, manufacturers, distributers, drillers and other geothermal stakeholders, in comments filed July 1, 2019 in Case 18-M-0084 stated: "NY-GEO supports the KEDLI, KEDNY rate case proposal to further test a utility loop ownership model for its LMI customers."

In testimony in this case, Jared Rodriguez for Estates NY Real Estate Services LLC notes (p. 9) that "[g]eothermal technology offers highly

energy efficient production of domestic hot water and space heating. The technology, particularly shared geothermal loop energy systems, will likely play a key role in reinforcing the Company's ability to meet decarbonization goals via heating electrification and reducing peak gas capacity."

**Q. Do the Companies agree that a third-party solicitation as the SESP mentions (p. 52) is necessary to support approval of the expanded Geothermal Demonstration Program?**

A. No. The Companies are proposing to expand the pilot program to obtain additional knowledge on if and how best to proceed with geothermal development in the future. The expanded pilot would test whether utility participation could increase consumer confidence in the technology, improve economic aspects of the project, or create additional value for customers through a complementary offering involving both utility-ownership and vendor participation. The Companies would explore these considerations by working with existing geothermal companies to test whether utility ownership of the geothermal ground loop can help the market to grow. We do not believe a third-party solicitation as suggested by the SESP would advance the pilot objectives.

**Q. Why are new FTEs needed for the expanded Geothermal program proposed by the Companies?**

A. The FTEs are necessary to manage the geothermal installations, coordinate RFPs, contact project coordinators, and ensure the increased electric load will not cause adverse impacts for the electric utility servicing areas where the Companies have installed geothermal systems. Accordingly, the Companies' disagree with Staff's recommendation to eliminate the one incremental FTE in the Rate Year and two additional FTEs in Data Years 2 and 3 to support the expanded Geothermal Demonstration Project.

## F. Economic Development

### 1. Discount Programs

**Q. Please address Staff's recommendation regarding the Companies' proposed changes to their existing portfolio of economic development discount programs.**

A. The SCSP recommends (pp. 63-64) that KEDLI include non-firm, non-residential customer classes to the list of service classes eligible for the existing Business Incentive Rate ("BIR") and proposed Area Development Rate. The Companies agree that existing supply constraints warrant examining other options for serving customer needs and agree that expanding the KEDLI programs to non-firm service classes is reasonable. The SCSP's recommended expansion, however, would trigger incremental

billing requirements and costs. KEDLI's support for Staff's recommendation is subject to the ability to recover the incremental costs of the expanded programs, including if necessary through the proposed discount program deferral mechanism.

**Q. Please address Staff's recommendation regarding the Companies' proposed discount programs deferral mechanism.**

A. The SCSP recommends (pp. 61-62) that the Commission reject the Companies' proposed deferral mechanism to reconcile actual discounts against targets established in rates. The Companies disagree with Staff's recommendation. Although discounts associated with the KEDNY and KEDLI discount programs have been relatively stable in recent years, the Companies' proposed changes to these programs, including the proposed new Area Development Rate for KEDLI, Staff's recommended inclusion of non-firm rate classes in the KEDLI discount programs, as well as other new program offerings recommended by Staff, are expected to increase the level of activity and uncertainty associated with future customer discounts under these programs. These factors support the Companies' proposed deferral mechanism. Further, because the proposal is for a two-way reconciliation, customers would be protected from paying more than the programs actually cost.

### 2. Additional Staff Recommendations

**Q. Does Staff make any other recommendations regarding the Companies' economic development programs?**

A. Yes. The SCSP recommends (pp. 64-66) the Companies:

(i) Create a new grant program for prospective or current customers seeking additional natural gas supply to become a non-firm customer.

(ii) Modify existing programs pointed toward new customers or customers seeking a service upgrade for additional supply to become or convert to being non-firm customers.

The SCSP proposes that each Company not receive any additional rate recovery beyond the $0.5 million proposed Rate Year allowance.

**Q. How do the Companies respond to these recommendations?**

A. The Companies generally agree that including non-firm customers in the portfolio of economic development grant programs is reasonable. Of Staff's two proposed options, the second option – whereby the existing programs and the proposed new programs would be modified to allow non-firm customers to become eligible and to allow the infrastructure related costs of converting from firm to non-firm service to qualify for additional funding – would likely be the more effective approach.

Implementing either option, however, would represent an expansion of the programs and would increase the level of customer participation and grant expenditures. Therefore, the Companies disagree with Staff's proposal to implement these changes without identifying a corresponding source of funding, as discussed below.

**Q. Does the Panel have any other observations regarding Staff's recommendations on the Companies' economic development programs?**

A. Yes. As shown in Exhibit___ (FOH-8), the Companies' initial filing anticipated Rate Year grant program spending of $2.25 million and $2.75 million for KEDNY and KEDLI, respectively. These spending levels are exclusive of Staff's proposed changes to include non-firm customers in the programs. The Companies proposal to set their respective Rate Year rate allowances to $0.5 million was specifically premised on the use of funds from the existing economic development carryover balances to make up the difference between the rate allowance and program spending. The SCSP acknowledges this in its testimony (p. 61). The SCSP, however, is otherwise silent as to the Companies' use of the carryover balance amounts to fund projected economic development grant program spending. Absent additional funding or the ability to fund incremental

grant expenditures from the existing deferral balances, the Companies would have a Rate Year shortfall of $1.75 million and $2.25 million for KEDNY and KEDLI, respectively. These shortfalls would be even greater if the program expansions proposed by the SCSP and discussed above are adopted.

The Companies interpret the SCSP's silence on the proposed use of the unspent balances in the Rate Year to fund the costs of the programs in excess of the proposed $0.5 million rate allowances as Staff's acceptance of the Companies' proposal on this matter. To the extent Staff's position is that the unspent economic development program balances should not be available for such use, the Companies disagree with Staff.

**Q. Please describe Staff's recommendations regarding reporting on the Companies' economic development programs.**

A. Staff recommends the Companies file annual reports with the Secretary to the Commission 30 days following the end of each calendar year, beginning with the Rate Year. The proposed reports would provide detail regarding applications received and approved, grant money committed, grant funds disbursed and the amount of reserve funds, and

would include a summary of the success of the proposed new Future of Heat Economic Development program, if approved by the Commission. The Companies accept Staff's proposed reporting requirements, subject to the time for filing the report being 60 days following the end of the year. The additional time is needed to assemble the requisite data and assure the quality of the information reported. In addition, the Companies recommend that the annual filing provide an opportunity for the Companies to propose program modifications for the following year.

## G. Reducing Carbon Emissions on the Gas Network

### 1. Renewable Natural Gas ("RNG")

#### a) Newtown Creek Project

**Q. Please address Staff's recommendation (SPP pp. 39-57) with respect to the Newtown Creek Project.**

A. The Panel disagrees with Staff's proposed adjustment regarding the Newtown Creek Project. Staff's agreed that KEDNY should proceed with the project as part of the Company's last rate cases (Case 16-G-0059). The adjustment Staff proposes here would discourage the Companies, and other utilities, from pursuing innovative solutions to address GHG emissions. As stated previously, climate change is an issue that requires action now, and decisions that discourage innovative approaches in favor

of the status quo can be detrimental. Further, even assuming the Company agreed to an adjustment as Staff proposes, Staff erred in how it calculated and applied the value of the adjustment.

The basis for Staff's downward adjustment and capping cost recovery based on revenues generated is that the cost of gas produced by the project is higher than the Company's weighted average cost of gas. The project was not intended to produce RNG at the cost of traditional natural gas. Rather, the project was intended to help meet New York City's environmental goals while also demonstrating a new source of renewable energy, and how energy providers and other stakeholders can collaborate to incorporate RNG into the supply portfolio to meet sustainability goals, enhance reliability and utilize an existing energy network to meet the energy demands of New York City.

The fact that the unit cost of RNG is greater today than conventionally produced gas is not surprising and is reminiscent of similar comparisons between wind and solar electric renewables to fossil-fired generation sources a decade ago. Just as the cost disparity between renewable and fossil-fired electric generation has shifted with time, investments need to be made now to encourage the scaling of RNG to achieve cost savings. It

is imperative that the economy move to a much greater share of clean energy sources. Indeed, the CLCPA mentioned earlier requires that the state move to 70 percent renewable generation by 2030 and that New York State achieve an 85 percent reduction in GHG emissions by 2050. Fulfilling this mandate will require innovation and the Company believes it will require decarbonization of the gas network through the development of RNG. It is the Panel's position that, for RNG to become more prevalent and for the costs of RNG to approach parity with conventionally produced resources as renewable and conventional electricity sources have, there must be regulatory support for investments such as the Newtown Creek project.

The benefits of the Newtown Creek project extend far beyond the average cost of the RNG produced. For example, Exhibit __(FOH-3R), is a copy of 2017 presentation delivered by the American Gas Association's Chief Regulatory Counsel at a national EPA Gas STAR conference that highlights the Newtown Creek project as a case study for utilities' RNG interconnections, and for the potential of public-private partnerships to reduce metropolitan GHG emissions. To focus on the unit cost of the gas produced and injected into the system ignores those other important

benefits. To make progress on the ambitious clean energy targets, the industry must innovate.

It should also be noted that this project was developed in collaboration with the City of New York at one of the most complex wastewater treatment plants in the country creating a set of unique challenges that escalated the cost of this project over time. These challenges include obtaining the approval of Public Design Commission to ensure that the purification facility was aligned with the Newtown Creek masterplan and its overall architecture. The project site also had to be moved after detailed engineering assessment highlighted a risk that was unforeseen in the preliminary engineering analysis.

**Q. On what other basis does the Panel disagree with Staff's adjustment to the Newtown Creek Project?**

A. Even if KEDNY agreed with the basis for Staff's adjustment, Staff erred in how it calculated and applied that adjustment for two reasons. First, Staff intended to increase the project's capital costs based on the current estimate of $37.898 million. However, Staff included the entire $37.898 million estimate amount as a fiscal year 2020 plant addition on Exhibit __ (SPP-3), but did not take into consideration the Company's fiscal year

2021 capital addition of $0.051 million in Exhibit __ (SPP-3). As a result, Staff overstated the estimated project cost in Exhibit __ (SPP-3) by $0.051 million.

Second, Staff's intent was to impute a revenue adjustment on the revenue requirement of the Newtown Creek project, which is the rationale behind their calculation including the Company's current project estimate of $37.898 million. However, Staff failed to increase their revenue requirement in Exhibit __ (SSP-3) to use the same $37.898 million project estimate. Staff confirmed this oversight in response to IR NG-13, a copy of which is included as Exhibit __ (FOH-4R). As a result, the Company is revising the Newtown Creek project estimate in its capital forecast shown in Exhibit __ (GIOP-1R) to include the current project estimate of $37.898 million, consistent with Staff's revised Exhibit __ (SGIOP-4).

**b) P2G Demonstration Project ("P2G Project")**

**Q. Please address Staff's recommendation regarding the P2G Project.**

A. The SESP recommends the proposal be rejected because it is not identified as one of the "envisioned solutions … for excess renewable electricity" in the Commission's December 12, 2018 Order Establishing

Energy Storage Goal and Deployment Policy in Case 18-E-0130 ("Storage Order"). Staff's basis for rejecting the proposal is contrary to the spirit of innovation necessary for the state to achieve its emissions reductions objectives and contrary to the intent of the Storage Order.

The Storage Order set a target of 1500 MW of energy storage deployment by 2025 and an aspirational deployment goal of 3000 MW energy storage statewide by 2030. It did not preclude technology types and neither does Public Service Law Section 74, which compelled the Commission to develop targets and policies. The law expressly identifies a range of storage types for various purposes, including the use of chemical reactions to store energy in usable forms by defining a "qualified energy storage system" as one which is "commercially available technology that is capable of absorbing energy, storing it for a period of time, and thereafter dispatching the energy using *mechanical, chemical, or thermal processes* to store energy that was generated at one time for *use at a later time.*" PSL §74 (emphasis added).

Even if one reads PSL §74 and the Storage Order narrowly to only target storage related to the electric system, the P2G demonstration meets this criteria. Adding net carbon neutral gas to the gas distribution system can promote a cleaner electric system by reducing gas system constraints and

thus allowing RNG to displace the combustion of dirtier fuels. Further, by providing an additional end use market for carbon-free electric generation, P2G may stimulate the development of additional renewable generation resources.

Further, as the Commission has articulated, the Energy Storage Roadmap "is technology-neutral and acknowledges that a range of energy storage solutions will be deployed to best meet customer and system needs." (Storage Order p. 5).

Finally, as the Panel has mentioned previously, the CLCPA is the most progressive decarbonization legislation in the United States and to achieve the state's decarbonization mandates, the Companies must enable innovation and facilitate the addition of new technologies and business models. If commercialized at scale, P2G has the potential to significantly decarbonize the gas network. This project will provide insight into how to integrate such resources into the gas network and streamline the interconnection process for this new gas source.

Accordingly, the Panel disagrees with Staff's rationale for opposing the P2G Demonstration Project.

### c) Hydrogen Blending Study

**Q. Please address Staff's recommendation regarding the Companies' proposed Hydrogen Blending project.**

A. Similar to the P2G Demonstration project, the SESP opposes (pp. 59-60) the proposed Hydrogen Blending study because hydrogen blending is not a specific solution identified in the Commission's Storage Order. The Companies disagree with Staff's position.

The Companies' primary interest in hydrogen is as an additional potential pathway toward decarbonization of the gas network. Hydrogen production is not a function of biomass and waste feedstock availability, and thus hydrogen blending could play a significant role in expanding the potential of low carbon gas and achieving the state's deep decarbonization goals. In terms of cost and customer experience, hydrogen blending may be the least disruptive way to decarbonize the gas network. Through the hydrogen blending study, the Companies seek to understand what actions will be required to prepare gas system infrastructure for hydrogen.

The proposed hydrogen blending study would provide necessary information for the development of a hydrogen readiness plan, focusing on safety, reliability, and operability of the Companies' specific network.

**d) RNG Interconnections and Future of Heat Engineering Group.**

**Q. Please address Staff's recommendation regarding the Companies' proposed RNG Interconnections program.**

A. Staff states (SESP pp. 56-57) that it supports the RNG Interconnections program, but opposes adding incremental FTEs to implement it. Staff also opposes the proposed KEDNY capital expenditures related to the program, and opposes the proposed O&M for the KEDNY projects under the program. The Companies appreciate Staff's conceptual support for the proposed program; however, we disagree with Staff's opposition to funding the incremental labor needed to implement the program, as well as the adjustments to remove KEDNY's associated Rate Year operating and capital expenditures under the program.

The Companies' RNG interconnection queue has increased significantly over the past few years, growing from zero to six proposals within KEDNY and KEDLI. Additional resources are needed to support the development of this local and renewable supply of gas. The Companies'

proposal is designed to alleviate two barriers to RNG interconnection, the extensive time it takes for a developer to receive interconnection approval and the high capital cost of the interconnection.

The time it takes to complete the interconnection approval process is a barrier to the development of RNG projects. The additional FTEs requested for the program would be responsible for processing RNG interconnection proposals, which would reduce the time to evaluate requests. The Companies currently rely on existing gas engineering personnel to support the evaluation of interconnection proposals and conduct feasibility analyses and interconnection design. These existing FTEs are dedicated to supporting the Companies' traditional gas engineering activities, and RNG interconnection processing is additive to their existing workload. As a result, interconnection processing has been delayed. RNG developers rely on receiving timely interconnection approval to solidify project financing. Thus, delays in interconnection processing inhibits RNG development. For these reasons, and as is stated in the Companies' GIOP rebuttal testimony, the incremental FTEs included in the FOH Engineering Group are necessary even if the capital RNG Interconnection Program were to be deferred by a year.

The cost of RNG interconnections has been identified as a key barrier to commercializing RNG. Much of the cost of interconnection is due to equipment required by gas utilities, including meters, odorization systems and gas quality analyzers. Under the current process, project developers are responsible for the cost of this equipment, while the equipment itself is maintained and operated by the utility. Project developers in the Companies' interconnection queue have indicated that this upfront cost is prohibitive to the development of their proposed projects. The Companies' proposed RNG Interconnection program would unburden project developers from bearing the cost of equipment that is core to utility functions - *i.e.*, equipment required to verify gas quality and quantity before it is received into the gas network.

**Q. Do the Companies' agree with Staff's position that FTEs can be reallocated from other portions of the gas business?**

A. No. First, Staff (SESP p. 57) suggests that the RNG program is insufficiently mature to warrant dedicated FTE resources, and also proposes the potential reallocation of FTEs associated with the Clean Conversion Program. As described above, the RNG program is growing and accelerating the pace of RNG implementation is an important element in decarbonizing the energy system. Further, contrary to Staff's

suggestion, the previous elimination of the Clean Conversion Program also eliminates any funding associated with the labor resources needed to deliver that program. It would be a double count to propose that the Clean Conversion Program not be funded, and that the labor resources associated with that unfunded program be used to deliver the RNG Interconnections program. In addition, even if incremental resources were available within the Companies, it is unlikely such resources would be immediately qualified to perform the work needed of the Future of Heat Engineering Group.

As the Companies work to meet heating needs through a decarbonized gas supply and achieve aggressive clean energy goals using NPAs and RNG projects, additional resources will be needed to manage NPA market solicitations, review project proposals on a timely basis, and coordinate with project partners and other interested stakeholders. The new Future of Heat Engineering Group will need to have the skillset to understand and evaluate RNG, hydrogen blending, and NPA solicitations to determine whether they are cost-effective, viable solutions, and, in some instances, whether they are capable of displacing traditional capital projects.

## H. Performance-Based Incentives and Revenue Sharing

### 1. EAMs

**Q. Does the Panel agree with the Staff EAM Panel's recommendations regarding the Companies' proposed package of EAMs?**

A. No. The SEAMP makes four overall recommendations (pp. 13-17) regarding the Companies' EAM proposals:

(i) reject KEDNY's proposal to earn up to 78 basis points and KEDLI's proposal to earn up to 77 basis points in the Rate Year at maximum achievement levels and replace those with a program allowing each company to earn up to 10 basis points maximum, plus earnings from a Share the Savings energy efficiency metric;

(ii) impose more aggressive performance measures on the Companies;

(iii) express the eligible EAM amounts in terms of absolute dollars rather than as basis points; and

(4) in the event a multi-year rate plan is adopted, establish EAM metrics, targets and financial incentive levels for the full term of the rate plan.

Staff also recommends (SEAMP p. 19) that EAMs that may be established in this case be "reconsidered as part of a collaborative among the Companies, Staff, and other stakeholders" if the Commission authorizes new programs or significantly increased budgets as part of a statewide

proceeding. However, Staff proposes that the number and value of basis points available should remain as set in this case.

**Q, What is the Panel's position regarding the SEAMP's proposal to replace the Companies' proposed package of EAMs with Staff's two proposed EAMs?**

A. The Panel generally disagrees with Staff's proposal. Staff's EAM proposal is most effectively illustrated in Exhibit __ (SEAMP-2), which lists six proposed EAM metrics each for KEDNY and KEDLI, with potential aggregate maximum values in the Rate Year of 78 and 77 basis points, respectively, compared to Staff's proposals of two EAMs each for KEDNY and KEDLI, with maximum values in the Rate Year of 25 basis points. Staff's proposed EAM maximum values are significantly below what the Companies proposed and would not produce the incentives necessary to encourage desired outcomes.

In the Track Two Order (Case 14-M-0101, Order Adopting a Ratemaking and Utility Revenue Model Policy Framework (May 19, 2016)), the Commission stated that incentive mechanisms should provide utilities with stretch targets that are reasonably and realistically achievable with significant utility efforts and with financially meaningful incentives. Thus,

the Commission selected 100 basis points as the reasonable and appropriate ceiling for EAMs. The potentially achievable maximum incentive levels proposed by Staff are only one-quarter this level and less that one-third what the Companies proposed. That level of incentive would not serve as the mechanism the Commission envisioned.

Further, although there may be merit to a system peak reduction metric, the Companies question whether the capabilities are in place to effectively implement and administer such a metric by the Rate Year. Likewise, while a Share the Savings metric may have benefits, the Companies do not support adopting such a metric to the exclusion of all other EAMs.

The Companies' positions regarding the SEAMP's specific application of its overall recommendations are presented below.

### a) System Efficiency

#### (1) Peak Reduction

**Q. Please address Staff's recommendation regarding the Peak Reduction metric of the System Efficiency EAM.**

A. The Companies agree an EAM metric designed to encourage the reduction of gas peak demand would be beneficial, and support the Commission's preference for an outcome-based EAM. However, current capabilities are

insufficient to adequately measure peak reduction on a system-level and there are limitations on the ability to adequately measure peak reduction at a system-level or isolate it from other large macro-economic variables. Similar concerns regarding Staff's proposed outcome-based gas peak reduction EAM were raised in the recent Consolidated Edison gas case (Case 19-G-0066) (Customer Energy Solutions Update and Rebuttal Testimony, p. 219).

The Companies are open to working with Staff and other stakeholders to try to develop a system-level peak reduction methodology; however, until a more robust peak reduction metric can be developed and implemented, the Commission should approve the peak-reduction metric proposed by the Companies' in direct testimony (as corrected in the Panel's Corrections & Updates filing). A programmatic-based metric would push the Companies to continue to drive peak reduction, while the capabilities needed to allow for system-wide peak reduction measurements are developed.

**(2) Supply Diversification**

**Q. Please address Staff's recommendation regarding the Supply Diversification metric of the System Efficiency EAM.**

A. Staff (SEAMP p. 28) opposes the Supply Diversification metric on the basis that the Commission's support for fuel and resource diversity was intended in the context of diversifying the electric grid away from reliance on gas, and the Track Two Order did not identify diversification of fuel sources within a gas utility's supply portfolio as an EAM-worthy metric.

The Companies believe that the Supply Diversification EAM metric is consistent with the intent of the Track Two Order, which was to align utility shareholders' financial interests with customers' interests. As with Staff's recommended Peak Reduction EAM, which was not initially included in the Track Two Order for gas EAMs, the Supply Diversification EAM would incentivize the Companies to prioritize actions that are not currently aligned with the Companies' business model. Although RNG can help the Companies address supply constraints, they currently have no incentive to prioritize RNG interconnection over the interconnection of traditional natural gas supply infrastructure or non-traditional natural gas supply infrastructure – *e.g.*, CNG or LNG. The Companies currently generate no profit from interconnecting third-party RNG projects. The Companies should be incentivized to prioritize RNG interconnections, because of the unique benefits of RNG, including emissions reductions and improved local waste management.

**Q. Do the Companies' agree with Staff's position (SEAMP pp. 29-30) that $1 of value created by RNG interconnection results in $4 in incentives?**

A. The Future of Heat testimony cited by Staff is incorrect. Although the testimony (FOH direct p. 102) states the Companies "propose setting the minimum target at one basis point," the two tables setting forth the minimum, target and maximum levels (FOH direct p. 102) clearly show the minimum target for both KEDNY and KEDLI to be four basis points. The minimum target was set at the volume of RNG required to achieve four basis points worth of value and the incentive was also proposed to be four basis points.

### b) Energy Efficiency

#### (1) Incremental Energy Efficiency

**Q. Please address Staff's recommendation (SEAMP pp. 30-41) regarding the Incremental Energy Efficiency metric of the Energy Efficiency EAM.**

A. The SEAMP explains (pp. 32-39) that the Incremental Energy Efficiency EAM is not based on verified gross savings and therefore is not responsive to Commission precedent and further recommends replacing the proposed Incremental Energy Efficiency EAM (as well as most of the Companies' other proposed EAMs) with Staff's proposed Share the Savings EAM.

Although the Companies acknowledge that Staff's proposed Share the Savings EAM model has aspects of a potentially meaningful incentive, the Staff's proposal to replace virtually all of the Companies' proposed EAMs with a metric projected to provide 15 basis points of maximum value is unacceptable to the Companies.

With respect to verified gross savings, the Companies agree that the methodology outlined in the recent guidance document issued by Staff should be applied against the Incremental Energy Efficiency EAM target as well as to other programmatic energy efficiency-related EAMs.

**Q. Please address the SEAMP's recommendation (pp. 39-40) that the Companies forecast verified gross savings achievement on June 1 of the year following annual programmatic activity and begin to collect their EAM incentive payment based on that forecast in September.**

A. The Companies accept the SEAMP's recommendation. By June 1 of each year, the Companies will forecast verified gross savings achievement for programmatic activity that took place during the prior calendar year, beginning June 1, 2020 for activity in calendar year 2019. In September of each year, the Companies will begin to collect any EAM incentive payment earned based on that year's forecast. The Companies also agree

to reconcile the forecast and adjust their collections as necessary at time of the forecast of their next EAM incentive payment.

**Q. Do the Companies agree with the SEAMP's position (p. 40) that the Companies conduct an annual reconciliation of the prior year's forecasted EAM incentives when setting the incentive payment collection levels to be effective in September of the year following program activity?**

A. Yes. The Companies agree with this recommendation.

**Q. Are there any other SEAMP positions related to the Incremental Energy Efficiency metric of the Energy Efficiency EAM that you would like to address?**

A. Yes. The Companies agree with the SEAMP's position (pp. 40-41) that, if the Companies have concerns with the recognition of EAM revenues, they can recognize a portion of forecasted incentive level until a full reconciliation occurs based on completion of the verified gross savings process, which would limit the risk of future downward adjustments.

**(2) Affordability**

**Q. Please address Staff's recommendation regarding the Affordability metric of the Energy Efficiency EAM.**

A. The Companies disagree with Staff (SEAMP pp. 41-42, 47) that the Affordability metric should be rejected. First, the Companies believe that the outcome-oriented design of the Affordability metric means that it encompasses not only programmatic efforts of the utility to directly influence low-income customer energy usage, but also that it reflects utility partnerships and platforms meant to encourage markets to reduce low-income customer bills. As affordability of energy bills remains a top priority for both the Companies and the State, this metric should be adopted to promote deeper engagement by the market in this population and to measure the ultimate impacts of those activities.

The Companies accept Staff's position that the targets proposed in the direct testimony should be higher. Therefore, the Companies propose to adjust the targets for the Affordability metric from 0.2 percent to 1.0 percent reduction in the low-income customer bill. That is, the Companies propose to earn one basis point for each one percent reduction in the average low-income customer bill. Unlike other proposed EAM metrics, the Companies have not proposed to earn prorated incentives for this metric.

### c) Carbon Reduction

**(1) $CO_{2e}$ Reduced from Full-Service Customers**

**Q. Please address Staff's recommendations regarding the full-service Customer $CO_{2e}$ Reduction metric and the transportation $CO_{2e}$ Reduction metric.**

A. Staff opposes (SEAMP pp. 47-52) the $CO_{2e}$ Reduction metrics on the grounds that GHG reduction metrics should focus on decarbonization of end-uses, and the proposed metrics are wholly programmatic

The Companies do not agree. The $CO_{2e}$ Reduction EAM metric aligns with the intent of the Track Two Order, which was to align utility shareholders' financial interests with customers' interests. The $CO_{2e}$ Reduction EAM would incentivize the Companies to prioritize actions that are not currently aligned with their business model.

Reducing GHG emissions is clearly identified in Track Two and enshrined in state policy as a priority. Decarbonization of end uses can be more readily implemented, tracked, and measured, such as solutions like heat pumps or electric vehicles. Some end uses, however, are more challenging to decarbonize – i.e. existing building stock in dense urban environments. The Companies believe in this instance it may be more

cost effective and less disruptive to decarbonize the energy supply. The Companies' proposed EAM is inclusive of achieving emissions reductions in whatever manner makes most sense for customers – *e.g.*, converting to a geothermal heat pump or continuing to utilize their existing equipment and lowering their carbon footprint by consuming RNG.

### 2. Value of a Basis Point

**Q. What is the Companies' position regarding Staff's recommendation to express the value of EAMs in terms of absolute dollars rather than as basis points once the capital structure and rate bases are determined in this case (SEAMP p. 15)?**

A. The Companies agree with Staff's position in principle and will update the calculated value of a basis point for KEDNY and KEDLI at the end of these proceedings.

### 3. Platform Service Revenues ("PSRs")

**Q. Please address Staff's position regarding PSRs for revenues from the E-Commerce Platform.**

A. The Companies do not agree with Staff's recommendation (SEAMP pp. 54-57) that they should not receive a PSR for the E-Commerce Platform. Staff asserts the Companies did not satisfy the criteria in the Track Two Order to warrant justifying a PSR. However, in setting forth the criteria

for whether a PSR should be approved, the Commission specifically noted that the "criteria are intended to support balanced judgment, as opposed to a set of binary determinations that must all be made in the affirmative." Track Two Order, n. 57. Further, the Commission specifically recognized customer origination services as the type of service that would be suitable for a PSR, explicitly stating that "utilities may be best situated to provide origination in a cost-effective manner that facilitates market penetration, based on analysis of customer data and/*or connecting interested customers with DER providers via a marketplace portal*." *Id.* (italics added). The Commission recently approved a PSR for Central Hudson (Cases 17-E-0459 and 17-G-0460) relating to its E-Commerce Platform. There is no rational basis for denying a PSR for the Companies' proposed E-Commerce platform, and it should be approved.

**Q. Please address Staff's recommendation (SEAMP pp. 54-60) regarding PSRs for the UESC Program.**

A. The Companies disagree with Staff's recommendation to reduce the Companies' respective share of PSRs from the proposed amount of 33 percent to 20 percent. Under the UESC program, the Companies are providing an enhanced service to customers by analyzing their current

energy usage, identifying opportunities for improvement, and working with pre-selected contractors to achieve efficiencies, reduce costs, and adopt renewable energy systems. While benefits are achieved through the UESC program for gas distribution customers to compensate for the customer funds utilized to administer the program, the enhanced value achieved towards the State's energy goals through the Companies' holistic approach should be compensated above the typical 20 percent share.

**4. Non-Pipeline Alternatives ("NPA") Incentive Mechanism**

**Q. Please address Staff's position (SEAMP pp. 75-77) regarding the Companies' proposed NPA Incentive Mechanism.**

A. The Companies agree with Staff's proposal that a specific NPA Incentive Mechanism that would apply to all NPA projects not be established at this time. Rather, the Companies agree that the design of NPA Incentive Mechanisms should be presented at the time NPA proposals are presented with their proposed implementation plans.

### 5. KEDLI EmPower Replacement Program Incentive Mechanism

**Q. Please address Staff's recommendations regarding KEDLI's EmPower Replacement Program Incentive Mechanism.**

A. Staff agrees (SEAMP pp. 61-65) KEDLI should continue to be eligible for incentives to maximize participation in the program, however, Staff recommends redesigning the incentive mechanism to set it as a flat dollar amount per household, regardless of program budget and restructuring the Tier 4 participation incentive. Specifically, Staff proposes a Tier 3 incentive of $125/household and Tier 4 of $62.50/household ($187.50/household in both Tiers 3 and 4).

KEDLI agrees with the structure concept of the HEAT program incentive being based on a flat rate per household participating in each Tier 3 and Tier 4, and further agrees that the incentive amount for Tier 4 should be reduced comparative to Tier 3. However, the Company proposes that the incentive amounts be set at $240 for each household participating in Tier 3 and $120 for each household participating in Tier 4. These levels more closely match the earnings levels of the current earnings incentive mechanism while recognizing the energy savings value primarily achieved by customer participation in Tier 3.

The Companies also support incorporating the KEDLI HEAT Program into its energy efficiency portfolio with the $2.5 million budget being additional to the existing energy efficiency budget and operating the program in accordance with the rules and requirements associated with the current energy efficiency portfolio and the statewide LMI customer framework being developed. The KEDLI HEAT Program will follow the benefit-cost analysis ("BCA") requirements established in the December 2018 Order Adopting Accelerated Energy Efficiency Targets for LMI programs. Additionally, the KEDLI HEAT Program will report its energy savings in line with the process for reporting energy savings for the Companies' existing energy efficiency portfolio, but will report on and determine success by the number of unique households served, in line with the proposed incentive mechanism for the program.

## IV. Response to Other Parties

### A. City of New York

#### 1. Energy Efficiency

**Q. Please address the recommendation by the City of New York ("City") that the Companies increase their respective incremental**

**energy efficiency target savings based on lower per-unit costs for energy efficiency savings achieved in last two years.**

A. The Companies disagree with this recommendation by the City's Energy Efficiency Panel ("NYCEEP"). Estimating the costs to achieve savings targets going forward based on a backward-looking analysis of average costs for 2017 and 2018 does not necessarily reflect the Companies' expectations of costs in the Rate Year and beyond, especially with the expectation that future energy efficiency investments will need to go "deeper" than in the past. The City itself acknowledges (NYCEEP p.8), increasing target savings without a corresponding increase in spending allowance could encourage a focus towards lower cost-quick payback measures, and away from higher cost solutions that might provide greater long-term benefit.

**Q. Please address the City's recommendation that the Commission incentivize comprehensive packages of energy efficiency measures.**

A. The City recommends (NYCEEP pp. 10-17) that energy efficiency program offerings should be modified in several ways, including incentivizing customers to pursue comprehensive energy efficiency packages (*e.g.*, stacking incentives), designing programs to be delivered in stages or over a longer period of time-rather than all at once, and/or

offer higher incentives when measures are combined, and implementing changes to enable or improve access to private funding sources.

The Companies are not opposed to evaluating other potentially effective energy efficiency strategies, and believe the City identifies a number of approaches worth considering. However, these rates case are not the appropriate forum for doing so. Rather, a more appropriate forum to consider such changes would be in the Commission's broader energy efficiency proceedings. Some of the recommendations proposed by the City may require changes to the existing Technical Resource Manual or Gross Savings Verification Guidance, and application of benefit costs analyses that to date have not be performed. The Companies are open to examining these issues in the context of a broader proceeding or collaborative; however, not as part of these rate cases.

**Q. Please address the City's recommendation regarding increased energy efficiency reporting.**

A. There are existing comprehensive reporting requirements applicable to the Companies' energy efficiency programs. Many of the reporting parameters have been established by Staff or the Commission and are set forth in guidance documents the Companies follow. In addition, the

Commission's comprehensive New Energy New York proceeding will likely establish new energy efficiency reporting requirements. Although the Companies are open to collaborating with the City (including the Retrofit Accelerator) to determine how to improve information sharing and communications consistent with applicable guidelines, we do not agree that new reporting requirements should be implemented in the context of these rate cases.

**Q. Please address the City's recommendations regarding changes the Companies should make to their proposals in the event NESE is not approved.**

A. The Companies address the City's recommendations in the rebuttal testimony of Elizabeth D. Arangio and the rebuttal testimony of the Companies' Gas Infrastructure and Operations Panel.

### 2. Demand Response

**Q. Please address the City's recommendations regarding expanding the Companies' demand response programs.**

A. The City appears to support (NYCEEP pp. 24-25) the Companies' proposed Demand Response Demonstration ("DRD") project expansion, and suggests that the Companies consider further expanding the project to reach a broader pool of potential participants. The Companies agree

that the DRD project has the potential to provide significant benefits and deliver valuable learnings. The Companies are open to exploring the potential further expansion of the DRD project once additional experience has been achieved; however, at this point expanding the reach of the project beyond what is currently proposed appears premature.

### 3. Sustainable Heat Initiative

**Q. Please address the City's recommendation (NYCPP pp. 26-31) that the Companies conduct a feasibility study to assess potential district energy systems.**

A. The Companies are proposing an expansion of the KEDLI Riverhead Demonstration project to assess potential utility ownership of geothermal underground loop systems. The City's proposed study could further the understandings of the feasibility and potential benefits of similar systems in institutional settings such as colleges. District-type systems can be complex, and completion of technical and feasibility studies would be necessary before a pilot is considered or pursued. At this point, the Companies have not estimated the costs to perform such studies, nor budgeted for the associated costs of the studies in their revenue requirements.

### 4. Performance-Based Incentives and Revenue Sharing (EAMs)

**Q. Please address the City's recommendations regarding the Companies' proposed EAMs.**

A. The City supports (NYCEEP pp. 30-42) the concept of EAMs, but opposes specific EAMs proposed by the Companies. The Companies agree in principle that EAMs should be designed to provide increasing levels of incentive for increasing levels of performance; however, we disagree with the City that the EAMs proposed by the Companies are inadequate or otherwise inappropriate.

Regarding the System Efficiency (Peak Reduction) metric, the Companies propose an increasing scale of incentives, where the minimum incentive requires the Companies to achieve their target performance. If they do not achieve the targets, the EAM is not triggered. The potential to earn above the minimum requires incremental effort and performance. As described above in relation to the Staff's position on this metric, the Companies support the concept of developing a more robust peak reduction metric design; however, until such a metric is developed and can be implemented, the Commission should approve the Companies' proposed peak-reduction metric.

Regarding the City's position (NYCEEP pp. 41-42) on the incremental energy efficiency metric, the City reiterates its argument summarized above that the targets should be restated based on the Companies' cost experience in 2017 and 2018. For the reasons the Panel stated above regarding the City's argument, the Companies do not agree with this position.

With respect to the City's position (NYCEEP pp. 33-36) on the proposed Affordability metric, the Companies accept the proposal to increase the performance target as described previously in the Panel's rebuttal testimony where we respond to the Staff's position on the Affordability EAM metric. However, subject to this modification to the proposed metric, the Companies do not agree with the position that this metric should be rejected.

Regarding the Carbon Reduction EAM, the Companies disagree with the City's recommendation (NYCEEP pp. 37-39) that the metrics be rejected. The City's filing in this case acknowledges the importance of GHG reductions and the development of projects to promote RNG, including for use in vehicles. The Companies' Carbon Reduction EAM metrics are

focused on achieving both of these important objectives. The City acknowledges (NYCEEP p. 39) that it has no specific metric to offer in place of the Companies' Carbon Reduction metrics. In the absence of more effective incentives to encourage these objectives, the Commission should approve the Companies' proposed Carbon Reduction EAM metrics.

### 5. Other Topics

**Q. Please address the City's recommendations regarding expansion of eligibility for non-firm service.**

A. The City makes several recommendations regarding the expansion of, and criteria relating to, non-firm service, which are addressed in the Rebuttal Testimony of the Companies' Rate Design Panel.

**Q. Please address the City's recommendations (NYCEEP pp. 26-30) regarding expansion of electrification of the Companies' fleet.**

A. The Companies acknowledge the importance of electrifying transportation in order to achieve the state's emissions objectives. However, the current commercially available electric vehicle ("EV") market is focused primarily on passenger vehicles, whereas the vast majority of the Companies' fleet is comprised of other vehicle types. The Companies know the EV market will continue to evolve and they will continue to

pursue appropriate opportunities to introduce EVs into their fleets; however, in the absence of commercially available EV options to meet many of the Companies' vehicle needs, the Companies do not agree with the City's proposal.

### B. The Environmental Defense Fund ("EDF")

**Q. Please address EDF's recommendations in this proceeding.**

A. EDF sets forth recommendations that address, among other things: (1) development of comprehensive utility baseline GHG inventories and a broad-based GHG EAM (Ucar); (2) gas supply planning (Lander); and (3) leak detection and repair (Von Fischer). The Panel addresses item (1), above.

**Q. Please describe EDF's recommendation regarding developing utility GHG inventories.**

A. EDF recommends (Ucar pp. 9-12) that gas utilities work with state and local entities and electric utilities to gather economy-wide information to establish a current, holistic GHG emissions status and baseline attributable to the utility's geographical footprint. The Companies agree that understanding the nature and extent of GHG sources is vital to developing effective strategies to address emissions. We also recognize,

however, that GHG sources exist in all sectors of the economy, and utilities do not necessarily possess the resources necessary to develop such economy-wide GHG inventories. Although the Companies are open to participating in collaborative efforts to arrive at appropriate GHG inventories against which reductions can be assessed, we do not agree that utilities should be responsible for developing economy-wide GHG inventories as EDF proposes.

Regarding EDF's potential incentive for broad GHG emissions reductions, the Companies agree that incentives to promote such reductions are desirable; and in fact the Companies proposed two Carbon Reduction metrics as part of its proposed package of EAMs in this case.

### C. Utility Intervention Unit ("UIU")

**Q. Please address UIU's recommendation regarding the Companies' proposed Affordability EAM.**

A. UIU recommends (Collar pp. 23-26) that the Companies' proposed Affordability metric be rejected. The Companies accept the proposal to increase the performance target as described previously in the Panel's rebuttal testimony where we respond to the Staff's position on the Affordability EAM metric. However, subject to this modification to the

proposed metric, the Companies do not agree with the position that this metric should be rejected.

### D. Public Utility Law Project ("PULP")

**Q. Please address PULP's recommendations regarding matters presented in the Future of Heat Panel's proposals.**

A. PULP addresses (Yates pp. 40-43) two issues: (1) support for the new LMI Gas Conversion Program; and (2) opposition to the Affordability metric of the Energy Efficiency EAM.

Regarding the LMI Clean Conversion Program, the Companies have determined they will not pursue those programs in light of the current moratoria on new connections.

Regarding the Energy Efficiency EAM Affordability metric, the Companies accept the proposal to increase the performance target as described previously in the Panel's rebuttal testimony where we respond to the Staff's position on the Affordability EAM metric. However, subject to this modification to the proposed metric, the Companies do not agree with the position that this metric should be rejected.

**E. Estates NY Real Estate Services LLS ("Estates/NYRES")**

**Q. Please address Estates/NYRES's recommendations regarding the Future of Heat Panel's proposals.**

A. Estates/NYRES (Rodriguez pp. 7-9) recommends expanding the Companies' demand response proposal, including the possible combination of targeted electrification technologies to support gas demand management. The Companies are open to exploring the potential further expansion of the DRD project once additional experience has been achieved; however, at this point expanding the reach of the project beyond what is currently proposed appears premature.

Estates/NYRES (Rodriguez pp. 5, 11-12) also supports the Companies' proposals to promote increased RNG production and utilization, as well as hydrogen blending, as opportunities to decarbonize the energy system while avoiding waste associated with the abandonment of existing natural gas infrastructure; and to also explore using the gas network as a potential large-scale seasonal energy storage and delivery system.

Estates/NYRES also supports (Rodriguez pp. 9-11) expanded use of geothermal technologies such as the Geothermal Demonstration project,

and strongly encourages the Commission to explore a potential for a regulatory framework for the creation of thermal companies.

Estates/NYRES also urges caution in how the Companies proceed with decarbonization so as to avoid creating significant stranded costs that would be paid for by a shrinking pool of customers, most likely low-to-moderate income customers with fewer potential alternatives.

### F. Sane Energy Project ("Sane")

**Q. Please address Sane's recommendations.**

A. Sane presents several positions and proposals in its testimony (Fraczek & Ziesche). The Company rejects Sane's proposal that the Companies not invest to address leak prone pipe ("LPP"). As Witness Von Fischer of EDF describes, addressing leaks from LPP is vital in reducing methane leaks and addressing GHG emissions. Sane also opposes the Companies' Clean Conversion Program; however, as the Panel explained above, the Companies are not pursuing the program in light of the current moratoria on new connections.

Regarding Sane's recommendations on LNG and CNG investments, the Companies strongly disagree. The proposed LNG and CNG investments in the Companies' capital plans are for projects to maintain the safety and

reliability of these critical facilities that are often needed to meet peak demands. Failure to adequately maintain the safety and integrity of these facilities could jeopardize the ability of the Companies to meet the energy needs of New Yorkers when they are most critical.

With regard to radon testing, Sane points to study findings of increased radon levels in buildings located near active hydraulic fracturing sites to support its recommendation that the Companies provide radon monitoring in all gas supplied to customers in New York City and Long Island. The Companies disagree. There is no basis for concluding that radon gas that may accumulate in buildings and basements proximate to fracturing operations in Pennsylvania is in the gas delivered to customers in New York.

Finally, the Companies respectfully oppose Sane's recommendation that it receive intervenor funding.

### G. Robert Mark Wyman ("Bob Wyman")

**Q. Please address the recommendations of Bob Wyman.**

A. Bob Wyman recommends a number of changes in how utilities operate in order to eliminate use of gas. Bob Wyman's proposed approach, however, would likely cause substantial unintended disruption in the Companies'

ability to operate their networks to serve the energy needs of customers, not to mention the potential for significant financial impacts. Although he may hold sincere views on what should be done to curb fossil fuel use and reduce GHG emissions, Bob Wyman's recommendations, if adopted, would result in significant economic and operational disruption and would be infeasible in the near term. Accordingly, the Companies oppose the recommendations in Mr. Wyman's testimony.

## V. Conclusion

**Q. Does that conclude the Panel's rebuttal testimony.**

A. Yes.

# INDEX OF EXHIBITS

Exhibit____(FOH-1R): Response to IR DPS-268

Exhibit____(FOH-2R): Geothermal Gas REV Demonstration Project Q3 2018 Report

Exhibit____(FOH-3R): Newtown Creek Exhibit

Exhibit____(FOH-4R): Staff Response to Information Request ("IR") NG-13

# Exhibit ___ (FOH-1R)

# Response to IR DPS-268

Date of Request: May 16, 2019 Request No. DPS-268
Due Date: May 28, 2019 NG Request No. NG-293

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
Case Nos. 19-G-0309 & 19-G-0310
Gas Utilities Rates

Request for Information

FROM: DPS Staff, Lisa Rosi

TO: National Grid, Future of Heat Panel

SUBJECT: Unspent EEPS Funds

Request:

**Note:** In all interrogatories, all requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Provide the following information separately for KEDNY and KEDLI.

In the EEPS Reconciliation Report filed by the Companies on June 29, 2018 in Case 07-M-0548, KEDNY and KEDLI reported unspent EEPS funds through December 2017 of $20,405,348 and $4,869,658, respectively.

1. Provide the current balance of the interest accrued on the unspent EEPS funds and include all supporting workpapers.

2. Provide the current balance of unspent EEPS funds, along with all supporting workpapers; provide an explanation if the balance differs from the amount provided in Question 1.

3. Explain how the Companies propose to use the unspent EEPS funds and accrued interest. To the extent that the Companies propose to use the funds to offset Rate Year spending, provide a schedule for each Company showing how this use of funds will reduce the Rate Year revenue requirement related to EE.

Response:

1. Please see Attachments 1 and 3 for the interest incurred on KEDLI and KEDNY's unspent EEPS funds through March 2019.

2. Please see Attachments 2 and 4 for KEDLI and KEDNY's balances of unspent EEPS funds, together with the supporting workpapers. KEDLI and KEDNY's balance of unspent EEPS funds has not changed since the amounts reported in the EEPS

Reconciliation Report filed on June 29, 2018. Please note that Attachment 4 has cell reference errors on the following tabs: Consolidated Carrying Charge, CEF CC Calculation and Consolidated Principle Summary. Updated information for those tabs is provided in Attachment 3.

3. Pursuant to Case 18-M-0084, *In the Matter of a Comprehensive Energy Efficiency Initiative, Order Adopting Accelerated Energy Efficiency Targets* (issued December 13, 2018) ("December 2018 Order"), KEDLI and KEDNY will utilize unspent/uncommitted EEPS funds and any accrued interest reported in the EEPS Reconciliation Report filed on June 29, 2018 towards the incremental budget and targets for 2019 and 2020, offsetting the need to collect these costs in rates for those years Please see Attachment 5 for the distribution of the unspent/uncommitted EEPS funds.

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Carrying Charge Calculation thru December 2015**

Prior to FY 2016

| | |
|---|---|
| **Total** | **100.0000%** |
| **Tax Rate** | **40.6100%** |
| **Tax Adjuste** | **59.3900%** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Sep-2007 | - | 81,170.89 | 40,585.45 | 9.23% | 185.40 | | - | **185.40** |
| Oct-2007 | 81,170.89 | 159,251.85 | 120,211.37 | 9.23% | 549.14 | | - | **549.14** |
| Nov-2007 | 159,251.85 | 486,468.45 | 322,860.15 | 9.23% | 1,474.85 | | - | **1,474.85** |
| Dec-2007 | 486,468.45 | 559,249.23 | 522,858.84 | 9.23% | 2,388.46 | | - | **2,388.46** |
| Jan-2008 | 559,249.23 | 66,924.94 | 313,087.09 | 8.78% | 1,360.48 | | - | **1,360.48** |
| Feb-2008 | 66,924.94 | (1,177,251.47) | (555,163.27) | 8.78% | (2,412.39) | | (1,203.17) | **(1,209.22)** |
| Mar-2008 | (1,177,251.47) | (1,846,318.72) | (1,511,785.10) | 8.78% | (6,569.26) | | (8,941.09) | **2,371.83** |
| Apr-2008 | (1,846,318.72) | (2,754,859.63) | (2,300,589.18) | 8.78% | (9,996.91) | | (9,405.09) | **(591.82)** |
| May-2008 | (2,754,859.63) | (3,251,991.93) | (3,003,425.78) | 8.78% | (13,050.99) | | (14,287.19) | **1,236.20** |
| Jun-2008 | (3,251,991.93) | (3,267,431.92) | (3,259,711.93) | 8.78% | (14,164.65) | | (14,751.93) | **587.28** |
| Jul-2008 | (3,267,431.92) | (3,064,551.64) | (3,165,991.78) | 8.78% | (13,757.40) | | (15,036.05) | **1,278.65** |
| Aug-2008 | (3,064,551.64) | (3,089,028.34) | (3,076,789.99) | 8.78% | (13,369.79) | | (13,854.05) | **484.26** |
| Sep-2008 | (3,089,028.34) | (3,263,028.09) | (3,176,028.22) | 8.78% | (13,801.01) | | (15,063.41) | **1,262.40** |
| Oct-2008 | (3,263,028.09) | (3,133,284.28) | (3,198,156.19) | 8.78% | (13,897.17) | | (15,124.30) | **1,227.13** |
| Nov-2008 | (3,133,284.28) | (3,604,696.26) | (3,368,990.27) | 8.78% | (14,639.50) | | (16,278.49) | **1,638.99** |
| Dec-2008 | (3,604,696.26) | (2,423,174.81) | (3,013,935.54) | 8.78% | (13,096.66) | | (14,313.58) | **1,216.92** |
| Jan-2009 | (2,423,174.81) | (4,000,427.60) | (3,211,801.21) | 8.83% | (14,035.94) | | (15,131.45) | **1,095.51** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Feb-2009 | (4,000,427.60) | (5,608,426.22) | (4,804,426.91) | 8.83% | (20,995.89) | | (25,260.79) | **4,264.90** |
| Mar-2009 | (5,608,426.22) | (6,311,982.65) | (5,960,204.44) | 8.83% | (26,046.77) | | (30,667.16) | **4,620.39** |
| Apr-2009 | (6,311,982.65) | (7,003,585.63) | (6,657,784.14) | 8.83% | (29,095.28) | | (31,569.24) | **2,473.96** |
| May-2009 | (7,003,585.63) | (6,257,485.78) | (6,630,535.71) | 8.83% | (28,976.20) | | (31,533.45) | **2,557.25** |
| Jun-2009 | (6,257,485.78) | (5,970,850.84) | (6,114,168.31) | 8.83% | (26,719.61) | | (29,059.19) | **2,339.58** |
| Jul-2009 | (5,970,850.84) | (6,051,682.10) | (6,011,266.47) | 8.83% | (26,269.92) | | (28,566.95) | **2,297.03** |
| Aug-2009 | (6,051,682.10) | (5,700,805.04) | (5,876,243.57) | 8.83% | (25,679.86) | | (27,911.60) | **2,231.74** |
| Sep-2009 | (5,700,805.04) | (5,549,803.60) | (5,625,304.32) | 8.83% | (24,583.22) | | (26,684.28) | **2,101.06** |
| Oct-2009 | (5,549,803.60) | (3,345,579.11) | (4,447,691.36) | 8.83% | (19,436.92) | | (22,727.71) | **3,290.79** |
| Nov-2009 | (3,345,579.11) | (2,630,392.29) | (2,987,985.70) | 8.83% | (13,057.84) | | (15,717.33) | **2,659.49** |
| Dec-2009 | (2,630,392.29) | (1,074,285.38) | (1,852,338.84) | 8.83% | (8,094.93) | | (10,268.15) | **2,173.22** |
| Jan-2010 | (1,074,285.38) | (2,033,428.01) | (1,553,856.70) | 9.09% | (6,990.48) | | (167,471.95) | **160,481.47** |
| Feb-2010 | (2,033,428.01) | (2,558,534.08) | (2,295,981.05) | 9.09% | (10,329.14) | | (17,255.85) | **6,926.71** |
| Mar-2010 | (2,558,534.08) | (2,423,534.15) | (2,491,034.12) | 9.09% | (11,206.65) | | (17,932.30) | **6,725.65** |
| Apr-2010 | (2,423,534.15) | (2,461,852.31) | (2,442,693.23) | 9.09% | (10,989.17) | | (17,909.47) | **6,920.30** |
| May-2010 | (2,461,852.31) | (1,762,586.92) | (2,112,219.62) | 9.09% | (9,502.44) | | (18,866.00) | **9,363.56** |
| Jun-2010 | (1,762,586.92) | (701,467.71) | (1,232,027.32) | 9.09% | (5,542.64) | | (16,218.23) | **10,675.59** |
| Jul-2010 | (701,467.71) | (910,556.47) | (806,012.09) | 9.09% | (3,626.08) | | (12,520.48) | **8,894.40** |
| Aug-2010 | (910,556.47) | (675,676.98) | (793,116.72) | 9.09% | (3,568.07) | | (12,883.33) | **9,315.26** |
| Sep-2010 | (675,676.98) | 175,795.59 | (249,940.69) | 9.09% | (1,124.43) | | (8,695.72) | **7,571.29** |
| Oct-2010 | 175,795.59 | 4,786,912.34 | 2,481,353.97 | 9.09% | 11,163.10 | | (5,828.13) | **16,991.23** |
| Nov-2010 | 4,786,912.34 | 4,238,879.71 | 4,512,896.03 | 9.09% | 20,302.58 | | (7,022.44) | **27,325.02** |
| Dec-2010 | 4,238,879.71 | 5,512,206.81 | 4,875,543.26 | 9.09% | 21,934.06 | | (9,939.45) | **31,873.51** |
| Jan-2011 | 5,512,206.81 | 3,443,771.44 | 4,477,989.13 | 8.52% | 18,882.29 | | (22,065.03) | **40,947.32** |
| Feb-2011 | 3,443,771.44 | 1,841,782.73 | 2,642,777.09 | 8.52% | 11,143.77 | | 213,223.59 | **(202,079.82)** |
| Mar-2011 | 1,841,782.73 | (1,062,230.37) | 389,776.18 | 8.52% | 1,643.57 | | (27,597.03) | **29,240.60** |
| Apr-2011 | (1,062,230.37) | (2,375,286.86) | (1,718,758.61) | 8.52% | (7,247.47) | | (24,686.41) | **17,438.94** |
| May-2011 | (2,375,286.86) | (3,630,439.35) | (3,002,863.10) | 8.52% | (12,662.14) | | (22,624.00) | **9,961.86** |
| Jun-2011 | (3,630,439.35) | (2,615,840.69) | (3,123,140.02) | 8.52% | (13,169.31) | | (16,828.75) | **3,659.44** |
| Jul-2011 | (2,615,840.69) | (2,000,862.33) | (2,308,351.51) | 8.52% | (9,733.60) | | (15,310.03) | **5,576.43** |
| Aug-2011 | (2,000,862.33) | (819,464.66) | (1,410,163.49) | 8.52% | (5,946.22) | | (10,986.41) | **5,040.19** |
| Sep-2011 | (819,464.66) | (1,106,556.57) | (963,010.61) | 8.52% | (4,060.72) | | (6,762.65) | **2,701.93** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Oct-2011 | (1,106,556.57) | (1,088,570.51) | (1,097,563.54) | 8.52% | (4,628.09) | | (7,796.37) | **3,168.28** |
| Nov-2011 | (1,088,570.51) | (1,979,574.65) | (1,534,072.58) | 8.52% | (6,468.71) | | (10,897.03) | **4,428.32** |
| Dec-2011 | (1,979,574.65) | (3,204,465.81) | (2,592,020.23) | 8.52% | (10,929.75) | | (18,411.99) | **7,482.24** |
| Jan-2012 | (3,204,465.81) | (4,037,352.76) | (3,620,909.28) | 7.38% | (13,225.32) | | (22,256.53) | **9,031.21** |
| Feb-2012 | (4,037,352.76) | (5,088,334.09) | (4,562,843.42) | 7.38% | (16,665.72) | | (28,047.67) | **11,381.95** |
| Mar-2012 | (5,088,334.09) | (4,503,464.05) | (4,795,899.07) | 7.38% | (17,516.95) | | (24,606.01) | **7,089.06** |
| Apr-2012 | (4,503,464.05) | (4,789,191.02) | (4,646,327.53) | 7.38% | (16,970.64) | | (32,593.83) | **15,623.19** |
| May-2012 | (4,789,191.02) | (4,750,058.18) | (4,769,624.60) | 7.38% | (17,420.98) | | (29,891.14) | **12,470.16** |
| Jun-2012 | (4,750,058.18) | (4,526,025.65) | (4,638,041.91) | 7.38% | (16,940.38) | | (40,901.77) | **23,961.39** |
| Jul-2012 | (4,526,025.65) | (4,311,320.26) | (4,418,672.95) | 7.38% | (16,139.14) | | (38,580.12) | **22,440.98** |
| Aug-2012 | (4,311,320.26) | (3,421,329.51) | (3,866,324.88) | 7.38% | (14,121.69) | | (36,167.80) | **22,046.11** |
| Sep-2012 | (3,421,329.51) | (3,410,454.74) | (3,415,892.12) | 7.38% | (12,476.49) | | (18,086.55) | **5,610.06** |
| Oct-2012 | (3,410,454.74) | (3,163,340.06) | (3,286,897.40) | 7.38% | (12,005.34) | | (27,669.64) | **15,664.30** |
| Nov-2012 | (3,163,340.06) | (3,738,191.12) | (3,450,765.59) | 7.38% | (12,603.87) | | (28,676.88) | **16,073.01** |
| Dec-2012 | (3,738,191.12) | (3,761,641.49) | (3,749,916.30) | 7.38% | (13,696.51) | | (19,294.45) | **5,597.94** |
| Jan-2013 | (3,761,641.49) | (1,946,512.14) | (2,854,076.81) | 0.88% | (1,243.03) | | (17,543.05) | **16,300.02** |
| Feb-2013 | (1,946,512.14) | (2,791,156.07) | (2,368,834.10) | 0.88% | (1,031.69) | | (14,560.42) | **13,528.73** |
| Mar-2013 | (2,791,156.07) | (3,603,118.43) | (3,197,137.25) | 0.88% | (1,392.44) | | 29,429.39 | **(30,821.83)** |
| Apr-2013 | (3,603,118.43) | (3,672,087.86) | (3,637,603.14) | 0.88% | (1,584.27) | | 20,826.82 | **(22,411.09)** |
| May-2013 | (3,672,087.86) | (4,161,819.66) | (3,916,953.76) | 0.88% | (1,705.94) | | (16,793.26) | **15,087.32** |
| Jun-2013 | (4,161,819.66) | (3,307,352.06) | (3,734,585.86) | 0.88% | (1,626.51) | | 24,092.05 | **(25,718.56)** |
| Jul-2013 | (3,307,352.06) | (3,067,579.12) | (3,187,465.59) | 0.88% | (1,388.23) | | (820.31) | **(567.92)** |
| Aug-2013 | (3,067,579.12) | (2,155,425.86) | (2,611,502.49) | 0.88% | (1,137.38) | | (1,382.95) | **245.57** |
| Sep-2013 | (2,155,425.86) | (1,528,525.29) | (1,841,975.57) | 0.88% | (802.23) | | (474.04) | **(328.19)** |
| Oct-2013 | (1,528,525.29) | (1,369,719.06) | (1,449,122.17) | 0.88% | (631.13) | | (372.94) | **(258.19)** |
| Nov-2013 | (1,369,719.06) | (1,392,819.10) | (1,381,269.08) | 0.88% | (601.58) | | (355.48) | **(246.10)** |
| Dec-2013 | (1,392,819.10) | (1,878,287.92) | (1,635,553.51) | 0.88% | (712.33) | | (420.92) | **(291.41)** |
| Jan-2014 | (1,878,287.92) | (3,269,975.71) | (2,574,131.81) | 0.25% | (318.50) | | (1,363.16) | **1,044.66** |
| Feb-2014 | (3,269,975.71) | (2,813,874.26) | (3,041,924.98) | 0.25% | (376.37) | | (3,327.92) | **2,951.55** |
| Mar-2014 | (2,813,874.26) | (2,747,852.86) | (2,780,863.56) | 0.25% | (344.07) | | 878.08 | **(1,222.15)** |
| Apr-2014 | (2,747,852.86) | (2,881,042.09) | (2,814,447.47) | 0.25% | (348.23) | | (2,457.27) | **2,109.04** |
| May-2014 | (2,881,042.09) | (2,858,401.84) | (2,869,721.96) | 0.25% | (355.07) | | 1,329.66 | **(1,684.73)** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Jun-2014 | (2,858,401.84) | (2,275,536.39) | (2,566,969.11) | 0.25% | (317.61) | | (586.44) | **268.83** |
| Jul-2014 | (2,275,536.39) | (1,396,040.58) | (1,835,788.48) | 0.25% | (227.14) | | (495.97) | **268.83** |
| Aug-2014 | (1,396,040.58) | (795,308.71) | (1,095,674.64) | 0.25% | (135.57) | | (404.40) | **268.83** |
| Sep-2014 | (795,308.71) | (1,762,753.81) | (1,279,031.26) | 0.25% | (158.25) | | (427.09) | **268.84** |
| Oct-2014 | (1,762,753.81) | (1,046,352.96) | (1,404,553.38) | 0.25% | (173.78) | | (426.52) | **252.74** |
| Nov-2014 | (1,046,352.96) | (1,381,166.29) | (1,213,759.62) | 0.25% | (150.18) | | 1,726.29 | **(1,876.47)** |
| Dec-2014 | (1,381,166.29) | (1,341,706.64) | (1,361,436.46) | 0.25% | (168.45) | | (228.25) | **59.80** |
| Jan-2015 | (1,341,706.64) | (4,138,929.76) | (2,740,318.20) | 0.46% | (623.87) | | (407.22) | **(216.65)** |
| Feb-2015 | (4,138,929.76) | (7,262,525.46) | (5,700,727.61) | 0.67% | (1,890.33) | | (847.15) | **(1,043.18)** |
| Mar-2015 | (7,262,525.46) | (4,733,970.72) | (5,998,248.09) | 0.67% | (1,988.98) | | (879.93) | **(1,109.05)** |
| Apr-2015 | (4,733,970.72) | (5,705,408.34) | (5,219,689.53) | 0.84% | (2,169.98) | | (776.50) | **(1,393.48)** |
| May-2015 | (5,705,408.34) | (6,070,514.31) | (5,887,961.33) | 0.69% | (2,010.69) | | (888.36) | **(1,122.33)** |
| Jun-2015 | (6,070,514.31) | (5,302,458.48) | (5,686,486.40) | 0.53% | (1,491.60) | | (841.88) | **(649.72)** |
| Jul-2015 | (5,302,458.48) | (4,206,877.32) | (4,754,667.90) | 0.65% | (1,529.56) | | (705.95) | **(823.61)** |
| Aug-2015 | (4,206,877.32) | (3,837,142.37) | (4,022,009.84) | 0.72% | (1,433.20) | | (597.16) | **(836.04)** |
| Sep-2015 | (3,837,142.37) | (3,163,042.89) | (3,500,092.63) | 0.64% | (1,108.64) | | (519.68) | **(588.96)** |
| Oct-2015 | (3,163,042.89) | (3,003,159.46) | (3,083,101.17) | 0.61% | (930.79) | | 103,035.13 | **(103,965.92)** |
| Nov-2015 | (3,003,159.46) | (3,264,249.63) | (3,133,704.54) | 0.67% | (1,039.12) | | (465.27) | **(573.85)** |
| Dec-2015 | (3,264,249.63) | (4,748,798.68) | (4,006,524.16) | 0.66% | (1,308.71) | | (1,209.56) | **(99.15)** |
| | | \|1\| | | \|4\| | | | | |
| | | | Totals | | (652,684.00) | - | (952,675.13) | 299,991.13 |
| | | | Interest Adjustment (Period Jan 08 - Nov 12) [1] | | | | 424,016.75 | 299,991.13 |
| | | | Balance after adjusment | | | | (528,658.38) | 424,016.75 |
| | | | Variation | | | | (124,025.62) | (124,025.62) |

Adjusting entry will be recorded May 2018

***Note 1: As a result of the SIR deferral order in cases 06-G-1185 & 06-G-1186 dated, November 28, 2012 a cumulative adjustment was made to the accrued carrying charge balan January 2008); the adjustment was made in December 2012. The carrying charge computation was revised to include the effect of associated deferred taxes using an effective ta***

| Customer Capital Rate | |
|---|---|
| CY 2016 | 2.60% |
| CY 2017 | 2.10% |
| CY 2018 | 2.80% |
| CY 2019 | 4.20% \|2\| |

| Net Deferred Tax Rate | | | | | |
|---|---|---|---|---|---|
| | FY 2016 | FY 2017 | FY 2018 (Thru Dec17) | FY 2018 (Jan-Mar18) | FY 2019 |
| Total | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| Tax Rate | 40.80% | 40.41% | 40.42% | 27.59% | 27.60% |
| Tax Adjusted | 59.20% | 59.59% | 59.58% | 72.41% | 72.40% \|3\| |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Interest Recovered/ Refunded | Lost Revenue interest from filing | unbilled | Ending Balance (Note 1) |
|---|---|---|---|---|---|---|---|---|---|---|
| **Balance Fwd** | | | | | | | | | | **(652,684.00)** |
| | | | | | | | | | | |
| | | | | | | | | | | |
| Jan-2016 | (4,748,798.68) | (4,387,225.12) | (2,597,325.02) | (2,174,526.08) | 2.60% | (4,711.47) | | | | (657,395.47) |
| Feb-2016 | (4,387,225.12) | (4,617,713.32) | (2,733,778.64) | (2,665,551.83) | 2.60% | (5,775.36) | | | | (663,170.84) |
| Mar-2016 | (4,617,713.32) | (3,396,754.57) | (2,010,946.64) | (2,372,362.64) | 2.60% | (5,140.12) | (2,408.66) | | | (670,719.61) |
| Apr-2016 | (3,396,754.57) | (3,346,845.54) | (1,994,452.20) | (2,002,699.42) | 2.60% | (4,339.18) | 598.49 | | | (674,460.31) |
| May-2016 | (3,346,845.54) | (3,379,173.79) | (2,013,717.25) | (2,004,084.72) | 2.60% | (4,342.18) | 570.07 | | | (678,232.42) |
| Jun-2016 | (3,379,173.79) | (3,457,456.51) | (2,060,367.49) | (2,037,042.37) | 2.60% | (4,413.59) | (1,890.62) | | | (684,536.63) |
| Jul-2016 | (3,457,456.51) | (3,508,708.39) | (2,090,909.51) | (2,075,638.50) | 2.60% | (4,497.22) | 352.11 | | | (688,681.74) |
| Aug-2016 | (3,508,708.39) | (3,589,317.81) | (2,138,946.27) | (2,114,927.89) | 2.60% | (4,582.34) | 430.48 | | | (692,833.60) |
| Sep-2016 | (3,589,317.81) | (3,664,888.08) | (2,183,980.11) | (2,161,463.19) | 2.60% | (4,683.17) | 385.21 | | | (697,131.56) |
| Oct-2016 | (3,664,888.08) | (3,717,845.25) | (2,215,538.34) | (2,199,759.23) | 2.60% | (4,766.14) | 373.69 | | | (701,524.02) |
| Nov-2016 | (3,717,845.25) | (3,802,764.61) | (2,266,143.49) | (2,240,840.92) | 2.60% | (4,855.16) | 690.04 | | | (705,689.13) |
| Dec-2016 | (3,802,764.61) | (3,999,409.03) | (2,383,327.83) | (2,324,735.66) | 2.60% | (5,036.93) | 1,455.62 | | | (709,270.44) |
| Jan-2017 | (3,999,409.03) | (4,137,664.10) | (2,465,716.79) | (2,424,522.31) | 2.10% | (4,242.91) | | | | (713,513.35) |
| Feb-2017 | (4,137,664.10) | (4,274,838.71) | (2,547,461.88) | (2,506,589.34) | 2.10% | (4,386.53) | 1,231.68 | | | (716,668.21) |
| Mar-2017 | (4,274,838.71) | (2,325,778.19) | (1,385,977.74) | (1,966,719.81) | 2.10% | (3,441.76) | | | | (720,109.97) |
| Apr-2017 | (2,325,778.19) | (2,530,711.83) | (1,507,781.02) | (1,446,879.38) | 2.10% | (2,532.04) | | | | (722,642.00) |
| May-2017 | (2,530,711.83) | (2,645,881.89) | (1,576,398.57) | (1,542,089.80) | 2.10% | (2,698.66) | | | | (725,340.66) |
| Jun-2017 | (2,645,881.89) | (2,731,731.27) | (1,627,547.05) | (1,601,972.81) | 2.10% | (2,803.45) | | | | (728,144.11) |
| Jul-2017 | (2,731,731.27) | (2,802,982.87) | (1,669,998.27) | (1,648,772.66) | 2.10% | (2,885.35) | | | | (731,029.47) |
| Aug-2017 | (2,802,982.87) | (2,872,277.55) | (1,711,283.57) | (1,690,640.92) | 2.10% | (2,958.62) | | | | (733,988.09) |
| Sep-2017 | (2,872,277.55) | (2,951,960.62) | (1,758,758.21) | (1,735,020.89) | 2.10% | (3,036.29) | | | | (737,024.37) |
| Oct-2017 | (2,951,960.62) | (3,011,082.77) | (1,793,982.79) | (1,776,370.50) | 2.10% | (3,108.65) | | | | (740,133.02) |
| Nov-2017 | (3,011,082.77) | (3,144,360.70) | (1,873,388.88) | (1,833,685.83) | 2.10% | (3,208.95) | | | | (743,341.97) |
| Dec-2017 | (3,144,360.70) | (2,117,607.99) | (1,261,656.54) | (1,567,522.71) | 2.10% | (2,743.16) | | | | (746,085.14) |
| Jan-2018 | (2,117,607.99) | (2,481,147.23) | (1,796,633.44) | (1,529,144.99) | 2.80% | (3,568.00) | | | | (749,653.14) |
| Feb-2018 | (2,481,147.23) | (2,789,028.43) | (2,019,574.53) | (1,908,103.99) | 2.80% | (4,452.24) | | | | (754,105.39) |
| Mar-2018 | (2,789,028.43) | (2,921,870.70) | (2,115,767.48) | (2,067,671.00) | 2.80% | (4,824.57) | | | | (758,929.95) |
| Apr-2018 | (2,921,870.70) | (3,186,042.30) | (2,306,579.61) | (2,211,173.54) | 2.80% | (5,159.40) | | | | (764,089.36) |
| May-2018 | (3,186,042.30) | (3,197,307.80) | (2,314,735.42) | (2,310,657.51) | 2.80% | (5,391.53) | | | | (769,480.89) |
| Jun-2018 | (3,197,307.80) | (3,208,493.12) | (2,322,833.19) | (2,318,784.31) | 2.80% | (5,410.50) | | | | (774,891.39) |
| Jul-2018 | (3,208,493.12) | (3,214,196.42) | (2,326,962.18) | (2,324,897.68) | 2.80% | (5,424.76) | | | 69.51 | (780,246.64) |
| Aug-2018 | (3,214,196.42) | (3,221,084.24) | (2,331,948.71) | (2,329,455.44) | 2.80% | (5,435.40) | | | | (785,682.03) |
| Sep-2018 | (3,221,084.24) | (3,229,716.73) | (2,338,198.32) | (2,335,073.51) | 2.80% | (5,448.50) | | | | (791,130.54) |
| Oct-2018 | (3,229,716.73) | (3,237,108.40) | (2,343,549.63) | (2,340,873.97) | 2.80% | (5,462.04) | | | | (796,592.58) |
| | | | | | | | | | | |
| | | | | | | | | | | |
| Nov-2018 | (3,237,108.40) | (3,247,974.22) | (2,351,416.08) | (2,347,482.85) | 2.80% | (5,477.46) | | | | (802,070.04) |
| Dec-2018 | (3,247,974.22) | (3,262,488.14) | (2,361,923.64) | (2,356,669.86) | 2.80% | (5,498.90) | | | | (807,568.93) |
| Jan-2019 | (3,262,488.14) | (3,303,557.17) | (2,391,656.13) | (2,376,789.89) | 4.20% | (8,318.76) | | | | (815,887.70) |
| Feb-2019 | (3,303,557.17) | (3,319,104.37) | (2,402,911.74) | (2,397,283.94) | 4.20% | (8,390.49) | | | | (824,278.19) |
| Mar-2019 | (3,319,104.37) | (3,201,275.14) | (2,317,607.63) | (2,360,259.69) | 4.20% | (8,260.91) | | | | (832,539.10) |
| | | \|1\| | | | | | | | G/L Balance | (830,148.58) |
| | | | | | | | | | Variance | (2,390.52) |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry was recorded in June 2018.***

Exhibit__(FOH-1R)
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**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Summary of the SBC Principal Balances**
**U2540002**

| | Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | ActualAuthorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveries | Monthly Deferral | Imbalance ider (Over)-Collecti | EE Incentive 2017 | Lost Revenue from filing | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Interest | Ending Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sep-07** | - | 81,170.89 | | 81,170.89 | | | | - | 81,170.89 | | | | | | **81,170.89** | - | **81,170.89** |
| **Oct-07** | **81,170.89** | 78,080.96 | | 78,080.96 | | | | - | 78,080.96 | | | | | | **159,251.85** | - | **159,251.85** |
| **Nov-07** | **159,251.85** | 327,216.60 | | 327,216.60 | | | | - | 327,216.60 | | | | | | **486,468.45** | - | **486,468.45** |
| **Dec-07** | **486,468.45** | 72,780.78 | | 72,780.78 | | | | - | 72,780.78 | | | | | | **559,249.23** | - | **559,249.23** |
| **Jan-08** | **559,249.23** | 94,744.45 | - | 94,744.45 | (587,068.74) | - | - | (587,068.74) | (492,324.29) | | | | | | **66,924.94** | - | **66,924.94** |
| **Feb-08** | **66,924.94** | 210,475.60 | - | 210,475.60 | (1,454,652.01) | - | - | (1,454,652.01) | (1,244,176.41) | | | | | | **(1,177,251.47)** | (1,203.17) | **(1,178,454.64)** |
| **Mar-08** | **(1,177,251.47)** | 690,012.22 | - | 690,012.22 | (1,359,079.47) | - | - | (1,359,079.47) | (669,067.25) | | | | | | **(1,846,318.72)** | (8,941.09) | **(1,856,462.98)** |
| **Apr-08** | **(1,846,318.72)** | 96,508.53 | - | 96,508.53 | (1,005,049.44) | - | - | (1,005,049.44) | (908,540.91) | | | | | | **(2,754,859.63)** | (9,405.09) | **(2,774,408.98)** |
| **May-08** | **(2,754,859.63)** | 136,961.76 | - | 136,961.76 | (634,094.06) | - | - | (634,094.06) | (497,132.30) | | | | | | **(3,251,991.93)** | (14,287.19) | **(3,285,828.47)** |
| **Jun-08** | **(3,251,991.93)** | 401,161.16 | - | 401,161.16 | (416,601.15) | - | - | (416,601.15) | (15,439.99) | | | | | | **(3,267,431.92)** | (14,751.93) | **(3,316,020.39)** |
| **Jul-08** | **(3,267,431.92)** | 441,603.18 | - | 441,603.18 | (238,722.90) | - | - | (238,722.90) | 202,880.28 | | | | | | **(3,064,551.64)** | (15,036.05) | **(3,128,176.16)** |
| **Aug-08** | **(3,064,551.64)** | 306,551.72 | - | 306,551.72 | (331,028.42) | - | - | (331,028.42) | (24,476.70) | | | | | | **(3,089,028.34)** | (13,854.05) | **(3,166,506.91)** |
| **Sep-08** | **(3,089,028.34)** | 158,060.86 | - | 158,060.86 | (332,060.61) | - | - | (332,060.61) | (173,999.75) | | | | | | **(3,263,028.09)** | (15,063.41) | **(3,355,570.07)** |
| **Oct-08** | **(3,263,028.09)** | 544,976.97 | - | 544,976.97 | (415,233.16) | - | - | (415,233.16) | 129,743.81 | | | | | | **(3,133,284.28)** | (15,124.30) | **(3,240,950.56)** |
| **Nov-08** | **(3,133,284.28)** | 194,940.83 | - | 194,940.83 | (666,352.81) | - | - | (666,352.81) | (471,411.98) | | | | | | **(3,604,696.26)** | (16,278.49) | **(3,728,641.03)** |
| **Dec-08** | **(3,604,696.26)** | 2,416,611.23 | - | 2,416,611.23 | (1,235,089.78) | - | - | (1,235,089.78) | 1,181,521.45 | | | | | | **(2,423,174.81)** | (14,313.58) | **(2,561,433.16)** |
| **Jan-09** | **(2,423,174.81)** | 74,476.94 | - | 74,476.94 | (1,651,729.73) | - | - | (1,651,729.73) | (1,577,252.79) | | | | | | **(4,000,427.60)** | (15,131.45) | **(4,153,817.40)** |
| **Feb-09** | **(4,000,427.60)** | 216,829.29 | - | 216,829.29 | (1,824,827.91) | - | - | (1,824,827.91) | (1,607,998.62) | | | | | | **(5,608,426.22)** | (25,260.79) | **(5,787,076.81)** |
| **Mar-09** | **(5,608,426.22)** | 773,138.02 | - | 773,138.02 | (1,476,694.45) | - | - | (1,476,694.45) | (703,556.43) | | | | | | **(6,311,982.65)** | (30,667.16) | **(6,521,300.40)** |
| **Apr-09** | **(6,311,982.65)** | 404,611.83 | - | 404,611.83 | (1,096,214.81) | - | - | (1,096,214.81) | (691,602.98) | | | | | | **(7,003,585.63)** | (31,569.24) | **(7,244,472.62)** |
| **May-09** | **(7,003,585.63)** | 859,738.53 | - | 859,738.53 | (645,605.80) | - | - | (645,605.80) | 214,132.73 | | | | 531,967.12 | | **(6,257,485.78)** | (31,533.45) | **(6,529,906.22)** |
| **Jun-09** | **(6,257,485.78)** | 717,837.78 | - | 717,837.78 | (431,202.84) | - | - | (431,202.84) | 286,634.94 | | | | | | **(5,970,850.84)** | (29,059.19) | **(6,272,330.47)** |
| **Jul-09** | **(5,970,850.84)** | 299,058.58 | - | 299,058.58 | (379,889.84) | - | - | (379,889.84) | (80,831.26) | | | | | | **(6,051,682.10)** | (28,566.95) | **(6,381,728.68)** |
| **Aug-09** | **(6,051,682.10)** | 573,343.17 | - | 573,343.17 | (312,439.61) | - | - | (312,439.61) | 260,903.56 | | | | 89,973.50 | | **(5,700,805.04)** | (27,911.60) | **(6,058,763.22)** |
| **Sep-09** | **(5,700,805.04)** | 493,424.80 | - | 493,424.80 | (342,423.36) | - | - | (342,423.36) | 151,001.44 | | | | | | **(5,549,803.60)** | (26,684.28) | **(5,934,446.06)** |
| **Oct-09** | **(5,549,803.60)** | 2,654,825.02 | - | 2,654,825.02 | (468,149.75) | - | - | (468,149.75) | 2,186,675.27 | | | | 17,549.22 | | **(3,345,579.11)** | (22,727.71) | **(3,752,949.28)** |
| **Nov-09** | **(3,345,579.11)** | 733,214.10 | - | 733,214.10 | (18,027.28) | - | - | (18,027.28) | 715,186.82 | | | | | | **(2,630,392.29)** | (15,717.33) | **(3,053,479.79)** |
| **Dec-09** | **(2,630,392.29)** | 3,281,122.49 | - | 3,281,122.49 | (1,725,015.58) | - | - | (1,725,015.58) | 1,556,106.91 | | | | | | **(1,074,285.38)** | (10,268.15) | **(1,507,641.03)** |
| **Jan-10** | **(1,074,285.38)** | (59,530.97) | - | (59,530.97) | (1,454,125.74) | - | - | (1,454,125.74) | (1,513,656.71) | | | | 554,514.08 | | **(2,033,428.01)** | (167,471.95) | **(2,634,255.61)** |
| **Feb-10** | **(2,033,428.01)** | 691,531.80 | - | 691,531.80 | (1,216,637.87) | - | - | (1,216,637.87) | (525,106.07) | | | | | | **(2,558,534.08)** | (17,255.85) | **(3,176,617.53)** |
| **Mar-10** | **(2,558,534.08)** | 1,403,299.27 | - | 1,403,299.27 | (1,268,299.34) | - | - | (1,268,299.34) | 134,999.93 | | | | | | **(2,423,534.15)** | (17,932.30) | **(3,059,549.90)** |
| **Apr-10** | **(2,423,534.15)** | 35,759.17 | - | 35,759.17 | (616,744.83) | - | - | (616,744.83) | (580,985.66) | | | | 542,667.50 | | **(2,461,852.31)** | (17,909.47) | **(3,115,777.53)** |
| **May-10** | **(2,461,852.31)** | 208,761.58 | 898,577.00 | 1,107,338.58 | (408,073.19) | - | - | (408,073.19) | 699,265.39 | | | | | | **(1,762,586.92)** | (18,866.00) | **(2,435,378.14)** |
| **Jun-10** | **(1,762,586.92)** | 1,429,707.94 | - | 1,429,707.94 | (368,588.73) | - | - | (368,588.73) | 1,061,119.21 | | | | | | **(701,467.71)** | (16,218.23) | **(1,390,477.16)** |
| **Jul-10** | **(701,467.71)** | 16,277.37 | - | 16,277.37 | (225,366.13) | - | - | (225,366.13) | (209,088.76) | | | | | | **(910,556.47)** | (12,520.48) | **(1,612,086.40)** |
| **Aug-10** | **(910,556.47)** | 457,286.73 | - | 457,286.73 | (222,407.24) | - | - | (222,407.24) | 234,879.49 | | | | | | **(675,676.98)** | (12,883.33) | **(1,390,090.24)** |
| **Sep-10** | **(675,676.98)** | 1,083,296.35 | - | 1,083,296.35 | (231,823.78) | - | - | (231,823.78) | 851,472.57 | | | | | | **175,795.59** | (8,695.72) | **(547,313.39)** |
| **Oct-10** | **175,795.59** | 314,780.89 | 4,703,655.00 | 5,018,435.89 | (407,319.14) | - | - | (407,319.14) | 4,611,116.75 | | | | | | **4,786,912.34** | (5,828.13) | **4,057,975.23** |
| **Nov-10** | **4,786,912.34** | 262,476.71 | - | 262,476.71 | (810,509.34) | - | - | (810,509.34) | (548,032.63) | | | | | | **4,238,879.71** | (7,022.44) | **3,502,920.16** |
| **Dec-10** | **4,238,879.71** | 1,632,715.33 | 1,169,743.50 | 2,802,458.83 | (1,529,131.73) | - | - | (1,529,131.73) | 1,273,327.10 | | | | | | **5,512,206.81** | (9,939.45) | **4,766,307.81** |
| **Jan-11** | **5,512,206.81** | 392,863.16 | 584,871.75 | 977,734.91 | (2,509,666.57) | (1,163,754.00) | 627,250.29 | (3,046,170.28) | (2,068,435.37) | | | | | | **3,443,771.44** | (22,065.03) | **2,675,807.41** |
| **Feb-11** | **3,443,771.44** | 292,317.39 | 589,145.00 | 881,462.39 | (3,023,500.51) | (924,180.91) | 1,163,754.00 | (2,783,927.42) | (1,902,465.03) | | | | 300,476.32 | | **1,841,782.73** | 213,223.59 | **1,287,042.29** |
| **Mar-11** | **1,841,782.73** | 881,919.88 | 1,674,441.50 | 2,556,361.38 | (2,631,372.76) | 829,895.35 | 924,180.91 | (877,296.50) | 1,679,064.88 | | | | (503,077.98) | (4,080,000.00) | **(1,062,230.37)** | (27,597.03) | **(1,644,567.84)** |
| **Apr-11** | **(1,062,230.37)** | 538,925.31 | 725,722.25 | 1,264,647.56 | (2,182,797.70) | 434,989.00 | (829,895.35) | (2,577,704.05) | (1,313,056.49) | | | | | | **(2,375,286.86)** | (24,686.41) | **(2,982,310.74)** |
| **May-11** | **(2,375,286.86)** | (37,761.25) | 725,722.25 | 687,961.00 | (1,120,488.00) | (299,364.36) | (434,989.00) | (1,854,841.36) | (1,166,880.36) | | | | (88,272.13) | | **(3,630,439.35)** | (22,624.00) | **(4,260,087.23)** |
| **Jun-11** | **(3,630,439.35)** | 1,160,342.98 | 725,722.25 | 1,886,065.23 | (807,421.41) | (275,156.89) | 299,364.36 | (783,213.94) | 1,102,851.29 | | | | (88,252.63) | | **(2,615,840.69)** | (16,828.75) | **(3,262,317.32)** |
| **Jul-11** | **(2,615,840.69)** | 531,731.28 | 725,722.25 | 1,257,453.53 | (639,022.56) | (206,151.90) | 275,156.89 | (570,017.57) | 687,435.96 | | | | (72,457.60) | | **(2,000,862.33)** | (15,310.03) | **(2,662,648.99)** |
| **Aug-11** | **(2,000,862.33)** | 1,094,025.96 | 725,722.25 | 1,819,748.21 | (591,462.21) | (184,207.47) | 206,151.90 | (569,517.78) | 1,250,230.43 | | | | (68,832.76) | | **(819,464.66)** | (10,986.41) | **(1,492,237.73)** |
| **Sep-11** | **(819,464.66)** | (369,270.52) | 725,722.25 | 356,451.73 | (601,966.97) | (159,383.11) | 184,207.47 | (577,142.61) | (220,690.88) | | | | (66,401.03) | | **(1,106,556.57)** | (6,762.65) | **(1,786,092.29)** |
| **Oct-11** | **(1,106,556.57)** | 305,248.41 | 725,722.25 | 1,030,970.66 | (662,105.68) | (441,186.24) | 159,383.11 | (943,908.81) | 87,061.85 | | | | (69,075.79) | | **(1,088,570.51)** | (7,796.37) | **(1,775,902.60)** |
| **Nov-11** | **(1,088,570.51)** | 223,735.22 | 346,790.58 | 570,525.80 | (1,174,448.82) | (623,053.22) | 441,186.24 | (1,356,315.80) | (785,790.00) | | | | (105,214.14) | | **(1,979,574.65)** | (10,897.03) | **(2,677,803.77)** |
| **Dec-11** | **(1,979,574.65)** | 569,592.63 | 346,790.58 | 916,383.21 | (1,617,598.50) | (1,008,105.29) | 623,053.22 | (2,002,650.57) | (1,086,267.36) | | | | (138,623.80) | | **(3,204,465.81)** | (18,411.99) | **(3,921,106.92)** |
| **Jan-12** | **(3,204,465.81)** | 182,656.53 | 346,790.58 | 529,447.11 | (1,954,993.21) | (415,446.14) | 1,008,105.29 | (1,362,334.06) | (832,886.95) | | | | - | | **(4,037,352.76)** | (22,256.53) | **(4,776,250.40)** |
| **Feb-12** | **(4,037,352.76)** | 75,626.14 | 40,832.58 | 116,458.72 | (1,268,649.08) | (314,237.11) | 415,446.14 | (1,167,440.05) | (1,050,981.33) | | | | - | | **(5,088,334.09)** | (28,047.67) | **(5,855,279.40)** |
| **Mar-12** | **(5,088,334.09)** | 112,551.21 | 40,832.58 | 153,383.79 | (908,922.22) | (188,498.59) | 314,237.11 | (783,183.70) | (629,799.91) | | | | 1,214,669.95 | | **(4,503,464.05)** | (33,209.91) | **(5,303,619.27)** |
| **Apr-12** | **(4,503,464.05)** | 281,226.25 | 40,832.58 | 322,058.83 | (656,252.08) | (140,032.31) | 188,498.59 | (607,785.80) | (285,726.97) | | | | - | | **(4,789,191.02)** | (23,989.93) | **(5,613,336.17)** |
| **May-12** | **(4,789,191.02)** | 408,935.86 | 40,832.58 | 449,768.44 | (429,571.39) | (101,164.12) | 140,032.31 | (390,703.20) | 59,065.24 | | | | (19,932.40) | | **(4,750,058.18)** | (29,891.14) | **(5,604,094.47)** |
| **Jun-12** | **(4,750,058.18)** | 511,962.85 | 40,832.58 | 552,795.43 | (256,319.12) | (122,458.85) | 101,164.12 | (277,613.85) | 275,181.58 | | | | (51,149.05) | | **(4,526,025.65)** | (40,901.77) | **(5,420,963.71)** |
| **Jul-12** | **(4,526,025.65)** | 441,313.59 | 40,832.58 | 482,146.17 | (262,965.13) | (71,560.79) | 122,458.85 | (212,067.07) | 270,079.10 | | | | (55,373.71) | | **(4,311,320.26)** | (38,580.12) | **(5,244,838.44)** |
| **Aug-12** | **(4,311,320.26)** | 1,139,898.09 | 40,832.58 | 1,180,730.67 | (234,810.96) | (75,394.77) | 71,560.79 | (238,644.94) | 942,085.73 | | | | (52,094.98) | | **(3,421,329.51)** | (36,167.80) | **(4,391,015.49)** |
| **Sep-12** | **(3,421,329.51)** | 262,604.67 | 40,832.58 | 303,437.25 | (234,655.42) | (81,039.02) | 75,394.77 | (240,299.67) | 63,137.58 | | | | (52,262.81) | | **(3,410,454.74)** | (18,086.55) | **(4,398,227.27)** |
| **Oct-12** | **(3,410,454.74)** | 617,579.29 | 40,832.58 | 658,411.87 | (293,719.21) | (139,901.44) | 81,039.02 | (352,581.63) | 305,830.24 | | | | (58,715.56) | | **(3,163,340.06)** | (27,669.64) | **(4,178,782.23)** |
| **Nov-12** | **(3,163,340.06)** | 239,099.36 | 42,578.75 | 281,678.11 | (620,956.98) | (276,440.79) | 139,901.44 | (757,496.33) | (475,818.22) | | | | (99,032.84) | | **(3,738,191.12)** | - | **(4,753,633.29)** |
| **Dec-12** | **(3,738,191.12)** | 960,546.31 | 42,578.75 | 1,003,125.06 | (745,631.45) | (439,683.91) | 276,440.79 | (908,874.57) | 94,250.49 | | | | (117,700.86) | | **(3,761,641.49)** | 1,015,442.17 | **(3,761,641.49)** |
| **Jan-13** | **(3,761,641.49)** | 2,907,863.06 | 326,355.25 | 3,234,218.31 | (1,211,170.19) | (495,099.58) | 439,683.91 | (1,266,585.86) | 1,967,632.45 | | | | (152,503.10) | | **(1,946,512.14)** | | **(1,946,512.14)** |
| **Feb-13** | **(1,946,512.14)** | 645,926.98 | 374,542.42 | 1,020,469.40 | (1,652,348.33) | (516,006.22) | 495,099.58 | (1,673,254.97) | (652,785.57) | | | | (191,858.36) | | **(2,791,156.07)** | | **(2,791,156.07)** |
| **Mar-13** | **(2,791,156.07)** | (921,318.78) | 374,542.42 | (546,776.36) | (1,526,441.86) | (506,044.18) | 516,006.22 | (1,516,479.82) | (2,063,256.18) | | | | 1,251,293.82 | | **(3,603,118.43)** | | **(3,603,118.43)** |
| **Apr-13** | **(3,603,118.43)** | 736,662.01 | 374,542.42 | 1,111,204.43 | (1,284,948.05) | (243,210.72) | 506,044.18 | (1,022,114.59) | 89,089.84 | | | | (158,059.27) | | **(3,672,087.86)** | | **(3,672,087.86)** |
| **May-13** | **(3,672,087.86)** | 11,814.77 | 374,542.42 | 386,357.19 | (726,435.97) | (219,514.43) | 243,210.72 | (702,739.68) | (316,382.49) | | | | (173,349.31) | | **(4,161,819.66)** | | **(4,161,819.66)** |
| **Jun-13** | **(4,161,819.66)** | 1,030,280.54 | 374,542.42 | 1,404,822.96 | (433,235.30) | (196,520.22) | 219,514.43 | (410,241.09) | 994,581.87 | | | | (140,114.27) | | **(3,307,352.06)** | | **(3,307,352.06)** |
| **Jul-13** | **(3,307,352.06)** | 260,153.60 | 374,542.42 | 634,696.02 | (360,869.45) | (119,999.09) | 196,520.22 | (284,348.32) | 350,347.70 | | | | (110,574.76) | | **(3,067,579.12)** | | **(3,067,579.12)** |
| **Aug-13** | **(3,067,579.12)** | 1,034,768.33 | 374,542.42 | 1,409,310.75 | (370,988.52) | (120,037.42) | 119,999.09 | (371,026.85) | 1,038,283.90 | | | | (126,130.64) | | **(2,155,425.86)** | | **(2,155,425.86)** |
| **Sep-13** | **(2,155,425.86)** | 722,262.54 | 374,542.42 | 1,096,804.96 | (341,051.91) | (142,205.83) | 120,037.42 | (363,220.32) | 733,584.64 | | | | (106,684.07) | | **(1,528,525.29)** | | **(1,528,525.29)** |
| **Oct-13** | **(1,528,525.29)** | 458,409.78 | 374,542.42 | 832,952.20 | (414,559.60) | (266,384.48) | 142,205.83 | (538,738.25) | 294,213.95 | | | | (135,407.72) | | **(1,369,719.06)** | | **(1,369,719.06)** |

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| | Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | ActualAuthorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveries | Monthly Deferral | Imbalance ider (Over)-Collecti | EE Incentive 2017 | Lost Revenue from filing | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Interest | Ending Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Nov-13 | **(1,369,719.06)** | 712,585.81 | 366,611.75 | 1,079,197.56 | (597,358.06) | (630,153.22) | 266,384.48 | (961,126.80) | 118,070.76 | | | | (141,170.80) | | **(1,392,819.10)** | | **(1,392,819.10)** |
| Dec-13 | **(1,392,819.10)** | 779,764.89 | 366,611.75 | 1,146,376.64 | (1,660,749.01) | (601,249.67) | 630,153.22 | (1,631,845.46) | (485,468.82) | | | | | | **(1,878,287.92)** | | **(1,878,287.92)** |
| Jan-14 | **(1,878,287.92)** | 1,006,979.09 | 1,047,675.33 | 2,054,654.42 | (2,530,878.06) | (1,338,624.52) | 601,249.67 | (3,268,252.91) | (1,213,598.49) | | | | (178,089.30) | | **(3,269,975.71)** | - | **(3,269,975.71)** |
| Feb-14 | **(3,269,975.71)** | 282,195.43 | 3,756,269.00 | 4,038,464.43 | (3,407,921.11) | (1,272,869.94) | 1,338,624.52 | (3,342,166.53) | 696,297.90 | | | | (240,196.45) | | **(2,813,874.26)** | - | **(2,813,874.26)** |
| Mar-14 | **(2,813,874.26)** | 386,487.56 | 971,232.00 | 1,357,719.56 | (3,287,801.28) | (1,449,521.91) | 1,272,869.94 | (3,464,453.25) | (2,106,733.69) | | | | 2,172,755.09 | | **(2,747,852.86)** | - | **(2,747,852.86)** |
| Apr-14 | **(2,747,852.86)** | 803,706.54 | 971,232.00 | 1,774,938.54 | (2,388,594.06) | (969,055.62) | 1,449,521.91 | (1,908,127.77) | (133,189.23) | | | | | | **(2,881,042.09)** | - | **(2,881,042.09)** |
| May-14 | **(2,881,042.09)** | 465,534.58 | 971,232.00 | 1,436,766.58 | (1,546,104.53) | (726,120.28) | 969,055.62 | (1,303,169.19) | 133,597.39 | | | | (110,957.14) | | **(2,858,401.84)** | - | **(2,858,401.84)** |
| Jun-14 | **(2,858,401.84)** | 394,491.16 | 971,232.00 | 1,365,723.16 | (782,634.26) | (619,450.01) | 726,120.28 | (675,963.99) | 689,759.17 | | | | (106,893.72) | | **(2,275,536.39)** | - | **(2,275,536.39)** |
| Jul-14 | **(2,275,536.39)** | 385,539.96 | 971,232.00 | 1,356,771.96 | (587,957.25) | (418,059.60) | 619,450.01 | (386,566.84) | 970,205.12 | | | | (90,709.31) | | **(1,396,040.58)** | - | **(1,396,040.58)** |
| Aug-14 | **(1,396,040.58)** | 228,414.82 | 971,232.00 | 1,199,646.82 | (581,042.49) | (346,757.64) | 418,059.60 | (509,740.53) | 689,906.29 | | | | (89,174.42) | | **(795,308.71)** | - | **(795,308.71)** |
| Sep-14 | **(795,308.71)** | (904,306.31) | 971,232.00 | 66,925.69 | (774,436.81) | (473,985.10) | 346,757.64 | (901,664.27) | (834,738.58) | | | | (132,706.52) | | **(1,762,753.81)** | (623,018.74) | **(2,385,772.55)** |
| Oct-14 | **(1,762,753.81)** | 587,050.05 | 971,232.00 | 1,558,282.05 | (725,904.13) | (474,927.17) | 473,985.10 | (726,846.20) | 831,435.85 | | | | (115,035.00) | | **(1,046,352.96)** | (157.68) | **(1,669,529.38)** |
| Nov-14 | **(1,046,352.96)** | 809,668.36 | 964,840.08 | 1,774,508.44 | (1,211,229.55) | (1,218,480.97) | 474,927.17 | (1,954,783.35) | (180,274.91) | | | | (154,538.42) | | **(1,381,166.29)** | (150.18) | **(2,004,492.89)** |
| Dec-14 | **(1,381,166.29)** | 591,574.67 | 964,840.08 | 1,556,414.75 | (2,506,494.55) | (1,014,974.26) | 1,218,480.97 | (2,302,987.84) | (746,573.09) | 966,649.00 | | | (180,616.26) | | **(1,341,706.64)** | (27.67) | **(1,965,060.91)** |
| Jan-15 | **(1,341,706.64)** | 703,250.18 | 1,039,331.33 | 1,742,581.51 | (3,437,872.08) | (1,879,345.00) | 1,014,974.26 | (4,302,242.82) | (2,559,661.31) | (237,561.81) | | | | - | **(4,138,929.76)** | (533.13) | **(4,762,817.16)** |
| Feb-15 | **(4,138,929.76)** | 254,982.72 | 1,039,331.33 | 1,294,314.05 | (4,390,478.37) | (1,719,970.35) | 1,879,345.00 | (4,231,103.72) | (2,936,789.67) | (186,806.03) | | | | - | **(7,262,525.46)** | (941.54) | **(7,887,354.40)** |
| Mar-15 | **(7,262,525.46)** | 317,395.90 | 1,039,331.33 | 1,356,727.23 | (4,699,182.83) | (1,394,648.28) | 1,719,970.35 | (4,373,860.76) | (3,017,133.53) | (192,385.04) | | | 1,658,073.31 | 4,080,000.00 | **(4,733,970.72)** | (1,080.86) | **(5,359,880.53)** |
| Apr-15 | **(4,733,970.72)** | 908,862.23 | 1,039,331.33 | 1,948,193.56 | (3,243,466.99) | (949,042.83) | 1,394,648.28 | (2,797,861.54) | (849,667.98) | (122,015.80) | | | 246.16 | - | **(5,705,408.34)** | (1,065.53) | **(6,332,383.68)** |
| May-15 | **(5,705,408.34)** | 191,109.35 | 1,039,331.33 | 1,230,440.68 | (1,399,658.90) | (901,366.32) | 949,042.83 | (1,351,982.39) | (121,541.71) | (70,191.41) | | | (173,372.85) | - | **(6,070,514.31)** | 626,477.27 | **(6,071,012.38)** |
| Jun-15 | **(6,070,514.31)** | 173,922.90 | 1,039,331.33 | 1,213,254.23 | (493,717.71) | (808,942.42) | 901,366.32 | (401,293.81) | 811,960.42 | (20,255.98) | | | (23,648.61) | - | **(5,302,458.48)** | - | **(5,302,458.48)** |
| Jul-15 | **(5,302,458.48)** | 325,583.33 | 1,039,331.33 | 1,364,914.66 | (685,610.04) | (347,772.00) | 808,942.42 | (224,439.62) | 1,140,475.04 | (11,063.79) | | | (33,830.09) | - | **(4,206,877.32)** | - | **(4,206,877.32)** |
| Aug-15 | **(4,206,877.32)** | (8,621.32) | 1,039,331.33 | 1,030,710.01 | (625,677.34) | (297,101.92) | 347,772.00 | (575,007.26) | 455,702.75 | (28,308.11) | | | (57,659.69) | - | **(3,837,142.37)** | - | **(3,837,142.37)** |
| Sep-15 | **(3,837,142.37)** | 279,710.15 | 1,039,331.33 | 1,319,041.48 | (563,814.29) | (297,665.28) | 297,101.92 | (564,377.65) | 754,663.83 | (27,783.17) | | | (52,781.18) | - | **(3,163,042.89)** | - | **(3,163,042.89)** |
| Oct-15 | **(3,163,042.89)** | 228,920.33 | 1,039,331.33 | 1,268,251.66 | (752,815.13) | (516,184.82) | 297,665.28 | (971,334.67) | 296,916.99 | (47,809.69) | | | (89,223.87) | - | **(3,003,159.46)** | - | **(3,003,159.46)** |
| Nov-15 | **(3,003,159.46)** | 234,729.33 | 1,039,331.33 | 1,274,060.66 | (1,116,474.97) | (765,971.97) | 516,184.82 | (1,366,262.12) | (92,201.46) | (67,250.17) | | | (101,638.54) | - | **(3,264,249.63)** | - | **(3,264,249.63)** |
| Dec-15 | **(3,264,249.63)** | (414,444.24) | 1,039,331.33 | 624,887.09 | (2,068,973.43) | (565,227.05) | 765,971.97 | (1,868,228.50) | (1,243,341.41) | (91,975.70) | | | (149,231.94) | - | **(4,748,798.68)** | - | **(4,748,798.68)** |
| Jan-16 | **(4,748,798.68)** | 184,029.82 | - | 184,029.82 | - | - | 565,227.05 | 565,227.05 | 749,256.87 | - | | | (387,683.31) | | **(4,387,225.12)** | - | **(4,387,225.12)** |
| Feb-16 | **(4,387,225.12)** | 4,105.66 | - | 4,105.66 | - | - | - | - | 4,105.66 | - | | | (234,593.86) | | **(4,617,713.32)** | - | **(4,617,713.32)** |
| Mar-16 | **(4,617,713.32)** | 58,987.82 | - | 58,987.82 | - | - | - | - | 58,987.82 | - | | | 1,161,970.93 | | **(3,396,754.57)** | - | **(3,396,754.57)** |
| Apr-16 | **(3,396,754.57)** | 23,673.46 | - | 23,673.46 | - | - | - | - | 23,673.46 | - | | | 26,235.57 | | **(3,346,845.54)** | - | **(3,346,845.54)** |
| May-16 | **(3,346,845.54)** | 13,529.22 | - | 13,529.22 | - | - | - | - | 13,529.22 | - | | | (45,857.47) | | **(3,379,173.79)** | - | **(3,379,173.79)** |
| Jun-16 | **(3,379,173.79)** | 10,389.76 | - | 10,389.76 | - | - | - | - | 10,389.76 | - | | | (88,672.48) | | **(3,457,456.51)** | - | **(3,457,456.51)** |
| Jul-16 | **(3,457,456.51)** | 5,617.34 | - | 5,617.34 | - | - | - | - | 5,617.34 | - | | | (56,869.22) | | **(3,508,708.39)** | - | **(3,508,708.39)** |
| Aug-16 | **(3,508,708.39)** | 14,073.77 | - | 14,073.77 | - | - | - | - | 14,073.77 | - | | | (94,683.19) | | **(3,589,317.81)** | - | **(3,589,317.81)** |
| Sep-16 | **(3,589,317.81)** | 1,566.02 | - | 1,566.02 | - | - | - | - | 1,566.02 | - | | | (77,136.29) | | **(3,664,888.08)** | - | **(3,664,888.08)** |
| Oct-16 | **(3,664,888.08)** | 6,128.51 | - | 6,128.51 | - | - | - | - | 6,128.51 | - | | | (59,085.68) | | **(3,717,845.25)** | - | **(3,717,845.25)** |
| Nov-16 | **(3,717,845.25)** | 3,746.20 | - | 3,746.20 | - | - | - | - | 3,746.20 | - | | | (88,665.56) | | **(3,802,764.61)** | - | **(3,802,764.61)** |
| Dec-16 | **(3,802,764.61)** | 4,171.92 | - | 4,171.92 | - | - | - | - | 4,171.92 | - | | | (200,816.34) | | **(3,999,409.03)** | - | **(3,999,409.03)** |
| Jan-17 | **(3,999,409.03)** | 4,677.74 | - | 4,677.74 | - | - | - | - | 4,677.74 | - | | | (142,932.81) | | **(4,137,664.10)** | - | **(4,137,664.10)** |
| Feb-17 | **(4,137,664.10)** | 125,548.73 | - | 125,548.73 | - | - | - | - | 125,548.73 | - | | | (262,723.33) | | **(4,274,838.71)** | - | **(4,274,838.71)** |
| Mar-17 | **(4,274,838.71)** | 9,088.04 | - | 9,088.04 | - | - | - | - | 9,088.04 | - | | | 1,939,972.48 | | **(2,325,778.19)** | - | **(2,325,778.19)** |
| Apr-17 | **(2,325,778.19)** | 9,603.43 | - | 9,603.43 | - | - | - | - | 9,603.43 | - | | | (214,537.07) | | **(2,530,711.83)** | - | **(2,530,711.83)** |
| May-17 | **(2,530,711.83)** | 7,033.42 | - | 7,033.42 | - | - | - | - | 7,033.42 | - | | | (122,203.48) | | **(2,645,881.89)** | - | **(2,645,881.89)** |
| Jun-17 | **(2,645,881.89)** | 7,508.54 | - | 7,508.54 | - | - | - | - | 7,508.54 | - | | | (93,357.92) | | **(2,731,731.27)** | - | **(2,731,731.27)** |
| Jul-17 | **(2,731,731.27)** | 8,698.21 | - | 8,698.21 | - | - | - | - | 8,698.21 | - | | | (79,949.81) | | **(2,802,982.87)** | - | **(2,802,982.87)** |
| Aug-17 | **(2,802,982.87)** | 9,276.31 | - | 9,276.31 | - | - | - | - | 9,276.31 | - | | | (78,570.99) | | **(2,872,277.55)** | - | **(2,872,277.55)** |
| Sep-17 | **(2,872,277.55)** | 1,252.44 | - | 1,252.44 | - | - | - | - | 1,252.44 | - | | | (80,935.51) | | **(2,951,960.62)** | - | **(2,951,960.62)** |
| Oct-17 | **(2,951,960.62)** | 1,403.78 | - | 1,403.78 | - | - | - | - | 1,403.78 | - | | | (60,525.93) | | **(3,011,082.77)** | - | **(3,011,082.77)** |
| Nov-17 | **(3,011,082.77)** | 4,063.09 | - | 4,063.09 | - | - | - | - | 4,063.09 | - | | | (137,341.02) | | **(3,144,360.70)** | - | **(3,144,360.70)** |
| Dec-17 | **(3,144,360.70)** | 117,580.10 | - | 117,580.10 | - | - | - | - | 117,580.10 | - | 1,166,376.00 | | (257,203.39) | | **(2,117,607.99)** | - | **(2,117,607.99)** |
| Jan-18 | **(2,117,607.99)** | - | - | - | - | - | - | - | - | - | | | (363,539.24) | | **(2,481,147.23)** | - | **(2,481,147.23)** |
| Feb-18 | **(2,481,147.23)** | - | - | - | - | - | - | - | - | - | | | (307,881.20) | | **(2,789,028.43)** | - | **(2,789,028.43)** |
| Mar-18 | **(2,789,028.43)** | 804.07 | - | 804.07 | - | - | - | - | 804.07 | - | | 132,749.78 | (266,396.12) | | **(2,921,870.70)** | - | **(2,921,870.70)** |
| Apr-18 | **(2,921,870.70)** | 570.73 | | 570.73 | - | - | - | - | 570.73 | - | | | (264,742.33) | | **(3,186,042.30)** | - | **(3,186,042.30)** |
| May-2018 | **(3,186,042.30)** | 888.06 | - | 888.06 | - | - | - | - | 888.06 | - | | | (12,153.56) | | **(3,197,307.80)** | - | **(3,197,307.80)** |
| Jun-2018 | **(3,197,307.80)** | 1,319.51 | - | 1,319.51 | - | - | - | - | 1,319.51 | - | | | (12,504.83) | | **(3,208,493.12)** | - | **(3,208,493.12)** |
| Jul-2018 | **(3,208,493.12)** | 1,291.85 | - | 1,291.85 | - | - | - | - | 1,291.85 | - | | | (6,995.15) | | **(3,214,196.42)** | - | **(3,214,196.42)** |
| Aug-2018 | **(3,214,196.42)** | 2,603.67 | - | 2,603.67 | - | - | - | - | 2,603.67 | - | | | (9,491.49) | | **(3,221,084.24)** | - | **(3,221,084.24)** |
| Sep-2018 | **(3,221,084.24)** | $0.00 | - | - | - | - | - | - | - | - | | | (8,632.49) | | **(3,229,716.73)** | - | **(3,229,716.73)** |
| Oct-2018 | **(3,229,716.73)** | $0.00 | - | - | - | - | - | - | - | - | | | (7,391.68) | | **(3,237,108.40)** | - | **(3,237,108.40)** |
| Nov-2018 | **(3,237,108.40)** | $0.00 | - | - | - | - | - | - | - | - | | | (10,865.81) | | **(3,247,974.22)** | - | **(3,247,974.22)** |
| Dec-2018 | **(3,247,974.22)** | $0.00 | - | - | - | - | - | - | - | - | | | (14,513.92) | | **(3,262,488.14)** | - | **(3,262,488.14)** |
| Jan-2019 | **(3,262,488.14)** | (12,565.16) | - | (12,565.16) | - | - | - | - | (12,565.16) | - | | | (28,503.87) | | **(3,303,557.17)** | - | **(3,303,557.17)** |
| Feb-2019 | **(3,303,557.17)** | $0.00 | - | - | - | - | - | - | - | - | | | (15,547.20) | | **(3,319,104.37)** | - | **(3,319,104.37)** |
| Mar-2019 | **(3,319,104.37)** | $0.00 | - | - | - | - | - | - | - | - | | 133,148.59 | (15,319.35) | | **(3,201,275.14)** | - | **(3,201,275.14)** |

NEW YORK STATE OF OPPORTUNITY. Department of Public Service

Public Service Commission
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Kathleen H. Burgess
Secretary

Three Empire State Plaza, Albany, NY 12223-1350
www.dps.ny.gov

November 15, 2018

To the Utilities Addressed:

Subject: Case 18-M-0611 - Customer Deposits Interest Rates Effective January 1, 2019

The Rules and Regulations of the Public Service Commission (Commission) require calculation of the customer deposit interest rate using a formula based on the composite yield of intermediate-term, "A"-rated bonds rounded to the nearest 0.05%, less costs of administering deposits of 1.75% per annum. The interest rate is to be updated January 1st of each year, based on the information available as of the first Friday of the preceding October.

A review of the prevailing market conditions as of October 5, 2018, the first Friday of the month, indicated a composite yield of 4.20% for investor-owned utilities and a composite yield of 2.90% for municipal utilities. Those yields reflect an increase of 1.40% and 0.70%, respectively, from the comparative 2017 composite yields. Therefore, based on the formula described above, effective January 1, 2019, the current customer deposit interest rate will be increased to 2.45% for investor-owned utilities and to 1.15% for municipal utilities.

Further, the determination of the interest rate paid on other customer provided capital, such as gas supplier refunds, is based solely on the unadjusted composite bond yields. Unlike the customer deposit interest rate, the Commission has determined that it is not necessary to adjust the other customer provided capital interest rates because such funds do not incur the relatively high level of administrative costs needed to track deposit accounts of individual customers. Therefore, based on the composite yield determination noted above, effective January 1, 2019, the interest rate for other customer provided capital is 4.20% for investor-owned utilities and 2.90% for municipal utilities. For all questions, please contact Hasan Ahmed at hasan.ahmed@dps.ny.gov.

Sincerely,

For DORIS D. STOUT, Director,
Office of Accounting, Audits & Finance

Attachment

**Rates on Customer Deposits and Other Customer Provided Capital**
**1990 - 2019**

| | Investor-Owned Utilities | | Municipal Utilities | |
|---|---|---|---|---|
| Effective Date | Other Customer Capital | Customer Deposits | Other Customer Capital | Customer Deposits |
| Jan. 1, 1990 | 9.00 | 7.25 | 6.75 | 5.00 |
| Jan. 1, 1991 | 9.50 | 7.75 | 7.00 | 5.25 |
| Jan. 1, 1992 | 8.35 | 6.60 | 5.75 | 4.00 |
| Jan. 1, 1993 | 6.65 | 4.90 | 5.00 | 3.25 |
| Jan. 1, 1994 | 5.45 | 3.70 | 4.20 | 2.45 |
| Jan. 1, 1995 | 7.50 | 5.75 | 5.05 | 3.30 |
| Jan. 1, 1996 | 6.65 | 4.90 | 4.60 | 2.85 |
| Jan. 1, 1997 | 7.40 | 5.65 | 5.00 | 3.25 |
| Jan. 1, 1998 | 6.45 | 4.70 | 4.45 | 2.70 |
| Jan. 1, 1999 | 5.75 | 4.00 | 4.20 | 2.45 |
| Jan. 1, 2000 | 7.25 | 5.50 | 4.95 | 3.20 |
| Jan. 1, 2001 | 7.75 | 6.00 | 4.95 | 3.20 |
| Jan. 1, 2002 | 6.45 | 4.70 | 3.90 | 2.15 |
| Jan. 1, 2003 | 5.60 | 3.85 | 3.25 | 1.50 |
| Jan. 1, 2004 | 4.20 | 2.45 | 2.90 | 1.15 |
| Jan. 1, 2005 | 4.35 | 2.60 | 2.95 | 1.20 |
| Jan. 1, 2006 | 4.75 | 3.00 | 3.45 | 1.70 |
| Jan. 1, 2007 | 5.40 | 3.65 | 3.70 | 1.95 |
| Jan. 1, 2008 | 5.50 | 3.75 | 3.80 | 2.05 |
| Jan. 1, 2009 | 6.60 | 4.85 | 3.70 | 1.95 |
| Jan. 1, 2010 | 4.20 | 2.45 | 2.85 | 1.10 |
| Jan. 1, 2011 | 3.35 | 1.60 | 2.50 | 0.75 |
| Jan. 1, 2012 | 3.40 | 1.65 | 2.45 | 0.70 |
| Jan. 1, 2013 | 2.10 | 0.35 | 2.10 | 0.35 |
| Jan. 1, 2014 | 3.00 | 1.25 | 3.00 | 1.25 |
| Jan. 1, 2015 | 2.90 | 1.15 | 1.85 | 0.10 |
| Jan. 1, 2016 | 2.60 | 0.85 | 1.85 | 0.10 |
| Jan. 1, 2017 | 2.10 | 0.35 | 1.80 | 0.05 |
| Jan. 1. 2018 | 2.80 | 1.05 | 2.20 | 0.45 |
| Jan. 1. 2019 | 4.20 | 2.45 | 2.90 | 1.15 |

A

Source; PSC Memo

**KEDNY & KEDLI**
**Schedule of NYS / Federal Compoiste Income Tax Rates**
**FY 2019**

| | | | |
|---|---|---|---|
| Income Before Taxes | | 100.00% | |
| Less: | | | |
| NY State Income Taxes | 6.50% | | |
| MTA Surcharge | 1.86% | | |
| **Total NYS Taxes and MTA Surcharges** | | **8.36%** | |
| Sub-Total | | 91.64% | |
| **Federal Income Taxes @ 35%** | **21.00%** | **19.24461%** | **1.76%** |
| **Total Combined Income Tax Rate** | | **27.60%** | |
| | **Net Deferred Tax Rate** | **72.40%** | **C** |

NEW YORK STATE | Department of Taxation and Finance

**Technical Memorandum**
**TSB-M-17(4)C**
Corporation Tax
December 4, 2017

## MTA Surcharge Rate and Deriving Receipts Thresholds for 2018

This memorandum announces the rate and deriving receipts thresholds applicable to the Article 9-A Metropolitan Transportation Business Tax Surcharge (MTA surcharge) for tax years beginning on or after January 1, 2018, and before January 1, 2019.

**New MTA surcharge rate**

On December 1, 2017, the Business Corporation Franchise Tax Regulations were amended, as an emergency measure, to add new section 9-1.2(d) to set forth the MTA surcharge rate for tax years beginning on or after January 1, 2018, and before January 1, 2019

surcharge rate for tax years beginning on or after January 1, 2018, and before January 1, 2019.

The Commissioner is required, pursuant to Tax Law § 209-B(1)(f) and 20 NYCRR 9-1.2, to annually adjust the rate of the MTA surcharge for tax years beginning on or after January 1, 2016, as necessary to ensure that the receipts attributable to the surcharge will meet and not exceed the financial projections for the state fiscal year that commences in the year for which the rate is to be set, as reflected in the enacted budget for the fiscal year commencing on the previous April 1.

New section 9-1.2(d) complies with the annual mandate of Tax Law § 209-B(1)(f), setting forth the MTA surcharge rate for tax years beginning on or after January 1, 2016. As required by Tax Law § 209-B(1)(f), the Acting Commissioner of Taxation and Finance has adjusted the MTA surcharge using the state fiscal year 2018-2019 fiscal projections reflected in the enacted budget for fiscal year 2017-2018. As adjusted, the MTA surcharge rate is 28.6% for tax years beginning on or after January 1, 2018, and before January 1, 2019. This rate only applies to Article 9-A taxpayers[1] and will remain the same in any succeeding tax year, unless the Commissioner establishes a new rate. The previously established rate was 28.3%. See TSB-M-17(1)C, *MTA Surcharge Rate and Deriving Receipts Thresholds for 2017*, for more information.

**Estimated MTA surcharge**

When determining the amount of the second, third, and fourth estimated MTA surcharge payments for tax years beginning on or after January 1, 2018, and before January 1, 2019, Article 9-A taxpayers should take into account the 28.6% MTA surcharge rate.

NYS Income Tax Rate x MTA Surcharge Rate = MTA Surcharge %

pwc | United States

Newsletters › State and Local Tax Insights › New York increases rate of MTA surcharge 2018

# *New York increases rate of MTA surcharge 2018*

*December 2017*

## *Overview*

On December 4, 2017, the New York Department of Taxation and Finance announced that the rate of New York's Metropolitan transportation business tax surcharge will increase to 28.6% from 28.3%,

effective for tax years beginning on or after January 1, 2018, and before January 1, 2019, under an emergency Rule 20 Sec. 9-1.2(d). [N.Y. Dept. of Taxn., and Finance, TSB-M-17(4)C, 12/4/17]

The rate will remain the same in succeeding years unless otherwise adjusted. New York's 2014 tax reform legislation authorized the Commissioner of Taxation and Finance to determine the rate of the surcharge so as to meet state financial projections.

## G/L Account Line Item Display G/L View

Selections

G/L Account U2540280 – Interest SBC Program Costs Deferred
Company Code 5230
Ledger 0L

| St | Pstng Date | Doc. Date | DocumentNo | Typ | Amount in local cur. | Profit Ctr | Segment | WBS element | Order | Reference | Text | Account | CoCd |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ✔ | 04/30/2019 | 05/06/2019 | 2900000054 | ZK | 8,124.19- | NYG1400 | NYGASD | | | 5230NY1710M03 | SBC Interest | U2540280 | 5230 |
| ✔ | 04/30/2019 | 05/06/2019 | 2900000056 | ZK | 2,390.52- | NYG1000 | NYGASD | | | 5230NY4210M02 | BALANCE SHEET TRANSFER | U2540280 | 5230 |
| * | | | | | 10,514.71- | | | | | | | | |

Case 06-G-1185 JP 4

recovery of costs. The first meeting of the program design collaborative was held on September 18, 2007. It is the intent of the Signatory Parties that the work of the program design collaborative will be completed by January 11, 2008. All parties reserve the right to support or oppose the work product of the program design collaborative before the Commission. Any dispute arising from the program design collaborative will be referred to the Commission for resolution.

At the request of any party, the parties will reconvene the program design collaborative in Rate Year Three to discuss whether the energy efficiency program budgets should be revised of Rate Year Four and Rate Year Five. Otherwise, the energy efficiency program budgets for Rate Year Four and Rate Year Five will be set at the Rate Year Three Level previously approved by the Commission.

3. **Recovery of Operating Costs**

In each Rate Year of the Rate Period, KEDLI will be allowed to recover from customers all operating costs for energy efficiency programs up to the amount budgeted for the year. In Rate Year One, KEDLI will be allowed to recover from customers all deferrals of interim energy efficiency program costs incurred by KEDLI during the interim period beginning August

1, 2007, as part of the amount budgeted for Rate Year One.

A gas System Benefits Charge (SBC) will be established by KEDLI to provide a recovery mechanism for the cost of energy efficiency programs. The SBC will remain in effect until discontinued by the Commission and replaced by a mechanism that provides for full and timely recovery of energy efficiency-related costs. The SBC surcharge will be a uniform (single block) volumetric charge. The SBC will be instituted as a non-bypassable surcharge on the delivery portion of customer bills in the following service classes:

***Applicable Service Classes for SBC Surcharge***

| KEDLI | Sales Classes | *Accompanying Transportation Classes* |
|---|---|---|
| Low Income | 1AR & 1BR | 5(1AR) & 5(1BR) |
| Residential | 1A & 1B | 5(1A) & 5(1B) |
| Multifamily and Commercial & | 2A, 2B, 3, 15 & 16 | 5(2A), 5(2B), |



| | | |
|---|---|---|
| Industrial | | 5(3), 5(15) & 5(16) |

KEDLI will prepare, file and implement tariff revisions necessary to collect the SBC surcharge from applicable ratepayers.

KEDLI will update its billing system to include the SBC surcharge on the Delivery portion of the utility bill.

An SBC balancing account will be created to match SBC surcharge proceeds to energy efficiency program costs. KEDLI shall establish its specific SBC collection rate on an annual basis beginning with usage on and after January 1, 2008 to correspond to its energy efficiency program budget and year-by-year projections of the coming year's gas sales in applicable service classes, with any over- or under-collections reconciled on an annual basis. The initial SBC collection rate, commencing with usage on and after January 1, 2008, shall be $0.0124/therm. Deferred debits and credits in the SBC balancing account will accrue a carrying charge (base net of Federal and New York State income tax effects) at a rate which KEDLI accrues an allowance for funds used during construction. The amount of such accrued carrying charges will be reflected in the SBC balancing account and the SBC collection rate. Carrying charges will be applied in the same manner as the underlying debit or credit causing them to accrue.

Any SBC funds collected by KEDLI shall be used only for the energy efficiency programs. Any unexpended funds shall be refunded to customers in the same manner as collected.

In the event the SBC charge is discontinued by the Commission, the parties intend that it be replaced with a mechanism that provides full recovery of KEDLI's energy efficiency-related costs. As long as some such mechanism is in effect, KEDLI will continue to incur

energy efficiency program-related costs for programs approved by the Commission pursuant to this Joint Proposal.

4. **Recovery of Lost Revenue**

The interim lost revenue elements contained in the Joint Proposal for Interim Energy Efficiency Programs will continue until superseded by new non-interim lost revenue elements to be presented to the Commission resulting from a "revenue collaborative" to be undertaken by the parties to Cases 06-G-1185 and 06-G-1186 regarding energy efficiency lost revenue. Two additional open issues for discussion and resolution in the revenue collaborative are (a) how to implement a true-up based revenue decoupling mechanism that preserves the benefits of customer growth while limiting customer bill impacts and rate



volatility, to the extent practicable; and (b) how to move towards the eventual implementation of more cost-based rate designs in the context of the revenue decoupling mechanism. The first meeting of the revenue collaborative shall be held on September 18, 2007. It is the intent of the Signatory Parties that the work of the revenue collaborative will be completed by March 7, 2008. All parties reserve the right to support or oppose the work product of the revenue collaborative before the Commission. Any dispute arising from the revenue collaborative will be referred to the Commission for resolution.

Commencing July 1, 2008, KEDLI will be allowed to recover from customers all deferrals of interim lost revenue incurred during the interim period beginning August 1, 2007

permitted by the Joint Proposal for Interim Energy Efficiency Programs. Recovery shall occur as an add-on to the energy efficiency program costs and collected through the gas SBC; such recovery will be subject to all of the provisions regarding the SBC stated above, including particularly those regarding balancing and reconciliation.

**5. Incentive Targets**

The Merger & Gas Revenue Requirement Joint Proposal (at p. 30) in Case 06-M-0878 established an up to 10 basis points upward adjustment in the Earnings Sharing Threshold contingent on KEDLI meeting incentive targets associated with the implementation and operation of energy efficiency programs. The incentive targets associated with the implementation and operation of energy efficiency programs by KEDLI will be dependent on the new non-interim program design elements to be presented to the Commission resulting from the program design collaborative. The establishment of such incentive targets to be presented to the Commission will be an additional task of the program design collaborative.

**KEDLI AFUDC Rate Breakdown**

| Calendar Year | Debt | Equity | Total |
|---|---|---|---|
| **2007** | 3.35% | 5.88% | **9.23%** |
| 2008 | 3.08% | 5.70% | **8.78%** |
| 2009 | 2.78% | 6.05% | **8.83%** |
| 2010 | 2.58% | 6.51% | **9.09%** |
| 2011 | 0.85% | 7.68% | **8.52%** |
| 2012 | 1.76% | 5.62% | **7.38%** |
| 2013 | 0.88% | 0.00% | **0.88%** |
| 2014 | 0.25% | 0.00% | **0.25%** |

| Month | Debt | Equity | |
|---|---|---|---|
| Jan-15 | 0.46% | 0.00% | **0.46%** |
| Feb-15 | 0.67% | 0.00% | **0.67%** |
| Mar-15 | 0.67% | 0.00% | **0.67%** |
| Apr-15 | 0.84% | 0.00% | **0.84%** |
| May-15 | 0.69% | 0.00% | **0.69%** |
| Jun-15 | 0.53% | 0.00% | **0.53%** |
| Jul-15 | 0.65% | 0.00% | **0.65%** |
| Aug-15 | 0.72% | 0.00% | **0.72%** |
| Sep-15 | 0.64% | 0.00% | **0.64%** |
| Oct-15 | 0.61% | 0.00% | **0.61%** |
| Nov-15 | 0.67% | 0.00% | **0.67%** |
| Dec-15 | 0.66% | 0.00% | **0.66%** |
| Jan-16 | 0.64% | 0.00% | **0.64%** |
| Feb-16 | 0.90% | 0.00% | **0.90%** |
| Mar-16 | 0.90% | 0.00% | **0.90%** |
| Apr-16 | 0.90% | 0.00% | **0.90%** |
| May-16 | 0.90% | 0.00% | **0.90%** |
| Jun-16 | 0.90% | 0.00% | **0.90%** |
| Jul-16 | 0.90% | 0.00% | **0.90%** |
| Aug-16 | 1.16% | 0.00% | **1.16%** |
| Sep-16 | 2.15% | 6.17% | **8.32%** |
| Oct-16 | 2.15% | 6.17% | **8.32%** |
| Nov-16 | 2.15% | 6.17% | **8.32%** |
| Dec-16 | 2.15% | 6.17% | **8.32%** |

# KeySpan East Gas Corporation d/b/a National Grid
# Case 19-G-0309/0310
# Attachment 2 to DPS-268

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Final EEPS Reconciliation**

Utility: KeySpan Gas East Corporation d/b/a National Grid
Program Funding Fuel: Gas

***Total EEPS 1 & 2 as of 10/17/2017 :***

| | Utility EEPS Collections[1] | Expended through 6/30/17[1] | Encumbered as of 6/30/17[15] | Unspent / Unencumbered as of 6/30/17[1] | Overspending[2] | Shareholder Incentive[3] | Funds Provided by NYSERDA[3] | Balance of Unspent / Unencumbered after Overspending & Shareholder Incentives[4] |
|---|---|---|---|---|---|---|---|---|
| | A | B | C | D = A - B - C | E | F | G | H = D - E - F + G |
| **Total EEPS Portfolio** | $ 42,131,458 | $ 35,036,351 | $ 1,178,038 | $ 5,917,069 | $ 917,099 | $ 1,166,376 | $ - | $ 3,833,594 |

***Total EEPS 1 & 2 from 10/18/2017 through 12/31/2017:***

| | Encumbered as of 6/30/17[1] | Amount spent 7/1/17-12/31/17 | Total 7/1/17-12/31/17 Unspent |
|---|---|---|---|
| | C | I | J = C - I |
| **Total EEPS Portfolio** | $ 1,178,038 | $ 142,274 | $ 1,035,764 |

***Total Final EEPS 1 & 2***

| | Balance of Unspent / Unencumbered after Overspending & Shareholder Incentives[4] | Total 7/1/17-12/31/17 Unspent | Final EEPS Unspent | Accrued Interest through 5/30/18[6] | Total EEPS Unspent + Interest |
|---|---|---|---|---|---|
| | H | J | K = H + J | L | M = K + L |
| **Total EEPS Portfolio** | $ 3,833,594 | $ 1,035,764 | $ 4,869,358 | | $ 4,869,358 |

[1] Total EEPS Portfolio needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 11 and 12 for electric and gas programs, respectively.

[2] Total EEPS Portfolio needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 16 and 17 for electric and gas programs, respectively.

[3] Total EEPS Portfolio needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 18 and 19 for electric and gas programs, respectively.

[4] Total needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 18 and 19 for electric and gas programs, respectively. If NYSERDA was required to provide funds for the company's shareholder incentive, the balance in D should be $0.

[5] The 'Encumbered as of 6/30/17' field has been updated to reflect the 6/30/17 encumbered balance after the December 2015 scorecards were modified and approved by Staff in May 2018.

[6] Accrued Interest through 5/30/18 includes interest on all SBC collections (Utility + NYSERDA) that were collected through December 31, 2015. The Commission, in its January 21, 2016 CEF Order (14-M-0094) established the Bill-As-You-Go approach for the CEF and directed utilities to hold CEF collections and interest in a segregated account. Therefore, they should NOT also be reported as part of the EEPS Reconciliation Report.

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**CEF & SBC Combined Carrying Charges Through June 2018 (U2540280)**
**06-G-1185/1186 14-M-00494**

| Month/Year | SBC/EEPS CCs (Note 2 & 4) | CEF CCs (Note 3) | Combined CC | Ending Balance | Ledger Balance | Variance (Note 1) |
|---|---|---|---|---|---|---|
| Dec-2015 | **(652,684.00)** | - | **(652,684.00)** | (652,684.00) | | |
| Jan-2016 | (4,711.47) | (2,117.04) | (6,828.51) | (659,512.51) | | |
| Feb-2016 | (5,775.36) | (4,325.38) | (10,100.74) | (669,613.25) | | |
| Mar-2016 | (7,548.78) | (3,120.16) | (10,668.93) | (680,282.19) | | |
| Apr-2016 | (3,740.69) | (1,743.04) | (5,483.74) | (685,765.92) | | |
| May-2016 | (3,772.11) | (1,604.69) | (5,376.80) | (691,142.72) | | |
| Jun-2016 | (6,304.21) | (462.00) | (6,766.22) | (697,908.94) | | |
| Jul-2016 | (4,145.11) | 1,003.11 | (3,142.00) | (701,050.93) | | |
| Aug-2016 | (4,151.86) | 1,787.99 | (2,363.87) | (703,414.81) | | |
| Sep-2016 | (4,297.96) | 2,592.91 | (1,705.05) | (705,119.85) | | |
| Oct-2016 | (4,392.45) | 3,399.87 | (992.58) | (706,112.44) | | |
| Nov-2016 | (4,165.12) | 4,182.38 | 17.27 | (706,095.17) | | |
| Dec-2016 | (3,581.31) | 5,401.49 | 1,820.18 | (704,274.99) | | |
| Jan-2017 | (4,242.91) | 4,698.09 | 455.17 | (703,819.81) | | |
| Feb-2017 | (3,154.85) | 4,150.06 | 995.20 | (702,824.61) | | |
| Mar-2017 | (3,441.76) | 3,397.46 | (44.30) | (702,868.91) | | |
| Apr-2017 | (2,532.04) | 2,849.33 | 317.29 | (702,551.62) | | |
| May-2017 | (2,698.66) | 2,815.09 | 116.44 | (702,435.18) | | |
| Jun-2017 | (2,803.45) | 2,800.25 | (3.20) | (702,438.39) | | |
| Jul-2017 | (2,885.35) | 2,794.83 | (90.52) | (702,528.91) | | |
| Aug-2017 | (2,958.62) | 3,121.48 | 162.86 | (702,366.06) | | |
| Sep-2017 | (3,036.29) | 3,762.80 | 726.52 | (701,639.54) | | |
| Oct-2017 | (3,108.65) | 4,004.06 | 895.42 | (700,744.12) | | |
| Nov-2017 | (3,208.95) | 3,941.38 | 732.43 | (700,011.70) | | |
| Dec-2017 | (2,743.16) | 3,983.48 | 1,240.31 | (698,771.39) | | |
| Jan-2018 | (3,568.00) | 5,011.94 | 1,443.93 | (697,327.46) | | |
| Feb-2018 | (4,452.24) | 4,041.29 | (410.95) | (697,738.40) | | |
| Mar-2018 | (4,824.57) | 2,397.43 | (2,427.13) | (700,165.54) | | |

| Month/Year | SBC/EEPS CCs (Note 2 & 4) | CEF CCs (Note 3) | Combined CC | Ending Balance | Ledger Balance | Variance (Note 1) |
|---|---|---|---|---|---|---|
| Apr-2018 | (5,159.40) | 860.08 | (4,299.33) | (704,464.87) | | |
| May-2018 | (5,391.53) | 208.16 | (5,183.38) | (709,648.24) | (751,672.35) | 42,024.11 |
| Jun-2018 | | | - | (709,648.24) | | |
| **Total By Category** | **(769,480.89)** | **59,832.65** | **(709,648.24)** | | | |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry will be recorded in June 2018.***
***Note 2: SBC/EEPS interest balances will remain within this account.***
***Note 3: CEF interest balances will be transferred to a separate account***

***Note 4: Accrued Interest through 5/30/18 includes interest on all SBC collections (Utility + NYSERDA) that were collected through December 31, 2015. The Commission, in its January 21, 2016 CEF Order (14-M-0094) established the Bill-As-You-Go approach for the CEF and directed utilities to hold CEF collections and interest in a segregated account. Therefore, they should NOT also be reported as part of the EEPS Reconciliation Report.***

**Keyspan Gas East Corporation d/b/a National Grid**
**Carrying Charges**
**Clean Energy Fund**
**Case 14-M-0094/ 15-M-0252**
**January 2016 - June 2018**

| Customer Capital Rate | |
|---|---|
| CY 2016 | 2.60% |
| CY 2017 | 2.10% |
| CY 2018 | 2.80% |

| Net Deferred Tax Rate | | | | | |
|---|---|---|---|---|---|
| | FY 2016 | FY 2017 | FY 2018 (Thru Dec17) | FY 2018 (Jan-Mar18) | FY 2019 |
| Total | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| Tax Rate | 40.80% | 40.41% | 40.42% | 27.59% | 27.60% |
| Tax Adjusted | 59.20% | 59.59% | 59.58% | 72.41% | 72.40% |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Ending Balance (Note 1 & 2) |
|---|---|---|---|---|---|---|---|
| Jan-2016 | - | (3,300,878.83) | (1,954,186.28) | (977,093.14) | 2.60% | (2,117.04) | (2,117.04) |
| Feb-2016 | (3,300,878.83) | (3,443,248.59) | (2,038,472.03) | (1,996,329.16) | 2.60% | (4,325.38) | (6,442.41) |
| Mar-2016 | (3,443,248.59) | (1,421,694.59) | (841,671.63) | (1,440,071.83) | 2.60% | (3,120.16) | (9,562.57) |
| Apr-2016 | (1,421,694.59) | (1,287,574.83) | (767,291.60) | (804,481.61) | 2.60% | (1,743.04) | (11,305.61) |
| May-2016 | (1,287,574.83) | (1,198,078.63) | (713,959.02) | (740,625.31) | 2.60% | (1,604.69) | (12,910.30) |
| Jun-2016 | (1,198,078.63) | 482,436.87 | 287,493.78 | (213,232.62) | 2.60% | (462.00) | (13,372.31) |
| Jul-2016 | 482,436.87 | 1,071,376.00 | 638,454.38 | 462,974.08 | 2.60% | 1,003.11 | (12,369.20) |
| Aug-2016 | 1,071,376.00 | 1,698,211.93 | 1,011,998.46 | 825,226.42 | 2.60% | 1,787.99 | (10,581.21) |
| Sep-2016 | 1,698,211.93 | 2,318,199.63 | 1,381,461.52 | 1,196,729.99 | 2.60% | 2,592.91 | (7,988.29) |
| Oct-2016 | 2,318,199.63 | 2,948,181.50 | 1,756,880.32 | 1,569,170.92 | 2.60% | 3,399.87 | (4,588.42) |
| Nov-2016 | 2,948,181.50 | 3,530,309.45 | 2,103,782.00 | 1,930,331.16 | 2.60% | 4,182.38 | (406.04) |
| Dec-2016 | 3,530,309.45 | 4,836,569.86 | 2,882,208.71 | 2,492,995.36 | 2.60% | 5,401.49 | 4,995.45 |
| Jan-2017 | 4,836,569.86 | 4,173,432.15 | 2,487,031.69 | 2,684,620.20 | 2.10% | 4,698.09 | 9,693.54 |
| Feb-2017 | 4,173,432.15 | 3,785,556.42 | 2,255,888.78 | 2,371,460.23 | 2.10% | 4,150.06 | 13,843.59 |
| Mar-2017 | 3,785,556.42 | 2,730,102.38 | 1,626,922.61 | 1,941,405.70 | 2.10% | 3,397.46 | 17,241.05 |
| Apr-2017 | 2,730,102.38 | 2,734,931.70 | 1,629,453.85 | 1,628,188.23 | 2.10% | 2,849.33 | 20,090.38 |
| May-2017 | 2,734,931.70 | 2,665,011.07 | 1,587,795.60 | 1,608,624.73 | 2.10% | 2,815.09 | 22,905.48 |
| Jun-2017 | 2,665,011.07 | 2,706,456.89 | 1,612,488.75 | 1,600,142.18 | 2.10% | 2,800.25 | 25,705.73 |
| Jul-2017 | 2,706,456.89 | 2,654,611.62 | 1,581,599.69 | 1,597,044.22 | 2.10% | 2,794.83 | 28,500.55 |
| Aug-2017 | 2,654,611.62 | 3,333,039.27 | 1,985,802.30 | 1,783,700.99 | 2.10% | 3,121.48 | 31,622.03 |
| Sep-2017 | 3,333,039.27 | 3,884,812.85 | 2,314,545.27 | 2,150,173.79 | 2.10% | 3,762.80 | 35,384.83 |
| Oct-2017 | 3,884,812.85 | 3,795,826.72 | 2,261,527.94 | 2,288,036.61 | 2.10% | 4,004.06 | 39,388.90 |
| Nov-2017 | 3,795,826.72 | 3,764,564.18 | 2,242,901.93 | 2,252,214.93 | 2.10% | 3,941.38 | 43,330.27 |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Ending Balance (Note 1 & 2) |
|---|---|---|---|---|---|---|---|
| Dec-2017 | 3,764,564.18 | 3,876,582.69 | 2,309,641.80 | 2,276,271.86 | 2.10% | 3,983.48 | 47,313.75 |
| Jan-2018 | 3,876,582.69 | 2,743,081.38 | 1,986,303.63 | 2,147,972.71 | 2.80% | 5,011.94 | 52,325.69 |
| Feb-2018 | 2,743,081.38 | 2,040,650.09 | 1,477,663.30 | 1,731,983.46 | 2.80% | 4,041.29 | 56,366.98 |
| Mar-2018 | 2,040,650.09 | 797,219.19 | 577,277.57 | 1,027,470.44 | 2.80% | 2,397.43 | 58,764.41 |
| Apr-2018 | 797,219.19 | 220,909.92 | 159,930.80 | 368,604.19 | 2.80% | 860.08 | 59,624.49 |
| May-2018 | 220,909.92 | 25,539.98 | 18,490.02 | 89,210.41 | 2.80% | 208.16 | 59,832.65 |
| Jun-2018 | 25,539.98 | 179,135.12 | 129,687.36 | 74,088.69 | 2.80% | 172.87 | 60,005.52 |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry will be recorded in June 2018.***
***Note 2: CEF interest balances will be transferred to a separate account in June 2018.***

| Customer Capital Rate | |
|---|---|
| CY 2016 | 2.60% |
| CY 2017 | 2.10% |
| CY 2018 | 2.80% |

| Net Deferred Tax Rate | | | | | |
|---|---|---|---|---|---|
| | FY 2016 | FY 2017 | FY 2018 (Thru Dec17) | FY 2018 (Jan-Mar18) | FY 2019 |
| Total | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| Tax Rate | 40.80% | 40.41% | 40.42% | 27.59% | 27.60% |
| Tax Adjusted | 59.20% | 59.59% | 59.58% | 72.41% | 72.40% |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Interest Recovered/ Refunded | Ending Balance (Note 1) |
|---|---|---|---|---|---|---|---|---|
| **Balance Fwd** | | | | | | | | **(652,684.00)** |
| Jan-2016 | (4,748,798.68) | (4,387,225.12) | (2,597,325.02) | (2,174,526.08) | 2.60% | (4,711.47) | | (657,395.47) |
| Feb-2016 | (4,387,225.12) | (4,617,713.32) | (2,733,778.64) | (2,665,551.83) | 2.60% | (5,775.36) | | (663,170.84) |
| Mar-2016 | (4,617,713.32) | (3,396,754.57) | (2,010,946.64) | (2,372,362.64) | 2.60% | (5,140.12) | (2,408.66) | (670,719.61) |
| Apr-2016 | (3,396,754.57) | (3,346,845.54) | (1,994,452.20) | (2,002,699.42) | 2.60% | (4,339.18) | 598.49 | (674,460.31) |
| May-2016 | (3,346,845.54) | (3,379,173.79) | (2,013,717.25) | (2,004,084.72) | 2.60% | (4,342.18) | 570.07 | (678,232.42) |
| Jun-2016 | (3,379,173.79) | (3,457,456.51) | (2,060,367.49) | (2,037,042.37) | 2.60% | (4,413.59) | (1,890.62) | (684,536.63) |
| Jul-2016 | (3,457,456.51) | (3,508,708.39) | (2,090,909.51) | (2,075,638.50) | 2.60% | (4,497.22) | 352.11 | (688,681.74) |
| Aug-2016 | (3,508,708.39) | (3,589,317.81) | (2,138,946.27) | (2,114,927.89) | 2.60% | (4,582.34) | 430.48 | (692,833.60) |
| Sep-2016 | (3,589,317.81) | (3,664,888.08) | (2,183,980.11) | (2,161,463.19) | 2.60% | (4,683.17) | 385.21 | (697,131.56) |
| Oct-2016 | (3,664,888.08) | (3,717,845.25) | (2,215,538.34) | (2,199,759.23) | 2.60% | (4,766.14) | 373.69 | (701,524.02) |
| Nov-2016 | (3,717,845.25) | (3,802,764.61) | (2,266,143.49) | (2,240,840.92) | 2.60% | (4,855.16) | 690.04 | (705,689.13) |
| Dec-2016 | (3,802,764.61) | (3,999,409.03) | (2,383,327.83) | (2,324,735.66) | 2.60% | (5,036.93) | 1,455.62 | (709,270.44) |
| Jan-2017 | (3,999,409.03) | (4,137,664.10) | (2,465,716.79) | (2,424,522.31) | 2.10% | (4,242.91) | | (713,513.35) |
| Feb-2017 | (4,137,664.10) | (4,274,838.71) | (2,547,461.88) | (2,506,589.34) | 2.10% | (4,386.53) | 1,231.68 | (716,668.21) |
| Mar-2017 | (4,274,838.71) | (2,325,778.19) | (1,385,977.74) | (1,966,719.81) | 2.10% | (3,441.76) | | (720,109.97) |
| Apr-2017 | (2,325,778.19) | (2,530,711.83) | (1,507,781.02) | (1,446,879.38) | 2.10% | (2,532.04) | | (722,642.00) |
| May-2017 | (2,530,711.83) | (2,645,881.89) | (1,576,398.57) | (1,542,089.80) | 2.10% | (2,698.66) | | (725,340.66) |
| Jun-2017 | (2,645,881.89) | (2,731,731.27) | (1,627,547.05) | (1,601,972.81) | 2.10% | (2,803.45) | | (728,144.11) |
| Jul-2017 | (2,731,731.27) | (2,802,982.87) | (1,669,998.27) | (1,648,772.66) | 2.10% | (2,885.35) | | (731,029.47) |
| Aug-2017 | (2,802,982.87) | (2,872,277.55) | (1,711,283.57) | (1,690,640.92) | 2.10% | (2,958.62) | | (733,988.09) |
| Sep-2017 | (2,872,277.55) | (2,951,960.62) | (1,758,758.21) | (1,735,020.89) | 2.10% | (3,036.29) | | (737,024.37) |
| Oct-2017 | (2,951,960.62) | (3,011,082.77) | (1,793,982.79) | (1,776,370.50) | 2.10% | (3,108.65) | | (740,133.02) |
| Nov-2017 | (3,011,082.77) | (3,144,360.70) | (1,873,388.88) | (1,833,685.83) | 2.10% | (3,208.95) | | (743,341.97) |
| Dec-2017 | (3,144,360.70) | (2,117,607.99) | (1,261,656.54) | (1,567,522.71) | 2.10% | (2,743.16) | | (746,085.14) |
| Jan-2018 | (2,117,607.99) | (2,481,147.23) | (1,796,633.44) | (1,529,144.99) | 2.80% | (3,568.00) | | (749,653.14) |

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Carrying Charge Calculation thru December 2015**

PAGE 1 OF 2

Prior to FY 2016

| | |
|---|---|
| **Total** | **100.0000%** |
| **Tax Rate** | **40.6100%** |
| **Tax Adjuste** | **59.3900%** |

NYPSC Other Customer Capital

| | |
|---|---|
| **CY 2016** | **2.6000%** |
| **CY 2017** | **2.1000%** |
| **CY 2018** | **2.8000%** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Sep-2007 | - | 81,170.89 | 40,585.45 | 9.23% | 185.40 | | - | **185.40** |
| Oct-2007 | 81,170.89 | 159,251.85 | 120,211.37 | 9.23% | 549.14 | | - | **549.14** |
| Nov-2007 | 159,251.85 | 486,468.45 | 322,860.15 | 9.23% | 1,474.85 | | - | **1,474.85** |
| Dec-2007 | 486,468.45 | 559,249.23 | 522,858.84 | 9.23% | 2,388.46 | | - | **2,388.46** |
| Jan-2008 | 559,249.23 | 66,924.94 | 313,087.09 | 8.78% | 1,360.48 | | - | **1,360.48** |
| Feb-2008 | 66,924.94 | (1,177,251.47) | (555,163.27) | 8.78% | (2,412.39) | | (1,203.17) | **(1,209.22)** |
| Mar-2008 | (1,177,251.47) | (1,846,318.72) | (1,511,785.10) | 8.78% | (6,569.26) | | (8,941.09) | **2,371.83** |
| Apr-2008 | (1,846,318.72) | (2,754,859.63) | (2,300,589.18) | 8.78% | (9,996.91) | | (9,405.09) | **(591.82)** |
| May-2008 | (2,754,859.63) | (3,251,991.93) | (3,003,425.78) | 8.78% | (13,050.99) | | (14,287.19) | **1,236.20** |
| Jun-2008 | (3,251,991.93) | (3,267,431.92) | (3,259,711.93) | 8.78% | (14,164.65) | | (14,751.93) | **587.28** |
| Jul-2008 | (3,267,431.92) | (3,064,551.64) | (3,165,991.78) | 8.78% | (13,757.40) | | (15,036.05) | **1,278.65** |
| Aug-2008 | (3,064,551.64) | (3,089,028.34) | (3,076,789.99) | 8.78% | (13,369.79) | | (13,854.05) | **484.26** |
| Sep-2008 | (3,089,028.34) | (3,263,028.09) | (3,176,028.22) | 8.78% | (13,801.01) | | (15,063.41) | **1,262.40** |
| Oct-2008 | (3,263,028.09) | (3,133,284.28) | (3,198,156.19) | 8.78% | (13,897.17) | | (15,124.30) | **1,227.13** |
| Nov-2008 | (3,133,284.28) | (3,604,696.26) | (3,368,990.27) | 8.78% | (14,639.50) | | (16,278.49) | **1,638.99** |
| Dec-2008 | (3,604,696.26) | (2,423,174.81) | (3,013,935.54) | 8.78% | (13,096.66) | | (14,313.58) | **1,216.92** |
| Jan-2009 | (2,423,174.81) | (4,000,427.60) | (3,211,801.21) | 8.83% | (14,035.94) | | (15,131.45) | **1,095.51** |
| Feb-2009 | (4,000,427.60) | (5,608,426.22) | (4,804,426.91) | 8.83% | (20,995.89) | | (25,260.79) | **4,264.90** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Mar-2009 | (5,608,426.22) | (6,311,982.65) | (5,960,204.44) | 8.83% | (26,046.77) | | (30,667.16) | **4,620.39** |
| Apr-2009 | (6,311,982.65) | (7,003,585.63) | (6,657,784.14) | 8.83% | (29,095.28) | | (31,569.24) | **2,473.96** |
| May-2009 | (7,003,585.63) | (6,257,485.78) | (6,630,535.71) | 8.83% | (28,976.20) | | (31,533.45) | **2,557.25** |
| Jun-2009 | (6,257,485.78) | (5,970,850.84) | (6,114,168.31) | 8.83% | (26,719.61) | | (29,059.19) | **2,339.58** |
| Jul-2009 | (5,970,850.84) | (6,051,682.10) | (6,011,266.47) | 8.83% | (26,269.92) | | (28,566.95) | **2,297.03** |
| Aug-2009 | (6,051,682.10) | (5,700,805.04) | (5,876,243.57) | 8.83% | (25,679.86) | | (27,911.60) | **2,231.74** |
| Sep-2009 | (5,700,805.04) | (5,549,803.60) | (5,625,304.32) | 8.83% | (24,583.22) | | (26,684.28) | **2,101.06** |
| Oct-2009 | (5,549,803.60) | (3,345,579.11) | (4,447,691.36) | 8.83% | (19,436.92) | | (22,727.71) | **3,290.79** |
| Nov-2009 | (3,345,579.11) | (2,630,392.29) | (2,987,985.70) | 8.83% | (13,057.84) | | (15,717.33) | **2,659.49** |
| Dec-2009 | (2,630,392.29) | (1,074,285.38) | (1,852,338.84) | 8.83% | (8,094.93) | | (10,268.15) | **2,173.22** |
| Jan-2010 | (1,074,285.38) | (2,033,428.01) | (1,553,856.70) | 9.09% | (6,990.48) | | (167,471.95) | **160,481.47** |
| Feb-2010 | (2,033,428.01) | (2,558,534.08) | (2,295,981.05) | 9.09% | (10,329.14) | | (17,255.85) | **6,926.71** |
| Mar-2010 | (2,558,534.08) | (2,423,534.15) | (2,491,034.12) | 9.09% | (11,206.65) | | (17,932.30) | **6,725.65** |
| Apr-2010 | (2,423,534.15) | (2,461,852.31) | (2,442,693.23) | 9.09% | (10,989.17) | | (17,909.47) | **6,920.30** |
| May-2010 | (2,461,852.31) | (1,762,586.92) | (2,112,219.62) | 9.09% | (9,502.44) | | (18,866.00) | **9,363.56** |
| Jun-2010 | (1,762,586.92) | (701,467.71) | (1,232,027.32) | 9.09% | (5,542.64) | | (16,218.23) | **10,675.59** |
| Jul-2010 | (701,467.71) | (910,556.47) | (806,012.09) | 9.09% | (3,626.08) | | (12,520.48) | **8,894.40** |
| Aug-2010 | (910,556.47) | (675,676.98) | (793,116.72) | 9.09% | (3,568.07) | | (12,883.33) | **9,315.26** |
| Sep-2010 | (675,676.98) | 175,795.59 | (249,940.69) | 9.09% | (1,124.43) | | (8,695.72) | **7,571.29** |
| Oct-2010 | 175,795.59 | 4,786,912.34 | 2,481,353.97 | 9.09% | 11,163.10 | | (5,828.13) | **16,991.23** |
| Nov-2010 | 4,786,912.34 | 4,238,879.71 | 4,512,896.03 | 9.09% | 20,302.58 | | (7,022.44) | **27,325.02** |
| Dec-2010 | 4,238,879.71 | 5,512,206.81 | 4,875,543.26 | 9.09% | 21,934.06 | | (9,939.45) | **31,873.51** |
| Jan-2011 | 5,512,206.81 | 3,443,771.44 | 4,477,989.13 | 8.52% | 18,882.29 | | (22,065.03) | **40,947.32** |
| Feb-2011 | 3,443,771.44 | 1,841,782.73 | 2,642,777.09 | 8.52% | 11,143.77 | | 213,223.59 | **(202,079.82)** |
| Mar-2011 | 1,841,782.73 | (1,062,230.37) | 389,776.18 | 8.52% | 1,643.57 | | (27,597.03) | **29,240.60** |
| Apr-2011 | (1,062,230.37) | (2,375,286.86) | (1,718,758.61) | 8.52% | (7,247.47) | | (24,686.41) | **17,438.94** |
| May-2011 | (2,375,286.86) | (3,630,439.35) | (3,002,863.10) | 8.52% | (12,662.14) | | (22,624.00) | **9,961.86** |
| Jun-2011 | (3,630,439.35) | (2,615,840.69) | (3,123,140.02) | 8.52% | (13,169.31) | | (16,828.75) | **3,659.44** |
| Jul-2011 | (2,615,840.69) | (2,000,862.33) | (2,308,351.51) | 8.52% | (9,733.60) | | (15,310.03) | **5,576.43** |
| Aug-2011 | (2,000,862.33) | (819,464.66) | (1,410,163.49) | 8.52% | (5,946.22) | | (10,986.41) | **5,040.19** |
| Sep-2011 | (819,464.66) | (1,106,556.57) | (963,010.61) | 8.52% | (4,060.72) | | (6,762.65) | **2,701.93** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Oct-2011 | (1,106,556.57) | (1,088,570.51) | (1,097,563.54) | 8.52% | (4,628.09) | | (7,796.37) | **3,168.28** |
| Nov-2011 | (1,088,570.51) | (1,979,574.65) | (1,534,072.58) | 8.52% | (6,468.71) | | (10,897.03) | **4,428.32** |
| Dec-2011 | (1,979,574.65) | (3,204,465.81) | (2,592,020.23) | 8.52% | (10,929.75) | | (18,411.99) | **7,482.24** |
| Jan-2012 | (3,204,465.81) | (4,037,352.76) | (3,620,909.28) | 7.38% | (13,225.32) | | (22,256.53) | **9,031.21** |
| Feb-2012 | (4,037,352.76) | (5,088,334.09) | (4,562,843.42) | 7.38% | (16,665.72) | | (28,047.67) | **11,381.95** |
| Mar-2012 | (5,088,334.09) | (4,503,464.05) | (4,795,899.07) | 7.38% | (17,516.95) | | (24,606.01) | **7,089.06** |
| Apr-2012 | (4,503,464.05) | (4,789,191.02) | (4,646,327.53) | 7.38% | (16,970.64) | | (32,593.83) | **15,623.19** |
| May-2012 | (4,789,191.02) | (4,750,058.18) | (4,769,624.60) | 7.38% | (17,420.98) | | (29,891.14) | **12,470.16** |
| Jun-2012 | (4,750,058.18) | (4,526,025.65) | (4,638,041.91) | 7.38% | (16,940.38) | | (40,901.77) | **23,961.39** |
| Jul-2012 | (4,526,025.65) | (4,311,320.26) | (4,418,672.95) | 7.38% | (16,139.14) | | (38,580.12) | **22,440.98** |
| Aug-2012 | (4,311,320.26) | (3,421,329.51) | (3,866,324.88) | 7.38% | (14,121.69) | | (36,167.80) | **22,046.11** |
| Sep-2012 | (3,421,329.51) | (3,410,454.74) | (3,415,892.12) | 7.38% | (12,476.49) | | (18,086.55) | **5,610.06** |
| Oct-2012 | (3,410,454.74) | (3,163,340.06) | (3,286,897.40) | 7.38% | (12,005.34) | | (27,669.64) | **15,664.30** |
| Nov-2012 | (3,163,340.06) | (3,738,191.12) | (3,450,765.59) | 7.38% | (12,603.87) | | (28,676.88) | **16,073.01** |
| Dec-2012 | (3,738,191.12) | (3,761,641.49) | (3,749,916.30) | 7.38% | (13,696.51) | | (19,294.45) | **5,597.94** |
| Jan-2013 | (3,761,641.49) | (1,946,512.14) | (2,854,076.81) | 0.88% | (1,243.03) | | (17,543.05) | **16,300.02** |
| Feb-2013 | (1,946,512.14) | (2,791,156.07) | (2,368,834.10) | 0.88% | (1,031.69) | | (14,560.42) | **13,528.73** |
| Mar-2013 | (2,791,156.07) | (3,603,118.43) | (3,197,137.25) | 0.88% | (1,392.44) | | 29,429.39 | **(30,821.83)** |
| Apr-2013 | (3,603,118.43) | (3,672,087.86) | (3,637,603.14) | 0.88% | (1,584.27) | | 20,826.82 | **(22,411.09)** |
| May-2013 | (3,672,087.86) | (4,161,819.66) | (3,916,953.76) | 0.88% | (1,705.94) | | (16,793.26) | **15,087.32** |
| Jun-2013 | (4,161,819.66) | (3,307,352.06) | (3,734,585.86) | 0.88% | (1,626.51) | | 24,092.05 | **(25,718.56)** |
| Jul-2013 | (3,307,352.06) | (3,067,579.12) | (3,187,465.59) | 0.88% | (1,388.23) | | (820.31) | **(567.92)** |
| Aug-2013 | (3,067,579.12) | (2,155,425.86) | (2,611,502.49) | 0.88% | (1,137.38) | | (1,382.95) | **245.57** |
| Sep-2013 | (2,155,425.86) | (1,528,525.29) | (1,841,975.57) | 0.88% | (802.23) | | (474.04) | **(328.19)** |
| Oct-2013 | (1,528,525.29) | (1,369,719.06) | (1,449,122.17) | 0.88% | (631.13) | | (372.94) | **(258.19)** |
| Nov-2013 | (1,369,719.06) | (1,392,819.10) | (1,381,269.08) | 0.88% | (601.58) | | (355.48) | **(246.10)** |
| Dec-2013 | (1,392,819.10) | (1,878,287.92) | (1,635,553.51) | 0.88% | (712.33) | | (420.92) | **(291.41)** |
| Jan-2014 | (1,878,287.92) | (3,269,975.71) | (2,574,131.81) | 0.25% | (318.50) | | (1,363.16) | **1,044.66** |
| Feb-2014 | (3,269,975.71) | (2,813,874.26) | (3,041,924.98) | 0.25% | (376.37) | | (3,327.92) | **2,951.55** |
| Mar-2014 | (2,813,874.26) | (2,747,852.86) | (2,780,863.56) | 0.25% | (344.07) | | 878.08 | **(1,222.15)** |
| Apr-2014 | (2,747,852.86) | (2,881,042.09) | (2,814,447.47) | 0.25% | (348.23) | | (2,457.27) | **2,109.04** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge/Net of Taxes | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| May-2014 | (2,881,042.09) | (2,858,401.84) | (2,869,721.96) | 0.25% | (355.07) | | 1,329.66 | **(1,684.73)** |
| Jun-2014 | (2,858,401.84) | (2,275,536.39) | (2,566,969.11) | 0.25% | (317.61) | | (586.44) | **268.83** |
| Jul-2014 | (2,275,536.39) | (1,396,040.58) | (1,835,788.48) | 0.25% | (227.14) | | (495.97) | **268.83** |
| Aug-2014 | (1,396,040.58) | (795,308.71) | (1,095,674.64) | 0.25% | (135.57) | | (404.40) | **268.83** |
| Sep-2014 | (795,308.71) | (1,762,753.81) | (1,279,031.26) | 0.25% | (158.25) | | (427.09) | **268.84** |
| Oct-2014 | (1,762,753.81) | (1,046,352.96) | (1,404,553.38) | 0.25% | (173.78) | | (426.52) | **252.74** |
| Nov-2014 | (1,046,352.96) | (1,381,166.29) | (1,213,759.62) | 0.25% | (150.18) | | 1,726.29 | **(1,876.47)** |
| Dec-2014 | (1,381,166.29) | (1,341,706.64) | (1,361,436.46) | 0.25% | (168.45) | | (228.25) | **59.80** |
| Jan-2015 | (1,341,706.64) | (4,138,929.76) | (2,740,318.20) | 0.46% | (623.87) | | (407.22) | **(216.65)** |
| Feb-2015 | (4,138,929.76) | (7,262,525.46) | (5,700,727.61) | 0.67% | (1,890.33) | | (847.15) | **(1,043.18)** |
| Mar-2015 | (7,262,525.46) | (4,733,970.72) | (5,998,248.09) | 0.67% | (1,988.98) | | (879.93) | **(1,109.05)** |
| Apr-2015 | (4,733,970.72) | (5,705,408.34) | (5,219,689.53) | 0.84% | (2,169.98) | | (776.50) | **(1,393.48)** |
| May-2015 | (5,705,408.34) | (6,070,514.31) | (5,887,961.33) | 0.69% | (2,010.69) | | (888.36) | **(1,122.33)** |
| Jun-2015 | (6,070,514.31) | (5,302,458.48) | (5,686,486.40) | 0.53% | (1,491.60) | | (841.88) | **(649.72)** |
| Jul-2015 | (5,302,458.48) | (4,206,877.32) | (4,754,667.90) | 0.65% | (1,529.56) | | (705.95) | **(823.61)** |
| Aug-2015 | (4,206,877.32) | (3,837,142.37) | (4,022,009.84) | 0.72% | (1,433.20) | | (597.16) | **(836.04)** |

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Combined SBC/CEF Principal Balances January 2016 to March 2018**
**CEF Balance**
**U2540736/ U1823736**

| | SBC/EES | CEF | Combined Principal | General Ledger |
|---|---|---|---|---|
| **Balance Fwd Dec 15** | **(4,748,798.68)** | - | **(4,748,798.68)** | |
| Jan-2016 | (4,387,225.12) | (3,300,878.83) | (7,688,103.95) | |
| Feb-2016 | (4,617,713.32) | (3,443,248.59) | (8,060,961.91) | |
| Mar-2016 | (3,396,754.57) | (1,421,694.59) | (4,818,449.16) | |
| Apr-2016 | (3,346,845.54) | (1,287,574.83) | (4,634,420.38) | |
| May-2016 | (3,379,173.79) | (1,198,078.63) | (4,577,252.43) | |
| Jun-2016 | (3,457,456.51) | 482,436.87 | (2,975,019.64) | |
| Jul-2016 | (3,508,708.39) | 1,071,376.00 | (2,437,332.40) | |
| Aug-2016 | (3,589,317.81) | 1,698,211.93 | (1,891,105.88) | |
| Sep-2016 | (3,664,888.08) | 2,318,199.63 | (1,346,688.46) | |
| Oct-2016 | (3,717,845.25) | 2,948,181.50 | (769,663.76) | |
| Nov-2016 | (3,802,764.61) | 3,530,309.45 | (272,455.17) | |
| Dec-2016 | (3,999,409.03) | 4,836,569.86 | 837,160.83 | |
| Jan-2017 | (4,137,664.10) | 4,173,432.15 | 35,768.05 | |
| Feb-2017 | (4,274,838.71) | 3,785,556.42 | (489,282.29) | |
| Mar-2017 | (2,325,778.19) | 2,730,102.38 | 404,324.20 | |
| Apr-2017 | (2,530,711.83) | 2,734,931.70 | 204,219.88 | |
| May-2017 | (2,645,881.89) | 2,665,011.07 | 19,129.18 | |
| Jun-2017 | (2,731,731.27) | 2,706,456.89 | (25,274.38) | |
| Jul-2017 | (2,802,982.87) | 2,654,611.62 | (148,371.24) | |
| Aug-2017 | (2,872,277.55) | 3,333,039.27 | 460,761.73 | |
| Sep-2017 | (2,951,960.62) | 3,884,812.85 | 932,852.24 | |
| Oct-2017 | (3,011,082.77) | 3,795,826.72 | 784,743.96 | |
| Nov-2017 | (3,144,360.70) | 3,764,564.18 | 620,203.48 | |
| Dec-2017 | (2,117,607.99) | 3,876,582.69 | 1,758,974.70 | |
| Jan-2018 | (2,481,147.23) | 2,743,081.38 | 261,934.15 | |
| Feb-2018 | (2,789,028.43) | 2,040,650.09 | (748,378.34) | |
| Mar-2018 | (2,921,870.70) | 797,219.19 | (2,124,651.51) | |
| Apr-2018 | (3,186,042.30) | 220,909.92 | (2,965,132.38) | |
| May-2018 | (3,197,307.80) | 25,539.98 | (3,171,767.82) | (3,171,767.45) |
| Jun-2018 | - | 179,135.12 | 179,135.12 | (3,018,172.67) |

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Summary of the CEF Principal Balance January 2016 to May 2018**
**U2540736/U1823736**

| | Beginning Balance | NYSERDA Costs | Total Costs | ActualAuthorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveries | Monthly Deferral | 2016/2017 Collections Imbalance | Ending Balance |
|---|---|---|---|---|---|---|---|---|---|---|
| **Jan-16** | **-** | - | - | (2,021,007.12) | (1,486,636.62) | | (3,507,643.74) | (3,507,643.74) | 206,764.91 | **(3,300,878.83)** |
| **Feb-16** | **(3,300,878.83)** | - | - | (1,539,818.68) | (404,800.93) | 1,486,636.62 | (457,982.99) | (457,982.99) | 315,613.23 | **(3,443,248.59)** |
| **Mar-16** | **(3,443,248.59)** | 1,592,352.00 | 1,592,352.00 | (1,071,153.72) | 53,599.79 | 404,800.93 | (612,753.00) | 979,599.00 | 1,041,955.00 | **(1,421,694.59)** |
| **Apr-16** | **(1,421,694.59)** | - | - | (201,966.73) | 61,576.66 | (53,599.79) | (193,989.86) | (193,989.86) | 328,109.61 | **(1,287,574.83)** |
| **May-16** | **(1,287,574.83)** | - | - | (192,378.62) | 30,918.45 | (61,576.66) | (223,036.83) | (223,036.83) | 312,533.03 | **(1,198,078.63)** |
| **Jun-16** | **(1,198,078.63)** | 1,592,352.02 | 1,592,352.02 | (174,816.96) | 9,896.05 | (30,918.45) | (195,839.36) | 1,396,512.66 | 284,002.84 | **482,436.87** |
| **Jul-16** | **482,436.87** | 530,784.01 | 530,784.01 | (118,822.32) | (6,162.00) | (9,896.05) | (134,880.37) | 395,903.64 | 193,035.49 | **1,071,376.00** |
| **Aug-16** | **1,071,376.00** | 530,784.01 | 530,784.01 | (145,270.13) | (841.81) | 6,162.00 | (139,949.95) | 390,834.06 | 236,001.88 | **1,698,211.93** |
| **Sep-16** | **1,698,211.93** | 530,784.01 | 530,784.01 | (129,994.96) | 7,170.59 | 841.81 | (121,982.56) | 408,801.44 | 211,186.25 | **2,318,199.63** |
| **Oct-16** | **2,318,199.63** | 530,784.01 | 530,784.01 | (126,104.41) | 27,607.09 | (7,170.59) | (105,667.91) | 425,116.10 | 204,865.77 | **2,948,181.50** |
| **Nov-16** | **2,948,181.50** | 416,268.06 | 416,268.06 | (232,860.05) | 48,028.98 | (27,607.09) | (212,438.17) | 203,829.89 | 378,298.06 | **3,530,309.45** |
| **Dec-16** | **3,530,309.45** | 629,886.69 | 629,886.69 | (491,216.53) | 89,368.56 | (48,028.98) | (449,876.95) | 180,009.73 | 1,126,250.68 | **4,836,569.86** |
| **Jan-17** | **4,836,569.86** | 388,242.52 | 388,242.52 | (264,081.01) | (682,656.67) | (89,368.56) | (1,036,106.24) | (647,863.71) | (15,274.00) | **4,173,432.15** |
| **Feb-17** | **4,173,432.15** | 309,636.34 | 309,636.34 | (818,239.47) | (514,603.68) | 682,656.67 | (650,186.48) | (340,550.14) | (47,325.59) | **3,785,556.42** |
| **Mar-17** | **3,785,556.42** | (144,335.00) | (144,335.00) | (784,970.61) | (595,350.73) | 514,603.68 | (865,717.65) | (1,010,052.65) | (45,401.38) | **2,730,102.38** |
| **Apr-17** | **2,730,102.38** | 343,463.00 | 343,463.00 | (646,628.61) | (249,955.89) | 595,350.73 | (301,233.77) | 42,229.23 | (37,399.91) | **2,734,931.70** |
| **May-17** | **2,734,931.70** | 215,562.00 | 215,562.00 | (312,247.14) | (205,131.54) | 249,955.89 | (267,422.79) | (51,860.79) | (18,059.85) | **2,665,011.07** |
| **Jun-17** | **2,665,011.07** | 215,407.00 | 215,407.00 | (218,673.87) | (147,771.11) | 205,131.54 | (161,313.45) | 54,093.55 | (12,647.73) | **2,706,456.89** |
| **Jul-17** | **2,706,456.89** | 125,840.00 | 125,840.00 | (173,581.73) | (141,834.98) | 147,771.11 | (167,645.60) | (41,805.60) | (10,039.67) | **2,654,611.62** |
| **Aug-17** | **2,654,611.62** | 863,956.55 | 863,956.55 | (163,107.90) | (154,822.09) | 141,834.98 | (176,095.01) | 687,861.54 | (9,433.89) | **3,333,039.27** |
| **Sep-17** | **3,333,039.27** | 728,264.27 | 728,264.27 | (173,801.65) | (147,458.74) | 154,822.09 | (166,438.30) | 561,825.97 | (10,052.39) | **3,884,812.85** |
| **Oct-17** | **3,884,812.85** | 196,663.00 | 196,663.00 | (145,700.32) | (278,980.49) | 147,458.74 | (277,222.07) | (80,559.07) | (8,427.06) | **3,795,826.72** |
| **Nov-17** | **3,795,826.72** | 575,788.00 | 575,788.00 | (339,206.24) | (527,205.68) | 278,980.49 | (587,431.43) | (11,643.43) | (19,619.12) | **3,764,564.18** |
| **Dec-17** | **3,764,564.18** | 562,050.00 | 562,050.00 | (700,105.23) | (827,531.86) | 527,205.68 | (1,000,431.41) | (438,381.41) | 550,399.92 | **3,876,582.69** |
| **Jan-18** | **3,876,582.69** | 101,430.00 | 101,430.00 | (1,093,274.28) | (838,904.25) | 827,531.86 | (1,104,646.67) | (1,003,216.67) | (130,284.64) | **2,743,081.38** |
| **Feb-18** | **2,743,081.38** | 73,166.00 | 73,166.00 | (913,285.45) | (592,380.57) | 838,904.25 | (666,761.77) | (593,595.77) | (108,835.52) | **2,040,650.09** |
| **Mar-18** | **2,040,650.09** | (277,439.40) | (277,439.40) | (788,350.61) | (676,074.33) | 592,380.57 | (872,044.37) | (1,149,483.77) | (93,947.13) | **797,219.19** |
| **Apr-18** | **797,219.19** | - | - | (760,511.20) | (401,242.88) | 676,074.33 | (485,679.75) | (485,679.75) | (90,629.52) | **220,909.92** |
| **May-2018** | **220,909.92** | 91,364.41 | 91,364.41 | (477,481.05) | (153,595.14) | 401,242.88 | (229,833.31) | (138,468.90) | (56,901.04) | **25,539.98** |
| **Jun-2018** | **25,539.98** | | - | - | | 153,595.14 | 153,595.14 | 153,595.14 | | **179,135.12** |

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID**
**Summary of the SBC/EES Principal Balances January 2016 to June 2018**

| | Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | ActualAuthorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveries | Monthly Deferral | Imbalance ider (Over)-Collecti | EE Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Interest | Ending Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sep-07** | - | 81,170.89 | | 81,170.89 | | | | - | 81,170.89 | | | | | **81,170.89** | - | **81,170.89** |
| **Oct-07** | **81,170.89** | 78,080.96 | | 78,080.96 | | | | - | 78,080.96 | | | | | **159,251.85** | - | **159,251.85** |
| **Nov-07** | **159,251.85** | 327,216.60 | | 327,216.60 | | | | - | 327,216.60 | | | | | **486,468.45** | - | **486,468.45** |
| **Dec-07** | **486,468.45** | 72,780.78 | | 72,780.78 | | | | - | 72,780.78 | | | | | **559,249.23** | - | **559,249.23** |
| **Jan-08** | **559,249.23** | 94,744.45 | - | 94,744.45 | (587,068.74) | - | - | (587,068.74) | (492,324.29) | | | | | **66,924.94** | - | **66,924.94** |
| **Feb-08** | **66,924.94** | 210,475.60 | - | 210,475.60 | (1,454,652.01) | - | - | (1,454,652.01) | (1,244,176.41) | | | | | **(1,177,251.47)** | (1,203.17) | **(1,178,454.64)** |
| **Mar-08** | **(1,177,251.47)** | 690,012.22 | - | 690,012.22 | (1,359,079.47) | - | - | (1,359,079.47) | (669,067.25) | | | | | **(1,846,318.72)** | (8,941.09) | **(1,856,462.98)** |
| **Apr-08** | **(1,846,318.72)** | 96,508.53 | - | 96,508.53 | (1,005,049.44) | - | - | (1,005,049.44) | (908,540.91) | | | | | **(2,754,859.63)** | (9,405.09) | **(2,774,408.98)** |
| **May-08** | **(2,754,859.63)** | 136,961.76 | - | 136,961.76 | (634,094.06) | - | - | (634,094.06) | (497,132.30) | | | | | **(3,251,991.93)** | (14,287.19) | **(3,285,828.47)** |
| **Jun-08** | **(3,251,991.93)** | 401,161.16 | - | 401,161.16 | (416,601.15) | - | - | (416,601.15) | (15,439.99) | | | | | **(3,267,431.92)** | (14,751.93) | **(3,316,020.39)** |
| **Jul-08** | **(3,267,431.92)** | 441,603.18 | - | 441,603.18 | (238,722.90) | - | - | (238,722.90) | 202,880.28 | | | | | **(3,064,551.64)** | (15,036.05) | **(3,128,176.16)** |
| **Aug-08** | **(3,064,551.64)** | 306,551.72 | - | 306,551.72 | (331,028.42) | - | - | (331,028.42) | (24,476.70) | | | | | **(3,089,028.34)** | (13,854.05) | **(3,166,506.91)** |
| **Sep-08** | **(3,089,028.34)** | 158,060.86 | - | 158,060.86 | (332,060.61) | - | - | (332,060.61) | (173,999.75) | | | | | **(3,263,028.09)** | (15,063.41) | **(3,355,570.07)** |
| **Oct-08** | **(3,263,028.09)** | 544,976.97 | - | 544,976.97 | (415,233.16) | - | - | (415,233.16) | 129,743.81 | | | | | **(3,133,284.28)** | (15,124.30) | **(3,240,950.56)** |
| **Nov-08** | **(3,133,284.28)** | 194,940.83 | - | 194,940.83 | (666,352.81) | - | - | (666,352.81) | (471,411.98) | | | | | **(3,604,696.26)** | (16,278.49) | **(3,728,641.03)** |
| **Dec-08** | **(3,604,696.26)** | 2,416,611.23 | - | 2,416,611.23 | (1,235,089.78) | - | - | (1,235,089.78) | 1,181,521.45 | | | | | **(2,423,174.81)** | (14,313.58) | **(2,561,433.16)** |
| **Jan-09** | **(2,423,174.81)** | 74,476.94 | - | 74,476.94 | (1,651,729.73) | - | - | (1,651,729.73) | (1,577,252.79) | | | | | **(4,000,427.60)** | (15,131.45) | **(4,153,817.40)** |
| **Feb-09** | **(4,000,427.60)** | 216,829.29 | - | 216,829.29 | (1,824,827.91) | - | - | (1,824,827.91) | (1,607,998.62) | | | | | **(5,608,426.22)** | (25,260.79) | **(5,787,076.81)** |
| **Mar-09** | **(5,608,426.22)** | 773,138.02 | - | 773,138.02 | (1,476,694.45) | - | - | (1,476,694.45) | (703,556.43) | | | | | **(6,311,982.65)** | (30,667.16) | **(6,521,300.40)** |
| **Apr-09** | **(6,311,982.65)** | 404,611.83 | - | 404,611.83 | (1,096,214.81) | - | - | (1,096,214.81) | (691,602.98) | | | | | **(7,003,585.63)** | (31,569.24) | **(7,244,472.62)** |
| **May-09** | **(7,003,585.63)** | 859,738.53 | - | 859,738.53 | (645,605.80) | - | - | (645,605.80) | 214,132.73 | | | 531,967.12 | | **(6,257,485.78)** | (31,533.45) | **(6,529,906.22)** |
| **Jun-09** | **(6,257,485.78)** | 717,837.78 | - | 717,837.78 | (431,202.84) | - | - | (431,202.84) | 286,634.94 | | | | | **(5,970,850.84)** | (29,059.19) | **(6,272,330.47)** |
| **Jul-09** | **(5,970,850.84)** | 299,058.58 | - | 299,058.58 | (379,889.84) | - | - | (379,889.84) | (80,831.26) | | | | | **(6,051,682.10)** | (28,566.95) | **(6,381,728.68)** |
| **Aug-09** | **(6,051,682.10)** | 573,343.17 | - | 573,343.17 | (312,439.61) | - | - | (312,439.61) | 260,903.56 | | | 89,973.50 | | **(5,700,805.04)** | (27,911.60) | **(6,058,763.22)** |
| **Sep-09** | **(5,700,805.04)** | 493,424.80 | - | 493,424.80 | (342,423.36) | - | - | (342,423.36) | 151,001.44 | | | | | **(5,549,803.60)** | (26,684.28) | **(5,934,446.06)** |
| **Oct-09** | **(5,549,803.60)** | 2,654,825.02 | - | 2,654,825.02 | (468,149.75) | - | - | (468,149.75) | 2,186,675.27 | | | 17,549.22 | | **(3,345,579.11)** | (22,727.71) | **(3,752,949.28)** |
| **Nov-09** | **(3,345,579.11)** | 733,214.10 | - | 733,214.10 | (18,027.28) | - | - | (18,027.28) | 715,186.82 | | | | | **(2,630,392.29)** | (15,717.33) | **(3,053,479.79)** |
| **Dec-09** | **(2,630,392.29)** | 3,281,122.49 | - | 3,281,122.49 | (1,725,015.58) | - | - | (1,725,015.58) | 1,556,106.91 | | | | | **(1,074,285.38)** | (10,268.15) | **(1,507,641.03)** |
| **Jan-10** | **(1,074,285.38)** | (59,530.97) | - | (59,530.97) | (1,454,125.74) | - | - | (1,454,125.74) | (1,513,656.71) | | | 554,514.08 | | **(2,033,428.01)** | (167,471.95) | **(2,634,255.61)** |
| **Feb-10** | **(2,033,428.01)** | 691,531.80 | - | 691,531.80 | (1,216,637.87) | - | - | (1,216,637.87) | (525,106.07) | | | | | **(2,558,534.08)** | (17,255.85) | **(3,176,617.53)** |
| **Mar-10** | **(2,558,534.08)** | 1,403,299.27 | - | 1,403,299.27 | (1,268,299.34) | - | - | (1,268,299.34) | 134,999.93 | | | | | **(2,423,534.15)** | (17,932.30) | **(3,059,549.90)** |
| **Apr-10** | **(2,423,534.15)** | 35,759.17 | - | 35,759.17 | (616,744.83) | - | - | (616,744.83) | (580,985.66) | | | 542,667.50 | | **(2,461,852.31)** | (17,909.47) | **(3,115,777.53)** |
| **May-10** | **(2,461,852.31)** | 208,761.58 | 898,577.00 | 1,107,338.58 | (408,073.19) | - | - | (408,073.19) | 699,265.39 | | | | | **(1,762,586.92)** | (18,866.00) | **(2,435,378.14)** |
| **Jun-10** | **(1,762,586.92)** | 1,429,707.94 | - | 1,429,707.94 | (368,588.73) | - | - | (368,588.73) | 1,061,119.21 | | | | | **(701,467.71)** | (16,218.23) | **(1,390,477.16)** |
| **Jul-10** | **(701,467.71)** | 16,277.37 | - | 16,277.37 | (225,366.13) | - | - | (225,366.13) | (209,088.76) | | | | | **(910,556.47)** | (12,520.48) | **(1,612,086.40)** |
| **Aug-10** | **(910,556.47)** | 457,286.73 | - | 457,286.73 | (222,407.24) | - | - | (222,407.24) | 234,879.49 | | | | | **(675,676.98)** | (12,883.33) | **(1,390,090.24)** |
| **Sep-10** | **(675,676.98)** | 1,083,296.35 | - | 1,083,296.35 | (231,823.78) | - | - | (231,823.78) | 851,472.57 | | | | | **175,795.59** | (8,695.72) | **(547,313.39)** |
| **Oct-10** | **175,795.59** | 314,780.89 | 4,703,655.00 | 5,018,435.89 | (407,319.14) | - | - | (407,319.14) | 4,611,116.75 | | | | | **4,786,912.34** | (5,828.13) | **4,057,975.23** |
| **Nov-10** | **4,786,912.34** | 262,476.71 | - | 262,476.71 | (810,509.34) | - | - | (810,509.34) | (548,032.63) | | | | | **4,238,879.71** | (7,022.44) | **3,502,920.16** |
| **Dec-10** | **4,238,879.71** | 1,632,715.33 | 1,169,743.50 | 2,802,458.83 | (1,529,131.73) | - | - | (1,529,131.73) | 1,273,327.10 | | | | | **5,512,206.81** | (9,939.45) | **4,766,307.81** |
| **Jan-11** | **5,512,206.81** | 392,863.16 | 584,871.75 | 977,734.91 | (2,509,666.57) | (1,163,754.00) | 627,250.29 | (3,046,170.28) | (2,068,435.37) | | | | | **3,443,771.44** | (22,065.03) | **2,675,807.41** |
| **Feb-11** | **3,443,771.44** | 292,317.39 | 589,145.00 | 881,462.39 | (3,023,500.51) | (924,180.91) | 1,163,754.00 | (2,783,927.42) | (1,902,465.03) | | | 300,476.32 | | **1,841,782.73** | 213,223.59 | **1,287,042.29** |
| **Mar-11** | **1,841,782.73** | 881,919.88 | 1,674,441.50 | 2,556,361.38 | (2,631,372.76) | 829,895.35 | 924,180.91 | (877,296.50) | 1,679,064.88 | | | (503,077.98) | (4,080,000.00) | **(1,062,230.37)** | (27,597.03) | **(1,644,567.84)** |
| **Apr-11** | **(1,062,230.37)** | 538,925.31 | 725,722.25 | 1,264,647.56 | (2,182,797.70) | 434,989.00 | (829,895.35) | (2,577,704.05) | (1,313,056.49) | | | | | **(2,375,286.86)** | (24,686.41) | **(2,982,310.74)** |
| **May-11** | **(2,375,286.86)** | (37,761.25) | 725,722.25 | 687,961.00 | (1,120,488.00) | (299,364.36) | (434,989.00) | (1,854,841.36) | (1,166,880.36) | | | (88,272.13) | | **(3,630,439.35)** | (22,624.00) | **(4,260,087.23)** |
| **Jun-11** | **(3,630,439.35)** | 1,160,342.98 | 725,722.25 | 1,886,065.23 | (807,421.41) | (275,156.89) | 299,364.36 | (783,213.94) | 1,102,851.29 | | | (88,252.63) | | **(2,615,840.69)** | (16,828.75) | **(3,262,317.32)** |
| **Jul-11** | **(2,615,840.69)** | 531,731.28 | 725,722.25 | 1,257,453.53 | (639,022.56) | (206,151.90) | 275,156.89 | (570,017.57) | 687,435.96 | | | (72,457.60) | | **(2,000,862.33)** | (15,310.03) | **(2,662,648.99)** |
| **Aug-11** | **(2,000,862.33)** | 1,094,025.96 | 725,722.25 | 1,819,748.21 | (591,462.21) | (184,207.47) | 206,151.90 | (569,517.78) | 1,250,230.43 | | | (68,832.76) | | **(819,464.66)** | (10,986.41) | **(1,492,237.73)** |
| **Sep-11** | **(819,464.66)** | (369,270.52) | 725,722.25 | 356,451.73 | (601,966.97) | (159,383.11) | 184,207.47 | (577,142.61) | (220,690.88) | | | (66,401.03) | | **(1,106,556.57)** | (6,762.65) | **(1,786,092.29)** |
| **Oct-11** | **(1,106,556.57)** | 305,248.41 | 725,722.25 | 1,030,970.66 | (662,105.68) | (441,186.24) | 159,383.11 | (943,908.81) | 87,061.85 | | | (69,075.79) | | **(1,088,570.51)** | (7,796.37) | **(1,775,902.60)** |
| **Nov-11** | **(1,088,570.51)** | 223,735.22 | 346,790.58 | 570,525.80 | (1,174,448.82) | (623,053.22) | 441,186.24 | (1,356,315.80) | (785,790.00) | | | (105,214.14) | | **(1,979,574.65)** | (10,897.03) | **(2,677,803.77)** |
| **Dec-11** | **(1,979,574.65)** | 569,592.63 | 346,790.58 | 916,383.21 | (1,617,598.50) | (1,008,105.29) | 623,053.22 | (2,002,650.57) | (1,086,267.36) | | | (138,623.80) | | **(3,204,465.81)** | (18,411.99) | **(3,921,106.92)** |
| **Jan-12** | **(3,204,465.81)** | 182,656.53 | 346,790.58 | 529,447.11 | (1,954,993.21) | (415,446.14) | 1,008,105.29 | (1,362,334.06) | (832,886.95) | | | - | | **(4,037,352.76)** | (22,256.53) | **(4,776,250.40)** |
| **Feb-12** | **(4,037,352.76)** | 75,626.14 | 40,832.58 | 116,458.72 | (1,268,649.08) | (314,237.11) | 415,446.14 | (1,167,440.05) | (1,050,981.33) | | | - | | **(5,088,334.09)** | (28,047.67) | **(5,855,279.40)** |
| **Mar-12** | **(5,088,334.09)** | 112,551.21 | 40,832.58 | 153,383.79 | (908,922.22) | (188,498.59) | 314,237.11 | (783,183.70) | (629,799.91) | | | 1,214,669.95 | | **(4,503,464.05)** | (33,209.91) | **(5,303,619.27)** |
| **Apr-12** | **(4,503,464.05)** | 281,226.25 | 40,832.58 | 322,058.83 | (656,252.08) | (140,032.31) | 188,498.59 | (607,785.80) | (285,726.97) | | | - | | **(4,789,191.02)** | (23,989.93) | **(5,613,336.17)** |
| **May-12** | **(4,789,191.02)** | 408,935.86 | 40,832.58 | 449,768.44 | (429,571.39) | (101,164.12) | 140,032.31 | (390,703.20) | 59,065.24 | | | (19,932.40) | | **(4,750,058.18)** | (29,891.14) | **(5,604,094.47)** |
| **Jun-12** | **(4,750,058.18)** | 511,962.85 | 40,832.58 | 552,795.43 | (256,319.12) | (122,458.85) | 101,164.12 | (277,613.85) | 275,181.58 | | | (51,149.05) | | **(4,526,025.65)** | (40,901.77) | **(5,420,963.71)** |
| **Jul-12** | **(4,526,025.65)** | 441,313.59 | 40,832.58 | 482,146.17 | (262,965.13) | (71,560.79) | 122,458.85 | (212,067.07) | 270,079.10 | | | (55,373.71) | | **(4,311,320.26)** | (38,580.12) | **(5,244,838.44)** |
| **Aug-12** | **(4,311,320.26)** | 1,139,898.09 | 40,832.58 | 1,180,730.67 | (234,810.96) | (75,394.77) | 71,560.79 | (238,644.94) | 942,085.73 | | | (52,094.98) | | **(3,421,329.51)** | (36,167.80) | **(4,391,015.49)** |
| **Sep-12** | **(3,421,329.51)** | 262,604.67 | 40,832.58 | 303,437.25 | (234,655.42) | (81,039.02) | 75,394.77 | (240,299.67) | 63,137.58 | | | (52,262.81) | | **(3,410,454.74)** | (18,086.55) | **(4,398,227.27)** |
| **Oct-12** | **(3,410,454.74)** | 617,579.29 | 40,832.58 | 658,411.87 | (293,719.21) | (139,901.44) | 81,039.02 | (352,581.63) | 305,830.24 | | | (58,715.56) | | **(3,163,340.06)** | (27,669.64) | **(4,178,782.23)** |
| **Nov-12** | **(3,163,340.06)** | 239,099.36 | 42,578.75 | 281,678.11 | (620,956.98) | (276,440.79) | 139,901.44 | (757,496.33) | (475,818.22) | | | (99,032.84) | | **(3,738,191.12)** | - | **(4,753,633.29)** |
| **Dec-12** | **(3,738,191.12)** | 960,546.31 | 42,578.75 | 1,003,125.06 | (745,631.45) | (439,683.91) | 276,440.79 | (908,874.57) | 94,250.49 | | | (117,700.86) | | **(3,761,641.49)** | 1,015,442.17 | **(3,761,641.49)** |
| **Jan-13** | **(3,761,641.49)** | 2,907,863.06 | 326,355.25 | 3,234,218.31 | (1,211,170.19) | (495,099.58) | 439,683.91 | (1,266,585.86) | 1,967,632.45 | | | (152,503.10) | | **(1,946,512.14)** | | **(1,946,512.14)** |
| **Feb-13** | **(1,946,512.14)** | 645,926.98 | 374,542.42 | 1,020,469.40 | (1,652,348.33) | (516,006.22) | 495,099.58 | (1,673,254.97) | (652,785.57) | | | (191,858.36) | | **(2,791,156.07)** | | **(2,791,156.07)** |
| **Mar-13** | **(2,791,156.07)** | (921,318.78) | 374,542.42 | (546,776.36) | (1,526,441.86) | (506,044.18) | 516,006.22 | (1,516,479.82) | (2,063,256.18) | | | 1,251,293.82 | | **(3,603,118.43)** | | **(3,603,118.43)** |
| **Apr-13** | **(3,603,118.43)** | 736,662.01 | 374,542.42 | 1,111,204.43 | (1,284,948.05) | (243,210.72) | 506,044.18 | (1,022,114.59) | 89,089.84 | | | (158,059.27) | | **(3,672,087.86)** | | **(3,672,087.86)** |
| **May-13** | **(3,672,087.86)** | 11,814.77 | 374,542.42 | 386,357.19 | (726,435.97) | (219,514.43) | 243,210.72 | (702,739.68) | (316,382.49) | | | (173,349.31) | | **(4,161,819.66)** | | **(4,161,819.66)** |
| **Jun-13** | **(4,161,819.66)** | 1,030,280.54 | 374,542.42 | 1,404,822.96 | (433,235.30) | (196,520.22) | 219,514.43 | (410,241.09) | 994,581.87 | | | (140,114.27) | | **(3,307,352.06)** | | **(3,307,352.06)** |

| | Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | ActualAuthorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveries | Monthly Deferral | Imbalance ıder (Over)-Collecti | EE Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Interest | Ending Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Jul-13 | (3,307,352.06) | 260,153.60 | 374,542.42 | 634,696.02 | (360,869.45) | (119,999.09) | 196,520.22 | (284,348.32) | 350,347.70 | | | (110,574.76) | | (3,067,579.12) | | (3,067,579.12) |
| Aug-13 | (3,067,579.12) | 1,034,768.33 | 374,542.42 | 1,409,310.75 | (370,988.52) | (120,037.42) | 119,999.09 | (371,026.85) | 1,038,283.90 | | | (126,130.64) | | (2,155,425.86) | | (2,155,425.86) |
| Sep-13 | (2,155,425.86) | 722,262.54 | 374,542.42 | 1,096,804.96 | (341,051.91) | (142,205.83) | 120,037.42 | (363,220.32) | 733,584.64 | | | (106,684.07) | | (1,528,525.29) | | (1,528,525.29) |
| Oct-13 | (1,528,525.29) | 458,409.78 | 374,542.42 | 832,952.20 | (414,559.60) | (266,384.48) | 142,205.83 | (538,738.25) | 294,213.95 | | | (135,407.72) | | (1,369,719.06) | | (1,369,719.06) |
| Nov-13 | (1,369,719.06) | 712,585.81 | 366,611.75 | 1,079,197.56 | (597,358.06) | (630,153.22) | 266,384.48 | (961,126.80) | 118,070.76 | | | (141,170.80) | | (1,392,819.10) | | (1,392,819.10) |
| Dec-13 | (1,392,819.10) | 779,764.89 | 366,611.75 | 1,146,376.64 | (1,660,749.01) | (601,249.67) | 630,153.22 | (1,631,845.46) | (485,468.82) | | | | | (1,878,287.92) | | (1,878,287.92) |
| Jan-14 | (1,878,287.92) | 1,006,979.09 | 1,047,675.33 | 2,054,654.42 | (2,530,878.06) | (1,338,624.52) | 601,249.67 | (3,268,252.91) | (1,213,598.49) | | | (178,089.30) | | (3,269,975.71) | - | (3,269,975.71) |
| Feb-14 | (3,269,975.71) | 282,195.43 | 3,756,269.00 | 4,038,464.43 | (3,407,921.11) | (1,272,869.94) | 1,338,624.52 | (3,342,166.53) | 696,297.90 | | | (240,196.45) | | (2,813,874.26) | - | (2,813,874.26) |
| Mar-14 | (2,813,874.26) | 386,487.56 | 971,232.00 | 1,357,719.56 | (3,287,801.28) | (1,449,521.91) | 1,272,869.94 | (3,464,453.25) | (2,106,733.69) | | | 2,172,755.09 | | (2,747,852.86) | - | (2,747,852.86) |
| Apr-14 | (2,747,852.86) | 803,706.54 | 971,232.00 | 1,774,938.54 | (2,388,594.06) | (969,055.62) | 1,449,521.91 | (1,908,127.77) | (133,189.23) | | | | | (2,881,042.09) | - | (2,881,042.09) |
| May-14 | (2,881,042.09) | 465,534.58 | 971,232.00 | 1,436,766.58 | (1,546,104.53) | (726,120.28) | 969,055.62 | (1,303,169.19) | 133,597.39 | | | (110,957.14) | | (2,858,401.84) | - | (2,858,401.84) |
| Jun-14 | (2,858,401.84) | 394,491.16 | 971,232.00 | 1,365,723.16 | (782,634.26) | (619,450.01) | 726,120.28 | (675,963.99) | 689,759.17 | | | (106,893.72) | | (2,275,536.39) | - | (2,275,536.39) |
| Jul-14 | (2,275,536.39) | 385,539.96 | 971,232.00 | 1,356,771.96 | (587,957.25) | (418,059.60) | 619,450.01 | (386,566.84) | 970,205.12 | | | (90,709.31) | | (1,396,040.58) | - | (1,396,040.58) |
| Aug-14 | (1,396,040.58) | 228,414.82 | 971,232.00 | 1,199,646.82 | (581,042.49) | (346,757.64) | 418,059.60 | (509,740.53) | 689,906.29 | | | (89,174.42) | | (795,308.71) | - | (795,308.71) |
| Sep-14 | (795,308.71) | (904,306.31) | 971,232.00 | 66,925.69 | (774,436.81) | (473,985.10) | 346,757.64 | (901,664.27) | (834,738.58) | | | (132,706.52) | | (1,762,753.81) | (623,018.74) | (2,385,772.55) |
| Oct-14 | (1,762,753.81) | 587,050.05 | 971,232.00 | 1,558,282.05 | (725,904.13) | (474,927.17) | 473,985.10 | (726,846.20) | 831,435.85 | | | (115,035.00) | | (1,046,352.96) | (157.68) | (1,669,529.38) |
| Nov-14 | (1,046,352.96) | 809,668.36 | 964,840.08 | 1,774,508.44 | (1,211,229.55) | (1,218,480.97) | 474,927.17 | (1,954,783.35) | (180,274.91) | | | (154,538.42) | | (1,381,166.29) | (150.18) | (2,004,492.89) |
| Dec-14 | (1,381,166.29) | 591,574.67 | 964,840.08 | 1,556,414.75 | (2,506,494.55) | (1,014,974.26) | 1,218,480.97 | (2,302,987.84) | (746,573.09) | 966,649.00 | | (180,616.26) | | (1,341,706.64) | (27.67) | (1,965,060.91) |
| Jan-15 | (1,341,706.64) | 703,250.18 | 1,039,331.33 | 1,742,581.51 | (3,437,872.08) | (1,879,345.00) | 1,014,974.26 | (4,302,242.82) | (2,559,661.31) | (237,561.81) | | | - | (4,138,929.76) | (533.13) | (4,762,817.16) |
| Feb-15 | (4,138,929.76) | 254,982.72 | 1,039,331.33 | 1,294,314.05 | (4,390,478.37) | (1,719,970.35) | 1,879,345.00 | (4,231,103.72) | (2,936,789.67) | (186,806.03) | | | - | (7,262,525.46) | (941.54) | (7,887,354.40) |
| Mar-15 | (7,262,525.46) | 317,395.90 | 1,039,331.33 | 1,356,727.23 | (4,699,182.83) | (1,394,648.28) | 1,719,970.35 | (4,373,860.76) | (3,017,133.53) | (192,385.04) | | 1,658,073.31 | 4,080,000.00 | (4,733,970.72) | (1,080.86) | (5,359,880.53) |
| Apr-15 | (4,733,970.72) | 908,862.23 | 1,039,331.33 | 1,948,193.56 | (3,243,466.99) | (949,042.83) | 1,394,648.28 | (2,797,861.54) | (849,667.98) | (122,015.80) | | 246.16 | - | (5,705,408.34) | (1,065.53) | (6,332,383.68) |
| May-15 | (5,705,408.34) | 191,109.35 | 1,039,331.33 | 1,230,440.68 | (1,399,658.90) | (901,366.32) | 949,042.83 | (1,351,982.39) | (121,541.71) | (70,191.41) | | (173,372.85) | - | (6,070,514.31) | 626,477.27 | (6,071,012.38) |
| Jun-15 | (6,070,514.31) | 173,922.90 | 1,039,331.33 | 1,213,254.23 | (493,717.71) | (808,942.42) | 901,366.32 | (401,293.81) | 811,960.42 | (20,255.98) | | (23,648.61) | - | (5,302,458.48) | - | (5,302,458.48) |
| Jul-15 | (5,302,458.48) | 325,583.33 | 1,039,331.33 | 1,364,914.66 | (685,610.04) | (347,772.00) | 808,942.42 | (224,439.62) | 1,140,475.04 | (11,063.79) | | (33,830.09) | - | (4,206,877.32) | - | (4,206,877.32) |
| Aug-15 | (4,206,877.32) | (8,621.32) | 1,039,331.33 | 1,030,710.01 | (625,677.34) | (297,101.92) | 347,772.00 | (575,007.26) | 455,702.75 | (28,308.11) | | (57,659.69) | - | (3,837,142.37) | - | (3,837,142.37) |
| Sep-15 | (3,837,142.37) | 279,710.15 | 1,039,331.33 | 1,319,041.48 | (563,814.29) | (297,665.28) | 297,101.92 | (564,377.65) | 754,663.83 | (27,783.17) | | (52,781.18) | - | (3,163,042.89) | - | (3,163,042.89) |
| Oct-15 | (3,163,042.89) | 228,920.33 | 1,039,331.33 | 1,268,251.66 | (752,815.13) | (516,184.82) | 297,665.28 | (971,334.67) | 296,916.99 | (47,809.69) | | (89,223.87) | - | (3,003,159.46) | - | (3,003,159.46) |
| Nov-15 | (3,003,159.46) | 234,729.33 | 1,039,331.33 | 1,274,060.66 | (1,116,474.97) | (765,971.97) | 516,184.82 | (1,366,262.12) | (92,201.46) | (67,250.17) | | (101,638.54) | - | (3,264,249.63) | - | (3,264,249.63) |
| Dec-15 | (3,264,249.63) | (414,444.24) | 1,039,331.33 | 624,887.09 | (2,068,973.43) | (565,227.05) | 765,971.97 | (1,868,228.50) | (1,243,341.41) | (91,975.70) | | (149,231.94) | - | (4,748,798.68) | - | (4,748,798.68) |
| Jan-16 | (4,748,798.68) | 184,029.82 | - | 184,029.82 | - | - | 565,227.05 | 565,227.05 | 749,256.87 | - | | (387,683.31) | | (4,387,225.12) | | (4,387,225.12) |
| Feb-16 | (4,387,225.12) | 4,105.66 | - | 4,105.66 | - | - | - | - | 4,105.66 | - | | (234,593.86) | | (4,617,713.32) | | (4,617,713.32) |
| Mar-16 | (4,617,713.32) | 58,987.82 | - | 58,987.82 | - | - | - | - | 58,987.82 | - | | 1,161,970.93 | | (3,396,754.57) | | (3,396,754.57) |
| Apr-16 | (3,396,754.57) | 23,673.46 | - | 23,673.46 | - | - | - | - | 23,673.46 | - | | 26,235.57 | | (3,346,845.54) | | (3,346,845.54) |
| May-16 | (3,346,845.54) | 13,529.22 | - | 13,529.22 | - | - | - | - | 13,529.22 | - | | (45,857.47) | | (3,379,173.79) | | (3,379,173.79) |
| Jun-16 | (3,379,173.79) | 10,389.76 | - | 10,389.76 | - | - | - | - | 10,389.76 | - | | (88,672.48) | | (3,457,456.51) | | (3,457,456.51) |
| Jul-16 | (3,457,456.51) | 5,617.34 | - | 5,617.34 | - | - | - | - | 5,617.34 | - | | (56,869.22) | | (3,508,708.39) | | (3,508,708.39) |
| Aug-16 | (3,508,708.39) | 14,073.77 | - | 14,073.77 | - | - | - | - | 14,073.77 | - | | (94,683.19) | | (3,589,317.81) | | (3,589,317.81) |
| Sep-16 | (3,589,317.81) | 1,566.02 | - | 1,566.02 | - | - | - | - | 1,566.02 | - | | (77,136.29) | | (3,664,888.08) | | (3,664,888.08) |
| Oct-16 | (3,664,888.08) | 6,128.51 | - | 6,128.51 | - | - | - | - | 6,128.51 | - | | (59,085.68) | | (3,717,845.25) | | (3,717,845.25) |
| Nov-16 | (3,717,845.25) | 3,746.20 | - | 3,746.20 | - | - | - | - | 3,746.20 | - | | (88,665.56) | | (3,802,764.61) | | (3,802,764.61) |
| Dec-16 | (3,802,764.61) | 4,171.92 | - | 4,171.92 | - | - | - | - | 4,171.92 | - | | (200,816.34) | | (3,999,409.03) | | (3,999,409.03) |
| Jan-17 | (3,999,409.03) | 4,677.74 | - | 4,677.74 | - | - | - | - | 4,677.74 | - | | (142,932.81) | | (4,137,664.10) | | (4,137,664.10) |
| Feb-17 | (4,137,664.10) | 125,548.73 | - | 125,548.73 | - | - | - | - | 125,548.73 | - | | (262,723.33) | | (4,274,838.71) | | (4,274,838.71) |
| Mar-17 | (4,274,838.71) | 9,088.04 | - | 9,088.04 | - | - | - | - | 9,088.04 | - | | 1,939,972.48 | | (2,325,778.19) | | (2,325,778.19) |
| Apr-17 | (2,325,778.19) | 9,603.43 | - | 9,603.43 | - | - | - | - | 9,603.43 | - | | (214,537.07) | | (2,530,711.83) | | (2,530,711.83) |
| May-17 | (2,530,711.83) | 7,033.42 | - | 7,033.42 | - | - | - | - | 7,033.42 | - | | (122,203.48) | | (2,645,881.89) | | (2,645,881.89) |
| Jun-17 | (2,645,881.89) | 7,508.54 | - | 7,508.54 | - | - | - | - | 7,508.54 | - | | (93,357.92) | | (2,731,731.27) | | (2,731,731.27) |
| Jul-17 | (2,731,731.27) | 8,698.21 | - | 8,698.21 | - | - | - | - | 8,698.21 | - | | (79,949.81) | | (2,802,982.87) | | (2,802,982.87) |
| Aug-17 | (2,802,982.87) | 9,276.31 | - | 9,276.31 | - | - | - | - | 9,276.31 | - | | (78,570.99) | | (2,872,277.55) | | (2,872,277.55) |
| Sep-17 | (2,872,277.55) | 1,252.44 | - | 1,252.44 | - | - | - | - | 1,252.44 | - | | (80,935.51) | | (2,951,960.62) | | (2,951,960.62) |
| Oct-17 | (2,951,960.62) | 1,403.78 | - | 1,403.78 | - | - | - | - | 1,403.78 | - | | (60,525.93) | | (3,011,082.77) | | (3,011,082.77) |
| Nov-17 | (3,011,082.77) | 4,063.09 | - | 4,063.09 | - | - | - | - | 4,063.09 | - | | (137,341.02) | | (3,144,360.70) | | (3,144,360.70) |
| Dec-17 | (3,144,360.70) | 117,580.10 | - | 117,580.10 | - | - | - | - | 117,580.10 | - | 1,166,376.00 | (257,203.39) | | (2,117,607.99) | | (2,117,607.99) |
| Jan-18 | (2,117,607.99) | - | - | - | - | - | - | - | - | | | (363,539.24) | | (2,481,147.23) | | (2,481,147.23) |
| Feb-18 | (2,481,147.23) | - | - | - | - | - | - | - | - | | | (307,881.20) | | (2,789,028.43) | | (2,789,028.43) |
| Mar-18 | (2,789,028.43) | 804.07 | - | 804.07 | - | - | - | - | 804.07 | | | (133,646.34) | | (2,921,870.70) | | (2,921,870.70) |
| Apr-18 | (2,921,870.70) | 570.73 | | 570.73 | | | | - | 570.73 | | | (264,742.33) | | (3,186,042.30) | | (3,186,042.30) |
| May-2018 | (3,186,042.30) | | | - | | | | - | 888.06 | | | (12,153.56) | | (3,197,307.80) | | (3,197,307.80) |
| Jun-2018 | (3,197,307.80) | | | - | | | | - | - | | | | | - | | - |

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recovery of costs. The first meeting of the program design collaborative was held on September 18, 2007. It is the intent of the Signatory Parties that the work of the program design collaborative will be completed by January 11, 2008. All parties reserve the right to support or oppose the work product of the program design collaborative before the Commission. Any dispute arising from the program design collaborative will be referred to the Commission for resolution.

At the request of any party, the parties will reconvene the program design collaborative in Rate Year Three to discuss whether the energy efficiency program budgets should be revised of Rate Year Four and Rate Year Five. Otherwise, the energy efficiency program budgets for Rate Year Four and Rate Year Five will be set at the Rate Year Three Level previously approved by the Commission.

**3. Recovery of Operating Costs**

In each Rate Year of the Rate Period, KEDLI will be allowed to recover from customers all operating costs for energy efficiency programs up to the amount budgeted for the year. In Rate Year One, KEDLI will be allowed to recover from customers all deferrals of interim energy efficiency program costs incurred by KEDLI during the interim period beginning August 1, 2007, as part of the amount budgeted for Rate Year One.

A gas System Benefits Charge (SBC) will be established by KEDLI to provide a recovery mechanism for the cost of energy efficiency programs. The SBC will remain in effect until discontinued by the Commission and replaced by a mechanism that provides for full and timely recovery of energy efficiency-related costs. The SBC surcharge will be a uniform (single block) volumetric charge. The SBC will be instituted as a non-bypassable surcharge on the delivery portion of customer bills in the following service classes:

***Applicable Service Classes for SBC Surcharge***

| KEDLI | Sales Classes | *Accompanying Transportation Classes* |
|---|---|---|
| Low Income | 1AR & 1BR | 5(1AR) & 5(1BR) |
| Residential | 1A & 1B | 5(1A) & 5(1B) |
| Multifamily and Commercial & | 2A, 2B, 3, 15 & 16 | 5(2A), 5(2B), |



| | | |
|---|---|---|
| Industrial | | 5(3), 5(15) & 5(16) |

KEDLI will prepare, file and implement tariff revisions necessary to collect the SBC surcharge from applicable ratepayers.

KEDLI will update its billing system to include the SBC surcharge on the Delivery portion of the utility bill.

An SBC balancing account will be created to match SBC surcharge proceeds to energy efficiency program costs. KEDLI shall establish its specific SBC collection rate on an annual basis beginning with usage on and after January 1, 2008 to correspond to its energy efficiency program budget and year-by-year projections of the coming year's gas sales in applicable service classes, with any over- or under-collections reconciled on an annual basis. The initial SBC collection rate, commencing with usage on and after January 1, 2008, shall be $0.0124/therm. Deferred debits and credits in the SBC balancing account will accrue a carrying charge (base net of Federal and New York State income tax effects) at a rate which KEDLI accrues an allowance for funds used during construction. The amount of such accrued carrying charges will be reflected in the SBC balancing account and the SBC collection rate. Carrying charges will be applied in the same manner as the underlying debit or credit causing them to accrue.

Any SBC funds collected by KEDLI shall be used only for the energy efficiency programs. Any unexpended funds shall be refunded to customers in the same manner as collected.

In the event the SBC charge is discontinued by the Commission, the parties intend that it be replaced with a mechanism that provides full recovery of KEDLI's energy efficiency-

related costs. As long as some such mechanism is in effect, KEDLI will continue to incur energy efficiency program-related costs for programs approved by the Commission pursuant to this Joint Proposal.

**4. Recovery of Lost Revenue**

The interim lost revenue elements contained in the Joint Proposal for Interim Energy Efficiency Programs will continue until superseded by new non-interim lost revenue elements to be presented to the Commission resulting from a "revenue collaborative" to be undertaken by the parties to Cases 06-G-1185 and 06-G-1186 regarding energy efficiency lost revenue. Two additional open issues for discussion and resolution in the revenue collaborative are (a) how to implement a true-up based revenue decoupling mechanism that preserves the benefits of customer growth while limiting customer bill impacts and rate



volatility, to the extent practicable; and (b) how to move towards the eventual implementation of more cost-based rate designs in the context of the revenue decoupling mechanism. The first meeting of the revenue collaborative shall be held on September 18, 2007. It is the intent of the Signatory Parties that the work of the revenue collaborative will be completed by March 7, 2008. All parties reserve the right to support or oppose the work product of the revenue collaborative before the Commission. Any dispute arising from the revenue collaborative will be referred to the Commission for resolution.

Commencing July 1, 2008, KEDLI will be allowed to recover from customers all deferrals of interim lost revenue incurred during the interim period beginning August 1, 2007 permitted by the Joint Proposal for Interim Energy Efficiency Programs. Recovery shall occur as an add-on to the energy efficiency program costs and collected through the gas SBC; such recovery will be subject to all of the provisions regarding the SBC stated above, including particularly those regarding balancing and reconciliation.

**5. Incentive Targets**

The Merger & Gas Revenue Requirement Joint Proposal (at p. 30) in Case 06-M-0878 established an up to 10 basis points upward adjustment in the Earnings Sharing Threshold contingent on KEDLI meeting incentive targets associated with the implementation and operation of energy efficiency programs. The incentive targets associated with the implementation and operation of energy efficiency programs by KEDLI will be dependent on the new non-interim program design elements to be presented to the Commission resulting from the program design collaborative. The establishment of such incentive targets to be presented to the Commission will be an additional task of the program design collaborative.

**The Brooklyn Union Gas Company d/b/a National Grid**
**Carrying Charges**
**Systems Benefit Charge/Energy Efficiency Portfolio**
**Account Number U2540280**

| Customer Capital Rate | |
|---|---|
| CY 2016 | 2.60% |
| CY 2017 | 2.10% |
| CY 2018 | 2.80% |
| CY 2019 | 4.20% \|2\| |

| Net Deferred Tax Rate | | | | | |
|---|---|---|---|---|---|
| | FY 2016 | FY 2017 | FY 2018 (Thru Dec17) | FY 2018 (Jan-Mar18) | FY 2019 |
| Total | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| Tax Rate | 40.80% | 40.41% | 40.42% | 27.59% | 27.60% |
| Tax Adjusted | 59.20% | 59.59% | 59.58% | 72.41% | 72.40% \|3\| |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Interest Recovered/Refunded | Ending Balance (Note 1) |
|---|---|---|---|---|---|---|---|---|
| **Balance Fwd** | | | | | | | | **(5,087,699.11)** |
| Jan-2016 | (34,256,609.89) | (33,414,634.52) | (19,782,131.93) | (15,996,007.97) | 2.60% | (34,658.02) | 9,251.87 | (5,113,105.26) |
| Feb-2016 | (33,414,634.52) | (33,606,247.32) | (19,895,570.54) | (19,838,851.23) | 2.60% | (42,984.18) | (548.95) | (5,156,638.38) |
| Mar-2016 | (33,606,247.32) | (32,411,191.32) | (19,188,073.49) | (19,541,822.01) | 2.60% | (42,340.61) | | (5,198,979.00) |
| Apr-2016 | (32,411,191.32) | (32,595,633.39) | (19,424,389.85) | (19,306,231.67) | 2.60% | (41,830.17) | | (5,240,809.17) |
| May-2016 | (32,595,633.39) | (32,666,144.53) | (19,466,408.85) | (19,445,399.35) | 2.60% | (42,131.70) | | (5,282,940.87) |
| Jun-2016 | (32,666,144.53) | (31,990,152.04) | (19,063,571.40) | (19,264,990.12) | 2.60% | (41,740.81) | | (5,324,681.68) |
| Jul-2016 | (31,990,152.04) | (31,877,913.79) | (18,996,686.38) | (19,030,128.89) | 2.60% | (41,231.95) | | (5,365,913.62) |
| Aug-2016 | (31,877,913.79) | (31,903,272.99) | (19,011,798.44) | (19,004,242.41) | 2.60% | (41,175.86) | | (5,407,089.48) |
| Sep-2016 | (31,903,272.99) | (31,950,674.56) | (19,040,045.98) | (19,025,922.21) | 2.60% | (41,222.83) | | (5,448,312.31) |
| Oct-2016 | (31,950,674.56) | (31,907,983.43) | (19,014,605.48) | (19,027,325.73) | 2.60% | (41,225.87) | | (5,489,538.19) |
| Nov-2016 | (31,907,983.43) | (31,975,019.67) | (19,054,553.72) | (19,034,579.60) | 2.60% | (41,241.59) | | (5,530,779.78) |
| Dec-2016 | (31,975,019.67) | (32,095,397.08) | (19,126,289.03) | (19,090,421.38) | 2.60% | (41,362.58) | | (5,572,142.36) |
| Jan-2017 | (32,095,397.08) | (32,297,955.54) | (19,246,997.66) | (19,186,643.35) | 2.10% | (33,576.63) | | (5,605,718.98) |
| Feb-2017 | (32,297,955.54) | (32,481,885.29) | (19,356,605.08) | (19,301,801.37) | 2.10% | (33,778.15) | | (5,639,497.13) |
| Mar-2017 | (32,481,885.29) | (31,182,235.24) | (18,582,117.62) | (18,969,361.35) | 2.10% | (33,196.38) | | (5,672,693.52) |
| Apr-2017 | (31,182,235.24) | (31,334,819.55) | (18,669,073.98) | (18,625,595.80) | 2.10% | (32,594.79) | | (5,705,288.31) |
| May-2017 | (31,334,819.55) | (31,410,438.24) | (18,714,127.08) | (18,691,600.53) | 2.10% | (32,710.30) | | (5,737,998.61) |
| Jun-2017 | (31,410,438.24) | (31,408,520.65) | (18,712,984.60) | (18,713,555.84) | 2.10% | (32,748.72) | | (5,770,747.33) |
| Jul-2017 | (31,408,520.65) | (31,196,382.22) | (18,586,593.95) | (18,649,789.27) | 2.10% | (32,637.13) | | (5,803,384.46) |
| Aug-2017 | (31,196,382.22) | (31,226,867.38) | (18,604,756.80) | (18,595,675.38) | 2.10% | (32,542.43) | | (5,835,926.90) |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Interest Recovered/Refunded | Ending Balance (Note 1) |
|---|---|---|---|---|---|---|---|---|
| Sep-2017 | (31,226,867.38) | (31,187,847.30) | (18,581,508.90) | (18,593,132.85) | 2.10% | (32,537.98) | | (5,868,464.88) |
| Oct-2017 | (31,187,847.30) | (31,154,062.11) | (18,561,379.91) | (18,571,444.41) | 2.10% | (32,500.03) | | (5,900,964.91) |
| Nov-2017 | (31,154,062.11) | (31,211,500.71) | (18,595,601.45) | (18,578,490.68) | 2.10% | (32,512.36) | | (5,933,477.26) |
| Dec-2017 | (31,211,500.71) | (28,709,452.64) | (17,104,898.09) | (17,850,249.77) | 2.10% | (31,237.94) | | (5,964,715.20) |
| Jan-2018 | (28,709,452.64) | (28,837,278.94) | (20,881,477.40) | (18,993,187.75) | 2.80% | (44,317.44) | | (6,009,032.64) |
| Feb-2018 | (28,837,278.94) | (29,029,565.70) | (21,020,714.94) | (20,951,096.17) | 2.80% | (48,885.89) | | (6,057,918.53) |
| Mar-2018 | (29,029,565.70) | (29,063,167.27) | (21,045,046.30) | (21,032,880.62) | 2.80% | (49,076.72) | | (6,106,995.25) |
| Apr-2018 | (29,063,167.27) | (29,220,403.76) | (21,154,517.47) | (21,099,781.88) | 2.80% | (49,232.82) | | (6,156,228.08) |
| May-2018 | (29,220,403.76) | (29,231,863.19) | (21,162,813.68) | (21,158,665.57) | 2.80% | (49,370.22) | | (6,205,598.30) |
| Jun-2018 | (29,231,863.19) | (29,241,666.19) | (21,169,910.70) | (21,166,362.19) | 2.80% | (49,388.18) | | (6,254,986.47) |
| Jul-2018 | (29,241,666.19) | (29,249,840.07) | (21,175,828.29) | (21,172,869.50) | 2.80% | (49,403.36) | | (6,304,389.84) |
| Aug-2018 | (29,249,840.07) | (29,258,206.44) | (21,181,885.24) | (21,178,856.77) | 2.80% | (49,417.33) | | (6,353,807.17) |
| Sep-2018 | (29,258,206.44) | (29,267,750.67) | (21,188,794.92) | (21,185,340.08) | 2.80% | (49,432.46) | | (6,403,239.63) |
| Oct-2018 | (29,267,750.67) | (29,274,022.95) | (21,193,335.83) | (21,191,065.37) | 2.80% | (49,445.82) | | (6,452,685.45) |
| Nov-2018 | (29,274,022.95) | (29,285,683.99) | (21,201,777.99) | (21,197,556.91) | 2.80% | (49,460.97) | | (6,502,146.41) |
| Dec-2018 | (29,285,683.99) | (29,300,211.06) | (21,212,295.07) | (21,207,036.53) | 2.80% | (49,483.09) | | (6,551,629.50) |
| Jan-2019 | (29,300,211.06) | (29,321,118.01) | (21,227,430.94) | (21,219,863.01) | 4.20% | (74,269.52) | | (6,625,899.02) |
| Feb-2019 | (29,321,118.01) | (29,335,131.02) | (21,237,575.86) | (21,232,503.40) | 4.20% | (74,313.76) | | (6,700,212.78) |
| Mar-2019 | (29,335,131.02) | (29,273,832.50) | (21,193,197.94) | (21,215,386.90) | 4.20% | (74,253.85) | | (6,774,466.64) |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry was recorded in June 2018.***

**G/L Balance** **(6,773,145.66)**

|1|

**Variance** **(1,320.98)**

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID, NY**
**Carrying Charge Calculation thru December 2015**
**System Benefit Charge/ Energy Efficiency Portfolio**

Prior to FY 2016

| | |
|---|---|
| **Total** | **100.0000%** |
| **Tax Rate** | **40.6100%** |
| **Tax Adjuste** | **59.3900%** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge | Carrying Charges Interest Recovered/Refunded | Carrying Charges Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Sep-2007 | - | 130,582.16 | 65,291.08 | 7.96% | 257.09 | | - | 257.09 |
| Oct-2007 | 130,582.16 | 299,736.53 | 215,159.35 | 7.96% | 847.20 | | - | 847.20 |
| Nov-2007 | 299,736.53 | 1,006,651.50 | 653,194.02 | 7.96% | 2,571.99 | | - | 2,571.99 |
| Dec-2007 | 1,006,651.50 | 1,152,704.80 | 1,079,678.15 | 7.96% | 4,251.29 | | - | 4,251.29 |
| Jan-2008 | 1,152,704.80 | 380,778.85 | 766,741.83 | 7.83% | 2,971.28 | | - | 2,971.28 |
| Feb-2008 | 380,778.85 | (1,535,413.02) | (577,317.09) | 7.83% | (2,237.22) | | 592.22 | (2,829.44) |
| Mar-2008 | (1,535,413.02) | (3,168,361.53) | (2,351,887.28) | 7.83% | (9,114.03) | | (12,559.00) | 3,444.97 |
| Apr-2008 | (3,168,361.53) | (5,348,096.01) | (4,258,228.77) | 7.83% | (16,501.48) | | (15,599.39) | (902.09) |
| May-2008 | (5,348,096.01) | (5,189,215.21) | (5,268,655.61) | 7.83% | (20,417.08) | | (22,524.01) | 2,106.93 |
| Jun-2008 | (5,189,215.21) | (7,046,598.98) | (6,117,907.10) | 7.83% | (23,708.10) | | (25,560.85) | 1,852.75 |
| Jul-2008 | (7,046,598.98) | (7,208,373.82) | (7,127,486.40) | 7.83% | (27,620.42) | | (30,382.70) | 2,762.28 |
| Aug-2008 | (7,208,373.82) | (7,682,367.32) | (7,445,370.57) | 7.83% | (28,852.28) | | (31,758.62) | 2,906.34 |
| Sep-2008 | (7,682,367.32) | (7,850,980.59) | (7,766,673.96) | 7.83% | (30,097.40) | | (32,654.07) | 2,556.67 |
| Oct-2008 | (7,850,980.59) | (8,557,378.22) | (8,204,179.41) | 7.83% | (31,792.82) | | (33,692.34) | 1,899.52 |
| Nov-2008 | (8,557,378.22) | (10,188,052.31) | (9,372,715.27) | 7.83% | (36,321.12) | | (41,956.37) | 5,635.25 |
| Dec-2008 | (10,188,052.31) | (9,601,982.56) | (9,895,017.44) | 7.83% | (38,345.15) | | (41,727.75) | 3,382.60 |
| Jan-2009 | (9,601,982.56) | (10,871,238.66) | (10,236,610.61) | 7.92% | (40,124.85) | | (43,506.02) | 3,381.17 |
| Feb-2009 | (10,871,238.66) | (13,870,876.05) | (12,371,057.36) | 7.92% | (48,491.33) | | (52,832.60) | 4,341.27 |
| Mar-2009 | (13,870,876.05) | (15,582,873.81) | (14,726,874.93) | 7.92% | (57,725.52) | | (62,874.48) | 5,148.96 |
| Apr-2009 | (15,582,873.81) | (17,169,370.29) | (16,376,122.05) | 7.92% | (64,190.14) | | (69,932.42) | 5,742.28 |
| May-2009 | (17,169,370.29) | (17,064,609.67) | (17,116,989.98) | 7.92% | (67,094.15) | | (72,974.25) | 5,880.10 |
| Jun-2009 | (17,064,609.67) | (17,055,574.04) | (17,060,091.86) | 7.92% | (66,871.12) | | (72,735.76) | 5,864.64 |
| Jul-2009 | (17,055,574.04) | (16,119,429.98) | (16,587,502.01) | 7.92% | (65,018.70) | | (70,742.89) | 5,724.19 |
| Aug-2009 | (16,119,429.98) | (16,154,307.79) | (16,136,868.89) | 7.92% | (63,252.33) | | (68,798.38) | 5,546.05 |
| Sep-2009 | (16,154,307.79) | (16,022,017.98) | (16,088,162.89) | 7.92% | (63,061.42) | | (68,608.64) | 5,547.22 |
| Oct-2009 | (16,022,017.98) | (14,447,461.66) | (15,234,739.82) | 7.92% | (59,716.22) | | (68,531.05) | 8,814.83 |
| Nov-2009 | (14,447,461.66) | (14,430,322.01) | (14,438,891.84) | 7.92% | (56,596.70) | | (63,032.05) | 6,435.35 |
| Dec-2009 | (14,430,322.01) | (13,664,832.17) | (14,047,577.09) | 7.92% | (55,062.85) | | (61,483.91) | 6,421.06 |
| Jan-2010 | (13,664,832.17) | (16,203,039.58) | (14,933,935.88) | 7.43% | (54,915.53) | | (510,280.96) | 455,365.43 |
| Feb-2010 | (16,203,039.58) | (17,191,775.05) | (16,697,407.32) | 7.43% | (61,400.22) | | (103,329.11) | 41,928.89 |
| Mar-2010 | (17,191,775.05) | (17,643,358.10) | (17,417,566.58) | 7.43% | (64,048.41) | | (107,787.49) | 43,739.08 |
| Apr-2010 | (17,643,358.10) | (17,586,099.26) | (17,614,728.68) | 7.43% | (64,773.42) | | (109,678.24) | 44,904.82 |
| May-2010 | (17,586,099.26) | (15,991,386.68) | (16,788,742.97) | 7.43% | (61,736.08) | | (108,079.61) | 46,343.53 |
| Jun-2010 | (15,991,386.68) | (16,196,945.67) | (16,094,166.18) | 7.43% | (59,181.96) | | (107,920.61) | 48,738.65 |
| Jul-2010 | (16,196,945.67) | (16,142,396.73) | (16,169,671.20) | 7.43% | (59,459.61) | | (108,388.14) | 48,928.53 |
| Aug-2010 | (16,142,396.73) | (15,939,461.46) | (16,040,929.10) | 7.43% | (58,986.20) | | (107,591.00) | 48,604.80 |
| Sep-2010 | (15,939,461.46) | (15,325,069.63) | (15,632,265.55) | 7.43% | (57,483.45) | | (105,067.73) | 47,584.28 |
| Oct-2010 | (15,325,069.63) | (8,136,188.14) | (11,730,628.89) | 7.43% | (43,136.23) | | (102,589.15) | 59,452.92 |
| Nov-2010 | (8,136,188.14) | (8,328,651.24) | (8,232,419.69) | 7.43% | (30,272.51) | | (102,546.22) | 72,273.71 |
| Dec-2010 | (8,328,651.24) | (6,537,524.74) | (7,433,087.99) | 7.43% | (27,333.18) | | (103,058.39) | 75,725.21 |
| Jan-2011 | (6,537,524.74) | (7,234,147.75) | (6,885,836.25) | 7.45% | (25,388.97) | | (111,241.79) | 85,852.82 |
| Feb-2011 | (7,234,147.75) | (11,148,650.86) | (9,191,399.31) | 7.45% | (33,889.88) | | 186,997.49 | (220,887.37) |
| Mar-2011 | (11,148,650.86) | (23,776,027.61) | (17,462,339.24) | 7.45% | (64,385.90) | | (118,066.66) | 53,680.76 |
| Apr-2011 | (23,776,027.61) | (25,836,484.18) | (24,806,255.90) | 7.45% | (91,463.87) | | (157,329.36) | 65,865.49 |
| May-2011 | (25,836,484.18) | (26,818,058.78) | (26,327,271.48) | 7.45% | (97,072.05) | | (167,877.40) | 70,805.35 |
| Jun-2011 | (26,818,058.78) | (25,835,018.38) | (26,326,538.58) | 7.45% | (97,069.35) | | (154,491.07) | 57,421.72 |
| Jul-2011 | (25,835,018.38) | (25,670,812.05) | (25,752,915.22) | 7.45% | (94,954.32) | | (161,010.85) | 66,056.53 |
| Aug-2011 | (25,670,812.05) | (24,322,216.31) | (24,996,514.18) | 7.45% | (92,165.38) | | (153,239.90) | 61,074.52 |
| Sep-2011 | (24,322,216.31) | (24,659,315.03) | (24,490,765.67) | 7.45% | (90,300.62) | | (152,067.24) | 61,766.62 |
| Oct-2011 | (24,659,315.03) | (24,002,374.50) | (24,330,844.77) | 7.45% | (89,710.97) | | (151,074.27) | 61,363.30 |
| Nov-2011 | (24,002,374.50) | (25,041,450.80) | (24,521,912.65) | 7.45% | (90,415.46) | | (152,260.64) | 61,845.18 |
| Dec-2011 | (25,041,450.80) | (27,206,686.25) | (26,124,068.53) | 7.45% | (96,322.82) | | (162,208.69) | 65,885.87 |
| Jan-2012 | (27,206,686.25) | (29,704,846.97) | (28,455,766.61) | 7.29% | (102,666.77) | | (172,773.94) | 70,107.17 |
| Feb-2012 | (29,704,846.97) | (31,371,704.20) | (30,538,275.59) | 7.29% | (110,180.34) | | (185,418.22) | 75,237.88 |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge | Interest Recovered/Refunded | Carrying Charges Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Mar-2012 | (31,371,704.20) | (31,380,906.55) | (31,376,305.38) | 7.29% | (113,203.91) | | (186,948.76) | 73,744.85 |
| Apr-2012 | (31,380,906.55) | (32,045,967.46) | (31,713,437.01) | 7.29% | (114,420.26) | | (195,412.13) | 80,991.87 |
| May-2012 | (32,045,967.46) | (32,353,537.11) | (32,199,752.29) | 7.29% | (116,174.85) | | (198,340.71) | 82,165.86 |
| Jun-2012 | (32,353,537.11) | (32,411,695.42) | (32,382,616.27) | 7.29% | (116,834.62) | | (201,953.48) | 85,118.86 |
| Jul-2012 | (32,411,695.42) | (32,236,799.68) | (32,324,247.55) | 7.29% | (116,624.03) | | (201,599.31) | 84,975.28 |
| Aug-2012 | (32,236,799.68) | (32,120,848.93) | (32,178,824.31) | 7.29% | (116,099.35) | | (200,716.35) | 84,617.00 |
| Sep-2012 | (32,120,848.93) | (32,200,619.02) | (32,160,733.98) | 7.29% | (116,034.08) | | (200,606.51) | 84,572.43 |
| Oct-2012 | (32,200,619.02) | (32,236,098.10) | (32,218,358.56) | 7.29% | (116,241.99) | | (200,956.88) | 84,714.89 |
| Nov-2012 | (32,236,098.10) | (32,917,101.48) | (32,576,599.79) | 7.29% | (117,534.50) | | (203,132.50) | 85,598.00 |
| Dec-2012 | (32,917,101.48) | (33,669,629.73) | (33,293,365.61) | 7.29% | (120,120.55) | | (123,855.13) | 3,734.58 |
| Jan-2013 | (33,669,629.73) | (34,813,077.33) | (34,241,353.53) | 4.23% | (71,684.19) | | (204,534.58) | 132,850.39 |
| Feb-2013 | (34,813,077.33) | (36,879,513.89) | (35,846,295.61) | 4.23% | (75,044.13) | | (210,848.86) | 135,804.73 |
| Mar-2013 | (36,879,513.89) | (37,261,626.55) | (37,070,570.22) | 4.23% | (77,607.15) | | 213,171.01 | (290,778.16) |
| Apr-2013 | (37,261,626.55) | (38,840,966.21) | (38,051,296.38) | 4.23% | (79,660.29) | | (139,086.99) | 59,426.70 |
| May-2013 | (38,840,966.21) | (39,242,195.22) | (39,041,580.72) | 4.23% | (81,733.45) | | (144,426.27) | 62,692.82 |
| Jun-2013 | (39,242,195.22) | (39,181,051.49) | (39,211,623.36) | 4.23% | (82,089.44) | | 91,909.16 | (173,998.60) |
| Jul-2013 | (39,181,051.49) | (38,819,177.14) | (39,000,114.32) | 4.23% | (81,646.64) | | (79,462.35) | (2,184.29) |
| Aug-2013 | (38,819,177.14) | (38,336,444.63) | (38,577,810.89) | 4.23% | (80,762.55) | | (122,575.75) | 41,813.20 |
| Sep-2013 | (38,336,444.63) | (37,700,463.03) | (38,018,453.83) | 4.23% | (79,591.54) | | (120,798.51) | 41,206.97 |
| Oct-2013 | (37,700,463.03) | (37,254,616.48) | (37,477,539.76) | 4.23% | (78,459.14) | | (119,079.83) | 40,620.69 |
| Nov-2013 | (37,254,616.48) | (37,057,422.75) | (37,156,019.62) | 4.23% | (77,786.03) | | (118,058.24) | 40,272.21 |
| Dec-2013 | (37,057,422.75) | (38,171,265.55) | (37,614,344.15) | 4.23% | (78,745.54) | | (119,514.50) | 40,768.96 |
| Jan-2014 | (38,171,265.55) | (40,089,811.65) | (39,130,538.60) | 0.25% | (4,841.59) | | (90,634.55) | 85,792.96 |
| Feb-2014 | (40,089,811.65) | (35,182,396.48) | (37,636,104.07) | 0.25% | (4,656.68) | | (87,173.12) | 82,516.44 |
| Mar-2014 | (35,182,396.48) | (36,272,348.75) | (35,727,372.62) | 0.25% | (4,420.52) | | 314,224.28 | (318,644.80) |
| Apr-2014 | (36,272,348.75) | (37,720,705.05) | (36,996,526.90) | 0.25% | (4,577.55) | | (91,965.98) | 87,388.43 |
| May-2014 | (37,720,705.05) | (38,350,765.26) | (38,035,735.16) | 0.25% | (4,706.13) | | 82,042.52 | (86,748.65) |
| Jun-2014 | (38,350,765.26) | (37,592,524.03) | (37,971,644.65) | 0.25% | (4,698.20) | | (5,033.36) | 335.16 |
| Jul-2014 | (37,592,524.03) | (36,772,454.04) | (37,182,489.04) | 0.25% | (4,600.56) | | (5,013.23) | 412.67 |
| Aug-2014 | (36,772,454.04) | (35,791,968.97) | (36,282,211.51) | 0.25% | (4,489.17) | | (4,824.23) | 335.06 |
| Sep-2014 | (35,791,968.97) | (34,417,281.27) | (35,104,625.12) | 0.25% | (4,343.47) | | (4,678.49) | 335.02 |
| Oct-2014 | (34,417,281.27) | (33,608,603.82) | (34,012,942.55) | 0.25% | (4,208.39) | | (4,543.29) | 334.90 |
| Nov-2014 | (33,608,603.82) | (33,831,021.51) | (33,719,812.67) | 0.25% | (4,172.12) | | (4,507.02) | 334.90 |
| Dec-2014 | (33,831,021.51) | (35,024,135.40) | (34,427,578.46) | 0.25% | (4,259.70) | (74,450.00) | (1,321.15) | (2,938.55) |
| Jan-2015 | (35,024,135.40) | (38,411,274.21) | (36,717,704.81) | 0.46% | (8,359.21) | | 7,039.84 | (15,399.05) |
| Feb-2015 | (38,411,274.21) | (42,939,501.75) | (40,675,387.98) | 0.67% | (13,487.72) | 15,481.16 | (6,030.94) | (7,456.78) |
| Mar-2015 | (42,939,501.75) | (38,193,090.75) | (40,566,296.25) | 0.67% | (13,451.55) | 15,288.32 | (6,562.57) | (6,888.98) |
| Apr-2015 | (38,193,090.75) | (40,567,842.96) | (39,380,466.86) | 0.84% | (16,371.64) | 10,428.65 | (5,297.38) | (11,074.26) |
| May-2015 | (40,567,842.96) | (40,616,593.08) | (40,592,218.02) | 0.69% | (13,861.94) | 9,490.79 | (6,270.08) | (7,591.86) |
| Jun-2015 | (40,616,593.08) | (39,128,959.56) | (39,872,776.32) | 0.53% | (10,458.86) | 5,477.73 | (6,146.20) | (4,312.66) |
| Jul-2015 | (39,128,959.56) | (37,729,231.00) | (38,429,095.28) | 0.65% | (12,362.48) | 4,948.20 | (5,919.92) | (6,442.56) |
| Aug-2015 | (37,729,231.00) | (36,467,145.83) | (37,098,188.42) | 0.72% | (13,219.57) | 4,549.98 | (5,709.43) | (7,510.14) |
| Sep-2015 | (36,467,145.83) | (35,445,103.30) | (35,956,124.57) | 0.64% | (11,388.98) | 4,502.42 | (5,527.33) | (5,861.65) |
| Oct-2015 | (35,445,103.30) | (34,181,390.34) | (34,813,246.82) | 0.61% | (10,510.09) | 4,995.22 | (34,518.74) | 24,008.65 |
| Nov-2015 | (34,181,390.34) | (33,014,216.90) | (33,597,803.62) | 0.67% | (11,140.84) | 7,826.88 | (5,148.09) | (5,992.75) |
| Dec-2015 | (33,014,216.90) | (34,256,609.89) | (33,635,413.40) | 0.66% | (10,986.84) | 12,264.85 | (10,452.61) | (534.23) |
| | | \|1\| | | \|4\| | | | | - |
| | | | Totals | | (5,087,699.11) | 20,804.20 | (7,533,053.06) | 2,445,353.95 |
| | | | Interest Adjustment (Period Beg - Nov 12) [1] | | | | 2,575,454.18 | 2,445,353.95 |
| | | | Ledger Balance at December 2015 | | | | (4,936,794.68) | 2,575,454.18 |
| | | | Variation | | | | (150,904.43) | (150,904.43) |

***Note 1: As a result of the SIR deferral order in cases 06-G-1185 & 06-G-1186 dated, November 28, 2012 a cumulative adjustment was made to the accrued carryin balance (retroactive to January 2008); the adjustment was made in December 2012. The carrying charge computation was revised to include the effect of associat taxes using an effective tax rate of 40.61%.***

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID, NY**
**Summary of theSBC EEPS Principal Balances**
**U2540002**

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Net Recoveried | Monthly Deferral | Imbalance ver) Under-Collecti | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sep-07** | - | 130,582.16 | | 130,582.16 | | | 130,582.16 | | | | | **130,582.16** | | **130,582.16** |
| **Oct-07** | 130,582.16 | 169,154.37 | | 169,154.37 | | | 169,154.37 | | | | | **299,736.53** | | **299,736.53** |
| **Nov-07** | 299,736.53 | 706,914.97 | | 706,914.97 | | | 706,914.97 | | | | | **1,006,651.50** | | **1,006,651.50** |
| **Dec-07** | 1,006,651.50 | 146,053.30 | | 146,053.30 | | | 146,053.30 | | | | | **1,152,704.80** | | **1,152,704.80** |
| **Jan-08** | 1,152,704.80 | 145,791.90 | - | 145,791.90 | (917,717.85) | (917,717.85) | (771,925.95) | - | - | - | - | **380,778.85** | $0.00 | **380,778.85** |
| **Feb-08** | 380,778.85 | 572,578.96 | - | 572,578.96 | (2,488,770.83) | (2,488,770.83) | (1,916,191.87) | - | - | - | - | **(1,535,413.02)** | $592.22 | **(1,534,820.80)** |
| **Mar-08** | (1,535,413.02) | 1,276,099.99 | - | 1,276,099.99 | (2,909,048.50) | (2,909,048.50) | (1,632,948.51) | - | - | - | - | **(3,168,361.53)** | ($12,559.00) | **(3,180,920.53)** |
| **Apr-08** | (3,168,361.53) | 150,876.54 | - | 150,876.54 | (2,330,611.02) | (2,330,611.02) | (2,179,734.48) | - | - | - | - | **(5,348,096.01)** | ($15,599.39) | **(5,363,695.40)** |
| **May-08** | (5,348,096.01) | 227,074.76 | - | 227,074.76 | (68,193.96) | (68,193.96) | 158,880.80 | - | - | - | - | **(5,189,215.21)** | ($22,524.01) | **(5,211,739.22)** |
| **Jun-08** | (5,189,215.21) | 475,807.19 | - | 475,807.19 | (2,333,190.96) | (2,333,190.96) | (1,857,383.77) | - | - | - | - | **(7,046,598.98)** | ($25,560.85) | **(7,072,159.83)** |
| **Jul-08** | (7,046,598.98) | 699,167.55 | - | 699,167.55 | (860,942.39) | (860,942.39) | (161,774.84) | - | - | - | - | **(7,208,373.82)** | ($30,382.70) | **(7,238,756.52)** |
| **Aug-08** | (7,208,373.82) | 331,827.68 | - | 331,827.68 | (805,821.18) | (805,821.18) | (473,993.50) | - | - | - | - | **(7,682,367.32)** | ($31,758.62) | **(7,714,125.94)** |
| **Sep-08** | (7,682,367.32) | 499,524.52 | - | 499,524.52 | (668,137.79) | (668,137.79) | (168,613.27) | - | - | - | - | **(7,850,980.59)** | ($32,654.07) | **(7,883,634.66)** |
| **Oct-08** | (7,850,980.59) | 560,775.39 | - | 560,775.39 | (1,267,173.02) | (1,267,173.02) | (706,397.63) | - | - | - | - | **(8,557,378.22)** | ($33,692.34) | **(8,591,070.56)** |
| **Nov-08** | (8,557,378.22) | 359,948.31 | - | 359,948.31 | (1,990,622.40) | (1,990,622.40) | (1,630,674.09) | - | - | - | - | **(10,188,052.31)** | ($41,956.37) | **(10,230,008.68)** |
| **Dec-08** | (10,188,052.31) | 3,685,236.90 | - | 3,685,236.90 | (3,099,167.15) | (3,099,167.15) | 586,069.75 | - | - | - | - | **(9,601,982.56)** | ($41,727.75) | **(9,643,710.31)** |
| **Jan-09** | (9,601,982.56) | 206,527.63 | - | 206,527.63 | (1,475,783.73) | (1,475,783.73) | (1,269,256.10) | - | - | - | - | **(10,871,238.66)** | ($43,506.02) | **(10,914,744.68)** |
| **Feb-09** | (10,871,238.66) | 300,923.26 | - | 300,923.26 | (3,300,560.65) | (3,300,560.65) | (2,999,637.39) | - | - | - | - | **(13,870,876.05)** | ($52,832.60) | **(13,923,708.65)** |
| **Mar-09** | (13,870,876.05) | 1,107,533.02 | - | 1,107,533.02 | (2,819,530.78) | (2,819,530.78) | (1,711,997.76) | - | - | - | - | **(15,582,873.81)** | ($62,874.48) | **(15,645,748.29)** |
| **Apr-09** | (15,582,873.81) | 465,889.34 | - | 465,889.34 | (2,052,385.82) | (2,052,385.82) | (1,586,496.48) | - | - | - | - | **(17,169,370.29)** | ($69,932.42) | **(17,239,302.71)** |
| **May-09** | (17,169,370.29) | 859,095.24 | - | 859,095.24 | (1,192,138.70) | (1,192,138.70) | (333,043.46) | - | - | 437,804.08 | - | **(17,064,609.67)** | ($72,974.25) | **(17,137,583.92)** |
| **Jun-09** | (17,064,609.67) | 789,886.77 | - | 789,886.77 | (780,851.14) | (780,851.14) | 9,035.63 | - | - | - | - | **(17,055,574.04)** | ($72,735.76) | **(17,128,309.80)** |
| **Jul-09** | (17,055,574.04) | 1,633,686.70 | - | 1,633,686.70 | (697,542.64) | (697,542.64) | 936,144.06 | - | - | - | - | **(16,119,429.98)** | ($70,742.89) | **(16,190,172.87)** |
| **Aug-09** | (16,119,429.98) | 516,895.77 | - | 516,895.77 | (616,251.20) | (616,251.20) | (99,355.43) | - | - | 64,477.62 | - | **(16,154,307.79)** | ($68,798.38) | **(16,223,106.17)** |
| **Sep-09** | (16,154,307.79) | 742,136.89 | - | 742,136.89 | (609,847.08) | (609,847.08) | 132,289.81 | - | - | - | - | **(16,022,017.98)** | ($68,608.64) | **(16,090,626.62)** |
| **Oct-09** | (16,022,017.98) | 2,362,648.68 | - | 2,362,648.68 | (795,224.99) | (795,224.99) | 1,567,423.69 | - | - | 7,132.63 | - | **(14,447,461.66)** | ($68,531.05) | **(14,515,992.71)** |
| **Nov-09** | (14,447,461.66) | 755,477.80 | - | 755,477.80 | (738,338.15) | (738,338.15) | 17,139.65 | - | - | - | - | **(14,430,322.01)** | ($63,032.05) | **(14,493,354.06)** |
| **Dec-09** | (14,430,322.01) | 3,128,730.27 | - | 3,128,730.27 | (2,363,240.43) | (2,363,240.43) | 765,489.84 | - | - | - | - | **(13,664,832.17)** | ($61,483.91) | **(13,726,316.08)** |
| **Jan-10** | (13,664,832.17) | (59,515.49) | - | (59,515.49) | (2,783,279.33) | (2,783,279.33) | (2,842,794.82) | - | - | 304,587.41 | - | **(16,203,039.58)** | ($510,280.96) | **(16,713,320.54)** |
| **Feb-10** | (16,203,039.58) | 615,823.86 | - | 615,823.86 | (1,604,559.33) | (1,604,559.33) | (988,735.47) | - | - | - | - | **(17,191,775.05)** | ($103,329.11) | **(17,295,104.16)** |
| **Mar-10** | (17,191,775.05) | 978,776.17 | - | 978,776.17 | (1,430,359.22) | (1,430,359.22) | (451,583.05) | - | - | - | - | **(17,643,358.10)** | ($107,787.49) | **(17,751,145.59)** |
| **Apr-10** | (17,643,358.10) | 417,534.47 | - | 417,534.47 | (763,411.86) | (763,411.86) | (345,877.39) | - | - | 403,136.23 | - | **(17,586,099.26)** | ($109,678.24) | **(17,695,777.50)** |
| **May-10** | (17,586,099.26) | 314,821.82 | 1,338,162.25 | 1,652,984.07 | (58,271.49) | (58,271.49) | 1,594,712.58 | - | - | - | - | **(15,991,386.68)** | ($108,079.61) | **(16,099,466.29)** |
| **Jun-10** | (15,991,386.68) | 695,110.59 | - | 695,110.59 | (900,669.58) | (900,669.58) | (205,558.99) | - | - | - | - | **(16,196,945.67)** | ($107,920.61) | **(16,304,866.28)** |
| **Jul-10** | (16,196,945.67) | 384,635.62 | - | 384,635.62 | (330,086.68) | (330,086.68) | 54,548.94 | - | - | - | - | **(16,142,396.73)** | ($108,388.14) | **(16,250,784.87)** |
| **Aug-10** | (16,142,396.73) | 502,517.67 | - | 502,517.67 | (299,582.40) | (299,582.40) | 202,935.27 | - | - | - | - | **(15,939,461.46)** | ($107,591.00) | **(16,047,052.46)** |
| **Sep-10** | (15,939,461.46) | 919,106.36 | - | 919,106.36 | (304,714.53) | (304,714.53) | 614,391.83 | - | - | - | - | **(15,325,069.63)** | ($105,067.73) | **(15,430,137.36)** |
| **Oct-10** | (15,325,069.63) | 524,438.51 | 7,004,692.00 | 7,529,130.51 | (340,249.02) | (340,249.02) | 7,188,881.49 | - | - | - | - | **(8,136,188.14)** | ($102,589.15) | **(8,238,777.29)** |
| **Nov-10** | (8,136,188.14) | 390,430.57 | - | 390,430.57 | (582,893.67) | (582,893.67) | (192,463.10) | - | - | - | - | **(8,328,651.24)** | ($102,546.22) | **(8,431,197.46)** |
| **Dec-10** | (8,328,651.24) | 1,179,333.87 | 1,741,984.17 | 2,921,318.04 | (1,130,191.54) | (1,130,191.54) | 1,791,126.50 | - | - | - | - | **(6,537,524.74)** | ($103,058.39) | **(6,640,583.13)** |
| **Jan-11** | (6,537,524.74) | 1,293,373.24 | 870,992.08 | 2,164,365.32 | (2,860,988.33) | (2,860,988.33) | (696,623.01) | - | - | - | - | **(7,234,147.75)** | ($111,241.79) | **(7,345,389.54)** |
| **Feb-11** | (7,234,147.75) | 424,730.51 | 877,355.75 | 1,302,086.26 | (5,475,791.51) | (5,475,791.51) | (4,173,705.25) | - | - | 259,202.14 | - | **(11,148,650.86)** | $186,997.49 | **(10,961,653.37)** |
| **Mar-11** | (11,148,650.86) | (3,008,231.76) | 2,493,575.59 | (514,656.17) | (4,585,108.85) | (4,585,108.85) | (5,099,765.02) | - | - | (179,237.73) | (7,348,374.00) | **(23,776,027.61)** | ($118,066.66) | **(23,894,094.27)** |
| **Apr-11** | (23,776,027.61) | 527,615.16 | 1,080,746.17 | 1,608,361.33 | (3,668,817.90) | (3,668,817.90) | (2,060,456.57) | - | - | - | - | **(25,836,484.18)** | ($157,329.36) | **(25,993,813.54)** |
| **May-11** | (25,836,484.18) | 116,782.28 | 1,080,746.17 | 1,197,528.45 | (2,092,226.43) | (2,092,226.43) | (894,697.98) | - | - | (86,876.62) | - | **(26,818,058.78)** | ($167,877.40) | **(26,985,936.18)** |
| **Jun-11** | (26,818,058.78) | 1,210,009.23 | 1,080,746.17 | 2,290,755.40 | (1,246,772.65) | (1,246,772.65) | 1,043,982.75 | - | - | (60,942.35) | - | **(25,835,018.38)** | ($154,491.07) | **(25,989,509.45)** |
| **Jul-11** | (25,835,018.38) | 174,863.60 | 1,080,746.17 | 1,255,609.77 | (1,037,772.65) | (1,037,772.65) | 217,837.12 | - | - | (53,630.79) | - | **(25,670,812.05)** | ($161,010.85) | **(25,831,822.90)** |
| **Aug-11** | (25,670,812.05) | 1,268,281.39 | 1,080,746.17 | 2,349,027.56 | (949,351.46) | (949,351.46) | 1,399,676.10 | - | - | (51,080.36) | - | **(24,322,216.31)** | ($153,239.90) | **(24,475,456.21)** |
| **Sep-11** | (24,322,216.31) | (419,686.26) | 1,080,746.17 | 661,059.91 | (947,341.04) | (947,341.04) | (286,281.13) | - | - | (50,817.59) | - | **(24,659,315.03)** | ($152,067.24) | **(24,811,382.27)** |
| **Oct-11** | (24,659,315.03) | 674,095.99 | 1,080,746.17 | 1,754,842.16 | (1,044,754.62) | (1,044,754.62) | 710,087.54 | - | - | (53,147.01) | - | **(24,002,374.50)** | ($151,074.27) | **(24,153,448.77)** |
| **Nov-11** | (24,002,374.50) | 369,244.88 | 516,440.50 | 885,685.38 | (1,849,956.39) | (1,849,956.39) | (964,271.01) | - | - | (74,805.29) | - | **(25,041,450.80)** | ($152,260.64) | **(25,193,711.44)** |
| **Dec-11** | (25,041,450.80) | 326,608.99 | 516,440.50 | 843,049.49 | (2,897,205.88) | (2,897,205.88) | (2,054,156.39) | - | - | (111,079.06) | - | **(27,206,686.25)** | ($162,208.69) | **(27,368,894.94)** |
| **Jan-12** | (27,206,686.25) | 355,884.32 | 516,440.50 | 872,324.82 | (2,827,757.95) | (2,827,757.95) | (1,955,433.13) | - | - | (542,727.59) | - | **(29,704,846.97)** | (172,773.94) | **(29,877,620.91)** |
| **Feb-12** | (29,704,846.97) | 196,402.00 | 60,807.92 | 257,209.92 | (1,633,826.49) | (1,633,826.49) | (1,376,616.57) | - | - | (290,240.66) | - | **(31,371,704.20)** | (185,418.22) | **(31,557,122.42)** |
| **Mar-12** | (31,371,704.20) | 687,169.71 | 60,807.92 | 747,977.63 | (1,383,114.10) | (1,383,114.10) | (635,136.47) | - | - | 625,934.12 | - | **(31,380,906.55)** | (186,948.76) | **(31,567,855.31)** |
| **Apr-12** | (31,380,906.55) | 332,461.11 | 60,807.92 | 393,269.03 | (876,133.23) | (876,133.23) | (482,864.20) | - | - | (182,196.71) | - | **(32,045,967.46)** | (195,412.13) | **(32,241,379.59)** |
| **May-12** | (32,045,967.46) | 406,537.24 | 60,807.92 | 467,345.16 | (737,058.91) | (737,058.91) | (269,713.75) | - | - | (37,855.90) | - | **(32,353,537.11)** | (198,340.71) | **(32,551,877.82)** |
| **Jun-12** | (32,353,537.11) | 392,098.03 | 60,807.92 | 452,905.95 | (484,233.26) | (484,233.26) | (31,327.31) | - | - | (26,831.00) | - | **(32,411,695.42)** | (201,953.48) | **(32,613,648.90)** |
| **Jul-12** | (32,411,695.42) | 569,503.16 | 60,807.92 | 630,311.08 | (422,810.37) | (422,810.37) | 207,500.71 | - | - | (32,604.97) | - | **(32,236,799.68)** | (201,599.31) | **(32,438,398.99)** |

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Net Recoveried | Monthly Deferral | Imbalance ver) Under-Collecti | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Aug-12** | (32,236,799.68) | 484,965.11 | 60,807.92 | 545,773.03 | (396,451.67) | (396,451.67) | 149,321.36 | - | - | (33,370.61) | - | **(32,120,848.93)** | (200,716.35) | **(32,321,565.28)** |
| **Sep-12** | (32,120,848.93) | 292,101.22 | 60,807.92 | 352,909.14 | (390,377.90) | (390,377.90) | (37,468.76) | - | - | (42,301.33) | - | **(32,200,619.02)** | (200,606.51) | **(32,401,225.53)** |
| **Oct-12** | (32,200,619.02) | 422,908.06 | 60,807.92 | 483,715.98 | (479,806.35) | (479,806.35) | 3,909.63 | - | - | (39,388.71) | - | **(32,236,098.10)** | (200,956.88) | **(32,437,054.98)** |
| **Nov-12** | (32,236,098.10) | 70,416.59 | 63,408.33 | 133,824.92 | (784,859.90) | (784,859.90) | (651,034.98) | - | - | (29,968.40) | - | **(32,917,101.48)** | - | **(32,917,101.48)** |
| **Dec-12** | (32,917,101.48) | 704,931.18 | 63,408.33 | 768,339.51 | (1,458,654.13) | (1,458,654.13) | (690,314.62) | - | - | (62,213.63) | - | **(33,669,629.73)** | 6,138,788.65 | **(27,530,841.08)** |
| **Jan-13** | (33,669,629.73) | 556,685.92 | 486,007.33 | 1,042,693.25 | (2,073,514.70) | (2,073,514.70) | (1,030,821.45) | - | - | (112,626.15) | - | **(34,813,077.33)** | $0.00 | **(34,813,077.33)** |
| **Feb-13** | (34,813,077.33) | 250,054.98 | 557,767.33 | 807,822.31 | (2,732,884.04) | (2,732,884.04) | (1,925,061.73) | - | - | (141,374.83) | - | **(36,879,513.89)** | $0.00 | **(36,879,513.89)** |
| **Mar-13** | (36,879,513.89) | 694,751.55 | 600,094.13 | 1,294,845.68 | (2,550,354.08) | (2,550,354.08) | (1,255,508.40) | | - | 873,395.74 | - | **(37,261,626.55)** | $0.00 | **(37,261,626.55)** |
| **Apr-13** | (37,261,626.55) | 94,803.75 | 557,767.33 | 652,571.08 | (2,113,625.23) | (2,113,625.23) | (1,461,054.15) | - | - | (118,285.51) | - | **(38,840,966.21)** | $0.00 | **(38,840,966.21)** |
| **May-13** | (38,840,966.21) | 332,306.79 | 557,767.33 | 890,074.12 | (1,196,265.24) | (1,196,265.24) | (306,191.12) | - | - | (95,037.89) | - | **(39,242,195.22)** | $0.00 | **(39,242,195.22)** |
| **Jun-13** | (39,242,195.22) | 317,951.86 | 557,767.33 | 875,719.19 | (751,344.98) | (751,344.98) | 124,374.21 | - | - | (63,230.48) | - | **(39,181,051.49)** | $0.00 | **(39,181,051.49)** |
| **Jul-13** | (39,181,051.49) | 452,717.69 | 557,767.33 | 1,010,485.02 | (595,932.58) | (595,932.58) | 414,552.44 | - | - | (52,678.09) | - | **(38,819,177.14)** | $0.00 | **(38,819,177.14)** |

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Net Recoveried | Monthly Deferral | Imbalance ver) Under-Collecti | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Aug-13 | (38,819,177.14) | 535,906.92 | 557,767.33 | 1,093,674.25 | (560,318.11) | (560,318.11) | 533,356.14 | - | - | (50,623.63) | - | **(38,336,444.63)** | $0.00 | **(38,336,444.63)** |
| Sep-13 | (38,336,444.63) | 693,260.89 | 557,767.33 | 1,251,028.22 | (564,875.55) | (564,875.55) | 686,152.67 | - | - | (50,171.07) | - | **(37,700,463.03)** | $0.00 | **(37,700,463.03)** |
| Oct-13 | (37,700,463.03) | 523,671.58 | 557,767.33 | 1,081,438.91 | (583,371.58) | (583,371.58) | 498,067.33 | - | - | (52,220.78) | - | **(37,254,616.48)** | $0.00 | **(37,254,616.48)** |
| Nov-13 | (37,254,616.48) | 777,280.60 | 545,956.92 | 1,323,237.52 | (1,052,377.07) | (1,052,377.07) | 270,860.45 | - | - | (73,666.72) | - | **(37,057,422.75)** | $0.00 | **(37,057,422.75)** |
| Dec-13 | (37,057,422.75) | 707,162.95 | 545,956.92 | 1,253,119.87 | (2,216,949.34) | (2,216,949.34) | (963,829.47) | | - | (150,013.33) | - | **(38,171,265.55)** | $0.00 | **(38,171,265.55)** |
| Jan-14 | (38,171,265.55) | 543,238.72 | 1,560,194.59 | 2,103,433.31 | (3,898,376.11) | (3,898,376.11) | (1,794,942.80) | - | - | (123,603.30) | - | **(40,089,811.65)** | $0.00 | **(40,089,811.65)** |
| Feb-14 | (40,089,811.65) | 607,197.55 | 10,155,687.50 | 10,762,885.05 | (5,680,528.82) | (5,680,528.82) | 5,082,356.23 | - | - | (174,941.06) | - | **(35,182,396.48)** | $0.00 | **(35,182,396.48)** |
| Mar-14 | (35,182,396.48) | 270,616.38 | 1,446,355.50 | 1,716,971.88 | (5,349,351.27) | (5,349,351.27) | (3,632,379.39) | - | - | 2,542,427.12 | - | **(36,272,348.75)** | ($5,227,324.75) | **(41,499,673.50)** |
| Apr-14 | (36,272,348.75) | 937,812.82 | 1,446,355.50 | 2,384,168.32 | (3,708,949.48) | (3,708,949.48) | (1,324,781.16) | - | - | (123,575.14) | - | **(37,720,705.05)** | $5,227,324.75 | **(32,493,380.30)** |
| May-14 | (37,720,705.05) | 271,148.26 | 1,446,355.50 | 1,717,503.76 | (2,253,496.21) | (2,253,496.21) | (535,992.45) | - | - | (94,067.76) | - | **(38,350,765.26)** | $0.00 | **(38,350,765.26)** |
| Jun-14 | (38,350,765.26) | 621,111.74 | 1,446,355.50 | 2,067,467.24 | (1,166,574.41) | (1,166,574.41) | 900,892.83 | - | - | (142,651.60) | - | **(37,592,524.03)** | $0.00 | **(37,592,524.03)** |
| Jul-14 | (37,592,524.03) | 508,517.48 | 1,446,355.50 | 1,954,872.98 | (1,002,390.78) | (1,002,390.78) | 952,482.20 | - | - | (132,412.21) | - | **(36,772,454.04)** | $0.00 | **(36,772,454.04)** |
| Aug-14 | (36,772,454.04) | 665,257.42 | 1,446,355.50 | 2,111,612.92 | (946,361.81) | (946,361.81) | 1,165,251.11 | - | - | (184,766.04) | - | **(35,791,968.97)** | $0.00 | **(35,791,968.97)** |
| Sep-14 | (35,791,968.97) | 992,398.37 | 1,446,355.50 | 2,438,753.87 | (939,565.60) | (939,565.60) | 1,499,188.27 | - | - | (124,500.57) | - | **(34,417,281.27)** | ($4,854,505.46) | **(39,271,786.73)** |
| Oct-14 | (34,417,281.27) | 550,150.40 | 1,446,355.50 | 1,996,505.90 | (1,050,870.86) | (1,050,870.86) | 945,635.04 | - | - | (136,957.59) | - | **(33,608,603.82)** | ($4,208.12) | **(33,612,811.94)** |
| Nov-14 | (33,608,603.82) | 490,149.42 | 1,436,836.67 | 1,926,986.09 | (1,934,181.07) | (1,934,181.07) | (7,194.98) | - | - | (215,222.71) | - | **(33,831,021.51)** | ($4,171.85) | **(33,835,193.36)** |
| Dec-14 | (33,831,021.51) | 1,200,189.48 | 1,436,836.67 | 2,637,026.15 | (3,936,698.93) | (3,936,698.93) | (1,299,672.78) | 504,559.60 | - | (398,000.71) | - | **(35,024,135.40)** | ($4,290.64) | **(35,028,426.04)** |
| Jan-15 | (35,024,135.40) | 663,833.68 | 1,547,768.92 | 2,211,602.60 | (5,031,688.33) | (5,031,688.33) | (2,820,085.73) | (84,490.55) | - | (482,562.53) | - | **(38,411,274.21)** | ($5,519.98) | **(38,416,794.19)** |
| Feb-15 | (38,411,274.21) | 866,290.14 | 1,547,768.92 | 2,414,059.06 | (6,240,966.26) | (6,240,966.26) | (3,826,907.20) | (104,830.94) | - | (596,489.40) | - | **(42,939,501.75)** | ($6,093.54) | **(42,945,595.29)** |
| Mar-15 | (42,939,501.75) | 1,121,342.02 | 1,547,768.92 | 2,669,110.94 | (6,163,223.54) | (6,163,223.54) | (3,494,112.60) | (103,542.08) | - | 995,691.68 | 7,348,374.00 | **(38,193,090.75)** | ($6,178.99) | **(38,199,269.74)** |
| Apr-15 | (38,193,090.75) | 780,636.33 | 1,547,768.92 | 2,328,405.25 | (4,204,125.91) | (4,204,125.91) | (1,875,720.66) | (70,659.83) | - | (428,371.72) | - | **(40,567,842.96)** | ($6,107.13) | **(40,573,950.09)** |
| May-15 | (40,567,842.96) | 697,047.56 | 1,547,768.92 | 2,244,816.48 | (2,135,432.60) | (2,135,432.60) | 109,383.88 | (46,221.51) | - | (111,912.49) | - | **(40,616,593.08)** | $4,911,158.49 | **(35,705,434.59)** |
| Jun-15 | (40,616,593.08) | 1,246,550.26 | 1,547,768.92 | 2,794,319.18 | (1,212,746.06) | (1,212,746.06) | 1,581,573.12 | (26,249.92) | - | (67,689.68) | - | **(39,128,959.56)** | $0.00 | **(39,128,959.56)** |
| Jul-15 | (39,128,959.56) | 1,034,527.36 | 1,547,768.92 | 2,582,296.28 | (1,093,563.46) | (1,093,563.46) | 1,488,732.82 | (23,670.20) | - | (65,334.06) | - | **(37,729,231.00)** | $0.00 | **(37,729,231.00)** |
| Aug-15 | (37,729,231.00) | 803,503.44 | 1,547,768.92 | 2,351,272.36 | (1,004,554.31) | (1,004,554.31) | 1,346,718.05 | (21,743.60) | - | (62,889.28) | - | **(36,467,145.83)** | $0.00 | **(36,467,145.83)** |
| Sep-15 | (36,467,145.83) | 554,913.61 | 1,547,768.92 | 2,102,682.53 | (996,458.25) | (996,458.25) | 1,106,224.28 | (21,568.37) | - | (62,613.38) | - | **(35,445,103.30)** | $0.00 | **(35,445,103.30)** |
| Oct-15 | (35,445,103.30) | 918,927.15 | 1,547,768.92 | 2,466,696.07 | (1,113,271.94) | (1,113,271.94) | 1,353,424.13 | (24,096.80) | - | (65,614.37) | - | **(34,181,390.34)** | $0.00 | **(34,181,390.34)** |
| Nov-15 | (34,181,390.34) | 1,518,686.99 | 1,547,768.92 | 3,066,455.91 | (1,771,128.80) | (1,771,128.80) | 1,295,327.11 | (38,336.13) | - | (89,817.54) | - | **(33,014,216.90)** | $0.00 | **(33,014,216.90)** |
| Dec-15 | (33,014,216.90) | 167,347.40 | 1,547,768.92 | 1,715,116.32 | (2,769,216.42) | (2,769,216.42) | (1,054,100.10) | (59,939.73) | - | (128,353.16) | - | **(34,256,609.89)** | $0.00 | **(34,256,609.89)** |
| Jan-16 | (34,256,609.89) | 908,253.20 | - | 908,253.20 | - | - | 908,253.20 | - | - | (66,277.83) | - | **(33,414,634.52)** | $0.00 | **(33,414,634.52)** |
| Feb-16 | (33,414,634.52) | 43,899.33 | - | 43,899.33 | - | - | 43,899.33 | - | - | (235,512.13) | - | **(33,606,247.32)** | $0.00 | **(33,606,247.32)** |
| Mar-16 | (33,606,247.32) | 65,411.31 | | 65,411.31 | | - | 65,411.31 | - | - | 1,129,644.69 | - | **(32,411,191.32)** | $0.00 | **(32,411,191.32)** |
| Apr-16 | (32,411,191.32) | (22,271.88) | | (22,271.88) | | - | (22,271.88) | - | - | (162,170.19) | - | **(32,595,633.39)** | $0.00 | **(32,595,633.39)** |
| May-16 | (32,595,633.39) | 39,109.18 | | 39,109.18 | | - | 39,109.18 | - | - | (109,620.32) | - | **(32,666,144.53)** | $0.00 | **(32,666,144.53)** |
| Jun-16 | (32,666,144.53) | 743,904.95 | | 743,904.95 | | - | 743,904.95 | - | - | (67,912.46) | - | **(31,990,152.04)** | $0.00 | **(31,990,152.04)** |
| Jul-16 | (31,990,152.04) | 169,324.73 | | 169,324.73 | | - | 169,324.73 | - | - | (57,086.48) | - | **(31,877,913.79)** | $0.00 | **(31,877,913.79)** |
| Aug-16 | (31,877,913.79) | 26,368.75 | | 26,368.75 | | - | 26,368.75 | - | - | (51,727.95) | - | **(31,903,272.99)** | $0.00 | **(31,903,272.99)** |
| Sep-16 | (31,903,272.99) | 3,794.34 | | 3,794.34 | | - | 3,794.34 | - | - | (51,195.91) | - | **(31,950,674.56)** | $0.00 | **(31,950,674.56)** |
| Oct-16 | (31,950,674.56) | 97,083.38 | | 97,083.38 | | - | 97,083.38 | - | - | (54,392.25) | - | **(31,907,983.43)** | $0.00 | **(31,907,983.43)** |
| Nov-16 | (31,907,983.43) | 14,240.48 | | 14,240.48 | | - | 14,240.48 | - | - | (81,276.73) | - | **(31,975,019.67)** | $0.00 | **(31,975,019.67)** |
| Dec-16 | (31,975,019.67) | 9,233.90 | | 9,233.90 | | - | 9,233.90 | - | - | (129,611.31) | - | **(32,095,397.08)** | $0.00 | **(32,095,397.08)** |
| Jan-17 | (32,095,397.08) | 8,530.51 | | 8,530.51 | | - | 8,530.51 | - | - | (211,088.96) | | **(32,297,955.54)** | $0.00 | **(32,297,955.54)** |
| Feb-17 | (32,297,955.54) | 6,205.64 | | 6,205.64 | | - | 6,205.64 | - | - | (190,135.39) | | **(32,481,885.29)** | $0.00 | **(32,481,885.29)** |
| Mar-17 | (32,481,885.29) | 214,839.75 | | 214,839.75 | | - | 214,839.75 | - | - | 1,084,810.30 | | **(31,182,235.24)** | $0.00 | **(31,182,235.24)** |
| Apr-17 | (31,182,235.24) | 15,061.66 | | 15,061.66 | | - | 15,061.66 | - | - | (167,645.98) | | **(31,334,819.55)** | $0.00 | **(31,334,819.55)** |
| May-17 | (31,334,819.55) | 33,825.92 | | 33,825.92 | | - | 33,825.92 | - | - | (109,444.60) | | **(31,410,438.24)** | $0.00 | **(31,410,438.24)** |
| Jun-17 | (31,410,438.24) | 65,419.54 | | 65,419.54 | | - | 65,419.54 | - | - | (63,501.95) | | **(31,408,520.65)** | $0.00 | **(31,408,520.65)** |
| Jul-17 | (31,408,520.65) | 259,593.65 | | 259,593.65 | | - | 259,593.65 | - | - | (47,455.22) | | **(31,196,382.22)** | $0.00 | **(31,196,382.22)** |
| Aug-17 | (31,196,382.22) | 21,932.83 | | 21,932.83 | | - | 21,932.83 | - | - | (52,417.99) | | **(31,226,867.38)** | $0.00 | **(31,226,867.38)** |
| Sep-17 | (31,226,867.38) | 92,386.77 | | 92,386.77 | | - | 92,386.77 | - | - | (53,366.69) | | **(31,187,847.30)** | $0.00 | **(31,187,847.30)** |
| Oct-17 | (31,187,847.30) | 85,388.56 | | 85,388.56 | | - | 85,388.56 | - | - | (51,603.37) | | **(31,154,062.11)** | $0.00 | **(31,154,062.11)** |
| Nov-17 | (31,154,062.11) | 12,731.25 | | 12,731.25 | | - | 12,731.25 | - | - | (70,169.85) | | **(31,211,500.71)** | $0.00 | **(31,211,500.71)** |
| Dec-17 | (31,211,500.71) | 1,740,600.74 | | 1,740,600.74 | | - | 1,740,600.74 | - | 918,218.00 | (156,770.67) | | **(28,709,452.64)** | $0.00 | **(28,709,452.64)** |
| Jan-2018 | (28,709,452.64) | 74,000.00 | | 74,000.00 | | | 74,000.00 | | | (201,826.30) | | **(28,837,278.94)** | $0.00 | **(28,837,278.94)** |
| Feb-2018 | (28,837,278.94) | 83.67 | | 83.67 | | | 83.67 | | | (192,370.43) | | **(29,029,565.70)** | $0.00 | **(29,029,565.70)** |
| Mar-2018 | (29,029,565.70) | 558.20 | | 558.20 | | | 558.20 | | | (34,159.77) | | **(29,063,167.27)** | $0.00 | **(29,063,167.27)** |
| Apr-2018 | (29,063,167.27) | 289.31 | | 289.31 | | | 289.31 | | | (157,525.80) | | **(29,220,403.76)** | $0.00 | **(29,220,403.76)** |
| May-2018 | (29,220,403.76) | $198.95 | | 198.95 | | | 198.95 | | | (11,658.38) | | **(29,231,863.19)** | $0.00 | **(29,231,863.19)** |
| Jun-2018 | (29,231,863.19) | $727.65 | | 727.65 | | | 727.65 | | | (10,530.65) | | **(29,241,666.19)** | $0.00 | **(29,241,666.19)** |
| Jul-2018 | (29,241,666.19) | $323.72 | | 323.72 | | | 323.72 | | | (8,497.60) | | **(29,249,840.07)** | $0.00 | **(29,249,840.07)** |
| Aug-2018 | (29,249,840.07) | $1,448.77 | | 1,448.77 | | | 1,448.77 | | | (9,815.14) | | **(29,258,206.44)** | $0.00 | **(29,258,206.44)** |
| Sep-2018 | (29,258,206.44) | $39.41 | | 39.41 | | | 39.41 | | | (9,583.64) | | **(29,267,750.67)** | $0.00 | **(29,267,750.67)** |

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Net Recoveried | Monthly Deferral | Imbalance ver) Under-Collecti | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Oct-2018** | (29,267,750.67) | (10.47) | | (10.47) | | | (10.47) | | | (6,261.81) | | **(29,274,022.95)** | $0.00 | **(29,274,022.95)** |
| **Nov-2018** | (29,274,022.95) | - | | - | | | - | | | (11,661.03) | | **(29,285,683.99)** | $0.00 | **(29,285,683.99)** |
| **Dec-2018** | (29,285,683.99) | - | | | | | | | | (14,527.07) | | **(29,300,211.06)** | $0.00 | **(29,300,211.06)** |
| **Jan-2019** | (29,300,211.06) | (5,889.92) | | (5,889.92) | | | (5,889.92) | | | (15,017.03) | | **(29,321,118.01)** | $0.00 | **(29,321,118.01)** |
| **Feb-2019** | (29,321,118.01) | 11.52 | | 11.52 | | | 11.52 | | | (14,024.53) | | **(29,335,131.02)** | $0.00 | **(29,335,131.02)** |
| **Mar-2019** | (29,335,131.02) | - | | - | | | - | | | 61,298.52 | | **(29,273,832.50)** | $0.00 | **(29,273,832.50)** |

***Note 3: SBC/EEPS principal balances will be transferred to a separate account in June 2018.***

NEW YORK STATE OF OPPORTUNITY. Department of Public Service

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Chief Executive Officer

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Diane X. Burman
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Acting General Counsel
Kathleen H. Burgess
Secretary

Three Empire State Plaza, Albany, NY 12223-1350
www.dps.ny.gov

November 15, 2018

To the Utilities Addressed:

Subject: Case 18-M-0611 - Customer Deposits Interest Rates Effective January 1, 2019

The Rules and Regulations of the Public Service Commission (Commission) require calculation of the customer deposit interest rate using a formula based on the composite yield of intermediate-term, "A"-rated bonds rounded to the nearest 0.05%, less costs of administering deposits of 1.75% per annum. The interest rate is to be updated January 1st of each year, based on the information available as of the first Friday of the preceding October.

A review of the prevailing market conditions as of October 5, 2018, the first Friday of the month, indicated a composite yield of 4.20% for investor-owned utilities and a composite yield of 2.90% for municipal utilities. Those yields reflect an increase of 1.40% and 0.70%, respectively, from the comparative 2017 composite yields. Therefore, based on the formula described above, effective January 1, 2019, the current customer deposit interest rate will be increased to 2.45% for investor-owned utilities and to 1.15% for municipal utilities.

Further, the determination of the interest rate paid on other customer provided capital, such as gas supplier refunds, is based solely on the unadjusted composite bond yields. Unlike the customer deposit interest rate, the Commission has determined that it is not necessary to adjust the other customer provided capital interest rates because such funds do not incur the relatively high level of administrative costs needed to track deposit accounts of individual customers. Therefore, based on the composite yield determination noted above, effective January 1, 2019, the interest rate for other customer provided capital is 4.20% for investor-owned utilities and 2.90% for municipal utilities. For all questions, please contact Hasan Ahmed at hasan.ahmed@dps.ny.gov.

Sincerely,

For DORIS D. STOUT, Director,
Office of Accounting, Audits & Finance

Attachment

Rates on Customer Deposits and Other Customer Provided Capital
1990 - 2019

| | Investor-Owned Utilities | | Municipal Utilities | |
|---|---|---|---|---|
| Effective Date | Other Customer Capital | Customer Deposits | Other Customer Capital | Customer Deposits |
| Jan. 1, 1990 | 9.00 | 7.25 | 6.75 | 5.00 |
| Jan. 1, 1991 | 9.50 | 7.75 | 7.00 | 5.25 |
| Jan. 1, 1992 | 8.35 | 6.60 | 5.75 | 4.00 |
| Jan. 1, 1993 | 6.65 | 4.90 | 5.00 | 3.25 |
| Jan. 1, 1994 | 5.45 | 3.70 | 4.20 | 2.45 |
| Jan. 1, 1995 | 7.50 | 5.75 | 5.05 | 3.30 |
| Jan. 1, 1996 | 6.65 | 4.90 | 4.60 | 2.85 |
| Jan. 1, 1997 | 7.40 | 5.65 | 5.00 | 3.25 |
| Jan. 1, 1998 | 6.45 | 4.70 | 4.45 | 2.70 |
| Jan. 1, 1999 | 5.75 | 4.00 | 4.20 | 2.45 |
| Jan. 1, 2000 | 7.25 | 5.50 | 4.95 | 3.20 |
| Jan. 1, 2001 | 7.75 | 6.00 | 4.95 | 3.20 |
| Jan. 1, 2002 | 6.45 | 4.70 | 3.90 | 2.15 |
| Jan. 1, 2003 | 5.60 | 3.85 | 3.25 | 1.50 |
| Jan. 1, 2004 | 4.20 | 2.45 | 2.90 | 1.15 |
| Jan. 1, 2005 | 4.35 | 2.60 | 2.95 | 1.20 |
| Jan. 1, 2006 | 4.75 | 3.00 | 3.45 | 1.70 |
| Jan. 1, 2007 | 5.40 | 3.65 | 3.70 | 1.95 |
| Jan. 1, 2008 | 5.50 | 3.75 | 3.80 | 2.05 |
| Jan. 1, 2009 | 6.60 | 4.85 | 3.70 | 1.95 |
| Jan. 1, 2010 | 4.20 | 2.45 | 2.85 | 1.10 |
| Jan. 1, 2011 | 3.35 | 1.60 | 2.50 | 0.75 |
| Jan. 1, 2012 | 3.40 | 1.65 | 2.45 | 0.70 |
| Jan. 1, 2013 | 2.10 | 0.35 | 2.10 | 0.35 |
| Jan. 1, 2014 | 3.00 | 1.25 | 3.00 | 1.25 |
| Jan. 1, 2015 | 2.90 | 1.15 | 1.85 | 0.10 |
| Jan. 1, 2016 | 2.60 | 0.85 | 1.85 | 0.10 |
| Jan. 1, 2017 | 2.10 | 0.35 | 1.80 | 0.05 |
| Jan. 1. 2018 | 2.80 | 1.05 | 2.20 | 0.45 |
| Jan. 1. 2019 | 4.20 | 2.45 | 2.90 | 1.15 |

A

Source; PSC Memo

**KEDNY & KEDLI**
**Schedule of NYS / Federal Compoiste Income Tax Rates**
**FY 2019**

| | | | |
|---|---|---|---|
| Income Before Taxes | | 100.00% | |
| Less: | | | |
| NY State Income Taxes | 6.50% | | |
| MTA Surcharge | 1.86% | | |
| **Total NYS Taxes and MTA Surcharges** | | **8.36%** | |
| Sub-Total | | 91.64% | |
| **Federal Income Taxes @ 35%** | **21.00%** | **19.24461%** | **1.76%** |
| **Total Combined Income Tax Rate** | | **27.60%** | |
| | **Net Deferred Tax Rate** | **72.40%** | |

please click on the Icon to see complte tax rate file

NEW YORK STATE | Department of Taxation and Finance

**Technical Memorandum**
**TSB-M-17(4)C**
Corporation Tax
December 4, 2017

## MTA Surcharge Rate and Deriving Receipts Thresholds for 2018

This memorandum announces the rate and deriving receipts thresholds applicable to the Article 9-A Metropolitan Transportation Business Tax Surcharge (MTA surcharge) for tax years beginning on or after January 1, 2018, and before January 1, 2019.

**New MTA surcharge rate**

On December 1, 2017, the Business Corporation Franchise Tax Regulations were amended, as an emergency measure, to add new section 9-1.2(d) to set forth the MTA surcharge rate for tax years beginning on or after January 1, 2018, and before January 1, 2019.

The Commissioner is required, pursuant to Tax Law § 209-B(1)(f) and 20 NYCRR 9-1.2, to annually adjust the rate of the MTA surcharge for tax years beginning on or after January 1, 2016, as necessary to ensure that the receipts attributable to the surcharge will meet

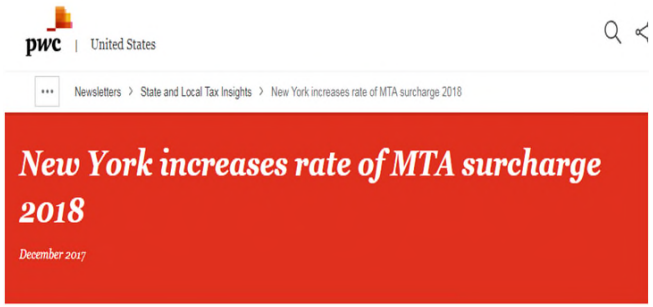
and not exceed the financial projections for the state fiscal year that commences in the year for which the rate is to be set, as reflected in the enacted budget for the fiscal year commencing on the previous April 1.

New section 9-1.2(d) complies with the annual mandate of Tax Law § 209-B(1)(f), setting forth the MTA surcharge rate for tax years beginning on or after January 1, 2016. As required by Tax Law § 209-B(1)(f), the Acting Commissioner of Taxation and Finance has adjusted the MTA surcharge using the state fiscal year 2018-2019 fiscal projections reflected in the enacted budget for fiscal year 2017-2018. As adjusted, the MTA surcharge rate is 28.6% for tax years beginning on or after January 1, 2018, and before January 1, 2019. This rate only applies to Article 9-A taxpayers[1] and will remain the same in any succeeding tax year, unless the Commissioner establishes a new rate. The previously established rate was 28.3%. See TSB-M-17(1)C, *MTA Surcharge Rate and Deriving Receipts Thresholds for 2017*, for more information.

NYS Income Tax Rate x MTA Surcharge

**Estimated MTA surcharge**

When determining the amount of the second, third, and fourth estimated MTA surcharge payments for tax years beginning on or after January 1, 2018, and before January 1, 2019, Article 9-A taxpayers should take into account the 28.6% MTA surcharge rate.



pwc | United States

Newsletters › State and Local Tax Insights › New York increases rate of MTA surcharge 2018

# *New York increases rate of MTA surcharge 2018*

*December 2017*

## *Overview*

On December 4, 2017, the New York Department of Taxation and Finance announced that the rate of New York's Metropolitan transportation business tax surcharge will increase to 28.6% from 28.3%, effective for tax years beginning on or after January 1, 2018, and before January 1, 2019, under an emergency Rule 20 Sec. 9-1.2(d). [N.Y. Dept. of Taxn., and Finance, TSB-M-17(4)C, 12/4/17]

The rate will remain the same in succeeding years unless otherwise adjusted. New York's 2014 tax reform legislation authorized the Commissioner of Taxation and Finance to determine the rate of the surcharge so as to meet state financial projections.

From: Ghooprasert, Nikki
To: Campbell, Deborah A.; Ruiz, Vanessa
Cc: McLeod, Kimanda A.; Dulmage, Melanie; Friedman, Asher; Leonce, Ashley
Subject: RE: KEDNY KEDLI Effective Tax Rate

Sorry for the delay.

The rate for FY 19 should be 27.6%.

| | |
|---|---|
| Federal | 21% |
| FIT on SIT | -1.76% |
| State | 8.36% |
| Total | 27.60% |

Best,
Nikki

**G/L Account Line Item Display G/L View**

Selections

| | |
|---|---|
| G/L Account | U2540280 – Interest SBC Program Costs Deferred |
| Company Code | 5220 |
| Ledger | 0L |

| St | Pstng Date | Doc. Date | DocumentNo | Typ | Amount in local cur. | Profit Ctr | Segment | WBS element | Order | Reference | Text | Account |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ✓ | 04/30/2019 | 04/30/2019 | 2900000061 | ZK | 74,180.17- | NYG1400 | NYGASD | | | 5220NY1710M03 | SBC Interest | U2540280 |
| ✓ | 04/30/2019 | 04/30/2019 | 2900000061 | ZK | 1,320.98- | NYG1400 | NYGASD | | | 5220NY1710M03 | SBC Lost Revenue Interes… | U2540280 |
| * | | | | | 75,501.15- | | | | | | | |

Case 06-G-1186 JP 4

### 3. Recovery of Operating Costs

In each Rate Year of the Rate Period, KEDNY will be allowed to recover from customers all operating costs for energy efficiency programs up to the amount budgeted for the year. In Rate Year One, KEDNY will be allowed to recover from customers all deferrals of interim energy efficiency program costs incurred by KEDNY during the interim period beginning August 1, 2007, as part of the amount budgeted for Rate Year One.

A gas System Benefits Charge (SBC) will be established by KEDNY to provide a recovery mechanism for the cost of energy efficiency programs. The SBC will remain in effect until discontinued by the Commission. The SBC surcharge will be a uniform (single block) volumetric charge. The SBC will be instituted as a non-bypassable surcharge on the delivery portion of customer bills in the following service classes:

***Applicable Service Classes for SBC Surcharge***

| KEDNY | Sales Classes | *Accompanying Transportation Classes* |
|---|---|---|
| Low Income | 1AR & 1BR | 17-1AR & 17-1BR |
| Residential | 1A, 1B, & 1BI | 17-1A, 17-1B & 17-1BI |
| Multifamily and/or Commercial & Industrial | 2-1, 2-2, 3, 4A, 4B & 7 | 17-2-1, 17-2-2, 17-3, 17-4A, 17-4B & 17-7 |

KEDNY will prepare, file and implement tariff revisions necessary to collect the SBC surcharge from applicable ratepayers.

KEDNY will update its billing system to include the SBC surcharge on the Delivery portion of the utility bill.

An SBC balancing account will be created to match SBC surcharge proceeds to energy efficiency program costs. KEDNY shall establish its specific SBC collection rate on an annual basis beginning with usage on and after January 1, 2008 to correspond to its energy efficiency program budget and year-by-year projections of the coming year's gas sales in applicable service classes, with any over- or under-collections reconciled on an annual basis. The initial SBC



collection rate, commencing with usage on and after January 1, 2008, shall be $0.0168/therm. Deferred debits and credits in the SBC balancing account will accrue a carrying charge (base net of Federal and New York State income tax effects) at a rate which KEDNY accrues an allowance for funds used during construction. The amount of such accrued carrying charges will be reflected in the SBC balancing account and the SBC collection rate. Carrying charges will be applied in the same manner as the underlying debit or credit causing them to accrue.

Any SBC funds collected by KEDNY shall be used only for the energy efficiency programs. Any unexpended funds shall be refunded to customers in the same manner as collected.

In the event the SBC charge is discontinued by the Commission, the parties intend that it be replaced with a mechanism that provides full recovery of KEDNY's energy efficiency-related costs. As long as some such mechanism is in effect, KEDNY will continue to incur energy efficiency program-related costs for programs approved by the Commission pursuant to this Joint Proposal.

**4. Recovery of Lost Revenue**

The interim lost revenue elements contained in the Joint Proposal for Interim Energy Efficiency Programs will continue until superseded by new non-interim lost revenue elements to be presented to the Commission resulting from a "revenue collaborative" to be undertaken by the parties to Cases 06-G-1185 and 06-G-1186 regarding energy efficiency lost revenue. Two additional open issues for discussion and resolution in the revenue collaborative are (a) how to implement a true-up based revenue decoupling mechanism that preserves the benefits of customer growth while limiting customer bill impacts and rate volatility, to the extent practicable; and (b) how to move towards the eventual implementation of more cost-based rate designs in the context of the revenue decoupling mechanism. The first meeting of the revenue collaborative shall be held on September 18, 2007. It is the intent of the Signatory Parties that the work of the revenue collaborative will be completed by March 7, 2008. All parties reserve the right to support or oppose the work product of the revenue collaborative before the Commission. Any dispute arising from the revenue collaborative will be referred to the Commission for resolution.

Commencing July 1, 2008, KEDNY will be allowed to recover from customers all deferrals of interim lost revenue incurred during the interim period beginning August 1, 2007 permitted by the Joint Proposal for Interim Energy Efficiency Programs. Recovery shall occur as an add-on to the energy efficiency program costs and collected through the gas SBC; such

**KEDNY AFUDC Rate Breakdown**

| Calendar Year | Debt | Equity | Total |
|---|---|---|---|
| **2007** | 2.39% | 5.57% | **7.96%** |
| 2008 | 2.51% | 5.32% | **7.83%** |
| 2009 | 2.52% | 5.40% | **7.92%** |
| 2010 | 2.32% | 5.11% | **7.43%** |
| 2011 | 2.25% | 5.20% | **7.45%** |
| 2012 | 2.19% | 5.10% | **7.29%** |
| 2013 | 1.59% | 2.64% | **4.23%** |
| 2014 | 0.25% | 0.00% | **0.25%** |
| | | | |
| **Month** | **Debt** | **Equity** | |
| Jan-15 | 0.46% | 0.00% | **0.46%** |
| Feb-15 | 0.67% | 0.00% | **0.67%** |
| Mar-15 | 0.67% | 0.00% | **0.67%** |
| Apr-15 | 0.84% | 0.00% | **0.84%** |
| May-15 | 0.69% | 0.00% | **0.69%** |
| Jun-15 | 0.53% | 0.00% | **0.53%** |
| Jul-15 | 0.65% | 0.00% | **0.65%** |
| Aug-15 | 0.72% | 0.00% | **0.72%** |
| Sep-15 | 0.64% | 0.00% | **0.64%** |
| Oct-15 | 0.61% | 0.00% | **0.61%** |
| Nov-15 | 0.67% | 0.00% | **0.67%** |
| Dec-15 | 0.66% | 0.00% | **0.66%** |
| Jan-16 | 0.90% | 0.00% | **0.90%** |
| Feb-16 | 0.90% | 0.00% | **0.90%** |
| Mar-16 | 0.90% | 0.00% | **0.90%** |
| Apr-16 | 1.97% | 5.49% | **7.46%** |
| May-16 | 1.97% | 5.49% | **7.46%** |
| Jun-16 | 1.97% | 5.49% | **7.46%** |
| Jul-16 | 1.97% | 5.49% | **7.46%** |
| Aug-16 | 1.83% | 4.53% | **6.36%** |
| Sep-16 | 1.74% | 3.91% | **5.65%** |
| Oct-16 | 1.54% | 3.56% | **5.10%** |
| Nov-16 | 1.41% | 2.84% | **4.25%** |
| Dec-16 | 1.33% | 2.01% | **3.34%** |

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID**
**CEF & SBC Combined Carrying Charges Through June 2018 (U2540280)**
**06-G-1185/1186 14-M-00494**

| Month/Year | SBC/EEPS CCs (Note 2 & 4) | CEF CCs (Note 3) | Combined CC | Ending Balance | Ledger Balance | Variance (Note 1) |
|---|---|---|---|---|---|---|
| **Balance Fwd Dec 15** | **(5,087,699.11)** | - | (5,087,699.11) | **(5,087,699.11)** | | |
| Jan-2016 | (25,406.15) | #REF! | #REF! | #REF! | | |
| Feb-2016 | (43,533.13) | #REF! | #REF! | #REF! | | |
| Mar-2016 | (42,340.61) | #REF! | #REF! | #REF! | | |
| Apr-2016 | (41,830.17) | #REF! | #REF! | #REF! | | |
| May-2016 | (42,131.70) | #REF! | #REF! | #REF! | | |
| Jun-2016 | (41,740.81) | #REF! | #REF! | #REF! | | |
| Jul-2016 | (41,231.95) | #REF! | #REF! | #REF! | | |
| Aug-2016 | (41,175.86) | #REF! | #REF! | #REF! | | |
| Sep-2016 | (41,222.83) | #REF! | #REF! | #REF! | | |
| Oct-2016 | (41,225.87) | #REF! | #REF! | #REF! | | |
| Nov-2016 | (41,241.59) | #REF! | #REF! | #REF! | | |
| Dec-2016 | (41,362.58) | #REF! | #REF! | #REF! | | |
| Jan-2017 | (33,576.63) | #REF! | #REF! | #REF! | | |
| Feb-2017 | (33,778.15) | #REF! | #REF! | #REF! | | |
| Mar-2017 | (33,196.38) | #REF! | #REF! | #REF! | | |
| Apr-2017 | (32,594.79) | #REF! | #REF! | #REF! | | |
| May-2017 | (32,710.30) | #REF! | #REF! | #REF! | | |
| Jun-2017 | (32,748.72) | #REF! | #REF! | #REF! | | |
| Jul-2017 | (32,637.13) | #REF! | #REF! | #REF! | | |
| Aug-2017 | (32,542.43) | #REF! | #REF! | #REF! | | |
| Sep-2017 | (32,537.98) | #REF! | #REF! | #REF! | | |
| Oct-2017 | (32,500.03) | #REF! | #REF! | #REF! | | |
| Nov-2017 | (32,512.36) | #REF! | #REF! | #REF! | | |

| Month/Year | SBC/EEPS CCs (Note 2 & 4) | CEF CCs (Note 3) | Combined CC | Ending Balance | Ledger Balance | Variance (Note 1) |
|---|---|---|---|---|---|---|
| Dec-2017 | (31,237.94) | #REF! | #REF! | #REF! | | |
| Jan-2018 | (44,317.44) | #REF! | #REF! | #REF! | | |
| Feb-2018 | (48,885.89) | #REF! | #REF! | #REF! | | |
| Mar-2018 | (49,076.72) | #REF! | #REF! | #REF! | | |
| Apr-2018 | (49,232.82) | #REF! | #REF! | #REF! | | |
| May-2018 | (49,370.30) | #REF! | #REF! | #REF! | (7,058,766.67) | #REF! |
| Jun-2018 | | | - | #REF! | | |
| **Total By Category** | **(6,205,598.38)** | **#REF!** | **#REF!** | | | |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry will be recorded in June***
***Note 2: SBC/EEPS interest balances will remain within this account.***
***Note 3: CEF interest balances will be transferred to a separate account***
***Note 4: Accrued Interest through 5/30/18 includes interest on all SBC collections (Utility + NYSERDA) that were collected through December 31, 2015. The Commission, in its January 21, 2016 CEF Order (14-M-0094) established the Bill-As-You-Go approach for the CEF and directed utilities to hold CEF collections and interest in a segregated account. Therefore, they should NOT also be reported as part of the EEPS Reconciliation Report.***

# The Brooklyn Union Gas Company d/b/a National Grid NY
# Case 19-G-0309/0310
# Attachment 4 to DPS-268

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID**
**Final EEPS Reconciliation**

Utility: The Brooklyn Union Gas Company d/b/a National Grid
Program Funding Fuel: Gas

***Total EEPS 1 & 2 as of 10/17/2017 :***

| | Utility EEPS Collections[1] | Expended through 6/30/17[1] | Encumbered as of 6/30/17[1] | Unspent / Unencumbered as of 6/30/17[1] | Overspending[2] | Shareholder Incentive[3] | Funds Provided by NYSERDA[3] | Balance of Unspent / Unencumbered after Overspending & Shareholder Incentives[4] |
|---|---|---|---|---|---|---|---|---|
| | A | B | C | D = A - B - C | E | F | G | H = D - E - F + G |
| **Total EEPS Portfolio** | $ 69,548,119 | $ 45,761,192 | $ 4,480,588 | $ 19,306,339 | $ 176,715 | $ 918,218 | $ - | $ 18,211,406 |

***Total EEPS 1 & 2 from 10/18/2017 through 12/31/2017:***

| | Encumbered as of 6/30/17[1] | Amount spent 7/1/17-12/31/17 | Total 7/1/17-12/31/17 Unspent |
|---|---|---|---|
| | C | I | J = C - I |
| **Total EEPS Portfolio** | $ 4,480,588 | $ 2,286,646 | $ 2,193,942 |

***Total Final EEPS 1 & 2***

| | Balance of Unspent / Unencumbered after Overspending & Shareholder Incentives[4] | Total 7/1/17-12/31/17 Unspent | Final EEPS Unspent | Accrued Interest through 5/30/18[5] | Total EEPS Unspent + Interest |
|---|---|---|---|---|---|
| | H | J | K = H + J | L | M = K + L |
| **Total EEPS Portfolio** | $ 18,211,406 | $ 2,193,942 | $ 20,405,348 | | $ 20,405,348 |

[1] Total EEPS Portfolio needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 11 and 12 for electric and gas programs, respectively.

[2] Total EEPS Portfolio needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 16 and 17 for electric and gas programs, respectively.

[3] Total EEPS Portfolio needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 18 and 19 for electric and gas programs, respectively.

[4] Total needs to source to Appendix 1 of the Order Authorizing the Conclusion of the Energy Efficiency Portfolio Standard (issued 11/17/17), Tables 18 and 19 for electric and gas programs, respectively. If NYSERDA was required to provide funds for

[5] Accrued Interest through 5/30/18 includes interest on all SBC collections (Utility + NYSERDA) that were collected through December 31, 2015. The Commission, in its January 21, 2016 CEF Order (14-M-0094) established the Bill-As-You-Go approach for the CEF and directed utilities to hold CEF collections and interest in a segregated account. Therefore, they should NOT also be reported as part of the EEPS Reconciliation Report.

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID**
**Carrying Charges**
**Clean Energy Fund**
**Case 14-M-0094/ 15-M-0252**
**January 2016 - June 2018**

| Customer Capital Rate | |
|---|---|
| CY 2016 | 2.60% |
| CY 2017 | 2.10% |
| CY 2018 | 2.80% |

| Net Deferred Tax Rate | | | | | |
|---|---|---|---|---|---|
| | FY 2016 | FY 2017 | FY 2018 (Thru Dec17) | FY 2018 (Jan-Mar18) | FY 2019 |
| Total | 100.00% | 100.00% | 100.00% | 100.00% | 100.00% |
| Tax Rate | 40.80% | 40.41% | 40.42% | 27.59% | 27.60% |
| Tax Adjusted | 59.20% | 59.59% | 59.58% | 72.41% | 72.40% |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Ending Balance (Note 1 & 2) |
|---|---|---|---|---|---|---|---|
| Jan-2016 | - | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Feb-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Mar-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Apr-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| May-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Jun-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Jul-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Aug-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Sep-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Oct-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Nov-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Dec-2016 | #REF! | #REF! | #REF! | #REF! | 2.60% | #REF! | #REF! |
| Jan-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Feb-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Mar-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Apr-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| May-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Ending Balance (Note 1 & 2) |
|---|---|---|---|---|---|---|---|
| Jun-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Jul-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Aug-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Sep-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Oct-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Nov-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Dec-2017 | #REF! | #REF! | #REF! | #REF! | 2.10% | #REF! | #REF! |
| Jan-2018 | #REF! | #REF! | #REF! | #REF! | 2.80% | #REF! | #REF! |
| Feb-2018 | #REF! | #REF! | #REF! | #REF! | 2.80% | #REF! | #REF! |
| Mar-2018 | #REF! | #REF! | #REF! | #REF! | 2.80% | #REF! | #REF! |
| Apr-2018 | #REF! | #REF! | #REF! | #REF! | 2.80% | #REF! | #REF! |
| May-2018 | #REF! | #REF! | #REF! | #REF! | 2.80% | #REF! | #REF! |
| Jun-2018 | #REF! | #REF! | #REF! | #REF! | 2.80% | #REF! | #REF! |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry will be recorded in June 2018.***
***Note 2: CEF interest balances will be transferred to a separate account in June 2018.***

| Month/Yr | Beginning Balance | Ending Balance | Ending Balance Adjusted for DFIT | Average Balance | Interest Rate | Carrying Charge [Avg Bal x Int Rate/12] | Interest Recovered/Refunded | Ending Balance (Note 1) |
|---|---|---|---|---|---|---|---|---|
| **Balance Fwd** | | | | | | | | **(5,087,699.11)** |
| Jan-2016 | (34,256,609.89) | (33,414,634.52) | (19,782,131.93) | (15,996,007.97) | 2.60% | (34,658.02) | 9,251.87 | (5,113,105.26) |
| Feb-2016 | (33,414,634.52) | (33,606,247.32) | (19,895,570.54) | (19,838,851.23) | 2.60% | (42,984.18) | (548.95) | (5,156,638.38) |
| Mar-2016 | (33,606,247.32) | (32,411,191.32) | (19,188,073.49) | (19,541,822.01) | 2.60% | (42,340.61) | | (5,198,979.00) |
| Apr-2016 | (32,411,191.32) | (32,595,633.39) | (19,424,389.85) | (19,306,231.67) | 2.60% | (41,830.17) | | (5,240,809.17) |
| May-2016 | (32,595,633.39) | (32,666,144.53) | (19,466,408.85) | (19,445,399.35) | 2.60% | (42,131.70) | | (5,282,940.87) |
| Jun-2016 | (32,666,144.53) | (31,990,152.04) | (19,063,571.40) | (19,264,990.12) | 2.60% | (41,740.81) | | (5,324,681.68) |
| Jul-2016 | (31,990,152.04) | (31,877,913.79) | (18,996,686.38) | (19,030,128.89) | 2.60% | (41,231.95) | | (5,365,913.62) |
| Aug-2016 | (31,877,913.79) | (31,903,272.99) | (19,011,798.44) | (19,004,242.41) | 2.60% | (41,175.86) | | (5,407,089.48) |
| Sep-2016 | (31,903,272.99) | (31,950,674.56) | (19,040,045.98) | (19,025,922.21) | 2.60% | (41,222.83) | | (5,448,312.31) |
| Oct-2016 | (31,950,674.56) | (31,907,983.43) | (19,014,605.48) | (19,027,325.73) | 2.60% | (41,225.87) | | (5,489,538.19) |
| Nov-2016 | (31,907,983.43) | (31,975,019.67) | (19,054,553.72) | (19,034,579.60) | 2.60% | (41,241.59) | | (5,530,779.78) |
| Dec-2016 | (31,975,019.67) | (32,095,397.08) | (19,126,289.03) | (19,090,421.38) | 2.60% | (41,362.58) | | (5,572,142.36) |
| Jan-2017 | (32,095,397.08) | (32,297,955.54) | (19,246,997.66) | (19,186,643.35) | 2.10% | (33,576.63) | | (5,605,718.98) |
| Feb-2017 | (32,297,955.54) | (32,481,885.29) | (19,356,605.08) | (19,301,801.37) | 2.10% | (33,778.15) | | (5,639,497.13) |
| Mar-2017 | (32,481,885.29) | (31,182,235.24) | (18,582,117.62) | (18,969,361.35) | 2.10% | (33,196.38) | | (5,672,693.52) |
| Apr-2017 | (31,182,235.24) | (31,334,819.55) | (18,669,073.98) | (18,625,595.80) | 2.10% | (32,594.79) | | (5,705,288.31) |
| May-2017 | (31,334,819.55) | (31,410,438.24) | (18,714,127.08) | (18,691,600.53) | 2.10% | (32,710.30) | | (5,737,998.61) |
| Jun-2017 | (31,410,438.24) | (31,408,520.65) | (18,712,984.60) | (18,713,555.84) | 2.10% | (32,748.72) | | (5,770,747.33) |
| Jul-2017 | (31,408,520.65) | (31,196,382.22) | (18,586,593.95) | (18,649,789.27) | 2.10% | (32,637.13) | | (5,803,384.46) |
| Aug-2017 | (31,196,382.22) | (31,226,867.38) | (18,604,756.80) | (18,595,675.38) | 2.10% | (32,542.43) | | (5,835,926.90) |
| Sep-2017 | (31,226,867.38) | (31,187,847.30) | (18,581,508.90) | (18,593,132.85) | 2.10% | (32,537.98) | | (5,868,464.88) |
| Oct-2017 | (31,187,847.30) | (31,154,062.11) | (18,561,379.91) | (18,571,444.41) | 2.10% | (32,500.03) | | (5,900,964.91) |
| Nov-2017 | (31,154,062.11) | (31,211,500.71) | (18,595,601.45) | (18,578,490.68) | 2.10% | (32,512.36) | | (5,933,477.26) |
| Dec-2017 | (31,211,500.71) | (28,709,452.64) | (17,104,898.09) | (17,850,249.77) | 2.10% | (31,237.94) | | (5,964,715.20) |
| Jan-2018 | (28,709,452.64) | (28,837,278.94) | (20,881,477.40) | (18,993,187.75) | 2.80% | (44,317.44) | | (6,009,032.64) |
| Feb-2018 | (28,837,278.94) | (29,029,565.70) | (21,020,714.94) | (20,951,096.17) | 2.80% | (48,885.89) | | (6,057,918.53) |
| Mar-2018 | (29,029,565.70) | (29,063,167.27) | (21,045,046.30) | (21,032,880.62) | 2.80% | (49,076.72) | | (6,106,995.25) |
| Apr-2018 | (29,063,167.27) | (29,220,403.76) | (21,154,517.47) | (21,099,781.88) | 2.80% | (49,232.82) | | (6,156,228.08) |
| May-2018 | (29,220,403.76) | (29,231,958.35) | (21,162,882.57) | (21,158,700.02) | 2.80% | (49,370.30) | | (6,205,598.38) |
| Jun-2018 | (29,231,958.35) | (29,231,958.35) | (21,162,882.57) | (21,162,882.57) | 2.80% | (49,380.06) | | (6,254,978.44) |

***Note 1: Cumulative interest was recalculated using net of tax on balance; adjusting entry will be recorded in June 2018.***

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID, NY**
**Carrying Charge Calculation thru December 2015**
**System Benefit Charge/ Energy Efficiency Portfolio**

Prior to FY 2016

| | |
|---|---|
| **Total** | **100.0000%** |
| **Tax Rate** | **40.6100%** |
| **Tax Adjusted** | **59.3900%** |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge | Carrying Charges: Interest Recovered/Refunded | Carrying Charges: Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Sep-2007 | - | 130,582.16 | 65,291.08 | 7.96% | 257.09 | | - | 257.09 |
| Oct-2007 | 130,582.16 | 299,736.53 | 215,159.35 | 7.96% | 847.20 | | - | 847.20 |
| Nov-2007 | 299,736.53 | 1,006,651.50 | 653,194.02 | 7.96% | 2,571.99 | | - | 2,571.99 |
| Dec-2007 | 1,006,651.50 | 1,152,704.80 | 1,079,678.15 | 7.96% | 4,251.29 | | - | 4,251.29 |
| Jan-2008 | 1,152,704.80 | 380,778.85 | 766,741.83 | 7.83% | 2,971.28 | | - | 2,971.28 |
| Feb-2008 | 380,778.85 | (1,535,413.02) | (577,317.09) | 7.83% | (2,237.22) | | 592.22 | (2,829.44) |
| Mar-2008 | (1,535,413.02) | (3,168,361.53) | (2,351,887.28) | 7.83% | (9,114.03) | | (12,559.00) | 3,444.97 |
| Apr-2008 | (3,168,361.53) | (5,348,096.01) | (4,258,228.77) | 7.83% | (16,501.48) | | (15,599.39) | (902.09) |
| May-2008 | (5,348,096.01) | (5,189,215.21) | (5,268,655.61) | 7.83% | (20,417.08) | | (22,524.01) | 2,106.93 |
| Jun-2008 | (5,189,215.21) | (7,046,598.98) | (6,117,907.10) | 7.83% | (23,708.10) | | (25,560.85) | 1,852.75 |
| Jul-2008 | (7,046,598.98) | (7,208,373.82) | (7,127,486.40) | 7.83% | (27,620.42) | | (30,382.70) | 2,762.28 |
| Aug-2008 | (7,208,373.82) | (7,682,367.32) | (7,445,370.57) | 7.83% | (28,852.28) | | (31,758.62) | 2,906.34 |
| Sep-2008 | (7,682,367.32) | (7,850,980.59) | (7,766,673.96) | 7.83% | (30,097.40) | | (32,654.07) | 2,556.67 |
| Oct-2008 | (7,850,980.59) | (8,557,378.22) | (8,204,179.41) | 7.83% | (31,792.82) | | (33,692.34) | 1,899.52 |
| Nov-2008 | (8,557,378.22) | (10,188,052.31) | (9,372,715.27) | 7.83% | (36,321.12) | | (41,956.37) | 5,635.25 |
| Dec-2008 | (10,188,052.31) | (9,601,982.56) | (9,895,017.44) | 7.83% | (38,345.15) | | (41,727.75) | 3,382.60 |
| Jan-2009 | (9,601,982.56) | (10,871,238.66) | (10,236,610.61) | 7.92% | (40,124.85) | | (43,506.02) | 3,381.17 |
| Feb-2009 | (10,871,238.66) | (13,870,876.05) | (12,371,057.36) | 7.92% | (48,491.33) | | (52,832.60) | 4,341.27 |
| Mar-2009 | (13,870,876.05) | (15,582,873.81) | (14,726,874.93) | 7.92% | (57,725.52) | | (62,874.48) | 5,148.96 |
| Apr-2009 | (15,582,873.81) | (17,169,370.29) | (16,376,122.05) | 7.92% | (64,190.14) | | (69,932.42) | 5,742.28 |
| May-2009 | (17,169,370.29) | (17,064,609.67) | (17,116,989.98) | 7.92% | (67,094.15) | | (72,974.25) | 5,880.10 |
| Jun-2009 | (17,064,609.67) | (17,055,574.04) | (17,060,091.86) | 7.92% | (66,871.12) | | (72,735.76) | 5,864.64 |
| Jul-2009 | (17,055,574.04) | (16,119,429.98) | (16,587,502.01) | 7.92% | (65,018.70) | | (70,742.89) | 5,724.19 |
| Aug-2009 | (16,119,429.98) | (16,154,307.79) | (16,136,868.89) | 7.92% | (63,252.33) | | (68,798.38) | 5,546.05 |
| Sep-2009 | (16,154,307.79) | (16,022,017.98) | (16,088,162.89) | 7.92% | (63,061.42) | | (68,608.64) | 5,547.22 |
| Oct-2009 | (16,022,017.98) | (14,447,461.66) | (15,234,739.82) | 7.92% | (59,716.22) | | (68,531.05) | 8,814.83 |
| Nov-2009 | (14,447,461.66) | (14,430,322.01) | (14,438,891.84) | 7.92% | (56,596.70) | | (63,032.05) | 6,435.35 |
| Dec-2009 | (14,430,322.01) | (13,664,832.17) | (14,047,577.09) | 7.92% | (55,062.85) | | (61,483.91) | 6,421.06 |
| Jan-2010 | (13,664,832.17) | (16,203,039.58) | (14,933,935.88) | 7.43% | (54,915.53) | | (510,280.96) | 455,365.43 |
| Feb-2010 | (16,203,039.58) | (17,191,775.05) | (16,697,407.32) | 7.43% | (61,400.22) | | (103,329.11) | 41,928.89 |
| Mar-2010 | (17,191,775.05) | (17,643,358.10) | (17,417,566.58) | 7.43% | (64,048.41) | | (107,787.49) | 43,739.08 |
| Apr-2010 | (17,643,358.10) | (17,586,099.26) | (17,614,728.68) | 7.43% | (64,773.42) | | (109,678.24) | 44,904.82 |
| May-2010 | (17,586,099.26) | (15,991,386.68) | (16,788,742.97) | 7.43% | (61,736.08) | | (108,079.61) | 46,343.53 |
| Jun-2010 | (15,991,386.68) | (16,196,945.67) | (16,094,166.18) | 7.43% | (59,181.96) | | (107,920.61) | 48,738.65 |
| Jul-2010 | (16,196,945.67) | (16,142,396.73) | (16,169,671.20) | 7.43% | (59,459.61) | | (108,388.14) | 48,928.53 |
| Aug-2010 | (16,142,396.73) | (15,939,461.46) | (16,040,929.10) | 7.43% | (58,986.20) | | (107,591.00) | 48,604.80 |
| Sep-2010 | (15,939,461.46) | (15,325,069.63) | (15,632,265.55) | 7.43% | (57,483.45) | | (105,067.73) | 47,584.28 |
| Oct-2010 | (15,325,069.63) | (8,136,188.14) | (11,730,628.89) | 7.43% | (43,136.23) | | (102,589.15) | 59,452.92 |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Nov-2010 | (8,136,188.14) | (8,328,651.24) | (8,232,419.69) | 7.43% | (30,272.51) | | (102,546.22) | 72,273.71 |
| Dec-2010 | (8,328,651.24) | (6,537,524.74) | (7,433,087.99) | 7.43% | (27,333.18) | | (103,058.39) | 75,725.21 |
| Jan-2011 | (6,537,524.74) | (7,234,147.75) | (6,885,836.25) | 7.45% | (25,388.97) | | (111,241.79) | 85,852.82 |
| Feb-2011 | (7,234,147.75) | (11,148,650.86) | (9,191,399.31) | 7.45% | (33,889.88) | | 186,997.49 | (220,887.37) |
| Mar-2011 | (11,148,650.86) | (23,776,027.61) | (17,462,339.24) | 7.45% | (64,385.90) | | (118,066.66) | 53,680.76 |
| Apr-2011 | (23,776,027.61) | (25,836,484.18) | (24,806,255.90) | 7.45% | (91,463.87) | | (157,329.36) | 65,865.49 |
| May-2011 | (25,836,484.18) | (26,818,058.78) | (26,327,271.48) | 7.45% | (97,072.05) | | (167,877.40) | 70,805.35 |
| Jun-2011 | (26,818,058.78) | (25,835,018.38) | (26,326,538.58) | 7.45% | (97,069.35) | | (154,491.07) | 57,421.72 |
| Jul-2011 | (25,835,018.38) | (25,670,812.05) | (25,752,915.22) | 7.45% | (94,954.32) | | (161,010.85) | 66,056.53 |
| Aug-2011 | (25,670,812.05) | (24,322,216.31) | (24,996,514.18) | 7.45% | (92,165.38) | | (153,239.90) | 61,074.52 |
| Sep-2011 | (24,322,216.31) | (24,659,315.03) | (24,490,765.67) | 7.45% | (90,300.62) | | (152,067.24) | 61,766.62 |
| Oct-2011 | (24,659,315.03) | (24,002,374.50) | (24,330,844.77) | 7.45% | (89,710.97) | | (151,074.27) | 61,363.30 |
| Nov-2011 | (24,002,374.50) | (25,041,450.80) | (24,521,912.65) | 7.45% | (90,415.46) | | (152,260.64) | 61,845.18 |
| Dec-2011 | (25,041,450.80) | (27,206,686.25) | (26,124,068.53) | 7.45% | (96,322.82) | | (162,208.69) | 65,885.87 |
| Jan-2012 | (27,206,686.25) | (29,704,846.97) | (28,455,766.61) | 7.29% | (102,666.77) | | (172,773.94) | 70,107.17 |
| Feb-2012 | (29,704,846.97) | (31,371,704.20) | (30,538,275.59) | 7.29% | (110,180.34) | | (185,418.22) | 75,237.88 |
| Mar-2012 | (31,371,704.20) | (31,380,906.55) | (31,376,305.38) | 7.29% | (113,203.91) | | (186,948.76) | 73,744.85 |
| Apr-2012 | (31,380,906.55) | (32,045,967.46) | (31,713,437.01) | 7.29% | (114,420.26) | | (195,412.13) | 80,991.87 |
| May-2012 | (32,045,967.46) | (32,353,537.11) | (32,199,752.29) | 7.29% | (116,174.85) | | (198,340.71) | 82,165.86 |
| Jun-2012 | (32,353,537.11) | (32,411,695.42) | (32,382,616.27) | 7.29% | (116,834.62) | | (201,953.48) | 85,118.86 |
| Jul-2012 | (32,411,695.42) | (32,236,799.68) | (32,324,247.55) | 7.29% | (116,624.03) | | (201,599.31) | 84,975.28 |
| Aug-2012 | (32,236,799.68) | (32,120,848.93) | (32,178,824.31) | 7.29% | (116,099.35) | | (200,716.35) | 84,617.00 |
| Sep-2012 | (32,120,848.93) | (32,200,619.02) | (32,160,733.98) | 7.29% | (116,034.08) | | (200,606.51) | 84,572.43 |
| Oct-2012 | (32,200,619.02) | (32,236,098.10) | (32,218,358.56) | 7.29% | (116,241.99) | | (200,956.88) | 84,714.89 |
| Nov-2012 | (32,236,098.10) | (32,917,101.48) | (32,576,599.79) | 7.29% | (117,534.50) | | (203,132.50) | 85,598.00 |
| Dec-2012 | (32,917,101.48) | (33,669,629.73) | (33,293,365.61) | 7.29% | (120,120.55) | | (123,855.13) | 3,734.58 |
| Jan-2013 | (33,669,629.73) | (34,813,077.33) | (34,241,353.53) | 4.23% | (71,684.19) | | (204,534.58) | 132,850.39 |
| Feb-2013 | (34,813,077.33) | (36,879,513.89) | (35,846,295.61) | 4.23% | (75,044.13) | | (210,848.86) | 135,804.73 |
| Mar-2013 | (36,879,513.89) | (37,261,626.55) | (37,070,570.22) | 4.23% | (77,607.15) | | 213,171.01 | (290,778.16) |
| Apr-2013 | (37,261,626.55) | (38,840,966.21) | (38,051,296.38) | 4.23% | (79,660.29) | | (139,086.99) | 59,426.70 |
| May-2013 | (38,840,966.21) | (39,242,195.22) | (39,041,580.72) | 4.23% | (81,733.45) | | (144,426.27) | 62,692.82 |
| Jun-2013 | (39,242,195.22) | (39,181,051.49) | (39,211,623.36) | 4.23% | (82,089.44) | | 91,909.16 | (173,998.60) |
| Jul-2013 | (39,181,051.49) | (38,819,177.14) | (39,000,114.32) | 4.23% | (81,646.64) | | (79,462.35) | (2,184.29) |
| Aug-2013 | (38,819,177.14) | (38,336,444.63) | (38,577,810.89) | 4.23% | (80,762.55) | | (122,575.75) | 41,813.20 |
| Sep-2013 | (38,336,444.63) | (37,700,463.03) | (38,018,453.83) | 4.23% | (79,591.54) | | (120,798.51) | 41,206.97 |
| Oct-2013 | (37,700,463.03) | (37,254,616.48) | (37,477,539.76) | 4.23% | (78,459.14) | | (119,079.83) | 40,620.69 |
| Nov-2013 | (37,254,616.48) | (37,057,422.75) | (37,156,019.62) | 4.23% | (77,786.03) | | (118,058.24) | 40,272.21 |
| Dec-2013 | (37,057,422.75) | (38,171,265.55) | (37,614,344.15) | 4.23% | (78,745.54) | | (119,514.50) | 40,768.96 |
| Jan-2014 | (38,171,265.55) | (40,089,811.65) | (39,130,538.60) | 0.25% | (4,841.59) | | (90,634.55) | 85,792.96 |
| Feb-2014 | (40,089,811.65) | (35,182,396.48) | (37,636,104.07) | 0.25% | (4,656.68) | | (87,173.12) | 82,516.44 |
| Mar-2014 | (35,182,396.48) | (36,272,348.75) | (35,727,372.62) | 0.25% | (4,420.52) | | 314,224.28 | (318,644.80) |
| Apr-2014 | (36,272,348.75) | (37,720,705.05) | (36,996,526.90) | 0.25% | (4,577.55) | | (91,965.98) | 87,388.43 |
| May-2014 | (37,720,705.05) | (38,350,765.26) | (38,035,735.16) | 0.25% | (4,706.13) | | 82,042.52 | (86,748.65) |
| Jun-2014 | (38,350,765.26) | (37,592,524.03) | (37,971,644.65) | 0.25% | (4,698.20) | | (5,033.36) | 335.16 |
| Jul-2014 | (37,592,524.03) | (36,772,454.04) | (37,182,489.04) | 0.25% | (4,600.56) | | (5,013.23) | 412.67 |
| Aug-2014 | (36,772,454.04) | (35,791,968.97) | (36,282,211.51) | 0.25% | (4,489.17) | | (4,824.23) | 335.06 |
| Sep-2014 | (35,791,968.97) | (34,417,281.27) | (35,104,625.12) | 0.25% | (4,343.47) | | (4,678.49) | 335.02 |
| Oct-2014 | (34,417,281.27) | (33,608,603.82) | (34,012,942.55) | 0.25% | (4,208.39) | | (4,543.29) | 334.90 |
| Nov-2014 | (33,608,603.82) | (33,831,021.51) | (33,719,812.67) | 0.25% | (4,172.12) | | (4,507.02) | 334.90 |
| Dec-2014 | (33,831,021.51) | (35,024,135.40) | (34,427,578.46) | 0.25% | (4,259.70) | (74,450.00) | (1,321.15) | (2,938.55) |

| Month/Yr | Beginning Balance | Ending Balance | Average Balance | Interest Rate [2] | Carrying Charge | Interest Recovered/Refunded | Per General Ledger | Variation |
|---|---|---|---|---|---|---|---|---|
| Jan-2015 | (35,024,135.40) | (38,411,274.21) | (36,717,704.81) | 0.46% | (8,359.21) | | 7,039.84 | (15,399.05) |
| Feb-2015 | (38,411,274.21) | (42,939,501.75) | (40,675,387.98) | 0.67% | (13,487.72) | 15,481.16 | (6,030.94) | (7,456.78) |
| Mar-2015 | (42,939,501.75) | (38,193,090.75) | (40,566,296.25) | 0.67% | (13,451.55) | 15,288.32 | (6,562.57) | (6,888.98) |
| Apr-2015 | (38,193,090.75) | (40,567,842.96) | (39,380,466.86) | 0.84% | (16,371.64) | 10,428.65 | (5,297.38) | (11,074.26) |
| May-2015 | (40,567,842.96) | (40,616,593.08) | (40,592,218.02) | 0.69% | (13,861.94) | 9,490.79 | (6,270.08) | (7,591.86) |
| Jun-2015 | (40,616,593.08) | (39,128,959.56) | (39,872,776.32) | 0.53% | (10,458.86) | 5,477.73 | (6,146.20) | (4,312.66) |
| Jul-2015 | (39,128,959.56) | (37,729,231.00) | (38,429,095.28) | 0.65% | (12,362.48) | 4,948.20 | (5,919.92) | (6,442.56) |
| Aug-2015 | (37,729,231.00) | (36,467,145.83) | (37,098,188.42) | 0.72% | (13,219.57) | 4,549.98 | (5,709.43) | (7,510.14) |
| Sep-2015 | (36,467,145.83) | (35,445,103.30) | (35,956,124.57) | 0.64% | (11,388.98) | 4,502.42 | (5,527.33) | (5,861.65) |
| Oct-2015 | (35,445,103.30) | (34,181,390.34) | (34,813,246.82) | 0.61% | (10,510.09) | 4,995.22 | (34,518.74) | 24,008.65 |
| Nov-2015 | (34,181,390.34) | (33,014,216.90) | (33,597,803.62) | 0.67% | (11,140.84) | 7,826.88 | (5,148.09) | (5,992.75) |
| Dec-2015 | (33,014,216.90) | (34,256,609.89) | (33,635,413.40) | 0.66% | (10,986.84) | 12,264.85 | (10,452.61) | (534.23) |
| | | | - | | | | | - |
| | | Totals | | | (5,087,699.11) | 20,804.20 | (7,533,053.06) | 2,445,353.95 |
| | | Interest Adjustment (Period Beg - Nov 12) [1] | | | | | 2,575,454.18 | 2,445,353.95 |
| | | Ledger Balance at December 2015 | | | | | (4,936,794.68) | 2,575,454.18 |
| | | Variation | | | | | (150,904.43) | (150,904.43) |

***Note 1: As a result of the SIR deferral order in cases 06-G-1185 & 06-G-1186 dated, November 28, 2012 a cumulative adjustment was made to the accrued carrying charge balance (retroactive to January 2008); the adjustment was made in December 20 carrying charge computation was revised to include the effect of associated deferred taxes using an effective tax rate of 40.61%.***

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID, NY**
**CEF Combined Principal Balance**
**U2540736/ U1823736**
**14-M-0094**

| | SBC/EEPS* | CEF | Balance per General Ledger | | |
|---|---|---|---|---|---|
| **Balance Fwd Dec 15** | **(34,256,609.89)** | - | **(34,256,609.89)** | | |
| Jan-2016 | (33,414,634.52) | #REF! | #REF! | | |
| Feb-2016 | (33,606,247.32) | #REF! | #REF! | | |
| Mar-2016 | (32,411,191.32) | #REF! | #REF! | | |
| Apr-2016 | (32,595,633.39) | #REF! | #REF! | | |
| May-2016 | (32,666,144.53) | #REF! | #REF! | | |
| Jun-2016 | (31,990,152.04) | #REF! | #REF! | | |
| Jul-2016 | (31,877,913.79) | #REF! | #REF! | | |
| Aug-2016 | (31,903,272.99) | #REF! | #REF! | | |
| Sep-2016 | (31,950,674.56) | #REF! | #REF! | | |
| Oct-2016 | (31,907,983.43) | #REF! | #REF! | | |
| Nov-2016 | (31,975,019.67) | #REF! | #REF! | | |
| Dec-2016 | (32,095,397.08) | #REF! | #REF! | | |
| Jan-2017 | (32,297,955.54) | #REF! | #REF! | | |
| Feb-2017 | (32,481,885.29) | #REF! | #REF! | | |
| Mar-2017 | (31,182,235.24) | #REF! | #REF! | | |
| Apr-2017 | (31,334,819.55) | #REF! | #REF! | | |
| May-2017 | (31,410,438.24) | #REF! | #REF! | | |
| Jun-2017 | (31,408,520.65) | #REF! | #REF! | | |
| Jul-2017 | (31,196,382.22) | #REF! | #REF! | | |
| Aug-2017 | (31,226,867.38) | #REF! | #REF! | | |
| Sep-2017 | (31,187,847.30) | #REF! | #REF! | | |
| Oct-2017 | (31,154,062.11) | #REF! | #REF! | | |
| Nov-2017 | (31,211,500.71) | #REF! | #REF! | | |
| Dec-2017 | (28,709,452.64) | #REF! | #REF! | | |
| Jan-2018 | (28,837,278.94) | #REF! | #REF! | | |
| Feb-2018 | (29,029,565.70) | #REF! | #REF! | | |
| Mar-2018 | (29,063,167.27) | #REF! | #REF! | | |
| Apr-2018 | (29,220,403.76) | #REF! | #REF! | | |
| May-2018 | (29,231,958.35) | #REF! | #REF! | 34,797,225.91 | #REF! |
| Jun-2018 | (29,231,958.35) | #REF! | #REF! | | |

* Balance will be transferred to separate account in June 2018
Account number U254002

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID, NY**
**Summary of the CEF Principal Balances from January 2016 to December 2017**

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveried | Monthly Deferral | Imbalance | Ending Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Jan-16** | - | #REF! | - | #REF! | (2,988,560.99) | - | - | (2,988,560.99) | #REF! | $90,705.51 | **#REF!** |
| **Feb-16** | #REF! | #REF! | - | #REF! | (2,169,621.69) | - | - | (2,169,621.69) | #REF! | $157,095.90 | **#REF!** |
| **Mar-16** | #REF! | - | 2,371,325.00 | 2,371,325.00 | (1,690,090.40) | - | - | (1,690,090.40) | 681,234.60 | $315,848.23 | **#REF!** |
| **Apr-16** | #REF! | - | - | - | (775,823.37) | - | - | (775,823.37) | (775,823.37) | $249,576.95 | **#REF!** |
| **May-16** | #REF! | - | - | - | (505,281.15) | - | - | (505,281.15) | (505,281.15) | $166,919.36 | **#REF!** |
| **Jun-16** | #REF! | - | 2,371,325.39 | 2,371,325.39 | (318,744.43) | (134,072.66) | - | (452,817.09) | 1,918,508.30 | $101,649.47 | **#REF!** |
| **Jul-16** | #REF! | - | 790,441.80 | 790,441.80 | (243,935.86) | (119,218.39) | 134,072.66 | (229,081.59) | 561,360.22 | $80,817.67 | **#REF!** |
| **Aug-16** | #REF! | - | 790,442.00 | 790,442.00 | (214,362.26) | (124,406.15) | 119,218.39 | (219,550.02) | 570,891.98 | $72,461.98 | **#REF!** |
| **Sep-16** | #REF! | - | 790,442.00 | 790,442.00 | (212,802.62) | (134,972.51) | 124,406.15 | (223,368.97) | 567,073.03 | $70,821.08 | **#REF!** |
| **Oct-16** | #REF! | - | 790,442.00 | 790,442.00 | (244,237.23) | (269,094.74) | 134,972.51 | (378,359.46) | 412,082.54 | $90,324.25 | **#REF!** |
| **Nov-16** | #REF! | - | 619,905.00 | 619,905.00 | (427,767.72) | (432,388.10) | 269,094.74 | (591,061.08) | 28,843.92 | $140,445.58 | **#REF!** |
| **Dec-16** | #REF! | - | 938,025.00 | 938,025.00 | (787,649.56) | (690,887.40) | 432,388.10 | (1,046,148.86) | (108,123.86) | $257,028.18 | **#REF!** |
| **Jan-17** | #REF! | - | 372,497.24 | 372,497.24 | (409,688.59) | (919,170.31) | 690,887.40 | (637,971.50) | (265,474.26) | ($503,697.62) | **#REF!** |
| **Feb-17** | #REF! | - | 387,987.55 | 387,987.55 | (1,189,241.91) | (682,093.55) | 919,170.31 | (952,165.15) | (564,177.60) | $20,380.85 | **#REF!** |
| **Mar-17** | #REF! | - | 63,852.00 | 63,852.00 | (1,140,086.31) | (866,739.47) | 682,093.55 | (1,324,732.23) | (1,260,880.23) | $41,657.17 | **#REF!** |
| **Apr-17** | #REF! | - | 511,484.00 | 511,484.00 | (1,044,556.22) | (316,829.64) | 866,739.47 | (494,646.39) | 16,837.61 | $39,312.38 | **#REF!** |
| **May-17** | #REF! | - | 321,014.00 | 321,014.00 | (529,715.03) | (251,183.47) | 316,829.64 | (464,068.86) | (143,054.86) | $19,746.83 | **#REF!** |
| **Jun-17** | #REF! | - | 320,783.00 | 320,783.00 | (348,339.86) | (188,177.64) | 251,183.47 | (285,334.03) | 35,448.97 | $9,776.07 | **#REF!** |
| **Jul-17** | #REF! | - | 187,400.00 | 187,400.00 | (256,188.24) | (207,377.51) | 188,177.64 | (275,388.11) | (87,988.11) | $14,805.19 | **#REF!** |
| **Aug-17** | #REF! | - | 1,286,601.64 | 1,286,601.64 | (254,731.19) | (201,194.92) | 207,377.51 | (248,548.60) | 1,038,053.04 | $9,800.44 | **#REF!** |
| **Sep-17** | #REF! | - | 1,084,529.52 | 1,084,529.52 | (263,291.72) | (188,535.81) | 201,194.92 | (250,632.61) | 833,896.91 | $9,510.15 | **#REF!** |
| **Oct-17** | #REF! | - | 292,870.00 | 292,870.00 | (263,018.52) | (273,221.15) | 188,535.81 | (347,703.86) | (54,833.86) | $9,070.53 | **#REF!** |
| **Nov-17** | #REF! | - | 857,462.00 | 857,462.00 | (428,060.18) | (726,173.17) | 273,221.15 | (881,012.20) | (23,550.20) | $15,057.04 | **#REF!** |
| **Dec-17** | #REF! | - | 837,003.00 | 837,003.00 | (1,059,212.08) | (1,044,581.26) | 726,173.17 | (1,377,620.17) | (540,617.17) | $433,002.53 | **#REF!** |
| **Jan-18** | #REF! | **#REF!** | 151,050.00 | #REF! | (529,867.42) | (1,045,409.08) | 1,044,581.26 | (530,695.24) | #REF! | (880,105.75) | **#REF!** |
| **Feb-18** | #REF! | | 108,958.00 | 108,958.00 | (1,151,386.76) | (696,515.90) | 1,045,409.08 | (802,493.58) | (693,535.58) | ($120,644.26) | **#REF!** |
| **Mar-18** | #REF! | | (413,161.95) | (413,161.95) | (1,049,288.04) | (776,243.61) | 696,515.90 | (1,129,015.75) | (1,542,177.70) | ($60,110.06) | **#REF!** |
| **Apr-18** | #REF! | | - | - | (969,031.04) | (443,975.08) | 776,243.61 | (636,762.51) | (636,762.51) | (61,180.20) | **#REF!** |
| May-2018 | #REF! | | 136,059.61 | 136,059.61 | (641,408.56) | (179,781.72) | 443,975.08 | (377,215.20) | (241,155.59) | (38,310.16) | **#REF!** |
| Jun-2018 | #REF! | | | | | | | | | | **#REF!** |

**THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID, NY**
**Summary of theSBC EEPS Principal Balances thru May 2018**

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveried | Monthly Deferral | Imbalance (Over) Under-Collection | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sep-07** | - | 130,582.16 | | 130,582.16 | | | | | 130,582.16 | | | | | **130,582.16** | | **130,582.16** |
| **Oct-07** | 130,582.16 | 169,154.37 | | 169,154.37 | | | | | 169,154.37 | | | | | **299,736.53** | | **299,736.53** |
| **Nov-07** | 299,736.53 | 706,914.97 | | 706,914.97 | | | | | 706,914.97 | | | | | **1,006,651.50** | | **1,006,651.50** |
| **Dec-07** | 1,006,651.50 | 146,053.30 | | 146,053.30 | | | | | 146,053.30 | | | | | **1,152,704.80** | | **1,152,704.80** |
| **Jan-08** | 1,152,704.80 | 145,791.90 | - | 145,791.90 | (917,717.85) | - | - | (917,717.85) | (771,925.95) | - | - | - | - | **380,778.85** | $0.00 | **380,778.85** |
| **Feb-08** | 380,778.85 | 572,578.96 | - | 572,578.96 | (2,488,770.83) | - | - | (2,488,770.83) | (1,916,191.87) | - | - | - | - | **(1,535,413.02)** | $592.22 | **(1,534,820.80)** |
| **Mar-08** | (1,535,413.02) | 1,276,099.99 | - | 1,276,099.99 | (2,909,048.50) | - | - | (2,909,048.50) | (1,632,948.51) | - | - | - | - | **(3,168,361.53)** | ($12,559.00) | **(3,180,920.53)** |
| **Apr-08** | (3,168,361.53) | 150,876.54 | - | 150,876.54 | (2,330,611.02) | - | - | (2,330,611.02) | (2,179,734.48) | - | - | - | - | **(5,348,096.01)** | ($15,599.39) | **(5,363,695.40)** |
| **May-08** | (5,348,096.01) | 227,074.76 | - | 227,074.76 | (68,193.96) | - | - | (68,193.96) | 158,880.80 | - | - | - | - | **(5,189,215.21)** | ($22,524.01) | **(5,211,739.22)** |
| **Jun-08** | (5,189,215.21) | 475,807.19 | - | 475,807.19 | (2,333,190.96) | - | - | (2,333,190.96) | (1,857,383.77) | - | - | - | - | **(7,046,598.98)** | ($25,560.85) | **(7,072,159.83)** |
| **Jul-08** | (7,046,598.98) | 699,167.55 | - | 699,167.55 | (860,942.39) | - | - | (860,942.39) | (161,774.84) | - | - | - | - | **(7,208,373.82)** | ($30,382.70) | **(7,238,756.52)** |
| **Aug-08** | (7,208,373.82) | 331,827.68 | - | 331,827.68 | (805,821.18) | - | - | (805,821.18) | (473,993.50) | - | - | - | - | **(7,682,367.32)** | ($31,758.62) | **(7,714,125.94)** |
| **Sep-08** | (7,682,367.32) | 499,524.52 | - | 499,524.52 | (668,137.79) | - | - | (668,137.79) | (168,613.27) | - | - | - | - | **(7,850,980.59)** | ($32,654.07) | **(7,883,634.66)** |
| **Oct-08** | (7,850,980.59) | 560,775.39 | - | 560,775.39 | (1,267,173.02) | - | - | (1,267,173.02) | (706,397.63) | - | - | - | - | **(8,557,378.22)** | ($33,692.34) | **(8,591,070.56)** |
| **Nov-08** | (8,557,378.22) | 359,948.31 | - | 359,948.31 | (1,990,622.40) | - | - | (1,990,622.40) | (1,630,674.09) | - | - | - | - | **(10,188,052.31)** | ($41,956.37) | **(10,230,008.68)** |
| **Dec-08** | (10,188,052.31) | 3,685,236.90 | - | 3,685,236.90 | (3,099,167.15) | - | - | (3,099,167.15) | 586,069.75 | - | - | - | - | **(9,601,982.56)** | ($41,727.75) | **(9,643,710.31)** |
| **Jan-09** | (9,601,982.56) | 206,527.63 | - | 206,527.63 | (1,475,783.73) | - | - | (1,475,783.73) | (1,269,256.10) | - | - | - | - | **(10,871,238.66)** | ($43,506.02) | **(10,914,744.68)** |
| **Feb-09** | (10,871,238.66) | 300,923.26 | - | 300,923.26 | (3,300,560.65) | - | - | (3,300,560.65) | (2,999,637.39) | - | - | - | - | **(13,870,876.05)** | ($52,832.60) | **(13,923,708.65)** |
| **Mar-09** | (13,870,876.05) | 1,107,533.02 | - | 1,107,533.02 | (2,819,530.78) | - | - | (2,819,530.78) | (1,711,997.76) | - | - | - | - | **(15,582,873.81)** | ($62,874.48) | **(15,645,748.29)** |
| **Apr-09** | (15,582,873.81) | 465,889.34 | - | 465,889.34 | (2,052,385.82) | - | - | (2,052,385.82) | (1,586,496.48) | - | - | - | - | **(17,169,370.29)** | ($69,932.42) | **(17,239,302.71)** |
| **May-09** | (17,169,370.29) | 859,095.24 | - | 859,095.24 | (1,192,138.70) | - | - | (1,192,138.70) | (333,043.46) | - | - | 437,804.08 | - | **(17,064,609.67)** | ($72,974.25) | **(17,137,583.92)** |
| **Jun-09** | (17,064,609.67) | 789,886.77 | - | 789,886.77 | (780,851.14) | - | - | (780,851.14) | 9,035.63 | - | - | - | - | **(17,055,574.04)** | ($72,735.76) | **(17,128,309.80)** |
| **Jul-09** | (17,055,574.04) | 1,633,686.70 | - | 1,633,686.70 | (697,542.64) | - | - | (697,542.64) | 936,144.06 | - | - | - | - | **(16,119,429.98)** | ($70,742.89) | **(16,190,172.87)** |
| **Aug-09** | (16,119,429.98) | 516,895.77 | - | 516,895.77 | (616,251.20) | - | - | (616,251.20) | (99,355.43) | - | - | 64,477.62 | - | **(16,154,307.79)** | ($68,798.38) | **(16,223,106.17)** |
| **Sep-09** | (16,154,307.79) | 742,136.89 | - | 742,136.89 | (609,847.08) | - | - | (609,847.08) | 132,289.81 | - | - | - | - | **(16,022,017.98)** | ($68,608.64) | **(16,090,626.62)** |
| **Oct-09** | (16,022,017.98) | 2,362,648.68 | - | 2,362,648.68 | (795,224.99) | - | - | (795,224.99) | 1,567,423.69 | - | - | 7,132.63 | - | **(14,447,461.66)** | ($68,531.05) | **(14,515,992.71)** |
| **Nov-09** | (14,447,461.66) | 755,477.80 | - | 755,477.80 | (738,338.15) | - | - | (738,338.15) | 17,139.65 | - | - | - | - | **(14,430,322.01)** | ($63,032.05) | **(14,493,354.06)** |
| **Dec-09** | (14,430,322.01) | 3,128,730.27 | - | 3,128,730.27 | (2,363,240.43) | - | - | (2,363,240.43) | 765,489.84 | - | - | - | - | **(13,664,832.17)** | ($61,483.91) | **(13,726,316.08)** |
| **Jan-10** | (13,664,832.17) | (59,515.49) | - | (59,515.49) | (2,783,279.33) | - | - | (2,783,279.33) | (2,842,794.82) | - | - | 304,587.41 | - | **(16,203,039.58)** | (510,280.96) | **(16,713,320.54)** |
| **Feb-10** | (16,203,039.58) | 615,823.86 | - | 615,823.86 | (1,604,559.33) | - | - | (1,604,559.33) | (988,735.47) | - | - | - | - | **(17,191,775.05)** | ($103,329.11) | **(17,295,104.16)** |
| **Mar-10** | (17,191,775.05) | 978,776.17 | - | 978,776.17 | (1,430,359.22) | - | - | (1,430,359.22) | (451,583.05) | - | - | - | - | **(17,643,358.10)** | ($107,787.49) | **(17,751,145.59)** |
| **Apr-10** | (17,643,358.10) | 417,534.47 | - | 417,534.47 | (763,411.86) | - | - | (763,411.86) | (345,877.39) | - | - | 403,136.23 | - | **(17,586,099.26)** | ($109,678.24) | **(17,695,777.50)** |
| **May-10** | (17,586,099.26) | 314,821.82 | 1,338,162.25 | 1,652,984.07 | (58,271.49) | - | - | (58,271.49) | 1,594,712.58 | - | - | - | - | **(15,991,386.68)** | ($108,079.61) | **(16,099,466.29)** |
| **Jun-10** | (15,991,386.68) | 695,110.59 | - | 695,110.59 | (900,669.58) | - | - | (900,669.58) | (205,558.99) | - | - | - | - | **(16,196,945.67)** | ($107,920.61) | **(16,304,866.28)** |
| **Jul-10** | (16,196,945.67) | 384,635.62 | - | 384,635.62 | (330,086.68) | - | - | (330,086.68) | 54,548.94 | - | - | - | - | **(16,142,396.73)** | ($108,388.14) | **(16,250,784.87)** |
| **Aug-10** | (16,142,396.73) | 502,517.67 | - | 502,517.67 | (299,582.40) | - | - | (299,582.40) | 202,935.27 | - | - | - | - | **(15,939,461.46)** | ($107,591.00) | **(16,047,052.46)** |
| **Sep-10** | (15,939,461.46) | 919,106.36 | - | 919,106.36 | (304,714.53) | - | - | (304,714.53) | 614,391.83 | - | - | - | - | **(15,325,069.63)** | ($105,067.73) | **(15,430,137.36)** |
| **Oct-10** | (15,325,069.63) | 524,438.51 | 7,004,692.00 | 7,529,130.51 | (340,249.02) | - | - | (340,249.02) | 7,188,881.49 | - | - | - | - | **(8,136,188.14)** | ($102,589.15) | **(8,238,777.29)** |
| **Nov-10** | (8,136,188.14) | 390,430.57 | - | 390,430.57 | (582,893.67) | - | - | (582,893.67) | (192,463.10) | - | - | - | - | **(8,328,651.24)** | ($102,546.22) | **(8,431,197.46)** |
| **Dec-10** | (8,328,651.24) | 1,179,333.87 | 1,741,984.17 | 2,921,318.04 | (1,130,191.54) | - | - | (1,130,191.54) | 1,791,126.50 | - | - | - | - | **(6,537,524.74)** | ($103,058.39) | **(6,640,583.13)** |
| **Jan-11** | (6,537,524.74) | 1,293,373.24 | 870,992.08 | 2,164,365.32 | (2,860,988.33) | - | - | (2,860,988.33) | (696,623.01) | - | - | - | - | **(7,234,147.75)** | ($111,241.79) | **(7,345,389.54)** |
| **Feb-11** | (7,234,147.75) | 424,730.51 | 877,355.75 | 1,302,086.26 | (5,475,791.51) | - | - | (5,475,791.51) | (4,173,705.25) | - | - | 259,202.14 | - | **(11,148,650.86)** | $186,997.49 | **(10,961,653.37)** |
| **Mar-11** | (11,148,650.86) | (3,008,231.76) | 2,493,575.59 | (514,656.17) | (4,585,108.85) | - | - | (4,585,108.85) | (5,099,765.02) | - | - | (179,237.73) | (7,348,374.00) | **(23,776,027.61)** | ($118,066.66) | **(23,894,094.27)** |
| **Apr-11** | (23,776,027.61) | 527,615.16 | 1,080,746.17 | 1,608,361.33 | (3,668,817.90) | - | - | (3,668,817.90) | (2,060,456.57) | - | - | - | - | **(25,836,484.18)** | ($157,329.36) | **(25,993,813.54)** |
| **May-11** | (25,836,484.18) | 116,782.28 | 1,080,746.17 | 1,197,528.45 | (2,092,226.43) | - | - | (2,092,226.43) | (894,697.98) | - | - | (86,876.62) | - | **(26,818,058.78)** | ($167,877.40) | **(26,985,936.18)** |
| **Jun-11** | (26,818,058.78) | 1,210,009.23 | 1,080,746.17 | 2,290,755.40 | (1,246,772.65) | - | - | (1,246,772.65) | 1,043,982.75 | - | - | (60,942.35) | - | **(25,835,018.38)** | ($154,491.07) | **(25,989,509.45)** |
| **Jul-11** | (25,835,018.38) | 174,863.60 | 1,080,746.17 | 1,255,609.77 | (1,037,772.65) | - | - | (1,037,772.65) | 217,837.12 | - | - | (53,630.79) | - | **(25,670,812.05)** | ($161,010.85) | **(25,831,822.90)** |
| **Aug-11** | (25,670,812.05) | 1,268,281.39 | 1,080,746.17 | 2,349,027.56 | (949,351.46) | - | - | (949,351.46) | 1,399,676.10 | - | - | (51,080.36) | - | **(24,322,216.31)** | ($153,239.90) | **(24,475,456.21)** |
| **Sep-11** | (24,322,216.31) | (419,686.26) | 1,080,746.17 | 661,059.91 | (947,341.04) | - | - | (947,341.04) | (286,281.13) | - | - | (50,817.59) | - | **(24,659,315.03)** | ($152,067.24) | **(24,811,382.27)** |
| **Oct-11** | (24,659,315.03) | 674,095.99 | 1,080,746.17 | 1,754,842.16 | (1,044,754.62) | - | - | (1,044,754.62) | 710,087.54 | - | - | (53,147.01) | - | **(24,002,374.50)** | ($151,074.27) | **(24,153,448.77)** |
| **Nov-11** | (24,002,374.50) | 369,244.88 | 516,440.50 | 885,685.38 | (1,849,956.39) | - | - | (1,849,956.39) | (964,271.01) | - | - | (74,805.29) | - | **(25,041,450.80)** | ($152,260.64) | **(25,193,711.44)** |
| **Dec-11** | (25,041,450.80) | 326,608.99 | 516,440.50 | 843,049.49 | (2,897,205.88) | - | - | (2,897,205.88) | (2,054,156.39) | - | - | (111,079.06) | - | **(27,206,686.25)** | ($162,208.69) | **(27,368,894.94)** |
| **Jan-12** | (27,206,686.25) | 355,884.32 | 516,440.50 | 872,324.82 | (2,827,757.95) | - | - | (2,827,757.95) | (1,955,433.13) | - | - | (542,727.59) | - | **(29,704,846.97)** | (172,773.94) | **(29,877,620.91)** |
| **Feb-12** | (29,704,846.97) | 196,402.00 | 60,807.92 | 257,209.92 | (1,633,826.49) | - | - | (1,633,826.49) | (1,376,616.57) | - | - | (290,240.66) | - | **(31,371,704.20)** | (185,418.22) | **(31,557,122.42)** |
| **Mar-12** | (31,371,704.20) | 687,169.71 | 60,807.92 | 747,977.63 | (1,383,114.10) | - | - | (1,383,114.10) | (635,136.47) | - | - | 625,934.12 | - | **(31,380,906.55)** | (186,948.76) | **(31,567,855.31)** |
| **Apr-12** | (31,380,906.55) | 332,461.11 | 60,807.92 | 393,269.03 | (876,133.23) | - | - | (876,133.23) | (482,864.20) | - | - | (182,196.71) | - | **(32,045,967.46)** | (195,412.13) | **(32,241,379.59)** |

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveried | Monthly Deferral | Imbalance (Over) Under-Collection | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **May-12** | (32,045,967.46) | 406,537.24 | 60,807.92 | 467,345.16 | (737,058.91) | - | - | (737,058.91) | (269,713.75) | - | - | (37,855.90) | - | **(32,353,537.11)** | (198,340.71) | **(32,551,877.82)** |
| **Jun-12** | (32,353,537.11) | 392,098.03 | 60,807.92 | 452,905.95 | (484,233.26) | - | - | (484,233.26) | (31,327.31) | - | - | (26,831.00) | - | **(32,411,695.42)** | (201,953.48) | **(32,613,648.90)** |
| **Jul-12** | (32,411,695.42) | 569,503.16 | 60,807.92 | 630,311.08 | (422,810.37) | - | - | (422,810.37) | 207,500.71 | - | - | (32,604.97) | - | **(32,236,799.68)** | (201,599.31) | **(32,438,398.99)** |
| **Aug-12** | (32,236,799.68) | 484,965.11 | 60,807.92 | 545,773.03 | (396,451.67) | - | - | (396,451.67) | 149,321.36 | - | - | (33,370.61) | - | **(32,120,848.93)** | (200,716.35) | **(32,321,565.28)** |
| **Sep-12** | (32,120,848.93) | 292,101.22 | 60,807.92 | 352,909.14 | (390,377.90) | - | - | (390,377.90) | (37,468.76) | - | - | (42,301.33) | - | **(32,200,619.02)** | (200,606.51) | **(32,401,225.53)** |
| **Oct-12** | (32,200,619.02) | 422,908.06 | 60,807.92 | 483,715.98 | (479,806.35) | - | - | (479,806.35) | 3,909.63 | - | - | (39,388.71) | - | **(32,236,098.10)** | (200,956.88) | **(32,437,054.98)** |
| **Nov-12** | (32,236,098.10) | 70,416.59 | 63,408.33 | 133,824.92 | (784,859.90) | - | - | (784,859.90) | (651,034.98) | - | - | (29,968.40) | - | **(32,917,101.48)** | - | **(32,917,101.48)** |
| **Dec-12** | (32,917,101.48) | 704,931.18 | 63,408.33 | 768,339.51 | (1,458,654.13) | - | - | (1,458,654.13) | (690,314.62) | - | - | (62,213.63) | - | **(33,669,629.73)** | 6,138,788.65 | **(27,530,841.08)** |
| **Jan-13** | (33,669,629.73) | 556,685.92 | 486,007.33 | 1,042,693.25 | (2,073,514.70) | - | - | (2,073,514.70) | (1,030,821.45) | - | - | (112,626.15) | - | **(34,813,077.33)** | $0.00 | **(34,813,077.33)** |
| **Feb-13** | (34,813,077.33) | 250,054.98 | 557,767.33 | 807,822.31 | (2,732,884.04) | - | - | (2,732,884.04) | (1,925,061.73) | - | - | (141,374.83) | - | **(36,879,513.89)** | $0.00 | **(36,879,513.89)** |
| **Mar-13** | (36,879,513.89) | 694,751.55 | 600,094.13 | 1,294,845.68 | (2,550,354.08) | - | - | (2,550,354.08) | (1,255,508.40) | - | - | 873,395.74 | - | **(37,261,626.55)** | $0.00 | **(37,261,626.55)** |
| **Apr-13** | (37,261,626.55) | 94,803.75 | 557,767.33 | 652,571.08 | (2,113,625.23) | - | - | (2,113,625.23) | (1,461,054.15) | - | - | (118,285.51) | - | **(38,840,966.21)** | $0.00 | **(38,840,966.21)** |
| **May-13** | (38,840,966.21) | 332,306.79 | 557,767.33 | 890,074.12 | (1,196,265.24) | - | - | (1,196,265.24) | (306,191.12) | - | - | (95,037.89) | - | **(39,242,195.22)** | $0.00 | **(39,242,195.22)** |
| **Jun-13** | (39,242,195.22) | 317,951.86 | 557,767.33 | 875,719.19 | (751,344.98) | - | - | (751,344.98) | 124,374.21 | - | - | (63,230.48) | - | **(39,181,051.49)** | $0.00 | **(39,181,051.49)** |
| **Jul-13** | (39,181,051.49) | 452,717.69 | 557,767.33 | 1,010,485.02 | (595,932.58) | - | - | (595,932.58) | 414,552.44 | - | - | (52,678.09) | - | **(38,819,177.14)** | $0.00 | **(38,819,177.14)** |
| **Aug-13** | (38,819,177.14) | 535,906.92 | 557,767.33 | 1,093,674.25 | (560,318.11) | - | - | (560,318.11) | 533,356.14 | - | - | (50,623.63) | - | **(38,336,444.63)** | $0.00 | **(38,336,444.63)** |
| **Sep-13** | (38,336,444.63) | 693,260.89 | 557,767.33 | 1,251,028.22 | (564,875.55) | - | - | (564,875.55) | 686,152.67 | - | - | (50,171.07) | - | **(37,700,463.03)** | $0.00 | **(37,700,463.03)** |
| **Oct-13** | (37,700,463.03) | 523,671.58 | 557,767.33 | 1,081,438.91 | (583,371.58) | - | - | (583,371.58) | 498,067.33 | - | - | (52,220.78) | - | **(37,254,616.48)** | $0.00 | **(37,254,616.48)** |
| **Nov-13** | (37,254,616.48) | 777,280.60 | 545,956.92 | 1,323,237.52 | (1,052,377.07) | - | - | (1,052,377.07) | 270,860.45 | - | - | (73,666.72) | - | **(37,057,422.75)** | $0.00 | **(37,057,422.75)** |
| **Dec-13** | (37,057,422.75) | 707,162.95 | 545,956.92 | 1,253,119.87 | (2,216,949.34) | - | - | (2,216,949.34) | (963,829.47) | | | (150,013.33) | - | **(38,171,265.55)** | $0.00 | **(38,171,265.55)** |
| **Jan-14** | (38,171,265.55) | 543,238.72 | 1,560,194.59 | 2,103,433.31 | (3,898,376.11) | - | - | (3,898,376.11) | (1,794,942.80) | - | - | (123,603.30) | - | **(40,089,811.65)** | $0.00 | **(40,089,811.65)** |
| **Feb-14** | (40,089,811.65) | 607,197.55 | 10,155,687.50 | 10,762,885.05 | (5,680,528.82) | - | - | (5,680,528.82) | 5,082,356.23 | - | - | (174,941.06) | - | **(35,182,396.48)** | $0.00 | **(35,182,396.48)** |
| **Mar-14** | (35,182,396.48) | 270,616.38 | 1,446,355.50 | 1,716,971.88 | (5,349,351.27) | - | - | (5,349,351.27) | (3,632,379.39) | - | - | 2,542,427.12 | - | **(36,272,348.75)** | ($5,227,324.75) | **(41,499,673.50)** |
| **Apr-14** | (36,272,348.75) | 937,812.82 | 1,446,355.50 | 2,384,168.32 | (3,708,949.48) | - | - | (3,708,949.48) | (1,324,781.16) | - | - | (123,575.14) | - | **(37,720,705.05)** | $5,227,324.75 | **(32,493,380.30)** |
| **May-14** | (37,720,705.05) | 271,148.26 | 1,446,355.50 | 1,717,503.76 | (2,253,496.21) | - | - | (2,253,496.21) | (535,992.45) | - | - | (94,067.76) | - | **(38,350,765.26)** | $0.00 | **(38,350,765.26)** |
| **Jun-14** | (38,350,765.26) | 621,111.74 | 1,446,355.50 | 2,067,467.24 | (1,166,574.41) | - | - | (1,166,574.41) | 900,892.83 | - | - | (142,651.60) | - | **(37,592,524.03)** | $0.00 | **(37,592,524.03)** |
| **Jul-14** | (37,592,524.03) | 508,517.48 | 1,446,355.50 | 1,954,872.98 | (1,002,390.78) | - | - | (1,002,390.78) | 952,482.20 | - | - | (132,412.21) | - | **(36,772,454.04)** | $0.00 | **(36,772,454.04)** |
| **Aug-14** | (36,772,454.04) | 665,257.42 | 1,446,355.50 | 2,111,612.92 | (946,361.81) | - | - | (946,361.81) | 1,165,251.11 | - | - | (184,766.04) | - | **(35,791,968.97)** | $0.00 | **(35,791,968.97)** |
| **Sep-14** | (35,791,968.97) | 992,398.37 | 1,446,355.50 | 2,438,753.87 | (939,565.60) | - | - | (939,565.60) | 1,499,188.27 | - | - | (124,500.57) | - | **(34,417,281.27)** | ($4,854,505.46) | **(39,271,786.73)** |
| **Oct-14** | (34,417,281.27) | 550,150.40 | 1,446,355.50 | 1,996,505.90 | (1,050,870.86) | - | - | (1,050,870.86) | 945,635.04 | - | - | (136,957.59) | - | **(33,608,603.82)** | ($4,208.12) | **(33,612,811.94)** |
| **Nov-14** | (33,608,603.82) | 490,149.42 | 1,436,836.67 | 1,926,986.09 | (1,934,181.07) | - | - | (1,934,181.07) | (7,194.98) | - | - | (215,222.71) | - | **(33,831,021.51)** | ($4,171.85) | **(33,835,193.36)** |
| **Dec-14** | (33,831,021.51) | 1,200,189.48 | 1,436,836.67 | 2,637,026.15 | (3,936,698.93) | - | - | (3,936,698.93) | (1,299,672.78) | 504,559.60 | - | (398,000.71) | - | **(35,024,135.40)** | ($4,290.64) | **(35,028,426.04)** |
| **Jan-15** | (35,024,135.40) | 663,833.68 | 1,547,768.92 | 2,211,602.60 | (5,031,688.33) | - | - | (5,031,688.33) | (2,820,085.73) | (84,490.55) | - | (482,562.53) | - | **(38,411,274.21)** | ($5,519.98) | **(38,416,794.19)** |
| **Feb-15** | (38,411,274.21) | 866,290.14 | 1,547,768.92 | 2,414,059.06 | (6,240,966.26) | - | - | (6,240,966.26) | (3,826,907.20) | (104,830.94) | - | (596,489.40) | - | **(42,939,501.75)** | ($6,093.54) | **(42,945,595.29)** |
| **Mar-15** | (42,939,501.75) | 1,121,342.02 | 1,547,768.92 | 2,669,110.94 | (6,163,223.54) | - | - | (6,163,223.54) | (3,494,112.60) | (103,542.08) | - | 995,691.68 | 7,348,374.00 | **(38,193,090.75)** | ($6,178.99) | **(38,199,269.74)** |
| **Apr-15** | (38,193,090.75) | 780,636.33 | 1,547,768.92 | 2,328,405.25 | (4,204,125.91) | - | - | (4,204,125.91) | (1,875,720.66) | (70,659.83) | - | (428,371.72) | - | **(40,567,842.96)** | ($6,107.13) | **(40,573,950.09)** |
| **May-15** | (40,567,842.96) | 697,047.56 | 1,547,768.92 | 2,244,816.48 | (2,135,432.60) | - | - | (2,135,432.60) | 109,383.88 | (46,221.51) | - | (111,912.49) | - | **(40,616,593.08)** | $4,911,158.49 | **(35,705,434.59)** |
| **Jun-15** | (40,616,593.08) | 1,246,550.26 | 1,547,768.92 | 2,794,319.18 | (1,212,746.06) | - | - | (1,212,746.06) | 1,581,573.12 | (26,249.92) | - | (67,689.68) | - | **(39,128,959.56)** | $0.00 | **(39,128,959.56)** |
| **Jul-15** | (39,128,959.56) | 1,034,527.36 | 1,547,768.92 | 2,582,296.28 | (1,093,563.46) | - | - | (1,093,563.46) | 1,488,732.82 | (23,670.20) | - | (65,334.06) | - | **(37,729,231.00)** | $0.00 | **(37,729,231.00)** |
| **Aug-15** | (37,729,231.00) | 803,503.44 | 1,547,768.92 | 2,351,272.36 | (1,004,554.31) | - | - | (1,004,554.31) | 1,346,718.05 | (21,743.60) | - | (62,889.28) | - | **(36,467,145.83)** | $0.00 | **(36,467,145.83)** |
| **Sep-15** | (36,467,145.83) | 554,913.61 | 1,547,768.92 | 2,102,682.53 | (996,458.25) | - | - | (996,458.25) | 1,106,224.28 | (21,568.37) | - | (62,613.38) | - | **(35,445,103.30)** | $0.00 | **(35,445,103.30)** |
| **Oct-15** | (35,445,103.30) | 918,927.15 | 1,547,768.92 | 2,466,696.07 | (1,113,271.94) | - | - | (1,113,271.94) | 1,353,424.13 | (24,096.80) | - | (65,614.37) | - | **(34,181,390.34)** | $0.00 | **(34,181,390.34)** |
| **Nov-15** | (34,181,390.34) | 1,518,686.99 | 1,547,768.92 | 3,066,455.91 | (1,771,128.80) | - | - | (1,771,128.80) | 1,295,327.11 | (38,336.13) | - | (89,817.54) | - | **(33,014,216.90)** | $0.00 | **(33,014,216.90)** |
| **Dec-15** | (33,014,216.90) | 167,347.40 | 1,547,768.92 | 1,715,116.32 | (2,769,216.42) | - | - | (2,769,216.42) | (1,054,100.10) | (59,939.73) | - | (128,353.16) | - | **(34,256,609.89)** | $0.00 | **(34,256,609.89)** |
| **Jan-16** | (34,256,609.89) | 908,253.20 | - | 908,253.20 | - | - | - | - | 908,253.20 | - | - | (66,277.83) | - | **(33,414,634.52)** | $0.00 | **(33,414,634.52)** |
| **Feb-16** | (33,414,634.52) | 43,899.33 | - | 43,899.33 | - | - | - | - | 43,899.33 | - | - | (235,512.13) | - | **(33,606,247.32)** | $0.00 | **(33,606,247.32)** |
| **Mar-16** | (33,606,247.32) | 65,411.31 | | 65,411.31 | | | - | - | 65,411.31 | - | - | 1,129,644.69 | - | **(32,411,191.32)** | $0.00 | **(32,411,191.32)** |
| **Apr-16** | (32,411,191.32) | (22,271.88) | | (22,271.88) | | | - | - | (22,271.88) | - | - | (162,170.19) | - | **(32,595,633.39)** | $0.00 | **(32,595,633.39)** |
| **May-16** | (32,595,633.39) | 39,109.18 | | 39,109.18 | | | - | - | 39,109.18 | - | - | (109,620.32) | - | **(32,666,144.53)** | $0.00 | **(32,666,144.53)** |
| **Jun-16** | (32,666,144.53) | 743,904.95 | | 743,904.95 | | | - | - | 743,904.95 | - | - | (67,912.46) | - | **(31,990,152.04)** | $0.00 | **(31,990,152.04)** |
| **Jul-16** | (31,990,152.04) | 169,324.73 | | 169,324.73 | | | - | - | 169,324.73 | - | - | (57,086.48) | - | **(31,877,913.79)** | $0.00 | **(31,877,913.79)** |
| **Aug-16** | (31,877,913.79) | 26,368.75 | | 26,368.75 | | | - | - | 26,368.75 | - | - | (51,727.95) | - | **(31,903,272.99)** | $0.00 | **(31,903,272.99)** |
| **Sep-16** | (31,903,272.99) | 3,794.34 | | 3,794.34 | | | - | - | 3,794.34 | - | - | (51,195.91) | - | **(31,950,674.56)** | $0.00 | **(31,950,674.56)** |
| **Oct-16** | (31,950,674.56) | 97,083.38 | | 97,083.38 | | | - | - | 97,083.38 | - | - | (54,392.25) | - | **(31,907,983.43)** | $0.00 | **(31,907,983.43)** |
| **Nov-16** | (31,907,983.43) | 14,240.48 | | 14,240.48 | | | - | - | 14,240.48 | - | - | (81,276.73) | - | **(31,975,019.67)** | $0.00 | **(31,975,019.67)** |
| **Dec-16** | (31,975,019.67) | 9,233.90 | | 9,233.90 | | | - | - | 9,233.90 | - | - | (129,611.31) | - | **(32,095,397.08)** | $0.00 | **(32,095,397.08)** |
| **Jan-17** | (32,095,397.08) | 8,530.51 | | 8,530.51 | | | - | - | 8,530.51 | - | - | (211,088.96) | | **(32,297,955.54)** | $0.00 | **(32,297,955.54)** |
| **Feb-17** | (32,297,955.54) | 6,205.64 | | 6,205.64 | | | - | - | 6,205.64 | - | - | (190,135.39) | | **(32,481,885.29)** | $0.00 | **(32,481,885.29)** |
| **Mar-17** | (32,481,885.29) | 214,839.75 | | 214,839.75 | | | - | - | 214,839.75 | - | - | 1,084,810.30 | | **(31,182,235.24)** | $0.00 | **(31,182,235.24)** |

| Month | 2016 Beginning Balance | Self Administered Costs | NYSERDA Costs | Total Costs | Authorized Collections | Unbilled | Reversal Prior Month Unbilled | Net Recoveried | Monthly Deferral | Imbalance (Over) Under-Collection | Incentive 2017 | Lost Revenue | E/E Overspend Rev | Principal Balance | SBC Int | Ending [3] Balance |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Apr-17** | (31,182,235.24) | 15,061.66 | | 15,061.66 | | | - | - | 15,061.66 | - | - | (167,645.98) | | **(31,334,819.55)** | $0.00 | **(31,334,819.55)** |
| **May-17** | (31,334,819.55) | 33,825.92 | | 33,825.92 | | | - | - | 33,825.92 | - | - | (109,444.60) | | **(31,410,438.24)** | $0.00 | **(31,410,438.24)** |
| **Jun-17** | (31,410,438.24) | 65,419.54 | | 65,419.54 | | | - | - | 65,419.54 | - | - | (63,501.95) | | **(31,408,520.65)** | $0.00 | **(31,408,520.65)** |
| **Jul-17** | (31,408,520.65) | 259,593.65 | | 259,593.65 | | | - | - | 259,593.65 | - | - | (47,455.22) | | **(31,196,382.22)** | $0.00 | **(31,196,382.22)** |
| **Aug-17** | (31,196,382.22) | 21,932.83 | | 21,932.83 | | | - | - | 21,932.83 | - | - | (52,417.99) | | **(31,226,867.38)** | $0.00 | **(31,226,867.38)** |
| **Sep-17** | (31,226,867.38) | 92,386.77 | | 92,386.77 | | | - | - | 92,386.77 | - | - | (53,366.69) | | **(31,187,847.30)** | $0.00 | **(31,187,847.30)** |
| **Oct-17** | (31,187,847.30) | 85,388.56 | | 85,388.56 | | | - | - | 85,388.56 | - | - | (51,603.37) | | **(31,154,062.11)** | $0.00 | **(31,154,062.11)** |
| **Nov-17** | (31,154,062.11) | 12,731.25 | | 12,731.25 | | | - | - | 12,731.25 | - | - | (70,169.85) | | **(31,211,500.71)** | $0.00 | **(31,211,500.71)** |
| **Dec-17** | (31,211,500.71) | 1,740,600.74 | | 1,740,600.74 | | | - | - | 1,740,600.74 | - | 918,218.00 | (156,770.67) | | **(28,709,452.64)** | $0.00 | **(28,709,452.64)** |
| **Jan-2018** | (28,709,452.64) | 74,000.00 | | 74,000.00 | | | - | | 74,000.00 | | | (201,826.30) | | **(28,837,278.94)** | $0.00 | **(28,837,278.94)** |
| **Feb-2018** | (28,837,278.94) | 83.67 | | 83.67 | | | - | | 83.67 | | | (192,370.43) | | **(29,029,565.70)** | $0.00 | **(29,029,565.70)** |
| **Mar-2018** | (29,029,565.70) | 558.20 | | 558.20 | | | - | | 558.20 | | | (34,159.77) | | **(29,063,167.27)** | $0.00 | **(29,063,167.27)** |
| **Apr-2018** | (29,063,167.27) | | | | | | | | 289.31 | | | (157,525.80) | | **(29,220,403.76)** | | **(29,220,403.76)** |
| **May-2018** | (29,220,403.76) | | | | | | | | 198.95 | | | (11,753.54) | | **(29,231,958.35)** | | **(29,231,958.35)** |
| **Jun-2018** | (29,231,958.35) | | | | | | | | | | | | | **(29,231,958.35)** | | **(29,231,958.35)** |

***Note 3: SBC/EEPS principal balances will be transferred to a separate account in June 2018.***

Case 06-G-1186 JP 4

### 3. Recovery of Operating Costs

In each Rate Year of the Rate Period, KEDNY will be allowed to recover from customers all operating costs for energy efficiency programs up to the amount budgeted for the year. In Rate Year One, KEDNY will be allowed to recover from customers all deferrals of interim energy efficiency program costs incurred by KEDNY during the interim period beginning August 1, 2007, as part of the amount budgeted for Rate Year One.

A gas System Benefits Charge (SBC) will be established by KEDNY to provide a recovery mechanism for the cost of energy efficiency programs. The SBC will remain in effect until discontinued by the Commission. The SBC surcharge will be a uniform (single block) volumetric charge. The SBC will be instituted as a non-bypassable surcharge on the delivery portion of customer bills in the following service classes:

***Applicable Service Classes for SBC Surcharge***

| KEDNY | Sales | Accompanying Transportation |
|---|---|---|

| KEDNY | Sales Classes | Transportation Classes |
|---|---|---|
| Low Income | 1AR & 1BR | 17-1AR & 17-1BR |
| Residential | 1A, 1B, & 1BI | 17-1A, 17-1B & 17-1BI |
| Multifamily and/or Commercial & Industrial | 2-1, 2-2, 3, 4A, 4B & 7 | 17-2-1, 17-2-2, 17-3, 17-4A, 17-4B & 17-7 |

KEDNY will prepare, file and implement tariff revisions necessary to collect the SBC surcharge from applicable ratepayers.

KEDNY will update its billing system to include the SBC surcharge on the Delivery portion of the utility bill.

An SBC balancing account will be created to match SBC surcharge proceeds to energy efficiency program costs. KEDNY shall establish its specific SBC collection rate on an annual basis beginning with usage on and after January 1, 2008 to correspond to its energy efficiency program budget and year-by-year projections of the coming year's gas sales in applicable service classes, with any over- or under-collections reconciled on an annual basis. The initial SBC



collection rate, commencing with usage on and after January 1, 2008, shall be $0.0168/therm.

collection rate, commencing with usage on and after January 1, 2010, shall be collected from

Deferred debits and credits in the SBC balancing account will accrue a carrying charge (base net of Federal and New York State income tax effects) at a rate which KEDNY accrues an allowance for funds used during construction. The amount of such accrued carrying charges will be reflected in the SBC balancing account and the SBC collection rate. Carrying charges will be applied in the same manner as the underlying debit or credit causing them to accrue.

Any SBC funds collected by KEDNY shall be used only for the energy efficiency programs. Any unexpended funds shall be refunded to customers in the same manner as collected.

In the event the SBC charge is discontinued by the Commission, the parties intend that it be replaced with a mechanism that provides full recovery of KEDNY's energy efficiency-related costs. As long as some such mechanism is in effect, KEDNY will continue to incur energy efficiency program-related costs for programs approved by the Commission pursuant to this Joint Proposal.

**4. Recovery of Lost Revenue**

The interim lost revenue elements contained in the Joint Proposal for Interim Energy Efficiency Programs will continue until superseded by new non-interim lost revenue elements to be presented to the Commission resulting from a "revenue collaborative" to be undertaken by the parties to Cases 06-G-1185 and 06-G-1186 regarding energy efficiency lost revenue. Two additional open issues for discussion and resolution in the revenue collaborative are (a) how to implement a true-up based revenue decoupling mechanism that preserves the benefits of customer growth while limiting customer bill impacts and rate

volatility, to the extent practicable; and (b) how to move towards the eventual implementation of more cost-based rate designs in the context of the revenue decoupling mechanism. The first meeting of the revenue collaborative shall be held on September 18, 2007. It is the intent of the Signatory Parties that the work of the revenue collaborative will be completed by March 7, 2008. All parties reserve the right to support or oppose the work product of the revenue collaborative before the Commission. Any dispute arising from the revenue collaborative will be referred to the Commission for resolution.

Commencing July 1, 2008, KEDNY will be allowed to recover from customers all deferrals of interim lost revenue incurred during the interim period beginning August 1, 2007 permitted by the Joint Proposal for Interim Energy Efficiency Programs. Recovery shall occur as an add-on to the energy efficiency program costs and collected through the gas SBC; such

**2019 - 2020**
**Unspent EEPS Reconciliation Funds**

**KEDLI**

| Total $ | J-19 | F-19 | M-19 | A-19 | M-19 | J-19 | J-19 | A-19 | S-19 | O-19 | N-19 | D-19 | J-20 | F-20 | M-20 | A-20 | M-20 | J-20 | J-20 | A-20 | S-20 | O-20 | N-20 | D-20 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **$ 4,869,658** | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 | $ 202,902 |

**KEDNY**

| Total $ | J-19 | F-19 | M-19 | A-19 | M-19 | J-19 | J-19 | A-19 | S-19 | O-19 | N-19 | D-19 | J-20 | F-20 | M-20 | A-20 | M-20 | J-20 | J-20 | A-20 | S-20 | O-20 | N-20 | D-20 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **$ 20,405,348** | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 | $ 850,223 |

# Exhibit ___ (FOH-2R)

# Geothermal Gas REV Demonstration Project Q3 2018 Report

**Janet M. Audunson, P.E., Esq.**
Assistant General Counsel

October 31, 2018

**VIA ELECTRONIC DELIVERY**

Honorable Kathleen H. Burgess
Secretary
New York State Public Service Commission
Three Empire State Plaza, 19th Floor
Albany, New York 12223-1350

**RE: Case 16-G-0058 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service**

**KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID: GEOTHERMAL GAS REV DEMONSTRATION PROJECT – Q3 2018 REPORT**

Dear Secretary Burgess:

KeySpan Gas East Corporation d/b/a National Grid ("National Grid") hereby submits for filing its quarterly report for the Geothermal Gas REV Demonstration Project covering the period of July 1, 2018 to September 30, 2018 ("Q3 2018 Report").

Please direct any questions regarding this filing to:

Anntonette Alberti
Manager, Complex Demo
National Grid
1125 Broadway
Albany, New York 12204
Tel.: 518-433-5213
Mobile: 518-369-2100
Email: Anntonette.Alberti@nationalgrid.com

National Grid looks forward to continuing to work collaboratively with the New York State Department of Public Service Staff as it proceeds with the implementation of the Geothermal Gas REV Demonstration Project.

Respectfully submitted,

*/s/ Janet M. Audunson*

Janet M. Audunson, P.E., Esq.
Assistant General Counsel

Enc.

cc: Marco Padula, DPS Staff, w/enclosure (via electronic mail)
Robert Cully, DPS Staff, w/enclosure (via electronic mail)
Cynthia McCarran, DPS Staff, w/enclosure (via electronic mail)
John Sano, DPS Staff, w/enclosure (via electronic mail)
Davide Maioriello, DPS Staff, w/enclosure (via electronic mail)
Carlos Nouel, w/enclosure (via electronic mail)
Fouad Dagher, w/enclosure (via electronic mail)
Cathy Hughto-Delzer, w/enclosure (via electronic mail)
Arunkumar Vedhathiri, w/enclosure (via electronic mail)
Anntonette Alberti, w/enclosure (via electronic mail)
Christopher Cavanagh, w/enclosure (via electronic mail)
Chong Lin, w/enclosure (via electronic mail)




# Geothermal

# Gas REV Demonstration Project

# Long Island, New York

## Q3 2018 Report

October 31, 2018

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# 1. Executive Summary

KeySpan Gas East Corporation d/b/a National Grid ("National Grid" or the "Company") is testing a shared geothermal well system to provide a cost-effective heating and cooling solution using Ground Source Heat Pumps ("GSHPs") as an alternative to extending natural gas pipes to a residential community (Glenwood Village) in the Company's service territory.

GSHP is a renewable heating and cooling technology that have the potential to decarbonize the heating and cooling sector while providing homeowners with significant energy cost savings and comfort related benefits. The technology also has the potential to deliver benefits to the gas and electric grid system.

The Company is committed to supporting the achievement of New York State's greenhouse gas ("GHG") emissions reductions goals of 40% reduction of GHG emissions reductions by 2030, and 80% by 2050. This Geothermal Gas REV Demonstration Project ("Project") will provide the Company with a test-and-learn opportunity to validate the benefits of GSHP with the New York State Energy Research and Development Authority ("NYSERDA"), confirm GSHP performance, and evaluate market strategies to increase technology adoption.

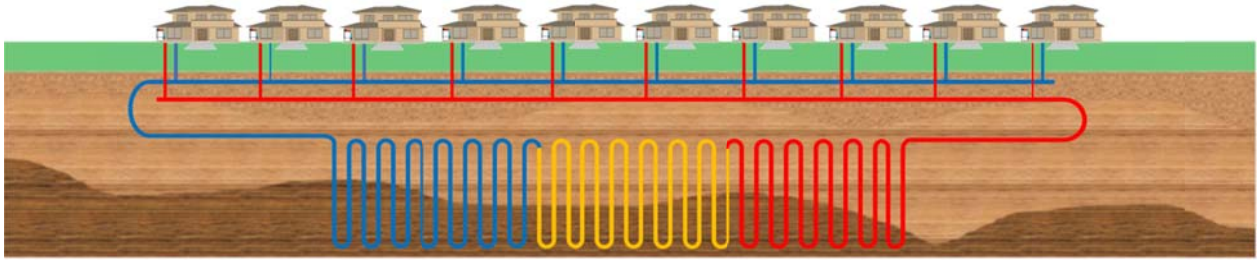


Figure 1. The concept of a shared a GHP system providing service to multiple homes.

In Q3 2018, the National Grid Project team continues to engage with Project participants to ensure proper system functions as the system endures multiple prolonged heat waves. During this quarter, data analysis suggested that Unit 2 has reversed supply and return piping. The project team confirmed this finding in the field using an ultrasonic flow meter. Furthermore, the project team continued to support NYSERDA's efforts in evaluating third-party ownerships of GSHPs. This quarterly report highlights key activities undertaken in Q3 2018 of this Project.[1]

[1] The Project was approved in the 2016 KEDLI Rate Case. *See* Case 16-G-0058 *et al*., *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service et al*., Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016).

# 2. Highlights in Q3 2018

## 2.1 Major Task Activities

- High-Level Lessons Learned
  - The installed ground heat exchanger at Glenwood Village entered the cooling season with heat pump water supply temperatures ranging from 60˚F to 89˚F in Q3 2018. For the most of Q3 2018, the ground heat exchanger operated between 70˚F to 80˚F, which is within the system design parameters. The highest outdoor air temperature during this quarter was 96˚F.[2]
  - Data collection continued to provide useful performance data which are helpful in finding opportunities for system optimization. The data also provided the opportunity to detect problems during installation. During this quarter, data analytics identified that Unit 2 had reversed supply and return piping.
  - The approximate combined heating savings from January 2018 to May 2018 at Glenwood Village ranged from 31% to 58% compared to the estimated cost of operating their conventional kerosene or propane equipment.
- Customer Successes
  - Towards the end of Q1 2018, there was one (1) home ownership change at Unit 8. The Project team successfully engaged with the new homeowner of Unit 8 and recruited the new homeowner's participation in the Project.
  - There were no service interruptions or failures during the cooling season, even with multiple prolonged heat waves experienced in Q3 2018.
  - Participants provided positive feedback on the performance of the GSHP during the cooling season.
- Regulatory Filings
  - The Project team filed the Q2 2018 report with the Commission on July 31, 2018.
- Construction of GSHP Systems

  United Way of Long Island ("United Way")
  - Construction of the veterans group home in the Hamlet of Medford, New York (located in the Town of Brookhaven) ("Medford Project") is delayed, which in turn postpones the geothermal installation at that facility.
  - The building is in the final stages of approval from various State agencies.
  - Timeline requires a reset for installation to take place in Q4 2018.

### 2.1.1 Stakeholder Engagement

- Geo-National & International Initiative (GEO-NII)

[2] Historical weather data retrieved from www.wunderground.com. Accessed on October 9, 2018.

- National Grid collaborated with GEO-NII for industry guidance and technical advice.

- NYSERDA
  - The Project team continued to work with the New York State Energy Research and Development Authority ("NYSERDA") during Q3 2018 on data collection and project evaluations.
  - The Project team engaged with NYSERDA to evaluate third-party ownership of GSHPs. The goal of the analysis study is to understand whether different permutations of third-party ownership models can remove the market barriers and increase adoption of GSHPs.

### 2.1.2 Participant Recruitment

- In Q3 2018, the Project team recruited the new homeowner (Unit 8) to participate in the Project.

### 2.1.3 Data Collection

- The Project team revisited the savings calculations for January 1st to May 31st due to a calculation error. The new estimates suggest a savings range of 31% to 58% (while omitting unit 4). Unit 4 showed minimal usage during May and was considered a data outlier compared to other units with usage throughout the heating season (see Table 1 below).

Table 1. The Approximate Combined Heating Savings from January 2018 to May 2018

| Units | National Grid Access Fee(s) | GSHP Electricity Cost | Base Fuel Type | Base Require Fuel (gal.) | Estimated Base System Cost | Total GSHP Cost | Total Savings | Percent Savings |
|---|---|---|---|---|---|---|---|---|
| **Unit 1** | $108.30 | $307.26 | Propane | 224.06 | $764.82 | $415.56 | $349.26 | 46% |
| **Unit 2** | $108.30 | $389.66 | Propane | 285.15 | $1,182.91 | $497.96 | $684.95 | 58% |
| **Unit 3+** | $43.32 | $25.97 | Kerosene | 76.39 | $245.97 | $138.57 | $107.40 | 44% |
| **Unit 4++** | $21.66 | $31.63 | Kerosene | 13.60 | $62.47 | $53.29 | $9.18 | 15% |
| **Unit 5+++** | $108.30 | $399.62 | Kerosene | 240.64 | $737.02 | $507.92 | $229.10 | 31% |
| **Unit 6+++** | $108.30 | $392.42 | Kerosene | 245.59 | $749.23 | $500.72 | $248.51 | 33% |
| **Unit 7+++** | $108.30 | $353.46 | Kerosene | 276.70 | $825.31 | $461.76 | $363.55 | 44% |
| **Unit 8+++** | $108.30 | $506.03 | Kerosene | 360.22 | $1,031.25 | $614.33 | $416.92 | 40% |
| **Unit 9** | $108.30 | $293.91 | Kerosene | 187.62 | $606.59 | $402.21 | $204.38 | 34% |
| **Unit 10+++** | $108.30 | $238.62 | Kerosene | 181.83 | $561.80 | $346.92 | $214.88 | 38% |
| **+ Unit 3 took occupancy in April. Savings from January to March were omitted.** | | | | | | | | |
| **++ Unit 4 took occupancy in May 2018. Savings were only calculated for May.** | | | | | | | | |
| **+++ Units participated in the Public Service Electric and Gas-Long Island ("PSEG-LI") Energy Efficiency Program** | | | | | | | | |

- Calculations in Table 1 takes into account the following assumptions:
  - The National Grid Access Fee(s) is calculated by multiplying the number of months the GSHP is in operation by $21.66.
  - The common furnaces removed at Glenwood Village were Miller CMF-80-PO with an efficiency rating of 80% annual fuel utilization efficiency ("AFUE"). Calculations assume the base heating system with 80% performance efficiency.
  - The Estimated Base System Cost factors the fan's power use into consideration. The base system assumes a 1/7 horsepower ("HP") fan with 2,150 annual full load hours. The fan component is estimated to use on average 229 kWh based on the annual full load hours. The calculation uses the average PSEG-LI General Use Rate class 180 at $0.21/kWh to calculate the base system fan usage.
  - The Estimate Base System Cost used the average monthly fuel cost from January 2018 to May 2018 to calculate the cost of fuel.[3] The estimated annual furnace tune-up of $125 was divided equally across six months. Therefore $104.17 were added to the total cost over five months.
- Given there were data gaps in January 2018, participants may have generated additional savings that are not captured in the analysis in Table 1.
- Ten (10) heat pumps at Glenwood Village averaged a Coefficient of Performance ("COP") of 3.16 for heating from January 2018 through May 2018. Ten (10) heat pumps at Glenwood Village averaged an Energy Efficiency Ratio ("EER") of 12.0 for cooling from May 2018 to September 2018.
- Monthly average performance data are available in *Appendix A*.
- Performance data collected during Q3 2018 suggest adjustment opportunities to improved system performance.

### 2.2 Challenges, Changes, and Lessons Learned for Q3 2018

Please see Section 4.2

# 3. Next Quarter Forecast

In Q4 2018, the Project team will strive to achieve the following:

- The Project team will continue to communicate with United Way to stay informed on the construction timeline for the Medford Project and prepare the geothermal contractor for installation.
- With the cooling season concluding, the Project team will calculate cooling savings in the next quarter.

[3] Historical data was retrieved from NYSERDA Energy Prices via https://www.nyserda.ny.gov/Researchers-and-Policymakers/Energy-Prices/ Fuel prices were calculated using the average of fuel prices for kerosene (Long Island specific) and propane (NYS specific) from October 2017 to May 2018 reflecting the 2017/2018 heating season.

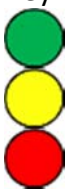
- The Company and the Project team will continue to work with NYSERDA on an accelerated analysis of various utility business models. The analysis will use existing market data, data collected by NYSERDA, and data from the Project to evaluate various business models. The analysis is expected to continue into Q4 2018.
- The Project team will resolve the installation issue at Unit 2.

## 3.1 Table of Checkpoints/Milestone Progress

Table 2. Major Milestones and Checkpoints.

| Checkpoint/Milestone | Anticipated Start - End Date Stated in the Project Implementation Plan | Revised Start-End Date | Status |
|---|---|---|---|
| **1. External Stakeholder Outreach** | 01/17-02/17 | Completed |  |
| **2. Recruitment and Participant Site Selection** | 03/17-06/17 | Completed |  |
| **3. Development of Service Agreement** | 03/17-09/17 | Completed |  |
| **4. Internal Planning & Operations** | 06/17-10/17 | Completed |  |
| **5. Procurement – Contractor Selection** | 04/17-08/17 | Completed |  |
| **6. Geothermal System Installation** | 07/17-10/17 | 07/17-12/18 |  |
| **7. Engineering Technical Assistance** | 11/17-08/19 | 01/18 |  |
| **8. Final Summary Report to the NYPSC** | 12/19 | 03/21 |  |

Key



On track

Delayed Start; At Risk of On-Time Completion; Or Over-Budget

Terminated/Abandoned Checkpoint/Milestone

Table 3. Objectives and Metrics.

| Focus Area | Objective | Checkpoint | Status |
|---|---|---|---|
| **Reduction in Carbon Emissions** | Target 6% reduction in carbon dioxide emissions | End of each year of operation | Q4 2018 |
| **Heating and cooling cost reductions** | Target 30% reduction in heating and cooling costs | End of each year of operation | Q4 2018 |
| **Natural gas and** | Target 0.5 kW/ton reduction of | End of each year | Q4 2018 |

| | | | |
|---|---|---|---|
| **electric system benefits** | electricity for cooling and 100% in avoided natural gas demand for heating | of operation | |
| **Economic Growth** | Monetized benefits should exceed economic costs | Final Report | Q4 2018 |
| **Customer Satisfaction** | Participants exhibit high customer satisfaction scores | End of each year of operation | Q4 2018 |

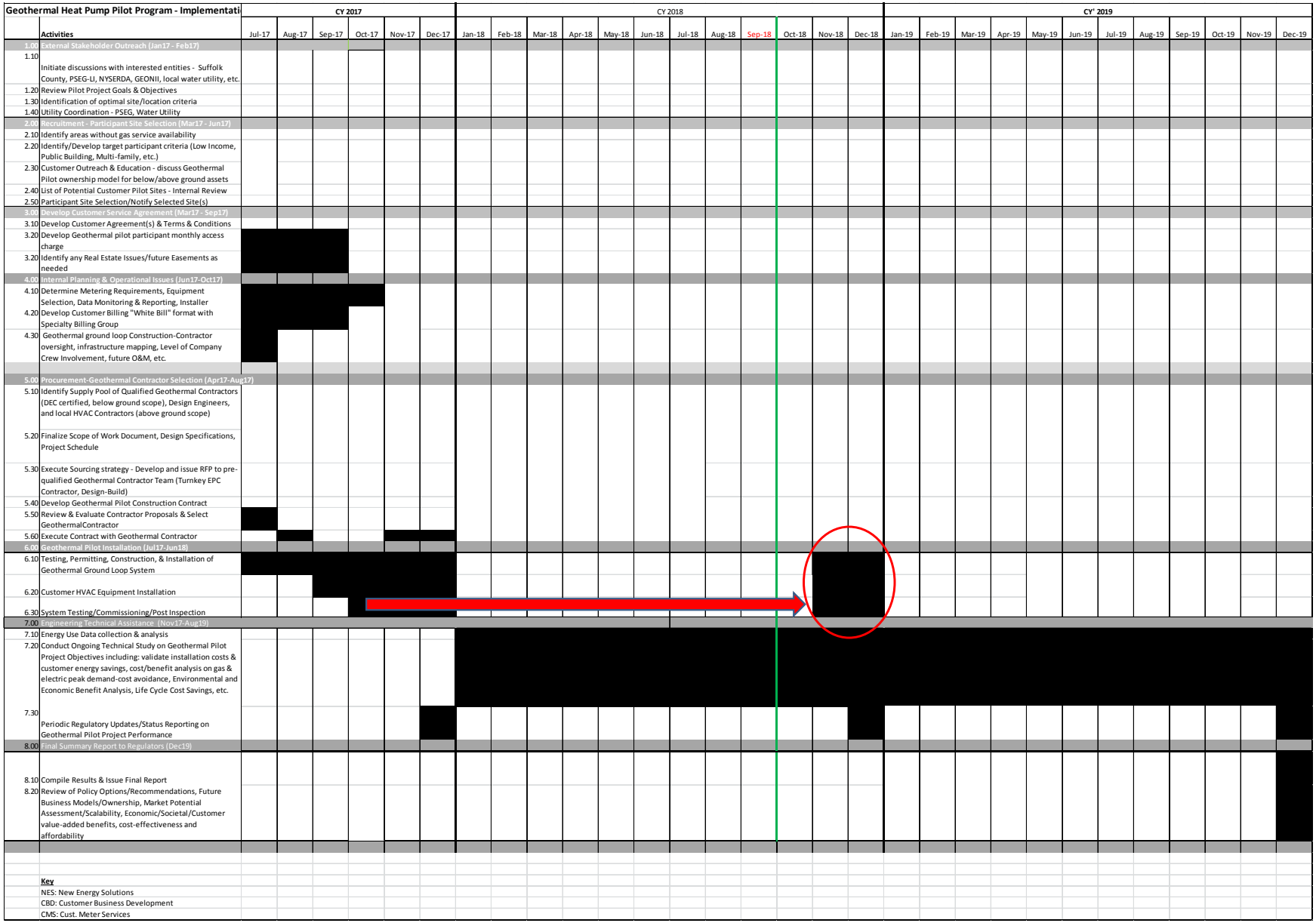
# 4. Work Plan & Budget Review

Table 4. Budget Information Updated for Q3 2018.

| Project Task | 4th Quarter Actual Spend | Project Total Spend to Date | Project Budget[4] | Remaining Balance |
|---|---|---|---|---|
| **CapEx** | | | | |
| | $0 | $0 | $0 | $0 |
| **OpEx** | | | | |
| Implementation | $10,336 | $385,941 | $450,000 | $64,059 |
| **Total** | **$10,336** | **$385,941** | **$450,000** | **$64,059** |

[4] The Company updated the Project budget to reflect incremental costs.

# 4.1 Project Work Plan



## 4.2 Challenges, Changes, and Lessons Learned for Q3 2018

Table 5. Lessons Learned During the Quarter.

| Challenges, Changes, and Lessons Learned | What was the resulting change to Scope/Timeline? | Strategies to Resolve | Lessons Learned |
|---|---|---|---|
| **The underground loop operated effectively throughout the cooling season with no heat pump failures or interruption of service** | No change to scope or timeline | Not Applicable | During this cooling season, the geothermal site experienced multiple prolonged heat waves. Even under such severe conditions, no systems experienced interruptions or service outages. |
| **Data monitoring and data analytics during the first year are important in shared loop designs. Data analytics during this month suggested that Unit 2 may have reversed piping. This assumption was confirmed using an ultrasonic flow meter test during this quarter.** | No change to scope or timeline | The Project team has informed the customer of this finding. Repair to Unit 2 will take place in November (Q4 2018) to remediate this issue. | Data analytics can provide useful insights such as detecting installation issues. |

# 5. Appendix A.

## GSHP Performance Analysis

Table 6. The Monthly Average Heating COP from January to June 2018 at Glenwood Village.[5,6]

| Month | 2017 Heating Degree days (Base 65) | 2018 Heating Degree days (Base 65) | Heat Pump Unit 1 | Heat Pump Unit 2 | Heat Pump Unit 3 | Heat Pump Unit 4 | Heat Pump Unit 5 | Heat Pump Unit 6 | Heat Pump Unit 7 | Heat Pump Unit 8 | Heat Pump Unit 9 | Heat Pump Unit 10 | Average COP |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **Jan** | 965 | 1167 | 2.1 | 3.2 | 3.3 | NA | 2.6 | 2.5 | 3.5 | 2.8 | 3.3 | 4.5 | 3.1 |
| **Feb** | 836 | 778 | 2.2 | 2.9 | 3.1 | NA | 2.4 | 2.3 | 3.3 | 2.7 | 2.7 | 3.1 | 2.7 |
| **Mar** | 929 | 851 | 2.2 | 2.8 | 3.4 | NA | 2.5 | 2.2 | 3.4 | 2.8 | 2.8 | 3.1 | 2.8 |
| **Apr** | 460 | 662 | 2.2 | 3 | 3.6 | NA | 2.5 | 2.4 | 3.5 | 2.8 | 2.9 | 3.2 | 2.9 |
| **May** | 301 | 190 | 3.3 | 5.6 | 5.3 | 2.6 | 3.1 | 4 | 4.4 | 4.9 | 4.5 | 4.1 | 4.2 |
| **Jun** | 84 | 89 | 4.2 | 5.7 | 5.8 | 6.6 | 5.5 | 5.4 | 6.1 | 5 | 5.7 | 6.6 | 5.7 |
| **Avg.** | Total 3575 | Total 3737 | 2.7 | 3.9 | 4.1 | 4.6 | 3.1 | 3.1 | 4.0 | 3.5 | 3.7 | 4.1 | 3.6 |

Table 7. The Monthly Average Cooling EER from May to June 2018 at Glenwood Village.

| Month | 2017 Cooling Degree days (Base 65) | 2018 Cooling Degree days (Base 65) | Heat Pump Unit 1 | Heat Pump Unit 2 | Heat Pump Unit 3 | Heat Pump Unit 4 | Heat Pump Unit 5 | Heat Pump Unit 6 | Heat Pump Unit 7 | Heat Pump Unit 8 | Heat Pump Unit 9 | Heat Pump Unit 10 | Average EER |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **May** | 16 | 9 | 5.7 | 12.6 | 11.3 | 3.5 | 4 | 7.6 | 8.7 | 10.3 | 8.8 | 7.1 | 8.0 |
| **Jun** | 96 | 86 | 8.3 | 12.6 | 12.9 | 16.3 | 12.4 | 11.8 | 14.5 | 10.3 | 12.7 | 15.4 | 12.7 |
| **July** | 203 | 543 | 10.3 | 12.5 | 13.5 | 18.4 | 12.4 | 11.9 | 15 | 11.2 | 12.5 | 15.4 | 13.3 |
| **Aug** | 133 | 285 | 10.1 | 12.4 | 13.4 | 18.2 | 13.2 | 12 | 14.6 | 8.1 | 12.2 | 15.2 | 12.9 |
| **Sept** | 93 | 118 | 7.9 | 12.4 | 14 | 17.6 | 12.5 | 11.1 | 14.8 | 10 | 12.5 | 15.7 | 12.9 |
| **Avg.** | Total 541 | Total 741 | 8.5 | 12.5 | 13.0 | 14.8 | 10.9 | 10.9 | 13.5 | 10.0 | 11.7 | 13.8 | 12.0 |

[5] Note: January data were updated for Unit 2 and Unit 6 due to data quality issues. Units 5, 6, 9, 10 had data gaps during January 2018.
[6] Past weather data were retrieved from Francis S. Gabreski Airport available on www.wunderground.com.

GSHP performance calculations in Table 6 and Table 7 used the following methods to calculate both heating and cooling performances:

$$Heating\ Capacity_{\frac{Btu}{h}} = \left(Heat\ Transfer_{\frac{Btu}{h}} + (Compressor_{kW} + Fan_{kW} + Elect\ Heat_{kW}) * 3.41_{\frac{BTU}{Watt}}\right)$$

$$C.O.P = \frac{(Heat\ Transfer_{\frac{Btu}{h}} + (Compressor_{kW} + Fan_{kW} + Elect\ Heat_{kW}) * 3.41_{\frac{BTU}{Watt}}}{((Compressor_{kW} + Fan_{kW} + Elect\ Heat_{kW} + Pump_{kW}) * 3.41_{\frac{BTU}{Watt}})}$$

$$Cooling\ Capacity_{\frac{Btu}{h}} = \left(Heat\ Transfer_{\frac{Btu}{h}} - Compressor_{kW} - Fan_{kW}\right)$$

$$E.E.R = \frac{((Heat\ Transfer_{\frac{Btu}{h}} - (Compressor_{kW} - Fan_{kW}) * 3.41_{\frac{BTU}{Watt}})}{(Compressor_{kW} + Fan_{kW} + Pump_{kW})}$$

# Exhibit ___ (FOH-3R)

# Newtown Creek Exhibit

# Developments in Renewable Natural Gas:

# The Promise of RNG

**Oct. 26, 2017**
**EPA Gas STAR**

Pamela A. Lacey
Chief Regulatory Counsel
American Gas Association

AGA American Gas Association

# The Promise of RNG

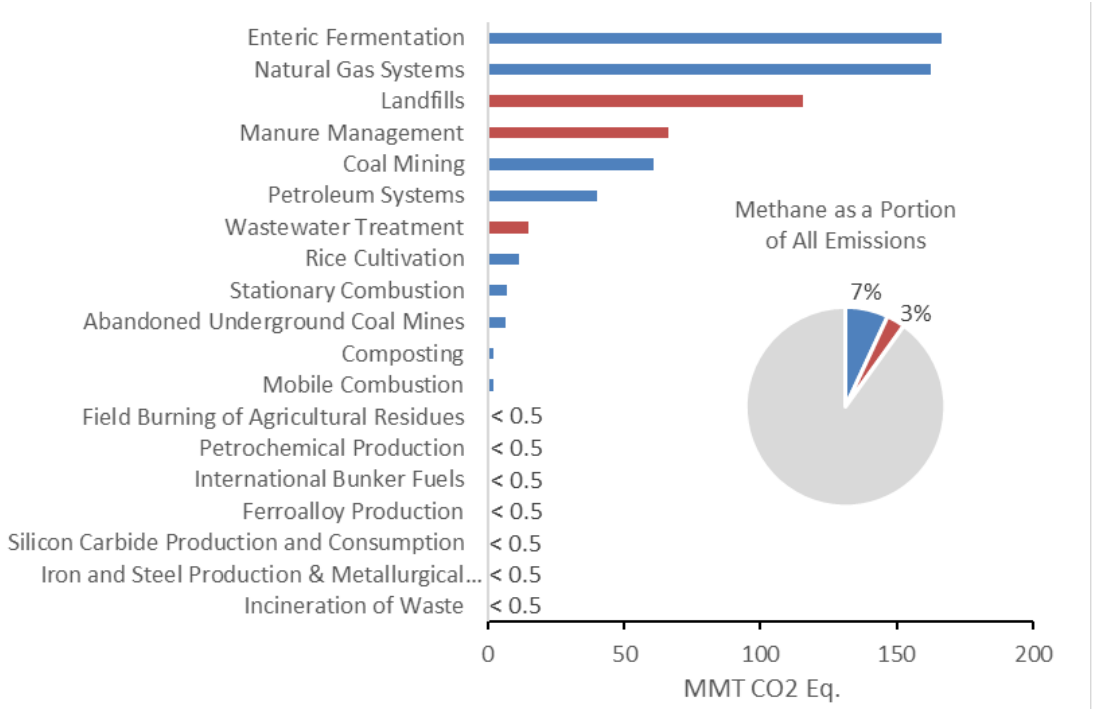
1. RNG can help capture and reduce methane
2. Case Studies demonstrate wide variety of RNG projects and uses – *including decarbonizing pipelines*
3. RNG Policy and Market Forces pose Challenges…
4. But Project Developers and Users are Rising to the Challenge

# Why is RNG relevant to Methane Emissions?

- **Answer:** Because *capturing and using* methane from landfills, manure, food waste, other organic waste and water treatment helps reduce methane emissions

# Sources of methane emissions 2015

## RNG Potential: Landfills, Manure, Wastewater



# 1. Case Studies

- *Originally presented at EPA-AGA RNG Workshop, Boulder CO (Sept. 26, 2017)*

- National Grid Newtown Creek RNG from Wastewater Digester in Brooklyn NY
- Southern California Gas – RNG from Anaerobic Digester
- Duke Energy RNG from Livestock Waste Digesters in Missouri & NC
- Southern Company Gas – RNG from processed Landfill Gas

- *The following slides are used with permission from their authors*

# National Grid's Journey

2010

**NEWTOWN CREEK DEMONSTRATION PROJECT**

Partnership with NYC-DEP to convert New York City's waste water into a source of clean energy



**RFS – RECOGNITION OF ENVIRONMENTAL ATTRIBUTES**

Educating stakeholders on EPA's Renewable Fuel Standards (RFS) program and helping customers by facilitating transactions to monetize the environmental attributes



**CURRENT STAKEHOLDER ENGAGEMENT**

**Facilitating Customer Projects**

- Working with customers, project developers, technology providers and consultants

**Education & Advocacy**

- Associations, policy makers and regulators

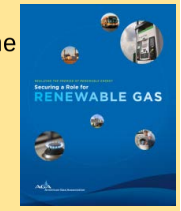
**RNG RESEARCH & WHITEPAPER**

Outlined the value of RNG as an alternative energy source. Analyzed the potential for RNG by feedstock and technology in NY, MA, RI & NH. Paper also provides a vision for a sustainable gas network and a roadmap on how to get there




**NATIONWIDE RNG REPORT**

Partnership with AGA & AGF to determine the national potential for RNG




**NEW YORK STANDARD INTERCONNECTION GUIDELINE**

Collaborative effort to develop a revolutionary interconnection guideline. The purpose of this effort is to specify gas quality standards and streamline the process of connecting RNG projects to the gas distribution network

2017

# Newtown Creek Demonstration Project

- Public-private partnership with NYC Department of Environmental Protection
- Largest wastewater treatment plant in NYC
- The project will inject enough RNG into the distribution network to heat ~2,500 homes
- Reduce CO2 emission by about 16,000 tons annually
  - Equals ~3,000 car reduction for one year
  - NYC is introducing an additional feedstock, food waste, which will boost biogas production



Newtown Creek wastewater treatment plant in Brooklyn, NY

Source: New York City Department of Environmental Protection

*Slide used with permission from author Don Chahbazpour, National Grid*

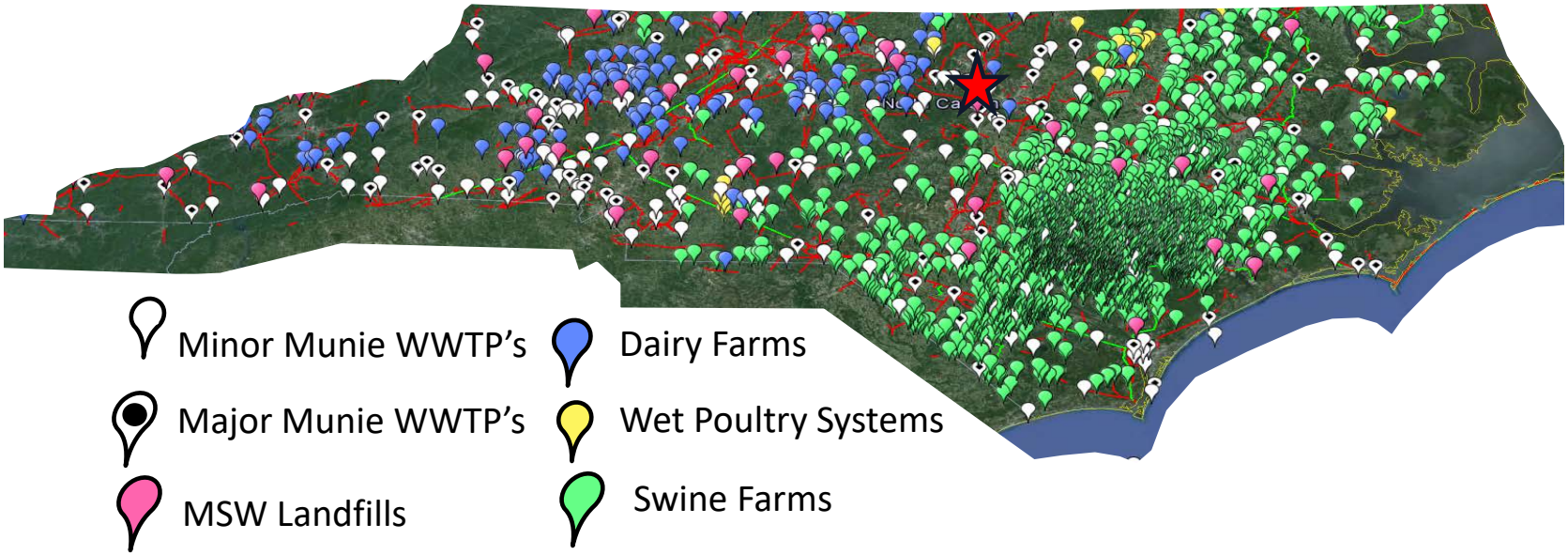
# SoCalGas®® Biogas Upgrading Demonstration Project at the Hale Avenue Resource Recovery Facility (HARRF)

**HARRF Information**

- Wastewater treatment facility located in Escondido, CA
- Average Daily Flow ~ 15.6 MGD
- Biogas was being flared prior to start of demonstration project
- Biogas Production ~ 95 million cubic feet per year
- Biogas contains enough energy to supply ~1,200 homes



Source of photo: www.escondido.org/water-treatment-plant.aspx




Swine Farm Locations are Mainly in Eastern NC – Potential for ~ 80 MW of projects

## North Carolina's Renewable Statute

- Enacted in 2007 and became law 1/1/2008

- A portion must be met with "set-aside" resources: solar, swine, poultry
- A portion of the requirement may be met through energy efficiency programs
- A portion (25%) may be met through purchases of out-of-state Renewable Energy Certificates

North Carolina's RPS is the only statute with animal waste-to-energy requirements.

# NC Project Status

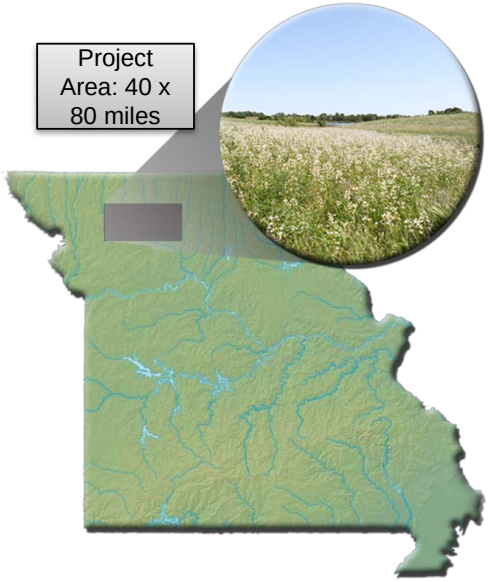
## Production Process

- Open lagoons covered with an 80 mil HDPE / LDPE impermeable cover
- Impermeable cover captures the biogas normally vented to atmosphere, which is flared, used to make heat / power, or purified for pipeline injection
- Precipitation stays above cover and is managed as storm water



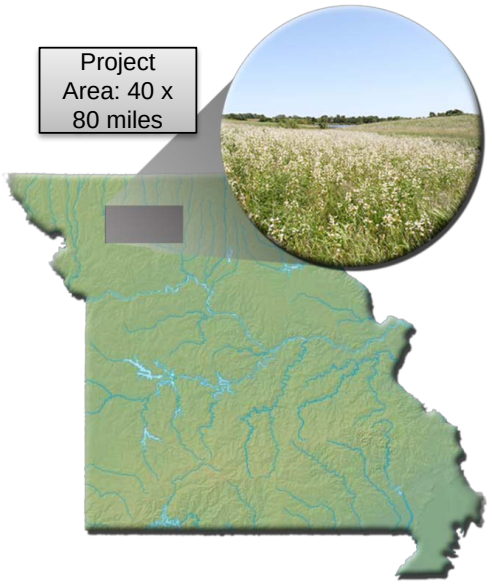
# Project Overview – Horizon One Smithfield Hog Production of MO

- Hog Manure to renewable natural gas
- Projected up to 2 million finishing hogs per year
- Project Value up to $120M
- Start of Construction, April 2014
- Completion – Q4 2020
- First renewable natural gas injected into natural gas pipeline system, June 2016 – Ruckman Farm



# Project Overview – Horizon One Smithfield Hog Production of MO

- Anaerobic Digestion
  - Covering 88 Existing Lagoons
  - Producing More Than 25 Million ethanol gal. equiv. per year, or **2.2 million MMBtu per year**
- Environmentally sustainable solutions
  - At hog barns, hog lagoons, and elimination of land application of hog manure
  - Improved nutrient management systems
  - Cleaner water



# Southern Company – Athens, TN
# Meadow Branch Landfill Gas (LFG)

## Treatment Facility

- Commissioned in 2011• LFG to High BTU/Pipeline Quality Gas
- Production Currently: 1200 DThm/Day
- Processing Capability: 4,000 scfm of raw landfill gas

## Landfill

- Owned by Waste Connections
- Opened in 1980
- Design Capacity ~10,000,000 tons

# RNG Marketing & Policy Challenges & Incentives

# Regulatory Policy – Remove Barriers to RNG

- Provide Clear RNG Gas Quality Standards
- Ensure RNG gets full credit under Federal Renewable Fuel Standards (RFS) for fueling natural gas vehicles (NGVs)
- Allow RNG credit toward State Renewable Portfolio Standards for grid power
- Give RNG credit when injected in distribution lines
- Remove utility least cost restrictions - Allow and facilitate options for RNG project funding

# Market Forces

## Main Challenge – Making the numbers work for RNG (Beyond Vehicles)

- Natural Gas – abundant supply driving low, stable prices

  (Traded in range of $2.82 to $3.03 per MMBtu in early October 2017)

- RNG costs have declined, but still higher than natural gas – absent credits

# Market Forces

## What's the answer?

1. **Vehicle Fuel Credits make RNG *Very* Attractive** - RNG used for vehicle fuel currently eligible for EPA Renewable Fuel Standard (RFS)- California provides additional credits

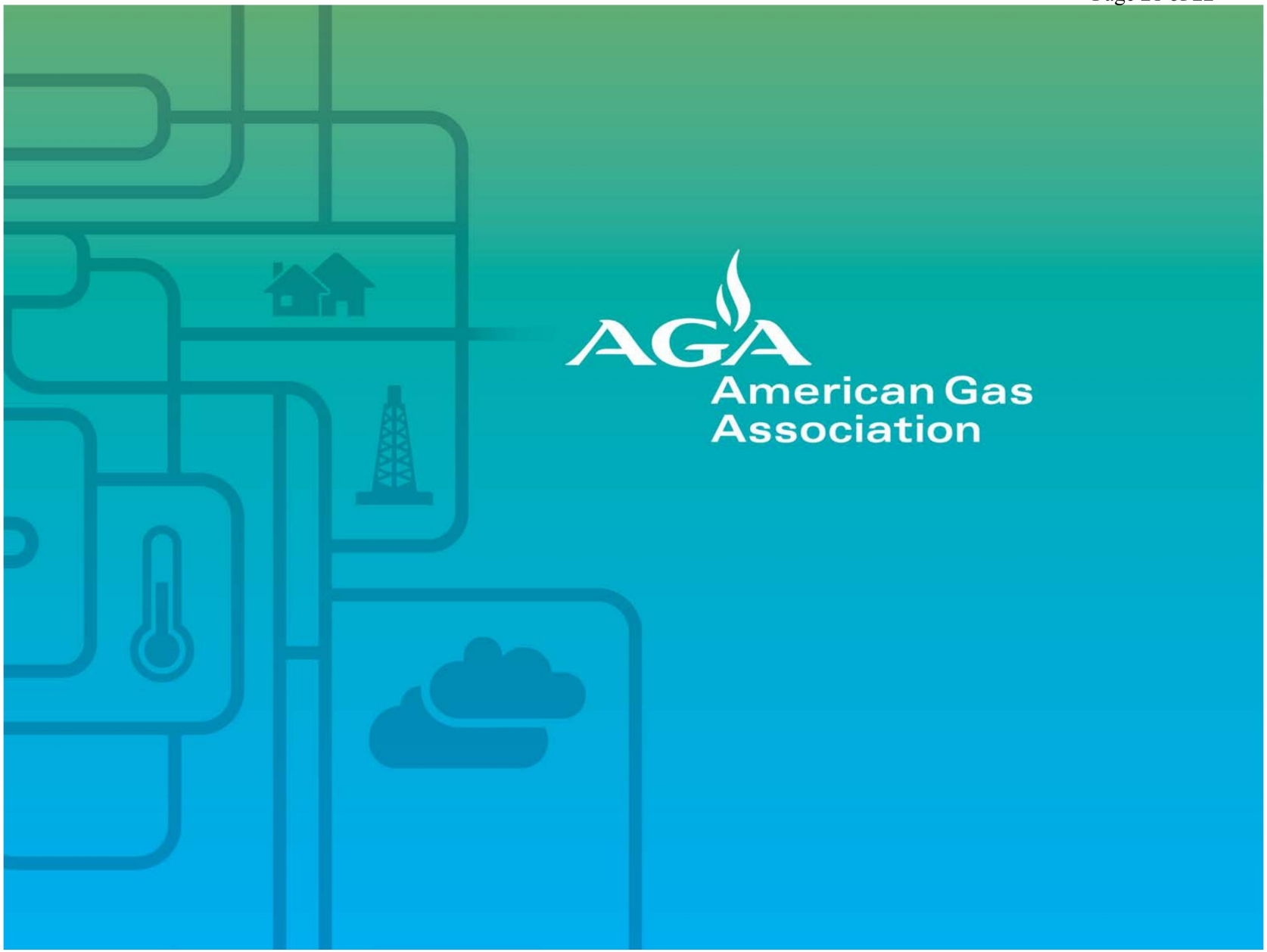
   Example – Waste Water Treatment RNG can earn @ $39 per MMBtu more with RFS – adding California credits, RNG can earn total of **$48 per MMBtu**

2. **Why just vehicle fuel? -** Need similar incentives for using RNG for power and injecting into gas distribution – available in some states, not others

3. **Price differential is getting smaller -** Some commercial customers will pay a premium for RNG as renewable energy

4. **Invest in the Future to reduce RNG costs –** Fund research and commercial demonstration projects

- Thank You!
- Questions?


AGA
American Gas
Association

# Find Us online at aga.org or:



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# Exhibit ___ (FOH-4R)

# Staff Response to Information Request ("IR") NG-13

**STAFF OF THE DEPARTMENT OF PUBLIC SERVICE**
**RESPONSE TO INTERROGATORY/DOCUMENT REQUEST**

**The Brooklyn Union Gas Company d/b/a National Grid NY**
**KeySpan Gas East Corporation d/b/a National Grid**
**Cases 19-G-0309 & 19-G-0310 – Gas Rates**

| | |
|---|---|
| **Request No.:** | NG-13 |
| **Requested By:** | KEDNY/KEDLI Revenue Requirement Panel |
| **Information Requested of:** | Staff Policy Panel |
| **Date of Request:** | September 3 2019 |
| **Response Due Date:** | September 13, 2019 |
| **Date of Response:** | September 13, 2019 |
| **Name & Position of Respondent:** | Aric Rider, Chief, Consumer Advocacy |
| **Subject:** | KEDNY Newtown Creek |

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**Question:**

In the Company's response to DPS-972 and DPS-973, the Company stated that the Company had $32.2 million in the plant forecast included in the Company's revenue requirement for the Newtown Creek project, although the current estimate for this project is $37.898 million.

1. Please confirm that Staff increased the Newtown Creek project cost estimate in Exhibit___(SPP-3) to $37.898 million for purposes of calculating the project's revenue requirement in order to impute Staff's $3.281 million revenue adjustment.

**Response:**

1. Yes.

**Question:**

2. Please confirm that Staff did not increase the capital forecast in Staff's overall revenue requirement for the Newtown Creek project to the current estimate of $37.898 million reflected in Exhibit___(SRP-2).

**Response:**

2. Yes, however, this should be corrected.

**STAFF OF THE DEPARTMENT OF PUBLIC SERVICE**
**RESPONSE TO INTERROGATORY/DOCUMENT REQUEST**

**The Brooklyn Union Gas Company d/b/a National Grid NY**
**KeySpan Gas East Corporation d/b/a National Grid**
**Cases 19-G-0309 & 19-G-0310 – Gas Rates**

**Response to IR NG-13 continued.**

**Question:**

3. Does Staff agree that the current estimate of $37.898 million for the Newtown Creek project should be included in both the revenue requirement for purposes of calculating the imputed revenue adjustment, as well as the Staff's overall revenue requirement reflected in Exhibit____(SRP-2).

**Response:**

3. Yes.